THE STOCK EXCHANGES (CORPORATISATION, DEMUTUALIZATION AND INTEGRATION) ACT, 2012

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THE STOCK EXCHANGES (CORPORATISATION, DEMUTUALIZATION AND INTEGRATION) ACT, 2012

ACT NO. XV OF 2012

[7th May, 2012]

An Act to provide for the corporatisation, demutualization and integration of stock exchanges in Pakistan

WHEREAS, it is expedient, for the development of the capital markets of the country, to provide for the corporatisation and demutualization of the stock exchanges in Pakistan and to facilitate the integration of these stock exchanges and for matters ancillary thereto;

It is hereby enacted as follows:

CHAPTER-I

PRELIMINARY

1. Short title, extent and commencement.—(1) This Act may be called the Stock Exchanges (Corporatisation, Demutualization and Integration) Act, 2012.

(2) It extends to the whole of Pakistan.

(3) It shall come into force at once.

2. Definitions.—(1) In this Act, unless there is anything repugnant in the context or subject,—

(i) "assets" means all immovable and movable properties (whether actual or contingent, tangible or intangible) and include all land, building, machinery and equipment, shares, securities, deposits, cash, bank balances, profits, dividends, fees, commissions, receivables, claims, contracts, licenses, privileges, reserve funds, investments and all other rights and interests in and arising out of such property in the ownership, possession, power or control of a stock exchange at any given time;

(ii) "blocked account" means a CDC account established by a stock exchange in accordance with clause (c) of sub-section (1) of section 5;

(iii) "CDC" means the Central Depository Company established in pursuance of the Central Depository Companies (Establishment and Regulation) Rules, 1996;

(iv) "Commission" means the Securities and Exchange Commission of Pakistan established under the Securities and Exchange Commission of Pakistan Act, 1997 (XLII of 1997);

(v) "Committee" means the demutualization committee of members of the stock exchange ratified under section 3 by the members of the stock exchange;

(vi) "Companies Ordinance" means the Companies Ordinance, 1984 (XLVII of 1984);

(vii) "Connected Person" means in relation to a natural person, a spouse, real, step or half sibling, lineal ascendant or descendant of such person, a partner, promoter or substantial shareholder of an undertaking, company or body corporate of which such person is also a partner, promoter or substantial shareholder or an undertaking, company or body corporate in which such person is a partner, promoter, substantial shareholder or director;in relation to a legal person a Connected person means an undertaking, company or body corporate which is a holding, subsidiary or associated company of such legal person;

(viii) "corporatisation" means the conversion of a stock exchange from a company limited by guarantee to a public company limited by shares;

(ix) "date of corporatisation" means the date on which the Registrar issues a certificate of re-registration to the stock exchange as evidence of its change in status from a company limited by guarantee to a public company limited by shares;

(x) "date of demutualization" means the date on which the Registrar issues a certificate of re-registration to the stock exchange in accordance with the provisions of section 6;

(xi) "demutualization" means the segregation of the majority ownership of a stock exchange from the right to trade on such stock exchange;

(xii) "financial institution" includes foreign or local commercial banks development financial institutions, non-banking finance companies, insurance companies, stock exchanges, commodity exchanges, derivative exchanges or any such other entity which has been notified by the Commission as a financial institution for the purposes of this Act;

(xiii) "first directors" mean directors of the stock exchange nominated by a stock exchange or the Commission as the case may be and who take the office of director on the date of corporatisation and hold such office until elections of the directors are held in accordance with this Act;

(xiv) "initial shareholders" means the legal owners of the shares of a stock exchange on the date of corporatisation;

(xv) "integration" means the merger of two or more stock exchanges;

(xvi) "liabilities" means all borrowings, financial obligations, debts, claims, or potential losses of every description (Whether actual or contingent) of a stock exchange at any given date;

(xvii) "member" means a member of a stock exchange prior to its corporatisation under this Act;

(xviii) "prescribe or prescribed" means prescribed by the regulations made by the Commission;

(xix) "scheme of integration" means a scheme of arrangement for the integration of two or more stock exchanges;

(xx) "Securities Ordinance" means the Securities and Exchange Ordinance, 1969 (XVII of 1969);

(xxi) "security" means a security as defined in clause (1) of sub-section (1) of section 2 of the Securities Ordinance;

(xxii) "shareholders" means the legal owners of the shares of a stock exchange at any given time and include the initial shareholders;

(xxiii) "stakeholders" means the employees of the stock exchange, the TRE certificate holders, the issuers of securities listed on a stock exchange, creditors, if any, of such stock exchange and the Government of Pakistan;

(xxiv) "stock exchange" means a stock exchange registered under section 5 of the Securities Ordinance at the time of commencement of this Act and includes a stock exchange after corporatisation, demutualization or integration as the case may be;

(xxv) "strategic investor" means a stock exchange, depository company, a derivative exchange or a clearing house which has been approved by the Commission in accordance with the prescribed criteria, for the purposes of acquiring shares of a stock exchange in pursuance of section 12;

(xxvi) "substantial shareholder" means a person who directly or indirectly controls, beneficially owns or holds not less than twenty per cent of the voting rights of an undertaking, company or body corporate;

(xxvii) "trading right entitlement certificate or TRE certificate" means a certificate issued by a stock exchange evidencing right of the TRE certificate holder to apply for registration as a broker in accordance with the Broker and Agent Registration Rules, 2001 as amended from time to time;

(xxviii) "trading right entitlement certificate holder or TRE certificate holder" means a person who is issued a TRE certificate under section 5, or purchases or acquires such TRE certificate under section 16 or is issued afresh TRE certificate in accordance with the provisions of this Act; and

(xxix) "undertaking" means any trade or business of a stock exchange.

(2) The words and expressions used, but not defined in this Act, but which are defined in the Companies Ordinance or the Securities Ordinance shall have the same meaning as are assigned to them in these Ordinances.

CHAPTER-II

CORPORATISATION

3. Demutualization Committee.—(1) The members of a stock exchange shall not later than thirty days from the commencement of this Act, in a meeting of the stock exchange, ratify the creation and constitution of the demutualization committee existing at such commencement.

(2) The committee shall be fully authorized to—

(a) approve the valuation of the stock exchange to be undertaken by the investment bank pursuant to clause (a), sub-section (I) of section 4;

(b) enter into negotiations and finalize the sale of not more than forty per cent of the total issued share capital out of the shares lying in the blocked account with any one or more strategic investors or financial institutions;

(c) determine the offer price for offer for sale of shares to general public.

(3) The committee shall be fully empowered and bound to accept any price offered for the sale of shares by the strategic investor that is equal to or greater than the valuation carried out under section 4, and finalize and enter into an agreement for the sale of such shares to the strategic investor, and the members, the shareholders including the initial shareholders and the stock exchange shall be bound by such agreement:

Provided that the decision whether to accept or reject an offer from a strategic investor, if the price offered is less than the approved valuation, shall be made in a meeting of the initial shareholders of the stock exchange through a majority vote, unless the members while constituting the committee, gave such authority to the committee.

4. Submission of information by the stock exchange. —(1) Within forty-five days of the commencement of this Act, each stock exchange shall, submit to the Commission the following, namely:—

(a) a valuation of the stock exchange approved by the committee as at any date that may be specified by the Commission, based on the discounted cash flow or net asset value of the stock exchange, or any other internationally accepted method of valuation undertaken by a renowned international investment bank approved by the Commission:

Provided that the Commission may, on a reasoned request made by the stock exchange, extend the time for the submission of the valuation of the stock exchange till 120 days from the commencement of this Act;

(b) a re-valuation of the assets and liabilities of the stock exchange as at 30th June, 2008, or as at any other date as may be specified by the Commission, undertaken by a firm of Chartered Accountants approved by the Commission in accordance with the prescribed criteria based on which valuation, the number of shares of ten rupees par value proposed to be issued will be determined;

(c) the proposed authorized and paid-up capital of the stock exchange with the number of shares to be issued;

(d) the names of members of the stock exchange proposed to be the initial shareholders of the stock exchange and the number and value of shares to be allotted to each such member:

Provided that the shares allotted in pursuance of this sub-section shall be allotted for consideration other than cash.

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(e) the names of members of the stock exchange, nominated to act as the first directors of the stock exchange until such time as elections are held in accordance with this Act:

Provided that the stock exchange shall nominate only four members to act as the first directors;

(f) the proposed plan for the segregation of the commercial and regulatory functions of the stock exchange;

(g) the draft memorandum and articles of association of the stock exchange;

(h) a detailed five year development plan for the stock exchange together with the capital expenditure estimate and the sources of finance:

Provided that the items listed at clauses (b) to (h) of sub-section (1) shall be submitted tothe Commission after being duly approved by the Board of Directors of the stock exchange.

(2) Within thirty days of receipt of the information submitted by a stock exchange under sub-section (1), the Commission shall, subject to the provisions of sub-section (4), approve and communicate to the stock exchange the following namely:—

(a) the revaluation of the assets and liabilities of the stock exchange;

(b) the authorized and the paid up capital of the stock exchange;

(c) the names of members of the stock exchange proposed to be the initial shareholders of the stock exchange;

(d) the number of shares that may be allotted to each member of the stock exchange for consideration other than cash;

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(e) the names of members nominated to act as first directors of the stock exchange;

(f) the plan for the segregation of the commercial and regulatory functions of the stock exchange;

(g) the memorandum and articles of association of the stock exchange; and

(h) the approved development plan.

(3) At the time of communicating the items listed in sub-section (2), the Commission shall also communicate to the stock exchange the names of six persons to be nominated by the Commission to act as the first directors of the stock exchange with a direction to elect one of these persons as the Chairman of the Board of Directors of the stock exchange.

(4) The Commission may, if it deems necessary in the interest of the capital markets, make appropriate amendments in any of the matters mentioned in sub-section (2), other than the re-valuation

carried out by the firm of Chartered Accountants, before granting its approval:

Provided that before making any substantive amendments, the Commission shall inform the stock exchange of such amendments, and if so required by the stock exchange in writing, provide an opportunity of hearing to the stock exchange:

Provided further that any decision of the Commission under this sub-section (4) shall be final and binding.

(5) The valuation of the stock exchange as mentioned in clause (a) of sub-section (1), shall be provided to the Commission in a sealed envelop and the Commission shall keep the envelop sealed till the sale of shares to a strategic investor, in which case it shall return the sealed envelop to the stock exchange. In case there is no sale of shares to a strategic investor in the manner provided in this Act, the Commission shall open the envelop in accordance with provisions of section 12.

(6) If a stock exchange fails to comply with any or all of the requirements of sub-section (1) within the stipulated time or any extension thereof, the Commission shall undertake or decide as the case may be, the matters listed in sub-section (1) and communicate the same to the stock exchange for further compliance. Any action taken by the Commission in pursuance of this sub-section shall be final and binding on the stock exchange and its members:

Provided that if the Commission engages a renowned international investment bank for the purposes of clause (a) of sub-section (1) or a firm of Chartered Accountants for the purposes of clause (b) of sub-section (1), the cost of such valuation, including all ancillary costs, shall be borne by the stock exchange being valued.

5. Procedure upon receiving approval or determination.—(1) Within thirty days of being granted approval under sub-section (2) of section 4 or a determination under sub-section (6) of section 4, the stock exchange shall—

(a) adopt in a meeting of its members by a special resolution the approved memorandum and articles of association;

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(b) allot shares to the members approved to be the initial shareholders in the approved numbers:

Provided that all shares will be allotted in a dematerialized format and shall not, at any time or for any reason, be convertible into physical format;

(c) deposit in a blocked account sixty per cent of shares allotted to each initial shareholder and hold these in the blocked account until such time as these shares are disposed of in accordance with section 12;

(d) issue a certificate to each initial shareholder certifying the number of his shares held in the blocked account; and

(e) issue a TRE certificate to each initial shareholder.

(2) Willful failure of a stock exchange to comply with any of the requirements of this section

shall be an offence under this Act.

(3) Within seven days of the adoption of the memorandum and articles of association as aforesaid, the stock exchange shall deliver to the Registrar,—

(a) a certified copy of the special resolution by which the memorandum and articles of association have been adopted;

(b) a certificate from the auditors of the stock exchange certifying that all shares have been allotted to the initial shareholders in a dematerialized format; and

(c) a certificate from CDC that sixty per cent of the shares allotted to each initial shareholder have been deposited in a blocked account in accordance with clause (c) of sub-section (1) of section 5.

6. Procedure upon receiving memorandum of the stock exchange.—(1) Within seven days of receipt of the information mentioned in sub-section (3) of section 5 and after confirmation from the Commission, the Registrar shall issue a certificate of re-registration to the stock exchange as evidence of its change in status from a company limited by guarantee to a public company limited by shares.

(2) The directors of the stock exchange holding office on the date of corporatisation shall automatically cease to hold such office on receipt of the certificate of re-registration by the stock exchange, and shall stand replaced by the first directors.

7. Effect of corporatisation.—(1) All assets and liabilities of the stock exchange as at the date of corporatisation shall remain the assets and liabilities of the stock exchange.

(2) The corporatisation of the stock exchange shall not—

(a) create a new legal entity or prejudice or affect its identity or continuity;

(b) adversely affect the registration of the stock exchange under section 5 of the Securities Ordinance;

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(c) prejudice or affect the continuity of its undertakings;

(d) render defective or affect any legal, disciplinary or other proceedings brought by or against it prior to the date of corporatisation;

(e) affect the validity of any regulation made by the stock exchange or the Commission in pursuance of section 34 of the Securities Ordinance;

(f) affect any instruction, order, approval, notification, direction, act, requirement, condition, consent, guideline, circular, undertaking, declaration, indemnity, waiver, exemption, restriction or decision or other document howsoever called, made, given or done by the stock exchange or the Commission in accordance with or in pursuance of the Companies Ordinance or the Securities Ordinance or any other law or rules and regulations made under such law in force at the date of corporatisation, and such instruction, order, approval, notification, direction, act, requirement, condition, consent, guideline, circular, undertaking,

declaration, indemnity, waiver, exemption, restriction or decision or other document shall remain valid, binding and have effect in relation to the persons to whom such instruction, order, approval, notification, direction, act, requirement, condition, consent, guideline, circular, undertaking, declaration, indemnity, waiver, exemption, restriction or decision is applied until it is amended, repealed or otherwise expires;

(g) affect any right, privilege, obligation or liability acquired by or accrued to the stock exchange under the provisions of the Companies Ordinance or the Securities Ordinance or any other law or rules and regulations made under any such law in force at the date of corporatisation and shall not affect any legal, disciplinary or other proceedings, remedy, inspection, investigation or inquiry in relation to such right, privilege, obligation or liability and any such legal, disciplinary or other proceedings, remedy, inspection, investigation or inquiry may be instituted, continued or enforced after the date of corporatisation; and

(h) affect any action that has been taken by the stock exchange for any breach of its regulations.

(3) Upon the conversion of the stock exchange from a company limited by guarantee to a company limited by shares, the liability of each member of the stock exchange as guarantor shall be deemed to be extinguished immediately.

CHAPTER-III

DEMUTUALIZATION

8. Demutualization. A stock exchange shall stand demutualised when the Registrar has issued a certificate of re-registration to the stock exchange in accordance with section 6.

9. Rights attached to shares in the blocked account.—(1) All rights in respect of the sixty per cent shares of each initial shareholder deposited in the blocked account shall vest and be exercised in the following manner, namely:-

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(a) the right to receive dividends, bonus shares, rights shares and the proceeds of sale of these shares shall vest in the initial shareholders:

Provided that the bonus shares and right shares if any, shall be added to the blocked shares of the initial shareholder and shall be disposed of alongwith those blocked shares in the manner provided in this Act;

(b) the right to sell these shares shall vest in the stock exchange to be exercised in the manner provided in section 12; and

(c) the right to exercise the voting power attached to these shares shall remain suspended till the time of sale of these shares in accordance with section 12.

(2) The blocked account shall be operated by the board of directors in the manner prescribed by the Commission.

10. Board of a stock exchange after demutualization and the election of directors.— (1) At any time after the date of demutualization, TRE certificate holders or connected persons of TRE certificate holders shall not hold the majority on the board of directors of any stock exchange, or hold more than forty per cent of the total paid up capital of the stock exchange.

(2) Within thirty days of the date of demutualization, the stock exchange shall hold an election of directors:

Provided that the elections shall only be in respect of the seats held by the first directors nominated by the stock exchange. The nominees of the Commission shall continue to hold office until such time as they stand replaced on a directive of the Commission to allow co-option of nominees of the strategic investor, or in subsequent elections by shareholder interest of the strategic investor and financial institutions or representatives of the general public as the case may be.

(3) After the date of demutualization, the chairman of the Board of any stock exchange shall always be from amongst those directors who do not represent the TRE certificate holders or their connected persons.

11. Effect of demutualization.—(1) From the date of demutualization, notwithstanding anything to the contrary contained in any other law for the time being in force or any agreement, award, judgment, decree or other instrument for the time being in force, the demutualization of the stock exchange shall become binding on all persons and authorities having any contractual or statutory, right, power, obligation or liability in connection with the stock exchange.

(2) The demutualization shall not adversely affect the registration of the stock exchange under section 5 of the Securities Ordinance.

(3) A shareholder may or may not be a TRE certificate holder of the stock exchange after demutualization.

(4) A TRE certificate holder may or may not be a shareholder of the stock exchange after demutualization.

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12. Divestment and issue of further shares.—(1) The Commission may at any time not later than two years from the date of demutualization direct the stock exchange and its shareholders to do one or more of the following, namely:-

(a) to enter into an agreement with a strategic investor, within one year of such direction, for the sale of not more than forty percent of its total issued share capital out of the shares lying in the blocked account;

(b) to sell to the general public through an offer for sale, not less than twenty percent of its total issued share capital out of the shares lying in the blocked account within one hundred and eighty days of the direction in accordance with applicable laws;

(c) to enter into agreements with and to sell to local financial institutions any shares remaining in the blocked account after sale of shares to the strategic investor and the general public, within one year of the direction:

Provided that the Commission may extend the period for compliance upon an application by the stock exchange setting out the reasons for not being able to comply with the said order within the specified time.

(2) A stock exchange may, by special resolution issue further shares carrying extra voting rights to a strategic investor with the prior written approval of the Commission.

(3) In case if no agreement for the sale of shares of the stock exchange is reached with any strategic investor within one year of the direction given by the Commission or within such time as may be extended by the Commission, the Commission may open the sealed envelop containing the valuation of the shares.

(4) Upon opening the sealed envelop, the Commission may take such steps or give such directions as may be necessary for achieving the sale of shares, including but not limited to—

(a) ordering the sale of shares to a strategic investor who had earlier made an offer to purchase the shares, if the price offered by such strategic investor was equal to or more than the valuation of the shares contained in the sealed envelop; or

(b) ordering a fresh auction of the shares and selling to the highest bidding strategic investor or financial institutions such number of shares and in such manner as the Commission may specify; or

(c) ordering a revaluation of the stock exchange at the cost of the stock exchange and in such manner as the Commission may specify.

(5) Notwithstanding anything contained in sub-sections (1) to (4), if a stock exchange fails to comply with any or all of the directions given to the stock exchange under sub-section (1), the Commission may determine and conclude the matters listed in sub-section (1) in such manner as may be prescribed and any such determination by the Commission shall be final and binding on the stock exchange, its shareholders including the initial shareholders and the CDC.

(6) Refusal by any initial shareholder to accept an agreement duly entered in accordance with the provisions of this section 12, or failure by any person to comply with any directions given by the Commission, or the willful failure of the committee to sell the shares if the offer price received for such shares is equal to or more than the approved valuation, shall be an offence.

13. Sale and purchase of shares by a strategic investor and a financial institution.—(1) A strategic investor or a financial institution who acquires shares under section 12 may sell its shareholding in a stock exchange only to another strategic investor or a financial institution as the case may be, with the prior written approval of the Commission.

(2) A strategic investor may acquire such further shares of a stock exchange in which it is a strategic investor to enable it to increase its shareholding up to fifty one percent of the total paid up capital, subject to the following conditions, namely:—

(a) the prior approval of the Commission is obtained for such further acquisition of shares;

(b) the further acquisition is made not less than three years after it acquires shares under section 12; and

(c) the shares are purchased from the market by making a public offer in a transparent manner.

(3) No financial institution who has acquired shares under section 12 may acquire any further shares from the general public:

Provided that a financial institution may acquire shares from another financial institution with prior approval of the Commission.

(4) The Commission may, by order in writing and reasons to be recorded, relax any one or all of the restrictions provided in sub-sections (1) to (3) after four years of date of demutualization.

(5) The provisions of the Listed Companies (Substantial Acquisition of Voting Shares and Takeovers) Ordinance, 2002 (CIII of 2002) shall not apply to any acquisition of voting shares of a stock exchange by a strategic investor.

14. Powers of the Commission to require divestment.—(1) If an initial shareholder, a member of the general public (including a company) or a TRE certificate holder directly or indirectly acquires more than one percent of the shares of a stock exchange, the Commission may direct such person to divest these shares in a manner as may be specified by the Commission from time to time or on a case to case basis.

Explanation.—For the purposes of this sub-section a person shall be deemed to have acquired shares indirectly if these shares have been acquired by a connected person of such person.

(2) If a financial institution other than a financial institution who acquire shares under section 12, directly or indirectly acquires more than five percent of the shares of a stock exchange, the Commission may direct such financial institution to divest these shares in a manner as may be specified by the Commission from time to time or on a case to case basis.

Explanation.—For the purposes of sub-section (2) a financial institution would be deemed to have acquired shares indirectly if these shares have been acquired by a connected person of such financial institution.

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(3) The limits on the holding of shares by persons mentioned in sub-sections (1) and (2) may be amended by the Commission from time to time if deemed necessary.

(4) Willful failure to comply with any provisions of this section or any directions issued by the Commission hereunder shall be an offence under this Act.

15. Listing of shares.—(1) The shares of a stock exchange shall be listed, on any such stock exchange and within any such time as the Commission may prescribe in consultation with the board of directors of the stock exchange which is to be listed.

(2) Where the shares of a stock exchange are listed on itself, the Commission shall act as the front line regulator of such stock exchange for such listing, and notwithstanding anything contained in any other law, shall have the necessary powers and authority to regulate and administer all the laws, rules and regulations prescribed for such matter.

(3) The self-listing of the stock exchanges under this section shall be administered and managed

by the Commission in such manner as may be prescribed.

(4) A stock exchange shall make an application for the listing of its shares on itself in the manner and form, and subject to such conditions, as the Commission may prescribe.

(5) Upon receipt of an application under sub-section (4), the Commission may if it is satisfied, after making such inquiry and receiving such further information as it may consider necessary, that the application fulfils the prescribed conditions for listing, order the listing of the shares.

(6) Willful failure of a stock exchange to comply with any prescribed condition or direction of the Commission shall be an offence under this Act.

16. Trading rights.—(1) An initial shareholder who is issued a TRE certificate under section 5 shall, if not already registered as a broker with the Commission, be entitled to be so registered not later than two years from the date of demutualization provided that he meets the fit and proper criteria:

Provided that such TRE certificate holder shall commence business not later than six months from the date of registration as a broker.

(2) A TRE certificate issued under section 5, may only be transferred once in a manner as may be prescribed:

Provided that transfer of the TRE certificate by a registered broker shall result in the cancellation of his registration as broker.

(3) Any fit and proper person who acquires a TRE certificate from an initial shareholder in accordance with sub-section (2), shall get himself registered as a broker not later than six months from the date of acquiring the TRE certificate, and shall commence business not later than twelve months from the date of acquiring the TRE certificate.

(4) A stock exchange shall not issue new TRE certificates to any person [1][within a period of four years from the commencement of this Act] unless two-third majority of TRE certificate holders of a stock exchange decide otherwise.

(5) After [1][the expiry of period specified in sub-section (4)], a stock exchange shall offer for issuance [1][of] fifteen TRE certificates each year [1][for the period of nine years] in the manner prescribed by the Commission

(6) After [1][the expiry of the period specified in sub-section (5)], no restriction shall be placed on the issuance of TRE certificates by the stock exchange, and any person who meets the fit and proper criteria for registration as a broker shall be eligible to be issued a TRE certificate.

(7) Any person who is issued a new TRE certificate shall get himself registered as a broker not later than six months from the date of issuance of such TRE certificate and shall commence business not later than three months from the date of registration as a broker.

(8) After the date of demutualization, only a private company or a public company as defined in the Companies Ordinance, 1984 (XLVII of 1984) shall be eligible to obtain registration as a broker on a stock exchange:

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[1]Subs. and ins. by Act XXII of 2015, s. 3.

Provided that any TRE certificate holder who is registered as a broker on a stock exchange on the date of commencement of this Act shall not be required to convert in to corporate brokerage house till one year from the commencement of this Act.

Explanation.—For the purpose of this sub-section the expression "Corporate brokerage house" means a private company or a public company which is registered as a broker.

(9) All Corporate brokerage houses shall comply with the provisions of the Code of Corporate Governance issued by the Commission as amended from time to time.

(10) Except as provided in sub-section (2), all TRE certificates shall be nontransferable.

(11) Failure of a person, holding a TRE certificate including an initial shareholder, to get himself registered as a broker or commence business within the different periods specified in this section, or in the case of an initial shareholder, to transfer the TRE certificate within two years from the date of demutualization, shall result in the lapse of such TRE certificate.

(12) The Commission shall prescribe the manner, form and procedures for the transfer and issuance of any TRE certificate in any stock exchange.

CHAPTER-IV

INTEGRATION

17. Integration without application to the Court—(1) Any two or more stock exchanges may, upon filing of a scheme of integration, and after compliance with such procedures as may be prescribed, be integrated by an order of the Commission, so as to transfer and vest in the successor stock exchange ("the successor stock exchange") all the assets, undertakings and liabilities of any stock exchange which, upon such integration, is proposed to cease to exist ("the transferor stock exchange"). Stock exchanges desirous of integrating may also do so by creating a new legal entity to which the assets, undertakings and liabilities of each of the stock exchanges may be transferred.

(2) A scheme of integration may only be submitted to the Commission under sub-section (1) after it has been approved by a special resolution of the shareholders of each stock exchange.

(3) The successor stock exchange, if already registered as a stock exchange, shall not be required to apply to the Commission for fresh registration. Where however, a new legal entity is created as a result of integration, such entity shall apply for registration as a stock exchange under section 5 of the Securities Ordinance. The registration granted to any existing stock exchange which ceases to exist after the integration shall lapse upon such integration.

18. Power of the Commission to approve a scheme of integration.—(1) On receipt of a scheme of integration under section 17, the Commission may approve the scheme in principle. Upon such approval, the stock exchanges shall publish the scheme of integration in two daily newspapers of national coverage, requiring the stakeholders to intimate directly to the Commission in writing, within the 15th day from the date of such publication, the reasons, if any, why the Commission should not approve the scheme of integration. Upon receipt of any written objections to the scheme of integration, the Commission shall provide a reasonable opportunity of being heard to such objectors.

(2) The Commission may make such inquiry and obtain such further information, as it may deem necessary, in order to determine as to whether to finally approve the scheme of integration or

not.

(3) The Commission may, if satisfied that the requirements of the prescribed procedure have been complied with, approve the scheme of integration with such modifications, if any, as it may deem appropriate, and specify the effective date of integration.

(4) Where a scheme of integration is approved under sub-section (3), it shall be posted on the website of the Commission and published in the official Gazette. In addition, the stock exchange shall publish the approved scheme in two daily newspapers of national circulation.

(5) With effect from the date of the order of approval of the scheme of integration, notwithstanding anything to the contrary contained in any other law for the time being in force or any agreement, award, judgment or decree, the scheme of integration shall have effect and shall be binding on all persons interested in the transferor stock exchange or the successor stock exchange (or the new legal entity as the case may be) including all shareholders, stakeholders and employees of the stock exchanges and all persons having an interest in any asset, undertaking or liability of either the transferor stock exchange or the successor stock exchange (or the new legal entity as the case may be).

(6) Notwithstanding anything to the contrary contained in any other law for the time being in force, with effect from the date of the order approving the scheme of integration, all the assets, undertakings and liabilities of the transferor stock exchange shall, in accordance with the scheme of integration, stand transferred to, and vest in, the successor stock exchange, and the transferor stock exchange shall, with effect from the date of such order, cease to exist.

(7) The stakeholders of the transferor stock exchange shall, with effect from the date of the order approving the scheme of integration, become the stakeholders of the successor stock exchange or the new legal entity as the case may be.

(8) The Commission may make such further or consequential orders or give such directions, as it deems necessary, in order to effect the integration of the stock exchanges in accordance with the approved scheme of integration.

(9) Where the Commission is satisfied that it would not be in the interest of either the capital and stock markets or the general public to approve the scheme, it may by an order in writing, reject the scheme:

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Provided that the Commission shall, prior to issuance of such order, give a reasonable opportunity of being heard to the stock exchanges seeking integration.

CHAPTER-V

OFFENCES AND PENALTIES

19. Powers of the Commission.—(1) Where the Commission is satisfied that a stock exchange, a director of a stock exchange, committee member, shareholder, TRE certificate holder or any other person, has *prima facie* committed an offence under this Act or has contravened any provision of this Act or the regulations hereunder, the Commission may provide a reasonable opportunity of hearing to the stock exchange, the director, a shareholder TRE certificate holder or committee member as the case may be.

(2) If after giving a reasonable opportunity of hearing to the stock exchange, its directors, shareholders, TRE certificate holders or committee member as the case may be, the Commission is satisfied that any of the aforementioned persons has knowingly and wilfully committed an offence under this Act, it may,—

(a) direct the stock exchange to pay to the Commission by way of penalty a sum not exceeding twenty million rupees or suspend or cancel the registration of the stock exchange;

(b) direct each director responsible for such failure to pay to the Commission from his own sources by way of penalty a sum not exceeding one million rupees or suspend or remove such director from the Board of the stock exchange;

(c) direct each shareholder guilty of an offence under this Act to pay to the Commission from his own sources by way of penalty a sum not exceeding one million rupees;

(d) direct each TRE certificate holder guilty of an offence under this Act to pay to the Commission from his own sources by way of penalty a sum not exceeding one million rupees; and

(e) direct each committee member guilty of an offence under this Act to pay to the Commission from his own sources by way of penalty a sum not exceeding one million rupees.

(3) Any sum directed by the Commission to be paid under sub-section (2) shall be recoverable by the Commission as arrears of land revenue.

(4) Notwithstanding anything to the contrary contained herein, the Commission may, if it is satisfied that a TRE certificate holder, whether or not he is a shareholder of the stock exchange, has wilfully and knowingly failed to comply with the provisions of this Act, suspend or cancel the TRE certificate.

CHAPTER-VI

MISCELLANEOUS

20. Restriction on amendments to the Memorandum and Articles and further issue of capital.—(1) A stock exchange shall not make any amendments to its Memorandum and Articles of Association without the prior written approval of the Commission,.

(2) A stock exchange shall not issue further shares without the prior written approval of the Commission.

21. Winding up of a stock exchange. A stock exchange shall not commence any proceedings for winding up, whether voluntary or otherwise, without the prior written approval of the Commission:

Provided that notwithstanding anything contained in any other law for the time being in force, the Commission shall have the power to take all necessary steps to rehabilitate a stock exchange that is facing financial or operational problems, in a manner as may be prescribed.

22. Prohibition on sale etc of assets of the stock exchange. No stock exchange shall sell immovable assets owned by the stock exchange at the date of corporatisation without the prior approval of the Commission and shall ensure that all assets are utilized in furtherance of the business of the stock exchange.

23. Power to make regulations. The Commission, may, by notification in the official Gazette, make regulations for carrying out the purposes of this Act.

24. Power to give directions.—(1) The Commission shall have the power to give such directions to a stock exchange, either jointly or severally, or to a shareholder, or a committee member, or a TRE certificate holder as the Commission deems necessary for achieving the purposes of this Act.

(2) The stock exchange, shareholder, TRE certificate holder or committee member to which a direction is issued under this section or any other section of this Act shall be bound to comply with the same and failure of a stock exchange, shareholder, TRE certificate holder or committee member to comply with any such direction shall be an offence under this Act.

25. Act to override other laws.— The provisions of this Act shall have effect notwithstanding anything to the contrary contained in any other law for the time being in force.

26. Savings.— Save as otherwise provided in this Act, nothing in this Act shall curtail or deem to affect or curtail the powers of the Commission under the Securities and Exchange Commission of Pakistan Act, 1997 (XII of 1997), the Companies Ordinance, the Securities Ordinance or any other law for the time being in force.

27. Removal difficulty.— If any difficulty arises in giving effect to the provisions of this Act, the Federal Government may, not inconsistent, with the provisions of this Act, give such directions as it may consider necessary for the removal of such difficulty.

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RGN Dated 30-03-2026

THE STATE BANK OF PAKISTAN ACT, 1956

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THE STATE BANK OF PAKISTAN ACT, 1956

[1]ACT NO. XXXIII OF 1956

[*18th April, 1956*]

An Act to provide for the establishment of the State Bank of Pakistan.

[2][WHEREAS it is necessary to provide for the constitution of State Bank to achieve domestic price stability by way of regulating the monetary and credit system of Pakistan and, without prejudice to said primary objective, contribute to the stability of the financial system of Pakistan and supporting the general economic policies of the Federal Government to foster development and fuller utilization of the country's productive resources;]

It is hereby enacted as follows:—

CHAPTER I

PRELIMINARY

1. Short title, extent and commencement.— (1) This Act may be cited as the State Bank of Pakistan Act, 1956.

(2) It extends to the whole of Pakistan.

(3) It shall come into force at once and except section 46, shall be deemed to have taken effect on and from the twelfth day of May 1948.

2. Definitions. In this Act, unless there is anything repugnant in the subject or context,

(a) [3][* * * * * * *]

[2][(aa) "advanced degree" means a postgraduate qualification;]

(b) "approved foreign exchange" means currencies declared as such by any notification under section 19 ;

(c) "the Bank" means the State Bank of Pakistan ;

(d) "bank notes" means notes made and issued by the Bank in accordance with section 24 and include currency notes of the Government of Pakistan issued by the Bank ;

(e) "[3][Board]" means the [3][Board] of Directors of the Bank ;

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[1]For Statement of Objects and Reasons, *see* Gaz. of P., 1956, Ext. dated the 6th April, 1956, p. 620.

The Act and the rules, notifications and orders made thereunder, as in force in N.W.F.P., before the 15th July, 1975, have been applied to the Districts of Chitral, Dir and Swat and Malak and Protected Area of the N.W.F.P. by Regulation No. III of 1975, s. 2 and the Sch.

The Act and the rules, notifications and Orders made thereunder, have been applied to the whole of the Federally Administered Tribal Areas or to the parts of those Areas to which they do not already apply, by Regulation No. 1 of 1975, s. 2 and the Schedule.

[2]Subs. and Ins.by the State Bank of Pakistan (Amendment) Act, 2022 (VI of 2022), ss. 2 & 3

[3]Omitted & Subs. by Act XVIII of 2015, s. 2

(f) "Co-operative Bank" means a society registered under the Co-operative Societies Act, 1912, or any other law for the time being in force in Pakistan relating to co-operative societies, the primary object of which is to provide financial accommodation to its members ;

[1][(ff) "debentures" includes participation term certificates ;]

[2][(ffa) "development finance activity" means to undertake an activity to promote any activity of any priority sector such as agriculture, small and medium enterprises, housing or other such sectors;]

(g) "Director" means a Director for the time being of the [3][Board] ;

(h) [3] [* * * * * * *]

(i) "Governor" and "Deputy Governor" mean respectively the Governor and Deputy Governor of the Bank;

[2][(ia) "international reserves" mean the Bank's foreign exchange reserves;]

[1][(ii) "loans and advances" includes finances provided on the basis of participation in profit and loss, mark-up in price, leasing, hire purchase of otherwise;]

(j) [3] [* * * * * * *]

(k) "member" means a member for the time being of a [3][The Monitory Policy Committee] ;

[2][(ka) "monetary liabilities" means the total liabilities of the Bank as reflected in the annual audited financial statements at the balance sheet date as reduced by the sum of following liabilities of the same date, namely: -

(i) deposits of the Government;

(ii) amounts owing to the international Monetary Fund, the World Bank, Asian Development Bank or other such institutions;

(iii) deposits of foreign central banks or sovereign wealth funds;

(iv) utilized swap lines of foreign central banks; and

(v) balances of participant central banks under any clearing union;

(kb) "price stability" means the maintenance of low and stable inflation guided by the government's medium-term inflation target;

(kc) "recognized university" means a university or equivalent academic institution recognized by the Higher Education Commission of Pakistan;]

(l) "rupee coin" means one-rupee coin [3][* * *] which [3][is] legal tender in Pakistan;

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[1]Ins. by the State Bank of Pakistan (Second Amendment) Ordinance, 1980 (57 of 1980), s. 2.
[2]Ins. by the State Bank of Pakistan (Amendment) Act, 2022 (VI of 2022), s. 3.
[3]Omitted and Subs. by Act XVIII of 2015, s. 2.

(m) "scheduled bank" means a bank for the time being included in the list of Banks maintained under subsection (1) of section 37 [1][;]

[1][(n) "securities" includes securities as defined in the Capital Issues (Continuance of Control) Act, 1947 (XXIX of 1947).

(o) "shares" includes modaraba certificates [2][;and]]

[3][(oa) "Government" means the Federal or a Provincial Government or a Local Government, as the case may be;]

[2][(p) "Monetary Policy Committee" means the Monetary Policy Committee established under section 9D.".]

CHAPTER II

ESTABLISHMENT, INCORPORATION AND SHARE CAPITAL OF THE BANK

3. Establishment and incorporation of the Bank.—(1) As soon as may be after the commencement of this Act, steps shall be taken to establish, in accordance with the provisions of this Act, a bank to be called the State Bank of Pakistan or Bank-e-Daulat-e-Pakistan, for the purposes of taking over, as from the first day of July, 1948, the management of the currency from the Reserve Bank of India, and carrying on the business of Central Banking.

(2) The Bank shall be a body corporate by the name of the State Bank of Pakistan or Bank-e-Daulat-e-Pakistan, having perpetual succession and a common seal, and shall by the said name sue and be sued.

[3][(3) Subject to this Act, the Bank shall have the power to acquire, hold and dispose of movable and immovable property of any kind, to enter into contracts and to undertake all activities necessary for the achievement of its objectives.]

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[4]**[4. Share capital.**—(1)The authorized capital of the Bank shall be five hundred billion Rupees, divided into five billion shares of one hundred Rupees each. The authorized capital may be increased by the resolution of the Board, subject to the approval of the Federal Government.

(2) The paid-up capital of the Bank shall be one hundred billion Rupees, divided into one billion shares of one hundred Rupees each, which shall be made up through issuance of bonus shares by capitalizing of profits or general reserve or through subscription of shares in cash by the Federal Government.

(3) The capital shall be fully paid-up and held exclusively by the Federal Government and shall not be transferable to any other person or entity.

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[1]Subs. & added by the State Bank of Pakistan (Second Amendment) Ordinance, 1980 (57 of 1980), s. 2
[2]Subs. and added by Act XVIII of 2015, s. 2
[3]Ins. by the State Bank of Pakistan (Amendment) Act, 2022 (VI of 2022), ss. 3-4
[4]Subs. by the State Bank of Pakistan (Amendment) Act, 2022 (VI of 2022), s. 5

(4) The Board may, with the prior approval of the Federal Government, increase the paid-up capital from time to time by a resolution, which shall be made up in the same manner as specified in sub-section (2).

(5) No reduction in either the authorized capital or paid-up capital shall be made at any time.

(6) The nominal value, issue price, the manner in which the new shares may be issued and their assignment to the register of shareholders shall be determined by the Board.

(7) Notwithstanding the amount of paid-up capital prescribed in sub-sections (2), the paid-up capital and general reserves of the Bank shall increase to eight percent of its monetary liabilities through allocation from the distributable profit as determined in section 42.]

[1][**4A. Re-capitalization.—**ln the event that in the audited annual financial statements of the Bank, the sum of paid-up capital and general reserves falls below zero, then—

(a) the Board, with the advice of the external auditors of the Bank, shall examine and prepare a-report on the causes and extent of the shortfall within a period not exceeding thirty calendar days;

(b) in the event that the Board approves the report under clause (a), the Bank shall request the Federal Government for a capital contribution to remedy the deficit with a view to restoring the capital to the level of prescribed paid-up capital under section 4; and

(c) upon receipt of the request under clause (b), the Federal Government shall, within a period not exceeding thirty calendar days, transfer to the Bank the necessary amount in cash or in negotiable debt instruments with a specified maturity issued at prevailing market-related interest rates.

4B. Objectives.—(1) The primary objective of the Bank shall be to achieve and maintain domestic price stability.

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(2) Without prejudice to the Bank's primary objective, the Bank shall contribute to the stability of the financial system of Pakistan.

(3) Subject to sub-sections (1) and (2), the Bank shall support the Government's general economic policies with a view to contributing to fostering the development and fuller utilization of Pakistan's productive resources.

4C. Functions of the Bank.—The functions of the Bank to achieve the objectives set forth in section 4B and as further described in this Act, shall be to—

(a) determine and implement monetary policy;

(b) formulate and implement the exchange rate policy;

[1]Ins. by the State Bank of Pakistan (Amendment) Act, 2022 (VI of 2022), s. 6.

(c) carry out and disseminate research relevant to Bank's objectives and functions;

(d) hold and manage all international reserves of Pakistan;

(e) issue and manage the currency of Pakistan, including regulating their denominations;

(f) collect and produce statistics relevant to the Banks objectives and functions;

(g) operate and exercise oversight over payment systems;

(h) license regulate and supervise scheduled banks and financial institutions that fall under the domain of the Bank as further specified in this Act or any other Act;

(i) resolve scheduled banks and other financial institutions that fall under the domain of the Bank as further specified in this Act or any other Act;

(j) adopt and implement macro-prudential policy measures for scheduled banks and financial institutions that fall under the domain of the Bank;

(k) act as the banker, financial adviser and fiscal agent to the Government, and its agencies, on the mutually agreed terms and conditions;

(l) promote financial inclusion in Pakistan;

(m) develop financial market infrastructures;

(n) participate in international councils and organizations, including multilateral, international financial institutions;

(o) cooperate with domestic and foreign public entities, concerning matters related to its objectives and functions; and

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(p) carry out any ancillary activities incidental to the exercise of its objectives under this Act.]

[1][5 * * * * * * *

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7 * * * * * * *]

[1]Omitted by XVIII of 2015, s. 4

CHAPTER III

MANAGEMENT

8. Offices, branches and agencies.—(1) The head office of the Bank shall be situated in Karachi.

(2) The Bank may establish branches, offices, and agencies in Pakistan, or, with the prior approval of the [1][Board] anywhere outside Pakistan.

(3) The Bank shall create a special Agricultural Credit Department, the functions of which shall be :—

(a) to maintain an expert staff to study all questions of agricultural credit and be, available for consultation by the [2][Federal Government], Provincial Governments, Provincial Co-operative Banks and other banking organisations ;

(b) to co-ordinate the operations of the Bank in connection with agricultural credit and its relations with the Provincial Co-operative Banks and any other organisations engaged in the business of agricultural credit.

[3]**[8A. Establishment and maintenance of subsidiary or trust**.— Notwithstanding anything to this Act or in any other law for the time being in force, the Bank may establish and maintain a subsidiary or a trust for the following purposes, namely:—

(a) for catering to all training needs of the Bank employees, financial sector and other agencies, organizations or institutions pertaining to banking and finance sector;

(b) for handling the function of receipt, supply and exchange of bank notes and coins which are legal tender;

(c) for issue, supply, sale and purchase of prize bonds, holding draws thereof and other National Savings Instruments; [4][*]

[4][(d) for protection of depositors or establishment of a deposit protection fund; and]

[4][(e)] generally for carrying out any other business or discharging any functions incidental to, or connected with, the affairs of the Bank.

[5][**9. Board of Directors**.—(1) Subject to section 9D, oversight of the affairs and functions of the Bank shall be entrusted to the Board of Directors, which shall supervise the management and the Bank's administration, operations and have the right of access to all the activities of the Bank.

(2) The Board of Directors shall consist of—

(a) the Governor;

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[1]Subs. by Act XVIII of 2015, s. 5.
[2]Subs. by the State Bank of Pakistan (Amdt.) Act, 1972 (23 of 1972), s. 6, for "Central Government".
[3]Ins. by Ord. IX of 2001, s. 2.
[4]Omitted, renumbered, ins by Act XVIII of 2015, s. 6.
[5]Ss. 9, 9A, 9B and 9C subs. by the State Bank of Pakistan (Amendment) Act, 2022 (VI of 2022), s. 7.

(b) Secretary, Finance Division, Government of Pakistan without the right to vote; and

(c) eight non-executive Directors, including at least one from each Province.

(3) The Deputy Governors shall have the right to attend the Board meetings without the right to vote.

(4) The Governor shall be the Chairperson of the Board. ln the Governor's absence, the Board shall be chaired by the Deputy Governor in charge of the Board meeting agenda items:

Provided that when the Deputy Governor chairs the Board meeting in absence of the Governor, the Deputy Governor shall have the right of casting vote.

(5) The nonexecutive Directors shall be eminent professionals each of whom is well-known for his integrity, expertise, and experience in the fields of economics, financial services, banking, law, information technology, risk management or accountancy to perform the oversight. They shall have an advanced degree from a recognized university or hold professional accreditation, and relevant experience in any such fields, or not less than ten years.

9A. Powers of the Board.—(1)The Board, with the exception of the powers entrusted to the Monetary Policy Committee under section 9D, shall perform the following functions, namely:—

(a) define, approve and determine the general internal policies and rules of the Bank regarding the execution of its functions and approve internal rules for their implementation;

(b) formulate and oversee foreign exchange reserve management, strategic investment and risk policy;

(c) approve the annual budget of the Bank;

(d) approve the annual report and financial statements of the Bank;

(e) adopt and oversee the Bank's policies on internal and external audit, compliance, internal controls and risk management;

(f) adopt and oversee the system of financial reporting, accounting policies, information technology and security in the Bank; and

(g) establish committees of the Board to assist in oversight functions.

9B. Meetings of the Board of Directors.—(1) At least six meetings of the Board shall be held in a financial year and as frequently as is necessary for the purpose of discharging its responsibilities under this Act.

(2) Meetings of the Board shall be convened by the Chairperson or at the written request of any three members of the Board.

(3) The quorum for a Board meeting shall be four members, including the Chairperson.

(4) Each member of the Board shall have one vote and in the event of an equality of votes, the person chairing the meeting shall be entitled to a casting vote.

(5) Except as otherwise provided in this Act, decisions of the Board shall be adopted by a majority of the Board members present and voting at the meeting.

(6) A resolution in writing together with the necessary documents, approved by all the directors of the Board for the time being entitled to receive notice of a meeting of the Board shall be as valid and effectual as if it had been passed at a meeting of the Board duly convened and held. A resolution under this sub-section shall be noted at a subsequent meeting of the Board and made part of the minutes of such meeting.

(7) Any or all the documents sent to the Directors, including by email or any other electronic mode shall be considered a valid document.

(8) The acts done by the Board shall be valid notwithstanding the fact that the appointment of any person as a member of the Board is defective or any person was disqualified for such appointment.

9C. Prohibition on the Government borrowing.—(1) The Bank shall not extend any direct credits to or guarantee any obligations of the Government, or any government-owned entity or any other public entity.

(2) The prohibition laid down in sub-section (1) shall not apply to government-owned or publicly-owned banks and other regulated entities, which shall be given the same treatment as privately-owned banks.

(3) The Bank shall not purchase securities issued by the Government or, any government-owned entity or any other public entity on the primary market. Nonetheless the Bank may purchase such securities in the secondary market.

(4) The Bank shall not guarantee any loan, advance or investment entered into by the Government, any government-owned entity or any other public entity:

Provided that the existing outstanding debt owed to the Bank in the form of loans, advances or Government securities purchased on the primary market, at the time of the commencement of the State Bank of Pakistan (Amendment) Act, 2021 shall be retired in accordance with the terms and conditions under which such outstanding debts were extended. In compliance with the prohibition of monetary financing under this section no roll-over or re-profiling of such existing outstanding debt of the Government owed to the Bank shall be permitted.

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(5) The guarantees issued by the Bank to secure the obligations of the Government outstanding on the commencement of the State Bank of Pakistan (Amendment) Act, 2021, shall not be increased, but can be rolled-over in accordance with the terms and conditions under which such outstanding guarantees were issued.

(6) The amount of overdraft outstanding against Pakistan Railways shall be converted into long term debt with a duration of eight years and remunerated at market interest rates.]

[1][**9D. Establishment of Monetary Policy Committee**.—(1) There shall be Monetary Policy Committee consisting of—

(a)	Governor, or in his absence, a Deputy Governor nominated by him	*Chairperson*
(b)	three senior executives of the Bank to be nominated by the Governor	*Members*
(c)	three members of the Board, to be nominated by the Board	*Members*
(d)	three external members, [2][*******]	*Members*

(2) [2][* * * * * * *]

(3) [2][* * * * * * *]

[2][(4) External members shall be eminent professionals or academics from the fields of economics, finance or banking, having an advanced degree from a recognized university and relevant experience in any such fields for at least ten years.]

[2][(5) The Monetary Policy Committee shall determine its own regulations of procedure.]

[2][(6) The quorum for the Monetary Policy Committee meeting shall be four members including at least one of whom shall be the Governor as Chairperson, or in his absence, the relevant Deputy Governor as nominated by the Governor, one non-executive member of the Board, one external member and one senior executive of the Bank. The decision shall be taken by a majority of members present and voting, with the Chairperson having a casting vote.]

9E. Powers and functions of Monetary Policy Committee.— [3][In order to achieve the objectives of the Bank, the Monetary Policy Committee] shall—

(a) formulate [3][***] the monetary policy, including, as appropriate, decisions relating to intermediate monetary objectives, key interest rates and the supply of reserves in Pakistan and may make regulations for their implementation ;

(b) approve and issue the monetary policy statement and other monetary policy measures ;

(c) perform any other functions conferred on it by law; and

(d) carry out any ancillary activities incidental to the exercise of its functions under this act.]

[4]**[9F. Executive Committee**.—(1) An Executive Committee shall be established with the power to formulate policies related to the Bank's core functions as well as those related to administration and management matters, excluding those matters falling in the purview of the Monetary Policy Committee, or the Board of Directors.

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[1]Ins. by Act XVIII of 2015, s. 11
[2]Omitted and subs. by the State Bank of Pakistan (Amendment) Act, 2022 (VI of 2022), s. 8
[3]Subs. and omitted by the State Bank of Pakistan (Amendment) Act, 2022 (VI of 2022), s. 9
[4]Ss. 9F and 9G subs. by the State Bank of Pakistan (Amendment) Act, 2022 (VI of 2022), s. 10

(2) The Executive Committee shall consist of the Governor, the Deputy Governors, Executive Directors, and as needed other senior officials. The Governor and the Deputy Governors shall have the right to vote on decisions taken by the Executive Committee. The Governor shall have the casting vote.

(3) The Executive Committee shall adopt its own rules of procedure.

(4) The Executive Committee shall be chaired by the Governor and in the Governor absence, by the Deputy Governor in charge of the Executive Committee meeting agenda items.

(5) The quorum for an Executive Committee meeting shall be two members, including the Chairperson.

(6) The Executive Committee may delegate, for implementation of its decisions, any of its powers to another committee of the Bank, or to another official of the Bank.

(7) Any residual matters that have not been explicitly addressed in this Act or allocated to the Board of Directors or the Monetary Policy Committee, if they require a policy decision shall be exercised by the Executive Committee or otherwise the Governor.

9G. Governor and Minister of Finance to establish liaison.— The Governor and the Finance Minister shall establish a close liaison through a mutual agreement with each other and shall keep each other fully informed on all matters which jointly concern the Bank and the Ministry of Finance.]

[1][**10. Governor and Deputy Governors.**—(1) The Governor of the Bank shall be its chief executive officer, who shall chair the Executive Committee and ensure the implementation of the decisions taken and policies adopted by the Board of Directors, Executive Committee and Monetary Policy Committee, and shall represent the Bank externally in person or through a nominee.

(2) At any time when the office of Governor is vacant or the governor is incapacitated, the senior most Deputy Governor shall be the Acting governor, until the Governor is appointed. Whenever, the Governor is on leave or travelling abroad, he may designate in writing one of the Deputy Governors as Acting Governor who, while chairing Board meeting in the absence of Governor, shall in casa of equality of votes have casting vote.

(3) There shall be three Deputy Governors.

(4) A Deputy Governor shall perform such duties as may be assigned to him by the Governor.

(5) Persons eligible to serve the offices referred to in sub-sections (1) and (3) shall possess recognized integrity, expertise and advanced degree from a recognized university in the fields of economics, financial services, accountancy or banking with relevant professional experience in any such field for at least ten years.]

11. [2][* * * * * * *]

[3][**11A. Appointments.**—(1) The Governor and the non-executive Directors shall be appointed by the President, upon the recommendation of the Federal Government taking into account the eligibility and disqualification criteria laid down in this Act.

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[1]Subs. by the State Bank of Pakistan (Amendment) Act, 2022 (VI of 2022), s. 11
[2]S. 11 omitted by the State Bank of Pakistan (Amendment) Act, 2015 (XVIII of 2015), s. 13
[3]Ins. by the State Bank of Pakistan (Amendment) Act, 2022 (VI of 2022), s.12

(2) The Deputy Governors shall be appointed by the Federal Government after consultation between the Minister of Finance and the Governor, from amongst a panel of three candidates recommended by the Governor for each vacant position, in order of merit.

(3) External members of the Monetary Policy Committee shall be appointed by the Federal Government, upon the recommendation of the Board.

(4) In the event of a vacancy occurring amongst the appointed Governor, Deputy Governors, non-executive Directors and the external members of the Monetary Policy Committee, an appointment referred to in sub-sections (1), (2) and (3) shall be finalized within a period not exceeding thirty days on the occurrence of such vacancy.

(5) The Governor and the Deputy Governors shall devote their whole time to the affairs of the Bank and shall not engage in any business or other profession so long as they hold their offices during their tenure.

(6) The Governor shall be a citizen of Pakistan and shall not hold any other citizenship or permanent residency.]

12. [1][* * * * * * *]

[2][**13. Disqualifications of the Governor, Deputy Governors, Directors and members.**— No person shall be or shall continue to be the Governor, a non-executive Director, an external member of Monetary Policy Committee and a Deputy Governor, who—

(a) is a member of the Parliament or a Provincial Assembly or a Local Government or having dual Nationality;

(b) is employed in any capacity in the public service of Pakistan or of any Province of Pakistan or any statutory body except the Bank or holds any office or position for which any salary or other remuneration is payable from public funds, except for engagement in educational work or senior executives of the Bank;

(c) is or has been convicted of a serious criminal offense, money laundering, fraud or economic crime;

(d) is, or at any time has been an undischarged insolvent; or has suspended payment or has compounded with the creditors;

(e) is found to be permanently physically or mentally unable to perform the duties;

(f) is a Director, officer or employee of any other bank or an entity regulated by the Bank;

(g) is a shareholder of any bank or an entity regulated by the Bank;

(h) is a member of any political party;

(i) due to age is not able to complete the full term of appointment; or

(j) absents themselves from three consecutive meetings of the Board or Monetary Policy Committee without leave from the Board or Monetary Policy Committee, as the case may be.]

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[1]S. 12 omitted by the State Bank of Pakistan (Amendment) Act, 2015 (XVIII of 2015), s. 13
[2]Subs. by the State Bank of Pakistan (Amendment) Act, 2022 (VI of 2022), s. 13

[1][**14. Terms of Office.**—(1)The Governor, the Deputy Governors, the non-executive directors shall be appointed for a term of five years and shall be eligible for re-appointment only for one term of five years.

(2) The external members of the Monetary Policy Committee shall be appointed for a term of five years and shall be eligible for one re-appointment for another term of five years.

(3) No person shall hold the office of the Governor or Deputy Governor after attaining the age of sixty-five years.

(4) The Governor, Deputy Governor, non-executive Director or extremal member of the monetary policy committee vacating office shall not be eligible to become a Director or member, as the case may be, until the expiry of the term of office for which he was appointed.

(5) On commencement of the State Bank of Pakistan (Amendment) Act, 2021 shall not affect the tenure of the incumbent Governor, Deputy Governors, and non-executive Directors who shall remain in office until their current term expires in accordance with their current terms and conditions.]

[2][**14A. Remuneration, terms and conditions of service**.—(l) The terms and conditions of service, including remuneration, of the Governor and the Deputy Governors shall be determined by the Board of Directors.

(2) The leaves and official foreign travels of the Governor and Deputy Governors, shall be determined by the Board and the Governor, respectively.

(3) The terms and conditions including the remuneration for the external members of the Monetary Policy Committee shall be determined by the Board of Directors.

(4) The Governor and Deputy Governors shall recuse themselves from the meeting at the time of determination of their terms and conditions and remuneration.

(5) The terms and conditions of the appointment of the non-executive Directors including fees shall be determined by their appointing authority and shall be attached to the offer of their appointment.

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(6) When determining the remuneration of the Governor, Deputy Governors and the fees of the non-executive Directors and external members of the Monetary Policy Committee, the average relevant level of remuneration or fees prevalent in the financial sector of Pakistan for comparable levels of appointment shall be taken into account, in order to allow for qualified professionals to be recruited and retained.

(7) The consolidated amount of remuneration of the Governor and Deputy Governors and fees of non-executive Directors and the external members of the Monetary Policy Committee shall be mentioned in the annual financial statement of the Bank.

(8) Neither the remuneration and fees nor the terms and conditions of service shall be varied to the appointee's disadvantage during his term of office.

(9) No remuneration or fees or compensation shall be based on the Bank's profits or any of its revenues.

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[1]Subs. by the State Bank of Pakistan (Amendment) Act, 2022 (VI of 2022), s. 14

[2]Ss. 14A and 14B ins..by the State Bank of Pakistan (Amendment) Act, 2022 (VI of 2022), s. 15

14B. Resignation.—(1) The Governor, a Deputy Governor, a non-executive Director or an external member of the Monetary Policy Committee may, by writing under his hand addressed to the appointing authority, resign his office.

(2) A resignation in sub-sections (1) shall be addressed through the Board.

(3) On the acceptance of a resignation under sub-section (1) by the appointing authority, the office shall become vacant.]

[1][**15. Dismissal of the Governor and Deputy Governor.**— (1) The appointing authority may remove the Governor, or a Deputy Governor, if he—

(a) is guilty of gross misconduct; or

(b) is incapable of properly performing the duties of his office by reason of physical or mental incapacity; or

(c) has violated any of the stipulations mentioned in section 13.

(2) The appointing authority shall remove any non-executive Director or external member of the Monetary Policy Committee if he—

(a) is guilty of gross misconduct; or

(b) is incapable of properly performing the duties of his office by reason of physical or mental incapacity; or

(c) has violated any of the stipulations mentioned in sections 13:

Provided that no proceedings under sub-sections (1) and (2) shall be initiated unless a show cause notice, including an opportunity of being heard, is given to such person.]

(3)

(a) The Governor, a Deputy Governor or a director may resign his office by statement to that effect in writing signed by him and addressed to the [1][Federal Government].

(b) A statement of resignation by a Deputy Governor or director shall be addressed as above through the Governor.

(c) A [2][director or] member may resign his office by a statement to that effect in writing signed by him and addressed to the [2][Board].

(d) On the acceptance of such a resignation by the [3][Federal Government] or the [2][Board], as the case may be, the office shall become vacant.

(4) Any director or member vacating office under this section shall not be eligible to become a director or member, as the case may be, until the expiry of the term of office for which he was [2][appointed].

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[1]Subs. by the State Bank of Pakistan (Amendment) Act, 2022 (VI of 2022), s. 16
[2]Ins, subs & omitted by Act XVIII of 2015, ss. 2 and 16
[3]Subs. by the State Bank of Pakistan (Amdt.), Act, 1972 (23 of 1972), s. 6, for "central Government".

(5) In the event of a vacancy occurring amongst the [1][appointed directors], the [2][Federal Government] shall fill the vacancy by [1][appointing another director].

(6) [1][* * * * * * *]

16. [3][* * * * * * *]

[4][**16A. Conflict of interest**.— No person appointed under section 11A shall act as a representative of any commercial, financial, agricultural, industrial or other interest or receive or accept directions therefrom, in respect of duties to be performed under this Act. Every such person shall fully and promptly disclose to the Board any interest, whether personal, commercial, financial, agricultural, industrial or other, which he or any dependent member of his family may directly or indirectly hold or be connected with and which becomes the subject of consideration by the Board, and shall recuse themselves from any Board deliberations and voting related thereto:

Provided that such an interest, if so disclosed, shall not disqualify such member for the purpose of constituting a quorum:

Provided that no person appointed under section 11A shall be employed by any institution regulated by the Bank within a period of two years after vacating his position at the Bank.]

CHAPTER IV

BUSINESS AND FUNCTIONS OF THE BANK

17. Business which the Bank may transact. The Bank is authorised to carry on and transact the several kinds of business hereinafter specified, namely:

(1) The accepting of money on deposit [5]* * from, and the collection of money for the [2][Federal Government], the Provincial Governments [6]* * * Local Authorities, banks and other persons [7][:] [7][Provided that no interest shall be paid on deposits received from the [2][Federal Government], a Provincial Government [6]* * * or a Local Authority;]

[8][(1A) provide the refinance facility exclusively to the financial institutions falling under the supervisory jurisdiction of the Bank backed by such collateral and on such terms and conditions as may be determined by the Bank. This refinance shall not be provided to any person other than a financial institution. The Bank shall implement the refinance facility exclusively in pursuit of its mandate, without compromising its primary objective of price stability. The Bank shall not use the refinancing facility to directly or indirectly provide privileged access to funding to any financial institution or risk insurance of any specific sector.]

(2)

(a) [9][* * * * * * *]

(b) [9][* * * * * * *]

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[1]Ins, subs & omitted by Act XVIII of 2015, s. 16
[2]Subs. by the State Bank of Pakistan (Amdt.) Act, 1972 (23 of 1972), s. 6, for "Central Government".
[3]Ins, subs & omitted by Act XVIII of 2015, s. 17
[4]Ins. and subs. by the State Bank of Pakistan (Amendment) Act, 2022 (VI of 2022), s. 17
[5]Omitted by the State Bank of Pakistan (Amdt.) Act, 1967 (1 of 1968), s.2
[6]Omitted by the Federal Laws (Revision and Declaration) Ordinance, 1981 (27 of 1981), s. 3 and Sch. II.
[7]Subs. and ins. by Act 1 of 1968, s.2
[8]Subs. by the State Bank of Pakistan (Amendment) Act, 2022 (VI of 2022), s. 18
[9]Omitted by the State Bank of Pakistan (Amendment) Act, 2022 (VI of 2022), s. 18

(c) The purchase, sale and rediscount of bills of exchange and promissory notes drawn on and payable in Pakistan and bearing the signature of a scheduled bank, and issued or drawn for the purpose of holding or trading in securities of the [1][Federal Government or a Provincial Government] and maturing within ninety days from the date of such purchase or rediscount, exclusive of days of grace ;

(d) [2][* * * * * * *]

(e) [2][* * * * * * *]

(3) (a) The purchase and sale of approved foreign exchange ;

(b) The purchase, sale and rediscount of bills of exchange including treasury bills, drawn in or on any place in countries whose currency has been declared as approved foreign exchange and maturing within [3][one hundred and eighty days] from the date of purchase, provided that no such purchase, sale or rediscount shall be made in Pakistan except with a scheduled bank ;

(c) The keeping of balances with banks in countries whose currency has been declared as approved foreign exchange ;

(4) The making to [4][[5][**] scheduled banks or co-operative banks] of advances and loans repayable on demand or on the expiry of fixed periods not exceeding [6][one hundred and eighty days] against the security of—

(a) stocks, funds and securities, other than immovable property, in which trustee is authorised to invest trust money by any law for the time being in force in Pakistan ;

(b) gold or silver or documents of title to the same ;

(c) such bills of exchange and promissory notes as are eligible for purchase or rediscount by the Bank [6][or otherwise fulfil the requirements of clause (2) but are payable on demand]; and

[7][(d) promissory notes of any scheduled bank supported by such modaraba certificates or participation term certificates as are acceptable to the bank or by documents of title relating to goods, such documents having been transferred, assigned or pledged to any such bank as security for a loan or advance granted for *bona fide* commercial or trade transactions or for the purpose of financing seasonal agricultural operations or the marketing of crops ;]

[1]Subs. by the State Bank of Pakistan (Amdt.) Ordinance, 1961 (5 of 1961),
[2]Omitted by the State Bank of Pakistan (Amendment) Act, 2022 (VI of 2022), s. 18
[3]Subs. by the State Bank of Pakistan (Amendment) Act, 1965 (6 of 1965), s. 2 for 90 days.
[4]Subs. by the State Bank of Pakistan (Amdt.) Ordinance, 1961 (5 of 1961), s. 2, for "Local Authorities or scheduled banks".
[5]Omitted by the State Bank of Pakistan (Amendment) Act, 2022 (VI of 2022), s. 18.
[6]Subs. by the State Bank of Pakistan Ordinance, 1981 (16 of 1981), ss. 2-5
[7]Subs. by the State Bank of Pakistan (Second Amdt.) Ordinance, 1980 (57 of 1980), s. 3.

[1][(4A) * * * * * * *]

[1][(4B) * * * * * * *]

[1][(4C) * * * * * * *]

[1][(4D) any balances held by the Bank under omitted sections 17A, 17B, 17C, 17D and 17E shall stand transferred to the paid-up capital and general reserves of the Bank;]

[1][(5) * * * * * * *]

[1][(6) * * * * * * *]

[1][(6A) * * * * * * *]

[1][(6B) * * * * * * *]

(7) The issue and purchase of telegraphic transfers, demand drafts and other kinds of remittances made payable at its own branches, offices or agencies ;

(8) The drawing, accepting, making and issue, on its own account or on account of the [2][Federal Government] as the case may be, of any bill of exchange, [1][*], promissory note or engagement for the payment within or without Pakistan, of Pakistan or foreign currency payable to bearer or to a banker on demand; [1][* * * * * * *] ;

(9)

(a) Subject to [3][sub-clause] (b) the purchase and sale of securities of countries whose currency has been declared as approved foreign exchange with an unexpired currency of not more than ten years ;

(b) The restrictions relating to maturity shall not apply to securities held by the bank on the date on which this Act comes into force or any securities that may be received as assets under the Pakistan (Monetary System and Reserve Bank) Order, 1947 ;

(10) (a) The purchase and sale of securities of the [4][Federal Government or a Provincial Government] of any maturity or of such securities of a Local Authority as may be specified in this behalf by the [2][Federal Government] by notification in the official Gazette on the recommendation of the [5][Board] ;

(b) Securities, debentures and shares fully guaranteed as to principal and interest by the [2][Federal Government] shall be deemed for the purpose of this section to be securities of that Government ;

[1]Omitted and Inserted by the State Bank of Pakistan (Amendment) Act, 2022 (VI of 2022), s. 18
[2]Subs. by the State Bank of Pakistan (Amdt.) Act, 1972 (23 of 1972), s. 6, for "Central Government".
[3]Subs. by the State Bank of Pakistan (Amdt.) Act, 1967 (1 of 1968), s. 2.
[4]Subs by the Federal Laws (Revision and Declaration) Ordinance, 1981 (27 of 1981), s. 3 and Sch. II.
[5]Subs. by Act XVIII of 2015, s. 2

[1][(c) The amount of such securities held at any time in the Banking Department shall be so regulated that the total value of such securities shall not exceed the aggregate amount of the share capital of the Bank, the Reserve Fund and four fifths of the liabilities of the Banking Department in respect of deposits [2][:]]

[2][Provided that the Bank may only undertake the above operations or purchase such securities on the secondary markets.]

[3][(11) The custody of monies, securities and other articles of value and the collection if the proceeds, whether principal or interest, profit, dividend or other return of any such securities ;]

(12) The sale and realisation of all property, whether movable or immovable which may in any way come into the possession of the Bank in satisfaction, or part satisfaction of any of its claims ;

(13) The acting as agent to the [4][Federal Government]; any Provincial Government, [5]* * * or any Local Authority in the transaction of any of the following kinds of business, namely :

(a) the purchase and sale of gold or silver or approved foreign exchange;

(b) the purchase, sale, transfer and custody of bills of exchange, securities or shares in any company ;

[3][(c) the collection of the proceeds, whether principal or interest, profit, dividend or other return, of any securities ;]

(d) the remittance of such proceeds at the risk of the principal, by bills of exchange payable either in Pakistan or elsewhere ; [6]*

(e) the management of public debt; [6][and]

[6][(f) the transacting of special drawing rights with the International Monetary Fund;]

(14) The purchase and sale of gold coin and gold or silver bullion ;

(15) The opening of an account with or the making of any agency arrangement with, and the acting as agent or correspondent of a bank incorporated in any country outside Pakistan or the principal currency authority of any country under the law for the time being in force in that country or any [7][international or regional bank formed by such principal currency authorities, [6]* the investing of the funds of the Bank in the shares and securities of any such international or regional bank [6][and the holding and transacting of special drawing rights with the International Monetary Fund]];

(16)

(a) Subject to [8][sub-clauses] (b) and (c) the borrowing of money [9]* * * for the purpose of the business of the Bank, and the giving of security for money so borrowed;

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[1]Subs. by the State Bank of Pakistan (Amdt.) Act, 1966 (23 of 1966), s. 2.
[2]Omitted and ins. by the State Bank of Pakistan (Amendment) Act, 2022 (VI of 2022), s. 18.
[3]Subs. by the State Bank of Pakistan (Second Amdt.) Ordinance, 1980 (57 of 1980), s. 3.
[4]Subs. by the State Bank of Pakistan (Amdt.) Act, 1972 (23 of 1972), s. 6, for "Central Government".
[5]Subs by the Federal Laws (Revision and Declaration) Ordinance, 1981 (27 of 1981), s. 3 and Sch. II.
[6]Omitted and added by the State Bank of Pakistan (Amdt.) Ordinance, 1969 (11 of 1969), s. 2.
[7]Subs. by the State Bank of Pakistan (Amdt.) Act, 1966 (23 of 1966), s. 2.
[8]Subs. by the State Bank of Pakistan (Amdt.) Act, 1968 (1 of 1968), s. 2, for "clause".
[9]Omitted by the State Bank of Pakistan (Amdt.) Act, 1975 (26 of 1975), s. 2.

(b) No money shall be borrowed under this sub-section from any person in Pakistan other than a scheduled bank or from any person outside Pakistan other than a bank which is the principal currency authority of any country under the law for the time being in force in that country ;

(c) The total amount of borrowings from persons in Pakistan shall not at any time exceed the amount of the share capital of the Bank ;

(17) The making and issue of bank notes subject to the provisions of this Act ;

[1][(18) The exercise of powers and the performance of functions and duties entrusted to the Bank by or under this Act or any other law for the time being inforce;]

[2][(18A) The entering into clearing and payments arrangements with any country or group of countries, on a general or regional or sub-regional basis, participation in the formation and settlement of international payments transactions under such arrangements, and incurring financial and other obligations relating thereto;]

[3][(19) * * * * * * *]

[3][(19A) * * * * * * *]

(20) Generally, the doing of all such matters and things as may be necessary, incidental to or consequential upon the exercise of its powers or the discharge of its duties or functions under this Act.

17A. [3][* * * * * * *]
17B. [3][* * * * * * *]
17C. [3][* * * * * * *]
17D. [3][* * * * * * *]
17E. [3][* * * * * * *]

[4]**[17F. Contributions and donations by the Bank**. Notwithstanding anything contained in this Act any other law for the time being in force, the Bank may contribute or donate funds to a body corporate in Pakistan for the study or promotion of, or research in, banking, economics and allied subjects].

[5][**17G. Lender of last resort**.—(l) Where the circumstances so warrant and a scheduled bank approaches the Bank for a financial facility to improve its liquidity and where the scheduled bank in the opinion of the Bank is solvent and can provide adequate collateral to support the financial facility, the Bank may provide short-term financial facility in accordance with the regulations made by the Bank in relation thereto, notwithstanding the provisions of sub-sections (2), (3) and (3A) of section 20.

(2) Where in the opinion of the Bank, the aforesaid financial facility to a scheduled bank is necessary to preserve the stability of the financial system and where the bank does not fulfill the requirements specified under sub-section (1) of this section, the Bank may, provided that it determined the scheduled bank is viable in the medium term, provide such financial facility on such terms and

[1]Subs. by the State Bank of Pakistan Ordinance, 1981 (16 of 1981), s. 2
[2]Added by the State Bank of Pakistan (Amdt.) Act, 1973 (47 of 1973), s. 2
[3]Omitted by the State Bank of Pakistan (Amendment) Act, 2022 (VI of 2022), ss. 18-19.
[4]Ins. and shall be deemed always to have been so ins. by the State Bank of Pakistan (Amdt.) Ordinance, 1981 (16 of 1981), s. 3
[5]Subs. by the State Bank of Pakistan (Amendment) Act, 2022 (VI of 2022), s. 20

conditions as the Bank specifies, provided that a written irrevocable guarantee of the Federal Government is received in favour of the Bank, securing the repayment of the facility, notwithstanding the provisions of sub-section (2), (3) and (3A) of section 20.

(3) For the purposes of this section, a financial facility shall not include participation in the capital of a scheduled bank:

Provided that any outstanding holding by the Bank of equity or right to equity in any scheduled bank shall be liquidated within ten years from the commencement of the State Bank of Pakistan (Amendment) Act, 2021.]

[1][**17H. Regulatory powers**.—(1) The Bank shall have power to issue such directives, instructions and regulations in whatsoever form as may be necessary for carrying out the functions of the Bank under this Act or any other law and shall be binding and enforceable.

(2) The Bank may take any enforcement action including imposition and collection of pecuniary penalties upon legal and natural persons for contravention of this Act, any law being administered by the Bank and exercise of any power under sub-section (1).]

[2][**18. open market and credit operations**.—[3][(l) The Bank may operate in the financial markets by—

(a) buying and selling outright (spot or forward) and conducting repurchase agreements of Government securities purchased in the secondary market;

(b) swap or lending operations in foreign currencies;

(c) lending or borrowing claims and marketable instruments and precious metals;

(d) conducting, without prejudices to section 17G, credit operations with banks operating in Pakistan, with lending based on adequate collateral; and

(e) other means as may be deemed expedient for the conduct of open market operations:

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Provided that the existing Government securities purchased on the primary market and in the books of the Bank on commencement of the State Bank of Pakistan (Amendment) Act, 2021, may be sold or used for repurchase agreements for the purpose of open market operations.]

(2) The Central [4][Monetary Policy Committee] shall determine the types of instruments and activities and other operational methods of monetary control including Shariah based instruments to be used for open market and credit operations and it shall announce the conditions under which the Bank stands ready to either into such transactions.

(3) For the purpose of regulating the monetary and credit system the Bank may issue certificates of deposit and new instruments including those that are Shariah-complaint.]

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[1]Ins. by Act XVIII of 2015, s. 19
[2]Subs. by Act IX of 2012, s. 5.
[3]Subs. by the State Bank of Pakistan (Amendment) Act, 2022 (VI of 2022), s. 21
[4]Subs. by Act XVIII of 2015, s. 20

[1]**[19. Declaration of approved foreign exchange.—**The Board may declare the currency of any country or any monetary unit of account to be approved foreign exchange for all or any of the purpose of this Act.]

20. Business which the Bank may not transact. The Bank shall not, except as authorised under this Act—

(1) engage in trade or otherwise have a direct interest in any commercial, industrial or other undertaking except such interest as it may in any way acquire in the course of the satisfaction of any of its claims, but all such interest shall be disposed of at the earliest possible moment ;

(2) purchase its own shares or the shares of any other bank or of any company, or grant advances or loans upon the security of any such shares ;

[2][(3) advance money on the mortgage, or otherwise on the security, of immovable property or documents of title relating thereto, except where such advance is made to any of its officers or servants for building a house for his personal use against the security of the said house ;

(3A) become the owner of any immovable property except where ownership is necessary for the use of such property by the Bank, or [3][for the purpose of use for *shariah* complaint instruments] for the residence, recreation or welfare of its officers or servants;]

(4) make unsecured advances and loans;

(5) draw or accept bills payable otherwise than on demand ; and

[4][(5A) undertake any quasi-fiscal operations or development finance activities.]

[5][* * * * * * *]

21. Government business.—(1) The Bank shall undertake to accept monies for account of the [6][Federal Government and Provincial Governments] and to make payments up to the amount standing to the credit of their accounts respectively and to carry out their exchange, remittance and other banking operations, including the management of public debt.

(2)

(a) The [7][Federal Government] and Provincial Governments shall entrust the Bank, on such conditions as may be agreed upon between the Government concerned and the Bank, with all their money, remittance, and banking transactions in Pakistan, and, in particular, shall deposit free of interest all their cash balances with the Bank.

(b) Nothing in this sub-section shall be deemed to prevent the [7][Federal Government] and any Provincial Government from carrying on money transactions, at places where the Bank has no office, branch or agency or from holding at such places such balances as they may require.

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[1]Subs. by Act XVIII of 2015, s. 21

[2]Subs. by the State Bank of Pakistan (Amdt.) Act, 1963 (17 of 1963), s. 3, for the original clause (3).

[3]Ins. by Act XVIII of 2015, s. 22.

[4]Ins. by the State Bank of Pakistan (Amendment) Act, 2022 (VI of 2022), s. 22.

[5]Sub. Section (6) Omitted by the State Bank of Pakistan (Amdt.) Act, 1994 (2 of 1994), s. 9, which was previously subs. by Ord. No. 57 of 1980 s. 4, for the original sub-section (6).

[6]Subs. by the Federal Laws (Revision and Declaration) Ordinance, 1981 (27 of 1981), s. 3 and II Sch., for certain words

[7]Subs. by the State Bank of Pakistan (Amdt.) Act, 1972 (23 of 1972), s. 6, for "Central Government".

(c) The [1][Federal Government] and each Provincial Government shall entrust the Bank, on such conditions as may be agreed upon between the Government concerned and the Bank, with the management of the public debt and with the issue of any new loans.

(d) In the event of any failure to reach agreement on the conditions referred to in this section, the [1][Federal Government] shall decide the conditions and its decision shall be final.

[2][**22. Service Charges.—**(1) The Bank shall make public from time to time the standard service charges at which it is prepared to provide financial accommodation to the borrowing entities.

(2) In respect of finance provided by the Bank it may determine, from time to time, the terms and conditions either generally or specially.]

[3]**[23. International reserves portfolio**.—(1) The Bank may directly or indirectly purchase, hold and sell currencies, financial and capital instruments, including indices and derivatives, issued by governments, agencies, local authorities, corporate and supranational in countries, wherever issued, whose currency has been declared as approved foreign exchange and the remaining effective maturity of which is determined to be of not more than thirty years at the time of purchase:

Provided that the restrictions relating to maturity shall not apply to securities held by the Bank on the date on which this Act comes into force or any securities that may be received as assets under the Pakistan (Monetary System and Reserve Bank) Order, 1947. The permissibility of each of asset class shall be determined by the [4][Board].

(2) The Bank may appoint managers, custodians, consultants and any other professional advisors for the effective management of foreign exchange reserves of the country.]

24. Sole right to issue bank notes.—(1) The Bank shall have the sole right to issue bank notes made payable to bearer on demand in Pakistan in accordance with the provisions hereinafter made, provided that the currency notes of the Government of Pakistan supplied to the Bank by the Government may be issued by it for a period which shall be fixed by the [1][Federal Government] on the recommendations of the [4][Board].

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(2) Any person contravening this authority or committing any other offence specified in section 35, shall be liable to the penalties therein mentioned.

25. Legal tender.—(1) Subject to the provisions of sub-section (2) every bank note shall be legal tender at any place in Pakistan for the amount expressed therein and shall be guaranteed by the [1][Federal Government].

[5][(2) On the recommendation of the [4][Board] the Federal Government may, by notification in the official Gazette, declare that, with effect from such date as may be specified in the notification, any series of Bank Notes of any denominations shall cease to be legal tender and exchangeable:

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[1]Subs. by the State Bank of Pakistan (Amdt.) Act, 1972 (23 of 1972), s. 6, for "Central Government".
[2]Subs. by Ord. 110 of 02, s. 5
[3]Subs. by Act IX of 2012, s. 6
[4]Subs. by Act XVIII of 2015, s. 2
[5]Subs. and shall be deemed always to have been so Subs. by Act 23 of 1972, s. 5

Provided that any Note of such series may, within such period after the date so specified as the Federal Government may, by a like notification, appoint in this behalf, be tendered for exchange at such offices, branches and agencies, if any, of the Bank as may be specified for the purpose, and any such office, branch or agency shall exchange the note.]

26. Issue Department.—(1) the issue of bank notes shall be conducted by the Bank in an Issue Department which shall be separated and kept wholly distinct from the Banking Department and the assets of the Issue Department shall not be subject to any liability other than the liabilities of the Issue Department as hereinafter defined in section 32.

(2) The Issue Department shall not issue bank notes to the Banking Department or to any person except in exchange for other bank notes or for such coin, bullion, [1][special drawing rights held with the International Monetary Fund,] approved foreign exchange or securities as are permitted under this Act to form part of the assets of the Issue Department.

27. Denominations and form of bank notes. Bank notes made and issued by the Bank shall be in such denominations and of such design, form and material as may be approved by the [2][Federal Government] on the recommendations of the [4][Board].

28. Reissue of notes. The Bank shall not re-issue bank notes which are torn, defaced or excessively soiled.

29. Lost, stolen, mutilated or imperfect notes. Notwithstanding anything contained in any enactment or rule of law to the contrary, no person shall as of right be entitled to recover from the [2][Federal Government] or the Bank the value of any lost, stolen, mutilated or imperfect bank note.

30. Assets of the Issue Department.—(1) The assets of the Issue Department shall not be less than the total of its liabilities and shall be maintained as follows :—

[3][(a) of the total amount of the assets, assets of such value [4][Board may], specify shall be held in gold coins, gold bullion, silver bullion [1][special drawing rights held with the International Monetary Fund,] or approved foreign exchange; and]

[5][(b) the reminder of the assets shall be held in

(i) rupee coins;

(ii) rupee securities of any maturity;

(iii) such bills of exchange and promissory notes payable in Pakistan as are eligible for purchase by the Bank under [1][sub-clause] (a), (b) and (d) of [1][clause] (2) of section 17;

[1]Ins. by the State Bank of Pakistan (Amdt.) Ordinance, 1969 (11 of 1969). Ss. 3 and 4.
[2]Subs. by State Bank of Pakistan, (Amdt.) Act, 1972 s. 6. for "Central Government".
[3]Subs. by the State Bank of Pakistan (Amdt.) Ordinance, 1965 (52 of 1965), s. 2, for the original clause (a).
[4]Subs. by Act XVIII of 2015, ss. 2 and 23
[5]Subs. by the State Bank of Pakistan (Amdt.) Act, 1966 (23 of 1966), s. 3
[6]Subs. by the State Bank of Pakistan (Amdt.) Act, 1968 (1 of 1968), s. 6

(iv) promissory notes obtained by the Bank in respect of advances and loans made under [1][clause] (4) of section 17 against such securities as are mentioned in [1][sub-clauses] (a) and (b) of that [1][clause]; and

(v) promissory notes obtained by the Bank in respect of advances and loans made under [1][clause] (6) of section 17:]

Provided that the assets falling to the share of the Government of Pakistan under the provision of Pakistan (Monetary System and Reserve Bank) Order, 1947 which are held by the Reserve Bank of India pending their physical transfer to the Bank shall form a part of the assets.

(2) For the purposes of this section, gold coin and gold bullion shall be valued at [2][the market value of the fine gold content thereof] silver bullion shall be valued at the market value of the fine silver content thereof, rupee coin shall be valued at its face value and rupee securities and securities specified in sub-section (4) shall be valued at the market rate for the time being obtaining.

(3) Of the gold coin and gold or silver bullion held as assets not less than seventeen-twentieth shall be held in the custody of the Bank including its branches, offices or agencies, and the gold or silver belonging to the Bank which is in any other bank or in any mint or treasury or in transit may be reckoned as part of the assets.

[3][(4) For the purposes of this section, the approved foreign exchange which may be held as part of the assets shall be in any of the following forms, namely :

(a) balances standing to the credit of the Bank with the principal currency authority of a country whose currency is an approved foreign exchange, or at any bank in such country;

(b) bills of exchange bearing two or more good signatures, having a maturity not exceeding one hundred and eighty days and drawn on and payable at any place in a country whose currency is an approved foreign exchange ; and

(c) securities of a Government with an unexpired currency of not more than five years and payable in a currency which is an approved foreign exchange.]

31. Suspension of assets requirements. Notwithstanding anything contained in the foregoing provisions, the Bank may, with the previous sanction of the [4][Board], for periods not exceeding thirty days in the first instance, which may with the like sanction be extended from time to time by periods not exceeding fifteen days, hold as assets gold coin, gold or silver bullion, [5][special drawing rights held with the International Monetary Fund,] or approved foreign exchange of less aggregate amount than that required by paragraph (a) of sub-section (1) of section 30.

32. Liabilities of the Issue Department.—(1) The liabilities of the Issue Department shall be an amount equal to the total of the amount of the bank notes for the time being in circulation.

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[1]Subs. by the State Bank of Pakistan (Amdt.) Act, 1968 (1 of 1968), s. 6
[2]Subs. by the State Bank of Pakistan (Amdt.) Ordinance, 1977 (38 of 1977), s. 2 (w.e.f. 7-5-78).
[3]Subs. by the State Bank of Pakistan (Amdt.) Ordinance, 1965 (52 of 1965), s. 2, for the original sub-section (4).
[4]Subs. by Act XVIII of 2015, s. 24
[5]Ins. and shall be deemed to have been so ins. by Ord. 38 of 1977, s. 3, (w.e.f. 10-5-1969).

(2) For the purposes of this section any bank note which has not been presented for payment within forty years from the first day of July following the date of its issue shall be deemed not to be in circulation and the value thereof shall notwithstanding anything contained in subsection (2) of section 26 be paid by the Issue Department to the Banking Department; but any such bank note, if subsequently presented for payment, shall be paid by the Banking Department.

33. Obligation to supply different forms of currency.—(1) The Bank shall issue rupee coin on demand in exchange for bank notes and bank notes on demand in exchange for coin which is legal tender under the Pakistan Coinage Act (III of 1906).

(2) The Bank shall in exchange for bank notes of five rupees or upwards supply bank notes of lower value or coins which are legal tender under the said Pakistan Coinage Act, in such quantities as may in the opinion of the Bank be required for circulation. The [1][Federal Government] shall supply such coins to the Bank on demand and if it fails to do so at any time the Bank shall be released during the period of such failure from its obligation to supply them to the public.

(3) The [1][Federal Government] shall take over from the Bank at such time and in such quantities as the Bank may, with the previous approval of the [1][Federal Government], determine rupee coins which are not required for purposes of circulation against payment.

34. Obligation of the [1][Federal Government] in respect of rupee coin. The [1][Federal Government] shall not reissue any rupee coins taken over under subsection (3) of section 33 nor put into circulation any rupee coin except through the Bank and the Bank shall not dispose of rupee coin otherwise than for purposes of circulation or by delivery to the [1][Federal Government] under the preceding section.

35. Offences and penalties relating to unauthorized issue of bills and bank notes.—(1) No person in Pakistan other than the Bank or as expressly authorised by this Act, the [1][Federal Government] shall draw, accept, make or issue any bill of exchange, hundi, promissory note or engagement for the payment of money payable to bearer on demand, or borrow, owe or take up any sum or sums of money on the bill, hundis or notes payable to bearer on demand of any such person, but such cheques, or drafts, including hundi, payable to bearer on demand or otherwise may be drawn on a person's account with a banker, shroff or agent.

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(2) Notwithstanding anything contained in the Negotiable Instruments Act, 1881, no person in Pakistan other than the Bank, or as expressly authorised by this Act, the [1][Federal Government] shall make or issue any promissory note expressed to be payable to the bearer of the instrument.

(3) Any person contravening the provision of this section shall be punishable upon conviction with fine which may extend to double the amount of the bill, hundi, promissory note or engagement in respect whereof the offence is committed.

(4) No prosecution under this section shall be instituted except on complaint made on behalf of the Bank.

[2]**[36. Minimum reserves.—**(1) The Bank may require banks or financial institutions to hold minimum reserves on deposit accounts with the Bank in pursuance of its monetary policy objectives.

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[1]Subs. by the State Bank of Pakistan (Amdt.) Act, 1972 (23 of 1972), s. 6, for "Central Government".
[2]Subs. by Act IX of 2012, s. 6

(2) The Bank may require the banks and financial institutions to hold special reserves on deposit accounts with the Bank in pursuance of its monetary policy or risk management of banking or financial sector and may provide for any remuneration or return on such special reserves.

(3) The Bank shall, by regulations, establish the method for calculating the minimum reserves required to be maintained under sub-section (2).]

37. Scheduled banks.—(1) The Bank shall maintain at all its offices and branches an up-to-date list of banks declared by it to be scheduled banks under clause (a) of subsection (2).

(2) The Bank shall, by notification, in the official Gazette—

(a) declare any bank to be scheduled bank which is carrying on the business of banking in Pakistan and which—

(i) is a banking company as defined in section 277F of the Companies Act, 1913, or a cooperative bank, or a corporation or a company incorporated by or established under any law in force in any place in or outside Pakistan ;

(ii) has a paid-up capital and reserves of an aggregate value of not less than five lakhs of rupees:

Provided that in the case of a co-operative bank, an exception may be made by the Bank ;

(iii) satisfies the Bank that its affairs are not being conducted in a manner detrimental to the interests of its depositors ;

[1][(b) direct the descheduling of any scheduled bank which ceases to fulfil the requirements mentioned in clause (a) or goes into liquidation or otherwise wholly or partly ceases to carry on banking business:

Provided that the Bank may, on application of the scheduled bank concerned and subject to such conditions, if any, as it may impose, defer the making of a direction under clause (b) for such period as the Bank considers reasonable to give the scheduled bank an opportunity of fulfilling the requirements mentioned in sub-clauses (ii) and (iii) of clause (a) ;

(c) alter the description in the list of scheduled banks whenever any scheduled bank changes its name.

Explanation.—In subsection (2) the expression "value" means the real or exchangeable and not the nominal value of the capital and reserves and the valuation made by the Bank shall be final.

[1]For notifins. Under this clause, see Gaz. of P., 1956, Pt. V, p. 275, and ibid., 1957, Pt. V, p. 32.

38. Power to require returns from Corporations. The Bank may require any Corporation with which it has any transactions under section 17 to furnish returns [1][referred to in] sub-section (3) of section 36, and if it does so require, the provisions of subsections (6), (7) and (8) of section 36 shall apply, so far as may be, to such Corporation as if it were a scheduled bank.

[2][**39. Accountability**.—(1) The Governor shall submit annual report before the Majlis-e-Shoora (Parliament) regarding the achievement of the Bank's objectives, conduct of monetary policy, state of the economy and the financial system. ln addition, the Majlis-e-Shoora (Parliament) may require any senior official, including the Governor where appropriate, to attend at such additional times as may be required.

(2) The Bank shall, not less than twice a year, publish and submit to the Majlis-e-Shoora (Parliament) and the Minister for Finance a state of the economy report with reference to price development, money supply, credit, balance-of-payments and economic growth.

(3) The bank shall, at minimum annual basis, publish a report on financial stability that provides the overall assessment of the financial system.]

[2]**[40. Annual financial statements and reports**.—(1) The financial year of the Bank shall begin on the first day of July of a calendar year and end on the last day of June of the next calendar year.

(2) The Bank shall formulate accounting policies and procedures and prepare financial statements in line with internationally recognized accounting standards as adapted by the Board in light of the special nature of central bank operations.

(3) Within four months after the close of each of its financial year, the Bank shall publish on its website and submit to the Federal Government and the *Majlis-e-Shoora* (Parliament) financial statements, approved by the Board, signed by the Governor, the Deputy Governor and the chief financial officer, along with the auditors' report thereon.

(4) The Bank shall prepare and publish, within five days of the close of the week, on its official website weekly accounts pursuant to a proforma approved by the Board.]

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CHAPTER V

GENERAL

[2][**41. General reserve, unrealized revaluation reserve and special reserve**.—(1) The Bank, with the approval of the Board, shall establish and maintain a general reserve account. The general reserve account may not be used except for the purposes of increasing the paid-up capital or of covering losses sustained by the Bank.

(2) The Bank shall establish unrealized revaluation reserves accounts to account for unrealized gains and losses arising on its exposure in gold, financial instruments or other assets and liabilities on which such unrealized gains or losses are not required to be taken to the profit and loss account under the accounting standards followed by the Bank.

[1]Subs. by the State Bank of Pakistan (Amdt.), Ordinance, 1971 (23 of 1971), s. 10 for "prescribed under".
[2]Ss. 39, 40 and 41 subs. by the State Bank of Pakistan (Amendment) Act, 2022 (VI of 2022), ss. 23, 24 and 25

(3) The Bank, with the approval of the Board, shall also make allocation to the unrealized revaluation reserve from the net annual profit, representing the unrealized gain on its exposures in foreign currencies, financial instruments, other assets and liabilities on which unrealized gains or losses are taken to the profit and loss account in accordance with the accounting standards followed by the Bank.

(4) The Bank with the approval of the Board may establish special reserve accounts for any of its specific exposures.]

[1][**42. Profits, losses, and distributable earnings**.—(1) The annual distributable profit for a year shall be determined as follows:—

A=B+C-D
Where
A = Distributable profit;
B = Net annual profit of the Bank as reflected in the audited financial statements;
C = amount of unrealized gains transferred to unrealized revaluation reserve account in previous one or more years that realized during the year; and
D = amount of unrealized gains included in 'B'.

(2) The Bank shall allocate the distributable profit as follows:—

(a) an amount equivalent to twenty percent of distributable profit shall be credited to the general reserve account until the sum of the capital and general reserves equal eight percent of the total monetary liabilities of the Bank;

(b) as may be determined by the Board, following a consultation with the Bank's external auditors, from time to time shall be transferred to the special reserve accounts created for any of its specific, identified liability, contingency or expected diminution in the value of its assets; and

(c) after accounting for the amounts as aforesaid, any remaining amount of the distributable profit shall be transferred to the Federal Government within thirty days after making the financial statements public.

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(3) Following the initial attainment of the eight percent level, in case the sum of the Bank's capital and general reserves falls below such required level of monetary liabilities, the Bank shall allocate all the distributable profit to the Bank's capital and general reserves until the required level is re-established.

(4) If in any financial year the Bank incurs a net loss, this loss shall first be charged to the general reserve account and subsequently applied against the paid-up capital.

(5) No distribution shall be made out of current income of the Bank except as permitted by sub-section (2).]

[1]S. 42 subs. by the State Bank of Pakistan (Amendment) Act, 2022 (VI of 2022), s. 26.

[1][**43. External Audit**.—(1) The accounts, records and financial statements of the bank shall, once a year, be audited in accordance with the international standards on auditing, by two independent external auditors who shall be of good repute and have international experience in the auditing of major international financial institutions or central banks or have affiliations with audit firms that have such experience.

(2) The Board, on the recommendation of the audit committee, shall appoint the external auditors for a period of five years and they shall not be eligible for reappointment at that time.

(3) The Board may, on the recommendation of the audit committee, terminate the contract of the Bank's external auditors for good cause.

(4) The external auditor shall report to the audit committee and the Board on key matters arising from the audit and in particular on material weaknesses in internal controls relating to the financial reporting process.

(5) The external auditors shall have full power to examine all books and accounts of the Bank and obtain all information about its transactions.]

[1]**[44. Auditor General of Pakistan**.—The Auditor-General of Pakistan may, without prejudice to the autonomy of the Bank and the audits conducted by the external auditor pursuant to section 43, conduct audit of the accounts of the Bank. Such audit shall not have concern with the merits of the policy decisions including implementation thereof by the Bank.]

[1]**[45. Audit committee**.—(1) The Board shall constitute an audit committee and define its composition, responsibilities, duties and terms of reference.

(2) The audit committee shall consist of three or more non-executive Board members, with at least one having extensive experience in the field of accounting, auditing or internal controls. The audit committee may co-opt external experts without the right to vote. The criteria provided in sub section (5) of section 9 shall apply to the appointment of the external expert who shall not have been a member of the Board or staff in the three calendar years preceding his appointment as member of the audit committee.

(3) The audit committee's responsibilities shall be enshrined in the audit committee's terms of reference approved by the Board, which shall include, *inter alia*,—

(a) overseeing the internal audit function;

(b) approving the charter of the internal audit function;

(c) recommending the appointment of external auditors, and their scope of work; and

(d) evaluating the effectiveness of the internal control systems.]

[1]Ss. 43 to 45 subs. by the State Bank of Pakistan (Amendment) Act, 2022 (VI of 2022), ss. 27-29.

[1][**45A. Chief internal auditor**.—(1) There shall be a chief internal auditor as an employee of the Bank who shall be designated and removed by the Board on recommendation of the audit committee from amongst the persons having extensive professional experience in the field of accounting or audit.

(2) The Board shall define the criteria and terms and conditions for the appointment and removal of the chief internal auditor.]

46. The Bank and its officers to be public officers.—(1) For the purposes of section 124 of the Evidence Act, 1872, the provisions of Part IV of the Code of Civil Procedure, 1908, and the provisions of rule 27 of Order V, and rule 52 of Order XXI of the said Code, the Bank and any [2][person in the service] of the Bank acting in his capacity as such shall be deemed to be a public officer.

(2) The provisions of section 123 of the Evidence Act shall apply to the unpublished records [3]* * * of the Bank and the Governor shall be deemed to be the officer or head of the department concerned.

[4][(3) Every [2][person in the service] of the Bank] shall be deemed to be a public servant within the meaning of section 21 of the Pakistan Penal Code (XLV of 1860).]

[5]**[46A. Production of unpublished record of Bank, etc.—**(1) No court, tribunal or other authority shall be entitled to compel the Bank or any person in the service of the Bank to produce, or, as the case may be, give any evidence derived from, any unpublished record of the Bank.

(2) No court, tribunal or other authority shall permit anyone to produce or give evidence derived from, any unpublished record of the Bank, except with the prior permission in writing of the Governor who may give or whithhold such permission as he thinks fit.

(3) Notwithstanding anything contained in this Act or any other law for the time being in force, a report prepared by the Bank on a banking company under section 40 of the Banking Companies Ordinance, 1962(LVII of 1962) shall be deemed to be unpublished for the purposes of sub-section (1) and (2) even if a copy of such report has been supplied to the banking company to which the report pertains or to the Federal Government or to the Pakistan Banking Council constituted under section 9 of the Banks (Nationalization) Act, 1974 (XIX of 1974).]

[6][**46B. Functional and institutional autonomy**.—The Bank shall be autonomous in the pursuit of its objectives and in the performance of its powers pursuant to this Act.

(2) Nothing in this Act, nor in any other law for the time being in force, shall be construed to allow any third party, including the Government or quasi-government entities, to approve, suspend, annul or interfere with the management of the Bank, as well as the rights, duties and obligations of the Bank and of the members of its Board, the Executive Committee, the Monetary Policy Committee or the staff of the Bank in the performance of their functions pursuant to this Act.

(3) No Governmental or quasi-Governmental body or agency shall issue any directive, directly or indirectly, to any banking company or any other financial institution regulated by the Bank which is inconsistent with the policies, regulations and directives issued by the Bank pursuant to or in exercise of its powers under this Act or any other law for the time being in force.

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[1]Ins. by the State Bank of Pakistan (Amendment) Act, 2022 (VI of 2022), s. 30.
[2]Subs. by the State Bank of Pakistan (Amdt.) Ordinance, 1981 (16 of 1981), s. 6, for "Officer".
[3]Omitted by the State Bank of Pakistan Amdt. Ordinance, 1981 (16 of 1981), s. 6
[4]Added by the State Bank of Pakistan (Amdt.) Ordinance, 1971 (23 of 1971), s. 12.
[5]Ins. and shall be deemed always to have been so Ins. by Ordinance, 16 of 1981, s. 7
[6]Subs. by the State Bank of Pakistan (Amendment) Act, 2022 (VI of 2022), s. 31.

(4) The Bank, the members of its decision-making bodies and its staff shall neither request, nor take any instructions from any other person or entity, including Government or quasi-government entities. The autonomy of the Bank shall be respected at all times and no person or entity shall seek to influence the members of the Board, Executive Committee, Monetary Policy Committee, or the staff of the Bank in the performance of their functions.

(5) Without prejudice to the responsibility of the Minister of Finance and the powers of the Government as provided for in this Act or any other law the Bank shall directly submit the information and reports envisaged in section 39 to the concerned Standing Committee of the Parliament and the Government. The Bank shall interact and communicate directly with any third persons, including Government or quasi-government agencies, schedules banks and other regulated entities, in pursuit of its objectives.

(6) The Bank, with the approval of the Federal Government, may enter into an agreement or Memorandum of Understanding or any reciprocal arrangement, with any domestic or foreign regulatory or supervisory authority for the purpose of sharing and obtaining public and nonpublic confidential information notwithstanding the provisions of any other law for the time being in force.

(7) All matters relating to the Bank requiring approval of the Federal Government, Prime Minister or President shall be initiated by the Division allocated with the business of this Act on a reference received from the Bank or on its own initiative following written consultation with the Bank. Any reference so received from the Bank will be submitted in its original form to the competent authority for its decision within four weeks.

(8) The Bank shall be consulted prior to the introduction of any Bill by the Federal Government in the Parliament which may having a bearing on the functions of the Bank.]

47. Pensions of Bank employees to be exempt from attachments etc. Notwithstanding anything contained in any law for the time being in force pension [1][gratuity and provident fund] granted by the Bank to its officers and servants shall not be liable to seizure, attachment or sequestration by process of any court in Pakistan at the instance of a creditor, for any demand against the pensioner or in satisfaction of a decree or order of any such court.

48. Exemption from stamp duty. The Bank [2][and any subsidiary or trust established by it] shall not be liable to the payment of any stamp duty under Stamp Act, 1899.

[2][**49. Exemption from taxes**. Notwithstanding anything in the Wealth Tax Act, 1963 (XV of 1963), and Income Tax Ordinance, 1979 (XXXI of 1979), or any other law for the time being in force relating to wealth tax, income tax or super tax the Bank and any subsidiary, or trust, established by it shall not be liable to pay wealth tax, income tax or super tax on their income or wealth.]

50. Liquidation of the Bank. The Bank shall not be placed in liquidation save by order of the [3][Federal Government] and in such manner and on such terms and conditions as it may direct.

51. Act or proceeding of the [4][Board] not to be questioned. No act or proceeding of the Central Board [4][or the Monetary Policy Committee] shall be questioned on the ground merely of the existence of any vacancy in or any defect in the constitution of such Board.

[1] **[52.** * * * * * * * *]

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[1]Ins. Omitted by Act IX of 2012, ss. 9&10.
[2]Ins. subs. by Ord. 9-7-2001, ss. 3-4.
[3]Subs. by the State Bank of Pakistan (Amdt.) Act, 1972 (23 of 1972), s. 6, for "Central Government".
[4]Subs. by Act XVIII of 2015, ss. 2 & 29

[1][**52A. Protection of action taken in good faith and indemnity**.—(1) No suit, prosecution or any other legal proceeding including for damages shall lie against the Bank, Board of Directors or member thereof, Governor, Deputy Governors, member of any Board committee and Monetary Policy Committee, officers and employees of the Bank for any act of commission or omission done in exercise or performance of any functions, power or duty conferred or imposed by or under this Act upon such persons or any rules and regulations made thereunder or any legislation administered by the Bank, or rules and regulations made thereunder, unless such act of commission or omission is undertaken in bad faith and with malafide intent.

(2) The Governor, Deputy Governors, Directors, members of any Board committee and Monetary Policy Committee, officers and employees of the Bank shall not be liable in their personal capacity for any act of commission or omission undertaken in their official capacity in good faith. ln case of any such proceedings as mentioned in sub-section (1), they shall be indemnified by the Bank which shall bear all the expenses thereof, unless an act or omission has been subsequently determined to have been undertaken in bad faith and with malafide intent.]

53. Duty of officers and servants to maintain secrecy.—(1) Except in the performance of his duties under this Act every officer or servant of the Bank shall preserve and aid in preserving secrecy with regard to all matters relating to the affairs of the Bank not published by it, and with regard to all matters relating to the financial or monetary affairs of any institution, person, body of persons, any Government or authority whether in Pakistan or outside that may come to his knowledge in the performance of his duties.

(2) Every such officer or servant who communicates any such matter, except when required by law to do so or in the discharge of his duty as such, shall be guilty of an offence and shall on conviction by a court of competent jurisdiction be punished with imprisonment of either description for a term which may extend to six months or with fine which may extend to Rs. 500 or with both.

(3) No court shall take cognizance of any offence punishable under this section except upon complaint in writing by a person authorised in this behalf by the Governor.

54. Powers of the [3][Board] to make Regulations.—(1) [2][*******]

(2) [2][The Board of Directors may make regulations consistent with this Act and falling under the Board's domain, in particular to provide for any of the following matters], namely:

(a) [3][* * * * * * *]

(b) [3][* * * * * * *]

(c) [3][* * * * * * *]

(d) [3][* * * * * * *]

(e) [3][* * * * * * *]

(f) [2][* * * * * * *]

(g) [3][* * * * * * *]

(h) [2][* * * * * * *]

(i) [2][* * * * * * *]

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[1]Ins. by the State Bank of Pakistan (Amendment) Act, 2022 (VI of 2022), s. 32.
[2]Omitted and subs. by the State Bank of Pakistan (Amendment) Act, 2022 (VI of 2022), s. 33.
[3]Omitted. by Act XVIII of 2015, ss. 2 & 30.

(j) recruitment of officers and servants of the Bank including the terms and conditions of their service [1][performance management, promotion, compensation, rotation,] constitution of superannuation, beneficial and other funds, with or without bank's contribution, for the officers and servants of the Bank ; their welfare, providing amenities, medical facilities, grant of loans and advances ; their betterment and uplift ;

(k) the manner and form in which contracts binding on the Bank may be executed;

(l) the provision of an official seal of the Bank and the manner and effects of its use ;

(m) the manner and form in which the balance sheet of the Bank shall be drawn up, and in which the accounts shall be maintained ;

(n) [1][* * * * * * *]

(o) the relations of the scheduled banks with the Bank and the returns to be submitted by the scheduled banks to the Bank ;

(p) [1][* * * * * * *]

(q) the circumstances in which, and the conditions and limitations subject to which, the value of any lost, stolen, mutilated or imperfect bank note may be refunded as of grace;

(r) the denomination, form, issue, negotiability, encashment and repatriation of the instruments mentioned in [2][clause] (8) of section 17 ;

(s) [3][* * * * * * *]

(t) generally for making any provision necessary or convenient for the conduct of the business, discharge of functions and for purposes of management of the Bank.

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(3) Copies of all regulations made under this section shall be available to the public on [1][request].

[4][**54A. Provisions to override other laws.—**The Act shall have effect not withstanding anything contained in any other law [5][, general or special] for the time being in force or any agreement, contract, memorandum or articles of association.

54B. Removal of difficulties.—If any difficulty arises in giving effect to any of the provisions of this Act the Federal Government may make such order as may appear to it to be necessary for the purpose of removing the difficulty.].

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[1]Ins. omitted and Subs. by the State Bank of Pakistan (Amendment) Act, 2022 (VI of 2022), s. 33
[2] Subs. by the State Bank of Pakistan (Amdt.) Act, 1968 (1 of 1968), s. 8, for "sub-section".
[3]Omitted by Act XVIII of 2015, s.30.
[4]Added by the State Bank of Pakistan (Second Amdt.) Ordinance, 1980 (57 of 1980), s. 8.
[5]Ins. by the State Bank of Pakistan (Amendment) Act, 2022 (VI of 2022), s. 34.

55. Repeal.— (1) The State Bank of Pakistan Ordinance, 1955 (XVIII of 1955), is hereby repealed.

(2) Any rules or regulations made, order passed, notification issued, thing done, action taken or proceedings commenced under any of the provisions of the State Bank of Pakistan Ordinance, 1955 (XVIII of 1955), or deemed to have been so made, passed, issued, done, taken or commenced, shall continue in force and be deemed to have been made, or as the case may be, passed, issued, done, taken or commenced under the corresponding provision of this Act.

THE SCHEDULE

[1][* * * * * * *]

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[1]Omitted by Act XVIII of 2015, s.31.

THE PAKISTAN BANKING AND FINANCE SERVICES COMMISSION ACT, 1992.

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The Pakistan Banking and Finance Services Commission Act, 1992.

ACT NO. XIII OF 1992

[23rd July, 1992]

An Act to provide for the establishment of a Banking and Finance Services Commission

WHEREAS it is expedient to provide for a sound and systematic basis for recruitment of officers to financial institutions and for that purpose to provide for the establishment of a Banking and Finance Services Commission and for matters ancillary thereto*;*

It is hereby enacted as follows:—

1. Short title and commencement.—(1) This Act may be called the Pakistan Banking and Finance Services Commission Act, 1992.

(2) It shall come into force at once.

2. Definitions.— In this Act, unless there is anything repugnant in the subject or context,—

(a) "Commission" means the Pakistan Banking and Finance Services Commission established under section 3;

(b) "financial institution" means an institution referred to in the Schedule;

(c) "Member" means a member of the Commission;

(d) "recruitment" means initial appointment otherwise than by promotion or transfer;

(e) "rules" means rules made under section 14; and

(f) "schedule" means the schedule to this Act.

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3. Establishment of the Commission.— There shall be established for the purposes of this Act a Commission to be called the Pakistan Banking and Finance Services Commission and consisting of a Chairman and not more than four members appointed by the Federal Government.

4. Salary, Allowances and privileges.—The Chairman and the Members shall be entitled to such salary, allowances, and privileges as the Federal Government may determine from time to time.

5. Term of office.—The Chairman and Members shall hold office for such term as may be determined by the Federal Government.

6. Resignation and filling of vacancies.—(1) The Chairman or a member may, by writing under his hand addressed to the Federal Government, resign his office.

(2) Any vacancy occurring in the membership of the Commission due to death, resignation or removal shall be filled by the appointment of another person by the Federal Government.

7. Functions of the Commission.— The functions of the Commission shall be—

(a) to conduct open competitive examinations for recruitment to Grade III or higher posts in the financial institutions;

(b) to conduct interviews and tests for recruitment to posts in grades higher than Grade III, except where such recruitment is excluded from the purview of the Commission by the Federal Government;

(c) to conduct tests for promotion of existing employees from lower cadres to Grade III and above, if so, required by a financial institution; and

(d) to advise the Federal Government on matters relating to qualifications for, and methods of recruitment to, posts in Grade II or higher grades in the financial institutions, if so required by the Federal Government.

8. Recruitment to posts in financial Institutions.—(1) Recruitment to all posts in Grade III or higher grades in a financial institution shall be made on the advice of the Commission:

Provided that the Commission may, on the direction of the Federal Government, advise any financial institution for recruitment in any post or grade.

(2) The Commission may exempt any professional or class of professionals, like engineers, lawyers and chartered accountants, from appearing in any written test or examination conducted by the Commission.

(3) A financial institution shall not disregard, or act contrary to the advice of the Commission without the prior approval of the Federal Government and where the Federal Government grants such approval it shall record its reasons for doing so.

9. Funds of the Commission.—(1) There shall be constituted for the Commission a fund to which shall be credited all sums received under sub- section (2) and out of which shall be defrayed all expenditure incurred by the Commission, including expenditure on the emoluments of the Chairman and members and the officers, employees, experts and consultants of the Commission.

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(2) Every financial institution shall make to the Commission such payments to defray its expenses as the Commission may, with the approval of the Federal Government, demand.

10. Appointment of officers, employees, etc.—For the efficient performance of its functions, the Commission may appoint its officers, employees experts, and consultants, on such terms and conditions as may be prescribed.

11. Report of the Commission.—The Commission will submit to the President annually a report on the work done by the Commission.

12. Power to amend Schedule.—The Federal Government may, keeping in view the purposes of this Act, by notification in the official Gazette, amend the Schedule so as to add any entry thereto or omit or modify any entry therein.

13. Act to override other laws.—The provisions of this Act shall have effect notwithstanding anything contained in any other law, or in any instrument, deed or other document relating to a financial institution.

14. Power to make rules.— (1) The Commission may, with the approval of the Federal Government, by notification in the official Gazette, make rules for carrying out the purposes of this Act.

(2) In particular and without prejudice to the generality of the foregoing power, such rules may provide for the appointment of officers, employees, experts and consultants and for the payment of travelling allowance and daily allowance to the Chairman, Members, officers and employees and other persons engaged by the Commission, in respect of journeys performed in connection with the functions assigned to them.

SCHEDULE

[1]* * * * * * *

2. National Bank of Pakistan.

3. Habib Bank Limited.

4. United Bank Limited.

5. Muslim Commercial Bank.

6. Allied Bank Limited.

7. Investment Corporation of Pakistan.

8. Industrial Development Bank of Pakistan.

9. National Development Finance Corporation

[2]* * * * * * *

13. National Investment Trust.

14. Pakistan Industrial Credit and Investment Corporation.

15. Equity Participation Fund.

16. Bankers Equity Limited.

17. Small Business Finance Corporation.

18. House Building Finance Corporation.

19. Federal Bank for Co-operatives.

20. Agricultural Development Bank of Pakistan.

[3][21. Regional Development Finance Corporation.

22. First Women Bank Limited.]

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[1]Entry 1 omitted by S.R.O.No. 197(1)/95, dt.26-2-95

[2]Entry 10 to 12 omitted by Finance Division's Notification No.F-12(5) Banking III/91-774,dt.29-5-95, See Gaz. of Pak.Ext., Pt.III, dt. 3-8-95, p.576.

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[3]Added by Finance Division's Notification No. F-9 (40) Banking III/88, dt. 26-9-93,see Gaz. of Pak., Ext., Pt.III.

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THE PAKISTAN BANKING (PREVENTION OF DEFAULT AND EVASION OF LIABILITIES) ORDINANCE, 1947

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THE PAKISTAN BANKING (PREVENTION OF DEFAULT AND EVASION OF LIABILITIES) ORDINANCE, 1947

[1]ORDINANCE NO. V OF 1947

[15th December, 1947]

AN
ORDINANCE

to provide for prevention of loss to people in Pakistan from the withholding of payments of cheques and delivery of things held in safe custody by banks acting under directions issued by a Government or authority outside Pakistan.

WHEREAS an emergency has arisen which requires measures to be taken to prevent banking concerns in Pakistan from making default in meeting their commitments and liabilities under external pressure.

Now, THEREFORE, in exercise of the powers conferred by section 42 of the Government of India Act, 1935, as adapted by the Pakistan (Provisional Constitution) Order 1947, the Governor-General of Pakistan is pleased to make and promulgate the following Ordinance:—

1. Short title, extent and commencement.—(1) This Ordinance may be called the Pakistan Banking (Prevention of Default and Evasion of Liabilities) Ordinance, 1947.

[2][(2) It extends to the whole of Pakistan.]

(3) It shall come into force at once.

2. Definitions. In this Ordinance—

(a) "Bank" means [3][the Imperial Bank of India and] any banking company as defined in section 277F of the Indian Companies Act, 1913 (VII of 1913) and includes any branch of a bank.

(b) "Manager" includes the term Agent or Sub-Agent and any other officer having charge of any branch or agency of any bank in Pakistan.

(c) [4][Federal Government] means the Government of Pakistan.

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[1]The Ordinance has been applied to Baluchistan with effect from the 15th day of December, 1947, *see* Gaz. of P., 1952, Pt. I, p.154; and extended to the Leased Areas of Baluchistan, by the Leased Areas (Laws) Order, 1950 (G. G. O. 3 of 1950).
It has been applied also in the Federated Areas of Baluchistan, see Gaz. of P., 1953, Pt. 1, p. 152.
It has also been extended to__
(i) the State of Bahawalpur, *see* the Bahawalpur (Extension of Laws) (Second) Order, 1952 (G. G. O. 5 of 1952) ;
(ii) the Baluchistan States Union, by the Baluchistan States Union (Federal Laws) (Extension) Order, 1953 (G. G. O. 4 of 1953); and
(iii) the Khairpur State, *see* the Khairpur (Federal Laws) (Extension) Order, 1953 (G. G. O. 5 of 1953).
The Ordinance has been and shall be deemed to have been brought into force in Gwadur with effect from the 8th September, 1958, by the Gwadur (Application of Central Laws) Ordinance, 1960 (37 of 1960), s. 2.
[2]Subs. by the Central Laws (Statute Reform) Ordinance, 1960 (21 of 1960), s. 3 and 2nd Sch., (*with effect from the 14th October*, 1955).
[3]Ins. by the Pakistan Banking (Prevention of Default and Evasion of Liabilities) (Amdt.), Ordinance, 1947 (6 of 1947), s. 2.
[4]Subs. by F.A.O., 1975, Art. 2 and Table.

3. No Bank to Stop payment of cheques or delivery of deposits under instructions from any Government authority outside Pakistan. No Bank operating in Pakistan shall act on the instructions of a Government or authority other than the Government of Pakistan issued to it direct or through its Head Office outside Pakistan, in regard to stopping of payment of cheques, delivery of securities or things held in safe custody, or in regard to any other banking business in Pakistan, without obtaining the prior approval in writing of an officer appointed by the [1][Federal Government] in this behalf.

4. Procedure for demanding explanations and search.—(1) On receiving a complaint that a Bank is wrongfully withholding the payment of a cheque or the delivery of anything held in deposit or safe custody, the [1][Federal Government] may by order require the Bank to explain the grounds on which it has withheld or delayed payment of the cheque or delivery of the thing held in deposit or safe custody and to furnish by a date to be specified a true statement of all the assets at the credit of or held in safe custody on behalf of the person concerned.

(2) If the Bank refuses or fails to comply with an order made under sub-section (1) of this Section by the date specified or if the [1][Federal Government] is not satisfied with the correctness or completeness of the statement submitted thereunder, the [1][Federal Government] may authorise any officer of the [1][Federal Government] or of a Provincial Government to inspect the books, accounts and other documents of the Bank and to conduct a search of its vaults, coffers and premises which the officer may consider necessary to inspect or search in order to obtain the information required or to verify the statement furnished.

(3) An officer authorised in this behalf may enter any premises at any time and if necessary break open any door or lock for the purpose of carrying out the order made under this section.

5. Order to prohibit removal of assets outside Pakistan. While ordering a Bank to furnish a statement under Section 4, the [1][Federal Government] may order the Bank not to remove out of [2]* * * Pakistan any thing held in safe custody on behalf of the person referred to in sub-section (1) of section 4 or any documents related thereto.

6. Seizure of assets.—(1) If the [1][Federal Government] after considering such explanation as the Bank concerned may have given, the information secured by any action taken under sub-sections (2) and (3) of Section 4 and such further enquiry as it may deem necessary, is satisfied that the Bank has wrongfully withheld payment of a cheque wholly or partially or the delivery of anything held in deposit or safe custody, the [1][Federal Government] may order the Bank to make payment of the cheque to such extent as in the opinion of the [1][Federal Government] payment has been wrongfully withheld, or make delivery of the thing held in deposit or safe custody as the case may be, by a specified date to the person named in the order.

(2) If the Bank fails to comply with the order made under sub-section (1) the [1][Federal Government] may as the case may be order—

(a) the seizing of the thing held in safe custody and its transfer to the person named in the order,

[1]Subs. by F.A.O., 1975, Art. 2 and Table.
[2]Omitted by A.O., 1961, Art. 2 and Sch., (*with effect from the 23rd March*, 1956.

(b) the seizing of assets of the Bank sufficient to cover the amount of the Bank's liability as determined under sub-section (1) and the transfer to the person named in the order under sub-section (1) of such part of these assets or so much of their value on realization as will discharge the Bank's liability to him.

(3) If after discharging the liability of the Bank referred to in sub-section (2) above there is a surplus it shall be returned to the Bank after deducting such incidental expenses as may have been incurred by the [2][Federal Government].

7. Service of Orders under Section 4, 5 or 6. An order under Sections 4, 5 or 6 may be served on the Manager by delivery at the office of the Bank. If service of the order is refused or any attempt is made to avoid it, the order may be affixed on the premises of the Bank in the presence of two witnesses and the order shall then be deemed to have been duly served.

8. Penalties. If the Manager of a Bank:

(a) fails to comply with an order to furnish a statement under Section 4 or if he furnishes a statement which he knows to be false in any material particular; or

(b) refuses to allow, or fails to afford, reasonable facilities to an Officer authorised under Section 4; or

(c) having been served with or having knowledge or information of an order under Section 5 conceals, removes or allows to be removed out of [1]* * * Pakistan in contravention of that order anything held in deposit or safe custody; or

(d) fails to make payment or effect delivery by the specified date in compliance with an order issued under Section 6 ;

he shall be punishable with imprisonment which may extend to three years or with fine or with both.

9. Withdrawal or amendment of orders under Sections 5 and 6. On sufficient cause being shown the [2][Federal Government] may withdraw or amend all or any of the orders made under Sections 5 and 6 of this Ordinance.

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10. Bar of legal proceedings. No suit, prosecution or other legal proceedings shall lie against any person or against the [2][Federal Government] for anything done or in good faith intended to be done under this Ordinance.

11. Powers to make rules. The [2][Federal Government] may make rules for the purpose of giving effect to this Ordinance.

RGN Date: 03-07-2024

[1]Omitted by A.O., 1961, Art. 2 and Sch., (*with effect from the 23rd March, 1956*).
[2]Subs. by F.A.O., 1975, Art. 2 and Table.

THE NON-PERFORMING ASSETS AND REHABILITATION OF INDUSTRIAL UNDERTAKINGS (LEGAL PROCEEDINGS) ORDINANCE 2000

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THE NON-PERFORMING ASSETS AND REHABILITATION OF INDUSTRIAL UNDERTAKINGS (LEGAL PROCEEDINGS) ORDINANCE, 2000

ORDINANCE No. LVIII of 2000

[17th November, 2000]

An Ordinance to provide for expeditious legal remedies for matters relating to non-performing assets and recovery of the outstanding amounts payable to banks and financial institutions to make them attractive for privatization and to promote the revitalization of nation's economy and rehabilitation and restructuring of industrial undertakings

WHEREAS it is expedient in the public interest to provide for expeditious legal remedies in the matters relating to non-performing assets and recovery of the outstanding amounts payable to the banks and the financial institutions to make them attractive for privatization and to promote national economy by making provisions for restructuring, rehabilitation, management, sale, transfer and realization of non-performing assets and loans and for matters connected therewith or ancillary thereto;

AND WHEREAS the National Assembly and the Senate stand suspended in pursuance of the Proclamation of Emergency of the fourteenth day of October, 1999 and the Provisional Constitution Order No. 1 of 1999;

AND WHEREAS the President is satisfied that circumstances exist which render it necessary to take immediate action;

NOW, THEREFORE, in pursuance of the Proclamation of Emergency of the fourteenth day of October, 1999, and the Provisional Constitution Order No. 1 of 1999, as well as the Provisional Constitution (Amendment) Order, 1999 (Order No. 9 of 1999), and in exercise of all powers enabling him in that behalf, the President of the Islamic Republic of Pakistan is pleased to make and promulgate the following Ordinance:—

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l. Short Title, extent and commencement:— (1) This Ordinance may be called the Non-performing Assets and Rehabilitation of Industrial Undertakings (Legal Proceedings) Ordinance, 2000.

(2) It extends to the whole of Pakistan.

(3) It shall come into force at once.

2. Definitions:— (1) In this Ordinance, unless there is anything repugnant in the subject or context,—

(a) "chief Executive" means the Chief Executive officer of the Corporation appointed under the CIRC Ordinance;

(b) "CIRC Ordinance" means the Corporate and Industrial Restructuring Corporation Ordinance, 2000 (L of 2000).

(c) "Corporation" means the Corporate Industrial Restructuring Corporation established under the CIRC Ordinance;

(d) "industrial undertaking" means any undertaking pertaining or relating to non-performing asset of a financial institution;

(e) "financial asset" means any short, medium or long term interest and non-interest bearing loan, finance advance, lease, installment, term finance certificate, participation term certificate, musharaka, modaraba, profit and loss sharing agreement, redeemable capital, guarantee or contractual right to receive payment of money in respect of sums advanced or committed to an obligor by a financial institution including collateral pertaining thereto;

[1][(f) "financial institution" means any bank or other financial institution operating in Pakistan wherein the Federal Government hold any equity, as specified in the Schedule;]

(g) "non-performing asset" means any financial asset-

(a) which is held as an asset on the books of a financial institution;

(b) with respect to which the obligor has been in arrears on any payment obligation for a period more than three hundred and sixty-five days, including-

(i) collateral with respect to any financial asset; and

(ii) a whole or partial right or interest of a financial institution in any financial asset, that otherwise constitutes a non-performing asset including a financial asset with respect to which the financial institution has an ongoing funding obligation; and

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(c) with respect to which the obligor's outstanding payment obligation to any financial institution exceeds thirty million rupees:

Provided that the Federal Government may, by notification in the official Gazette, alter, reduce or increase the said amount as and when it deems fit;

(h) "obligor" means any individual, proprietorship concern, company or other body corporate, trust, partnership or other entity that has, with respect to a non-performing asset, a contractual or legal obligation or duty to make payment, effect performance, provide security, or collateral with respect to any financial asset whether as principal, surety, guarantor or otherwise and whether such obligation is primary, secondary, matured or contingent; and

(i) registered interest" means any right or interest in a non-performing asset duly registered under the Companies Ordinance, or its predecessor statue or under 1984 any other law for the time being in force;

(j) "rules" means the rules made under this Ordinance; and

(k) "Schedule" means the Schedule annexed to the CIRC Ordinance.

(2) All other terms and expressions used but not defined in this Ordinance shall have the meanings assigned to them in the CIRC Ordinance.

3. Ordinance to override other laws:— The provisions of this Ordinance shall have effect notwithstanding anything contained in any other law for the time being in force.

4. Jurisdiction of High Court:— (1) Notwithstanding anything contained in any other law for the time being in force and subject to provisions of this Ordinance, the High Court of a Province within its territorial jurisdiction shall exercise exclusive civil and criminal jurisdiction:

(a) to adjudicate and decide all claims, legal proceedings, cases for recovery of non-performing asset, outstanding amount against obligor and matters related to, arising from or in connection with the CIRC Ordinance, and coming within the purview and operation of the provisions of CIRC Ordinance and whether pending on the commencement of this Ordinance or transferred to the High Court in pursuance of section 6 or which may be filed hereafter under this Ordinance; and

(b) to try offences punishable under this Ordinance or the CIRC Ordinance.

(2) It is hereby declared for removal of doubt that subject to the provisions of this Ordinance, and save as herein provided, a High Court and any other Court of Tribunal shall continue to exercise jurisdiction as before under the Code of Civil Procedure, 1908, (IV of 1908) the Banking Companies (Recovery of Loans, Advances, Credits and Finances) Act, 1997, (XV of 1997) the Companies Ordinance, 1984, (XLVII of 1984) the Code of Criminal Procedure, 1898, the Offences in Respect of Banks (Special Courts) Ordinance, 1984(IX of 1984) and any other law for the time being in force, in all suits, cases and legal proceedings whether civil or criminal, applications and appeals to which the provisions of CIRC Ordinance and this Ordinance do not apply.

Explanation.—The "High Court" within the meaning of subsection (2) shall also include the "High Court" as referred to in section 2 of the Banking Companies (Recovery of Loans, Advances, Credits and Finance) Act 1997. (XV of 1997)

(3) For the purposes of this Ordinance there shall be one or more Benches in the High Court consisting of one or more Judges to be constituted by the Chief Justice to adjudicate the cases under this Ordinance.

(4) The Chief Justice of a High Court may for the purposes of this Ordinance *suo moto* or on an application of any party to the proceedings before it or for any other sufficient reason assign one or more cases covered under sub-sections (1) and (2) to any Bench of High Court constituted under sub-section (3) for trial where the subject matter of the claim or controversy is the same or the parties are

substantially the same or where common question of law and fact are involved in relation to a non-performing assets or where there is substantially common evidence relating thereto if the ends of justice so require.

(5) The cases under this Ordinance shall ordinarily be lead at the principal seat of the concerned High Court:

Provided that the Chief Justice may for sufficient cause order a case to be heard at any permanent Branch of a High Court if in his opinion the same is necessary for convenience of the Parties and ends of Justice.

5. Procedure and Power of High Court:— Subject to the provisions of this Ordinance, the High Hour under this Ordinance shall—

(i) in exercise of its civil jurisdiction,—

(a) follow the procedure, as nearly as possible, as provided in the Code of Civil Procedure, 1908: (Act V of 1908)

Provided that the High Court may, in its discretion, having regard to the facts of the case, follow the summary procedure, as nearly as possible, provided for in Order XXXVII in the First Schedule to the said Code; and

(b) have all the powers, including passing of decree and its execution, as vested in the Civil Court under the Code of Civil Procedure, 1908; (Act V of 1908) and

(ii) in exercise of its criminal jurisdiction follow the procedure and exercise the powers vested in it by or under the Code of Criminal Procedure, 1898 (Act V of 1998) or the Offences in Respect of Banks (Special Courts) Ordinance, 1984 (Act IX of 1984)or any other law for the time being in force.

(iii) in exercise of its banking jurisdiction, shall follow the procedure and have all the powers including passing of decree and its execution as vested in a Banking Court under the Banking Companies (Recovery of Loans, Advances, Credits and Finances) Act, 1997 (Act of 1997) subject to such limitations and defence as provided under the said law, and

(iv) in exercise of its company jurisdiction, follow the procedure and have all the powers vested in a High Court under the Companies Ordinance, 1984 (Act XLVII of 1984) subject to such defence as is available under the said law.

6. Transfer of Pending proceedings and institution of new cases:— (1) All such legal proceedings, suits, applications and cases pertaining to the obligor in relation to the non-performing assets and the collateral related thereto in which the Corporation has acquired all rights, title, interests, benefits and privileges of a financial under the CIRC Ordinance after approval duly granted by the Board of Directors constituted thereunder and after such cases are approved by the Board as coming within the purview and operation of the provisions of CIRC Ordinance and due compliance thereof,

including (a) proceedings following the filing of an arbitration award, (b) applications under sub-section (2) of section 12 of Code of Civil Procedure, 1908 (Act V of 1908) or any suits, applications, including execution applications, legal proceedings or appeals thereunder, and (c) proceedings for the execution of a decree within the jurisdiction of any Court including those, pending in any Banking Court constituted under the Banking Companies (Recovery of Loans, Advances, Credits and Finances Act, 1997, (Act XV of 1997) or any other Court, Tribunal or a High Court, and (b) any winding up proceedings irrespective of the appointment of liquidator, shall stand transferred or be deemed to be transferred to the High Court having jurisdiction under this Ordinance in the manner herein provided.

(2) On transfer of proceedings under sub-section (1), the High Court shall require the attendance of the parties and the liquidators or the court auctioneer or the receiver, as the case may be.

(3) The High Court shall subject to the provisions of this Ordinance, proceed in respect of proceedings transferred to it under sub-section (1) from the stage which the proceedings had reached immediately prior to the transfer and shall not be bound to recall and re-hear any witness and may act on the evidence already recorded before the Court or Tribunal from which the proceedings were transferred.

(4) The Corporation shall with the permission of the High Court submit to it the particulars and the details of the cases triable on transfer under this Ordinance and any document and statement of accounts required at the time of transfer or institution of the cases under this Ordinance shall be provided to the Corporation, on its request, by the concerned financial institution.

(5) Notwithstanding the provisions of the Companies Ordinance, 1984 (Act XLVII of 1984) or any other law for the time being in force, in cases transferred to the High Court under sub-section (I) in which a liquidator or a court auctioneer or a receiver has already been appointed, the Corporation may apply to the High Court for replacing the existing liquidator or a court auctioneer or a receiver, as the case may be, in respect of the non-performing asset or undertaking thereof and the High Court shall thereupon appoint the Chief Executive of the Corporation or his nominee in place of the liquidator or a court auctioneer or a receiver, as the case may be, to carry out all acts and exercise all powers of the liquidator or a court auctioneer or a receiver as it may deem fit, and accordingly the outgoing liquidator or a court auctioneer or a receiver, as the case may be, shall be under obligation to hand over possession and custody of the entire property and industrial undertaking in his possession and control along with the entire record to the Chief Executive or his nominee:

Provided that High Court may allow the existing liquidator to function as co-liquidator having regard to the progress of the work done by him for reasons to be recorded:

Provided further that after the commencement of this Ordinance, the High Court may appoint the Chief Executive or his nominee as a liquidator or an auctioneer or a receiver, as the case may be, in all cases instituted under this Ordinance:

Provided further that the provisions of this sub-section shall not apply where an Official Assignee has already been appointed to act in any case in respect of the non-performing asset or industrial undertaking by a High Court whose rules provide for the appointment of such Official Assignee:

Provided further that where the rules of a High Court provide for the appointment of an Official Assignee, the Corporation may apply to such High Court for the appointment of Chief Executive of the Corporation or his nominee as co-liquidator in appropriate cases and the High Court in such cases may pass such order as it deems fit having regard to the facts and circumstances of the cases.

(6) In the cases instituted under this Ordinance, the Chief Executive or his nominee shall be appointed as a liquidator or a court auctioneer or a receiver, as the case may be. On being appointed as such by the High Court under sub-section (5) or under this sub-section, the liquidator or the court auctioneer or the receiver, as the case may be, shall be responsible to render account, perform all functions and attend to all matters in accordance with the provisions of the Companies Ordinance, 1984 (XLVIII of 1984) and the rules and orders of the High Court or in any other manner the High Court deems fit.

7. Institution of suits etc, by the Corporation:— The Corporation may institute, file, conduct and defend any suit or legal proceeding or appeal under, and in accordance with, the provisions of this Ordinance and the High Court shall conclude such suit or legal proceeding within a period of ninety days.

8. Trial of Cases:— (1) Subject to the provisions of this Ordinance, all suits, cases, legal proceedings including execution proceedings and all other applications and appeals relating to recovery of outstanding amounts by or against a financial institution in respect of a non-performing asset and an obligor pending in any court or tribunal on the commencement of this Ordinance under any law including the Code of Civil Procedure, 1908, (Act V of 1908) Banking Companies (Recovery of Loans, Advances, Credits and Finances) Act. 1997 (Act XV of 1997) and Companies Ordinance, 1984 (Act XLVII of 1908) and transferred to the High Court in pursuance of section 6 shall be decided and disposed of by the High Court in accordance with the provisions of the respective law under which the same were filed or instituted:

Provided that in cases where the obligor has filed any suit, application, legal proceeding or appeal against a financial institution which has also filed a legal proceeding against the obligor, any party to such proceeding may apply to Chief Justice of the High Court with a prayer for consolidation of such proceedings under this Ordinance before the same Bench to avoid conflict of judicial decisions and multiplicity of proceedings.

(2) Subject to the provisions of this Ordinance, the Corporation may institute and file any suit, case or legal proceedings, including execution proceedings, before the High Court having jurisdiction hereunder in accordance with the procedure provided under the Banking Companies (Recovery of Loans, Advances, Credits and Finances) Act. 1997 (Act XV of 1997) the Companies Ordinance, 1984 (Act XLVII of 1984) or the Offences in Respect of Banks (Special Courts) Ordinance, 1984 (Act IX of 1984) and the High Court shall have the power to deal with such cases in accordance with the provisions of such legislations.

(3) In case any obligor intends to file any suit, application or legal proceedings against the Corporation, he may file such suit, application or legal proceedings in accordance with the. provisions of the Banking Companies (Recovery of Loans, Advances, Credits and Finances) Act. 1997 (Act XV of 1997) or any other relevant law.

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(4) Subject to sub-section (3), any right available to a banking company or the borrower under the Banking Companies (Recovery of Loans, Advances, Credits and Finances) Act, 1997 (Act XV of 1997) or the Companies Ordinance, 1984 (Act XLVII of 1984) or the Offences in Respect of Banks (Special Courts) Ordinance, 1984 (Act IX of 1984) shall be available to the Corporation or the obligor, as the case may be, under this Ordinance.

(5) It is hereby declared for removal of doubt that the cases to be instituted and filed hereunder shall only be in relation to the non-performing assets and the collateral related thereto in which the Corporation has acquired all rights, title, interest, benefits and privileges of a financial institution under the CIRC Ordinance.

9. Procedure of Verification Committee to apply to proceedings not transferred or instituted under this Ordinance:— (l) In all cases and Legal proceedings, for recovery of non-performing assets and matters relating thereto, or arising therefrom, which are pending in any court or tribunal, or filed hereafter, under the Code of Civil Procedure, 1908, (Act v of 1908) the Banking Companies (Recovery of Loans, Advances. Credits and Finances) Act, 1997 (Act XV of 1908) and the Companies Ordinance, 1984, (Act XLVII of 1984) where there is a *bona fide* dispute relating to liability of the obligor in respect of the non-performing assets or cases relating thereto,, including cases of fraud, mis-representation, or breach of any provision of law, rules, regulation and the circulars of the State Bank, regarding the calculation, existence and repayment of a financial obligation or outstanding loan, mark up or interest claimed against an obligor and also including cases under section 12(2) Code of Civil Procedure, 1908(Act V of 1908) section 305 of the Companies Ordinance, 1984 (Act XLVII of 1984) for winding up, such court or tribunal, as the case may be may while adjudicating, make correct calculation to determine the existence and repayment of such financial institution as defined in CIRC Ordinance, and follow the provisions of sections 10 and 11 of the said Ordinance which shall *mutatis mutandis* apply to all such cases and legal proceedings, as nearly as possible, and such court or tribunal is empowered to take all such measures or steps and pass such orders and issue such directions including the constitution of the Verification Committee, as it may deem lit in the ends of justice having regard to facts of the case, keeping in view the provisions of sections 10 and 11 of CIRC Ordinance.

(2) For removal of doubt, it is hereby declared that the provisions of sub-section (1). shall not apply to cases of non-performing assets of a financial institution in Which the Corporation has acquired all rights and interests and are transferred or instituted under this Ordinance after compliance with the C.I.R.C. Ordinance.

10. Execution of decree, and sale of assets of the obligor:— (1) Subject to provisions contained in this Ordinance or any other law for the time being in force, the High Court may on the written application of decree holder, forthwith order execution of the decree in the manner provided herein.

(2) On the passing of the order for the execution of the decree under sub-section (1), the decree holder shall give an opportunity to the judgement-debtor to satisfy the decree in cash within a period of thirty days.

(3) In the event the judgement-debtor fails to pay in cash as provided in sub-section (2), the title of the collateral together with transfer of valid title shall, after passing of the order of the High Court confirming the transfer of title, vest in the Corporation, and such order of confirmation shall

constitute and confer sufficient power and authority for the Corporation to sell or cause or arrange for the sale of the collateral together with transfer of valid title by the Corporation.

(4) Where the judgement debtor or any person claiming through the judgement debtor or any person acting on his behalf does not voluntarily hand over vacant physical possession of the mortgaged property or the possession of the collateral once vested in the Corporation, the High Court, on the application of the Corporation, or the purchaser may order that the Corporation or, as the case may be, the purchaser, be put in physical possession of the collateral including the mortgaged property after evicting or taking possession from such person in any manner deemed fit by the High Court.

(5) The sale of the collateral or any part thereof by the Corporation pursuant to sub-section (3) shall be either by public auction or inviting sealed tenders subject to the orders of confirmation by the High Court.

(6) Where the Corporation wishes to sell a collateral property by inviting sealed tenders, it shall invite offers through advertisements in one English and one Urdu newspaper which are circulated widely in the city in which the property is situated or located giving not less than thirty days time after publication of advertisement for submitting offers. The sealed tenders shall be opened in the presence of the tenderers or their representatives or such of them as attend.

(7) Where the collateral property has been sold by the Corporation under sub-section (6), the Corporation shall present a proper account of the proceeds to the Court within fifteen days from the date of the realization of the proceeds.

11. Sale of Assets in Winding up Proceedings by the High Court:— (1) In respect of cases transferred to the High Court in which new liquidator has been appointed or an Official Assignee is already appointed with or without co-liquidator, and in respect of the new cases instituted hereunder under the Companies Ordinance 1984, (Act XLVII of 1984) the Court shall on the written application of the liquidator or the Official Assignee, or co-liquidator, as the case may be, forthwith order the sale of the collateral. On the passing of the said order by the Court, the liquidator or the co-liquidator or the Official Assignee, as the case may be, shall advertise in one English and one Urdu newspaper which is circulated widely in the city in which the collateral is situated or located for the sale of the collateral within a period of thirty days subject to the order of confirmation by the High Court.

(2) In the event the collateral is not sold pursuant to the advertisement, the title of the collateral together with transfer of valid title, shall, after passing of the order of the High Court confirming the transfer of title, vest in the Corporation and such order of confirmation shall constitute and confer sufficient power and authority on the Corporation to sell or cause or arrange for the sale of the collateral together with transfer of valid title.

(3) After the sale of the collateral as aforesaid, the obligor shall stand wound up by the Court and the liquidator or liquidators or the Official Assignee, as the case may be, in accordance with the provisions of the Companies Ordinance, 1984 (Act XLVII of 1984) subject to the claims of creditors, shareholders and payment to those entitled under the law. including the Companies Ordinance, 1984 (Act XLVII of 1984).

12. Outstanding liability and entitlement of obligor:— (1) In case the decretal amount is not satisfied after the sale of the collateral or industrial undertaking, the obligor shall remain liable for the amount remained unsatisfied under the decree.

(2) In case the amount received from the sale of the collateral is in excess of the decretal amount, such excess shall be returned to the obligor after deducting necessary expenses and subject to any restriction imposed under any other law for the time being in force.

13. Inter Creditor matters:— Nothing contained herein shall affect the rights and interests of other creditors. Without prejudice to such rights, with respect to any non-performing asset which represent a partial right or interest, including an interest in a syndicated finance or loan facility in any financial asset, any individual entity irrespective of it being a financial institution or not, having a partial right or interest in the same shall be entitled to apply to the Corporation for appropriate relief and the Corporation shall compensate the non-financial institution having an interest in the syndicated finance or loan facility proportionate to their registered interest in the net proceeds realised from the sale, lease or other disposition of any collateral in respect of the non-performing asset subject to the confirmation of the High Court

14. Provisions relating to certain offences:— (1) Whoever—

(a) dishonestly commits a breach of the terms of a letter of hypothecation, trust receipt or any other documents or instruments executed by him whereby possession of the property offered as scrutiny for the finance or loan pertaining to the non-performing assets or any obligation is not with the Corporation but is retained by or entrusted to him for the purposes of dealing with it in the normal course of business subject to the terms of the letter of hypothecation or trust receipt or other instrument or document or for the purpose of effecting the sale and depositing the sale proceeds with the Corporation; or

(b) makes fraudulent misrepresentation or commits a breach of any commitment or representation made to the Corporation with regard to furnishing of security in favour of the Corporation on the basis of which the financial institution was induced into granting a finance or loan pertaining to the non-performing assets, as the case may be; or

(c) subsequent to the creation of a mortgage as a collateral, dishonestly parts with the possession of the mortgaged property whether by creation of a lease or otherwise contrary to the terms thereof without the written permission of the Corporation;

shall, without prejudice to any other action which may be taken against him under this Ordinance or any other law for the time being in force, be punishable with imprisonment of either description for a term which may extend to one year or fine equal in value to the property or security or cheque, as the case may be, or with both and may be ordered by the High Court trying the offence to also deliver up, refund or pay within a time to be fixed by the High Court, the property or the value of the property or security or cheque so dealt with.

(2) Whoever knowingly made a statement which was false in material respects in an application for finance or loan pertaining to the non-performing assets and obtained finance or loan pertaining to the non-performing assets on the basis thereof, or applied the amount of the finance or loan pertaining to the non-performing assets towards a purpose other than that for which the finance or loan pertaining to the non-performing assets was obtained by him, or furnished a false statement of stock in violation of the terms of the agreement with the Corporation, shall be guilty of an offence punishable with imprisonment of either description for a term which may extend to one year, or with fine, or with both.

(3) Whoever resists or obstructs, either by himself or on behalf of the judgement debtor, through the use of force, the execution of a decree in respect of non-performing assets, shall be punishable with imprisonment which may extend to one year, or with fine, or with both.

(4) Whoever dishonestly issues a cheque in respect of non-performing assets, which is dishonoured, shall be punishable with imprisonment which may extend to one year, or with fine or with both, unless he can establish, for which the burden of proof shall rest on him, that he had made arrangements with his bank to ensure that the cheque would be honoured and that the bank was at fault in not honouring the cheque.

(5) Where the person guilty of an offence under this Ordinance is a company or other body corporate, the chief executive by whatever name called, and any director or officer involved shall be deemed to be guilty of the offence and shall be liable to be proceeded against and be punished accordingly.

(6) All offences under this Ordinance shall be bailable, non-cognizable and compoundable.

15. Transfer of Non-performing assets:— Subject to provisions contained in this Ordinance or any other law for the time being in force or in any contract between the financial institution and the obligor, on the issuance of the transfer letter by the Corporation to the concerned financial institution under the CIRC Ordinance or the rules framed thereunder, all rights, title, interest, benefits and privileges of a financial institution in the non-performing assets and the collateral related thereto shall, without the necessity or any further action or instrument, be deemed vested, transferred, assigned, sold and conveyed by the financial institution to the Corporation free of any encumbrance or claim save for any registered interest outstanding as at the date of the transfer letter:

Provided that any pre-existing funding commitment or obligation by a financial institution to an obligor being a corporation or other body corporate whose project is functional shall, in addition to the security therefore, continue to subsist in the financial institution including all defences pertaining thereto

16. Cognizance of offences:— The High Court may, ***sua moto*** or on a complaint filed by the Corporation or by a person authorised by it in writing, take cognizance of any offence under this Ordinance or CIRC Ordinance and try the same as provided in this Ordinance.

17. Non-functioning assets:— Notwithstanding anything contained in this Ordinance or any other law for the time being in force, where a non-performing asset or an industrial undertaking is closed and non-functioning for the last two years or more, the High Court, keeping in view the facts and circumstances of each case and the purposes of this Ordinance, may order on the application of

the Corporation, its immediate sale or transfer or lease or for change of management through public bid on such terms and in such manner as the High Court may deem fit.

Explanation:— For the purposes of the above period of closure it would be deemed to be sufficient for the purpose of this Ordinance that the non-periforming asset or the industrial undertaking remained closed for a total period of eighteen months out of twenty-four months.

18. Appeal:— (1) Any person aggrieved by a decree, or an order including an order refusing to set aside a decree, or an order permitting or preventing the sale of property, or a sentence passed by a High Court may, within thirty days of such order, decree or sentence, prefer an appeal to the larger Bench of the High Court, within whose jurisdiction the order, Judgment, decree or sentence is passed:

Provided that the admission of the appeal shall not *perse* operate as a stay, and nor shall any stay be granted therein unless the appellant deposits in cash with the High Court an amount equivalent to the amount due, or, at the discretion of the High Court, furnishes security equal in value to such amount; and in the event of a stay being granted for a part of the decretal amount only the requirement for a deposit in cash or furnishing of security shall stand reduced accordingly:

Provided further that where the claim of the decree-holder is based on the default of the defendant in payment of agreed installments, the deposit shall be made or, as the case may be, the security furnished to the extent of the amount of installments in default.

(2) The High Court shall at the stage of admitting an appeal, or at any time thereafter either *suo moto*, or on the application of the decree holder, decide by means of a reasoned order whether the appeal is to be admitted in part or in whole depending on the facts and circumstances of the case.

(3) An appeal under sub-section (1) shall be heard by a bench of not less than two Judges and, in case the appeal is admitted, it shall be decided within ninety days from the date of admission.

(4) An appeal may be preferred under this section from a decree passed *ex parte*.

(5) No appeal, review or revision shall lie against any interlocutory order of the High Court.

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(6) Any person aggrieved by a final order, judgment, decree or sentence passed under the appeal before a bench of not less than two Judges may, within thirty days of such order, judgment, decree or sentence prefer an appeal to the Supreme Court.

19. Progressive application:— The CIRC Ordinance and this Ordinance shall be progressively applied to financial institutions.

20. Rules:— The Federal Government may, by notification in the Rules, official Gazette, make rules for carrying out the purposes of this Ordinance.

21. Removal of difficulties:— if any difficulty arises in giving effect to any provision of this Ordinance the Federal Government may, by order, published in the official Gazette, make such provision not inconsistent with the provisions of this Ordinance as may appear to it to be necessary for the purpose removing such difficulty.

THE NATIONAL BANK OF PAKISTAN ORDINANCE, 1949

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THE NATIONAL BANK OF PAKISTAN ORDINANCE, 1949

[1]ORDINANCE NO. XIX OF 1949

[*9th November, 1949*]

An Ordinance to constitute a National Bank of Pakistan.

WHEREAS an emergency has arisen which renders it necessary to extend banking facilities generally and also to provide credit for agriculture and agricultural produce;

NOW, THEREFORE, in exercise of the powers conferred by section 42 of the Government of India Act, 1935 (26 Geo.5,c.2.), the Governor-General is pleased to make and promulgate the following Ordinance:—

CHAPTER I
PRELIMINARY

1. Short title, extent and commencement.—(1) This Ordinance may be called the National Bank of Pakistan Ordinance, 1949.

[2][(2) It extends to the whole of Pakistan.]

(3) It shall come into force at once.

2. Definitions.—In this Ordinance, unless there is anything repugnant in the subject or context,—

(a) "the Bank" means the National Bank of Pakistan constituted by this Ordinance;

(b) "the Central Board" means the Central Board of Directors of the Bank;

(c) "Local Board" means a Local Board of Members at Karachi, Dacca or Lahore;

(d) "Director" means a Director for the time being of the Central Board;

(e) "Member" means a Member for the time being of a Local Board;

(f) "dividend" includes bonus;

(g) "goods" includes bullion, wears and merchandise;

(h) "general meeting" means the annual meeting of the shareholders of the Bank;

(i) "local meeting" means the annual meeting of the shareholders whose names are registered in a branch register;

(j) "meeting" includes an adjourned holding of a meeting;

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[1] The Ordinance has been applied–
(i) to Baluchistan, with effect from the 9th day of November, 1949, see Gaz. of P., 1952, Pt. I, p. 150;
(ii) in the Federated Areas of Baluchistan, *see ibid*., 1953, Part I, p. 152; and
(iii) extended to the Leased Areas of Baluchistan, by the Leased Areas (Laws) Order, 1950 (G. G. O. 3 of 1950).
It has also been extended to—
(a) the State of Bahawalpur, subject to certain modifications, *see* the Bahawalpur (Federal Laws) (Extension) Order, 1952 (G. G. O. 11 of 1952);
(b) the Baluchistan States Union, see the Baluchistan States Union (Federal Laws) (Extension) Order, 1953 (G. G. O. 4 of 1953); and
(c) the Khairpur State, seethe Khaipur (Federal Laws) (Extension) Order, 1953 (G. G. O. 5 of 1953).
The Act has been and shall be deemed to have been brought into force in Gwadur with effect from the 8th September, 1958, by the Gwadur (Application of Central Laws) Ordinance 1960 (37 of 1960), s. 2.
The Acts/Ordinance and the rules, notifications and orders made thereunder, have been applied to the whole of the Federally Administered Tribal Areas or to the parts of those Areas to which they do not already apply, by Regulation No. I of 1975, s. 2 and the Schedule.
The Act/Ordinance and the rules, notifications and order made thereunder, as in force in N.W.F.P. before the 15th July, 1975, have been applied to the Districts of Chitral, Dir, Swat and Malakand Protected area of the N.W.F.P. by Regulation No. III of 1975, s. 2 and the Sch.

[2] Subs. by the Central Laws (Statute Reform) Ordinance, (21 of 1960), s. 3., and 2nd Sch., for the original sub-section (2) (*with effect from the 14th October, 1955*).

(k) "prescribed" means prescribed by bye-laws made under this Ordinance;

[1][(l) "Managing Director" means the Managing Director of the Bank;]

(m) "special meeting" means a meeting of the shareholders of the Bank convened for transacting some particular business specified in the notice convening the meeting;

(n) "special local meeting" means a meeting of the shareholders whose names are registered in a branch register, convened for transacting some particular business specified in the notice convening the meeting;

(o) "special resolution" means a resolution passed at a special meeting; and

(p) "special local resolution" means a resolution passed at a special local meeting.

CHAPTER II
ESTABLISHMENT, INCORPORATION AND SHARE CAPITAL OF THE NATIONAL BANK OF PAKISTAN

3. Establishment and incorporation of the Bank.—(1) As soon as may be after the commencement of this Ordinance, there shall be constituted in accordance with the provisions of this Ordinance a bank to be called the National Bank of Pakistan to carry on the business of banking.

(2) The Bank shall be a body corporate having perpetual succession and a common seal, and shall by the said name sue and be sued.

4. Share Capital.—(1) Subject to the provisions of this Ordinance the authorised [2][Capital] of the Bank shall be [3][such as the Federal Government, may by notification in the official Gazette, specify and the amount so specified shall be divided into] [4][Ordinary shares of ten] rupees each.

(2) Out of the said capital there shall, from time to time, be issued such number of shares and on such terms, if any, including the terms of brokerage and underwriting, as the Central Board may decide [5][.]

[6]* * * * * * *

(3) The liability of the shareholders of the Bank shall be limited to the amount not fully paid up on their shares.

(4) The shareholders of the Bank may, subject to the sanction of the [7][Federal Government], [8]* * * by special resolution, increase or reduce the capital of the Bank.

CHAPTER III
SHARES

5. Nature of shares.—The shares of the Bank shall be movable property and each share shall be distinguished by its appropriate number.

6. Principal register of shareholders.—The Bank shall maintain at its Head Office established under section 11 a register, to be called the principal register, of all shareholders of the Bank, and shall enter therein such particulars as may be prescribed.

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[1] Subs. by the National Bank of Pakistan (Amdt.) Ordinance, 1960 (52 of 1960), s. 2, for the original cl. (1).
[2] Subs. by the National Bank of Pakistan (Amdt.) Ordinance, 1960 (52 of 1960), s. 3, for "share capital".
[3] Subs. by the National Bank of Pakistan (Amdt.) Ordinance, 1981 (42 of 1981), s. 2, for "[three crores] or rupees divided into thirty lakh" The words in crotchets were subs. by the National Bank of Pakistan (Amdt.) Ordinance, 1960 (52 of 1960), s., 3, for "six crores".
[4] Subs. by the National Bank of Pakistan (Amdt.) Ordinance, 1970 (14 of 1971), s. 2, for "six hundred thousand Ordinary shares of fifty".
[5] Subs. by Ord. 52 of 1960, s. 3 for the colon.
[6] Proviso omitted *ibid.*
[7] Subs. by the National Bank of Pakistan (Amdt.) Act, 1973 (11 of 1973), s. 6, for "Central Government".
[8] The original words "and subject to the provision of the proviso to sub-section (2)," omitted by the National Bank of Pakistan (Amdt.) Ordinance, 1960 (52 of 1960), s. 2.

7. Branch registers.—(1) The Bank shall cause to be maintained at the offices of its Local Boards branch registers of the shareholders qualified and entitled to be registered therein, containing such particulars as may be prescribed.

(2) Subject to the provisions of this Ordinance shares shall be transferable from one branch register to another.

8. Qualifications of shareholders.—(1) No person shall be qualified to be registered as a shareholder who by reason of anything contained in any law for the time being in force is not competent to enter into any contract.

(2) A person who subsequent to his registration, is discovered to have been not qualified as aforesaid at the time of registration shall not be entitled to exercise any of the rights of a shareholder otherwise than for the purpose of the sale of his shares under the orders of a competent Court.

(3) (a) A shareholder shall be entitled to be registered in any area defined in sub-section (5) in which he ordinarily resides or has his principal place of business.

(b) A shareholder who neither resides nor has a place of business in the areas defined in sub-section (5) shall be registered in such branch register as the Central Board [1][may from time to time].

(c) No person shall be registered as a shareholder in more than one branch register.

[2][* * * * * * *]

[3][(5) The area served by the branch register maintained at Karachi shall consist of the [4][the Provinces of Sind and Baluchistan including the Provincially Administered Tribal Areas; [5][and] the area served by the branch register maintained at Lahore shall consist of the Provinces of the Punjab and North West Frontier including the Provincially Administered Tribal Areas, [5][and] the Islamabad Capital Territory and the [6][Federally] Administered Tribal Areas] [5][* * *].

9. Central Government a shareholder.—Notwithstanding anything contained in section 8, the Central Government shall be a shareholder of the Bank and shall purchase at par not less than twenty-five percent of the shares issued by the Bank from time to time.

10. No notice to be taken of trusts.—No notice of any trust, express, implied or constructive shall be entered on the principal or any branch register or be receivable by the Bank.

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CHAPTER IV
MANAGEMENT

11. Head office of the Bank.—The Head Office of the Bank shall be at Karachi.

12. Central Board.—The general superintendence and direction of the affairs and business of the Bank shall be entrusted to the Central Board which may exercise all powers and do all such acts and things as may be exercised or done by the Bank and are not by this Ordinance expressly directed or required to be done by the Bank in general meeting.

13. Local Boards.—[7][Two] Local Boards shall be established for the areas mentioned in sub-section (5) of section 8, one each at [8][Karachi] and Lahore, and shall without prejudice to the powers conferred by section 12, have power, within the prescribed limits, generally to transact all the usual business of the Bank.

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[1] Subs. by the National Bank of Pakistan (Amdt.) Ordinance, 1960 (52 of 1960), s. 4 for certain original words.
[2] Omitted by the Federal Laws (Revision and Declaration) Ordinance, 1981 (27 of 1981), s. 3 and Sch. II.
[3] Subs. by the National Bank of Pakistan (Amdt.) Ordinance, 1960 (52 of 1960), s. 4, for the original sub-section (5), as amended by the Federal Laws (Revision and Declaration), Act, 1951 (26 of 1951), and the Central Laws (Statute Reforms), Ordinance, 1960 (21 of 1960).
[4] Subs. by the National Bank of Pakistan (Amdt.) Act, 1973 (11 of 1973), s. 2.
[5] Ins. and omitted by F.A.O., 1975, Art. 2 and Sch.
[6] Subs. *ibid.*, Art. 2 and Table.
[7] Subs. by F.A.O., 1975, Art. 2 and Sch., for "three".
[8] Subs. *ibid.*, for "Karachi, Dacca".

[1]**14. Constitution of the Central Board.**—(1) The Central Board shall consist of the following Directors, namely:—

(a) the Managing Director appointed by the [2][Federal Government] under section 16;

[3][(b) four Directors elected in local or special local meetings by the shareholders in such manner that the shareholders registered in a branch register maintained for an area mentioned in sub-section (5) of section 8 shall elect from amongst themselves such number of Directors for that area as may be decided before election by the Central Government having regard to the proportion which the share capital subscribed by the shareholders of that area bears to the whole:

Provided that the Federal Government may, at any time, by order in writing, direct that, for such period as may be specified in the order, no Director Shall be elected for any area so specified, and, where it makes such an order, shall allocate to the other areas the seats of the Directors who would have been elected for that area had no such order been made;]

[4][(c) Five Directors appointed by the Federal Government:]

(2) The [4][Chairman] of the Central Board shall be appointed by the [5][Federal Government] from amongst the Directors.

15. Constitution of Local Boards.—A Local Board shall consist of the following members, namely:—

(a) the Managing Director [6][* * *]:

Provided that in the event of the inability of [7][Managing Director] to attend the meeting of a Local Board [8][he] may nominate an officer of the Bank to attend as an *ex-officio* Member;

(b) one Member appointed by the Central Board from amongst the Directors elected by the shareholders registered in the branch register of that area;

(c) two Members appointed by the [5][Federal Government] from the area in which the Local Board is established;

(d) [9][three] Members elected in a local or special local meeting from amongst themselves by the shareholders registered in the branch register of that area.

16. Managing Director and Deputy Managing Directors.—[10][(1) The Managing Director shall be appointed by the [2][Federal Government] for a period not exceeding [11][five] years and on such salary and terms and conditions of service as the [2][Federal Government] may determine:

Provided that neither the salary nor the terms and conditions of service shall be varied to his disadvantage during his tenure of office [12][:]]

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[1] For notification under this section, *see* Gaz. of P., 1953, Ext., p. 299.
[2] Subs. by the National Bank of Pakistan (Amdt.) Act, 1973 (11 of 1973), s. 6, for "Central Government".
[3] Subs. *ibid.*, s. 3.
[4] Subs. by the National Bank of Pakistan (Amdt.) Act, 1973 (11 of 1973), s. 3.
[5] Subs. *ibid.*, s. 6, for "Central Government".
[6] The original words "or a Deputy Managing Director" omitted by the National Bank of Pakistan (Amdt.) Ordinance, 1960 (52 of 1960), s. 6.
[7] Subs. *ibid*., for "either of them".
[8] Subs. *ibid*., for "the Managing Director".
[9] Subs. *ibid*., s. 6, for "two".
[10] Subs. by the National Bank of Pakistan Ordinance (Amdt.) Act, 1953 (29 of 1953), s. 2 for the original sub-section (1).
[11] Subs. by the National Bank of Pakistan (Amdt.) Ordinance, 1960 (52 of 1960), s. 7, for "three**".**
[12] Subs. ibid., for full-stop.

[1][Provided further that the appointment may be terminated by six months' notice in writing given by the [2][Federal Government] to him or by him to the [2][Federal Government.]

[3][* * * * * * *]

(3) The Managing Director [4][* * *] shall on the expiry of [5][his term] of office be eligible for re-appointment:

Provided that no person shall hold office as Managing Director [6][* * *] who is a member of the [7][Federal] or a Provincial Legislature.

[8][(4) The Managing Director shall be the chief executive officer of the Bank and shall, subject to any bye-laws made in this behalf, direct and control, on behalf of the Central Board, the affairs of the Bank.].

17. Qualifications and disqualifications of Directors and Members.—(1) No person not appointed by the [2][Federal Government] to serve as a Director or Member shall be qualified to serve as a Director or Member unless he is a holder in his own right of unencumbered shares of the Bank to the nominal amount of ten thousand rupees at the least.

(2) No person shall be qualified to serve as a Director or Member—

[9][* * * * * * *]

[10][*]

(b) if he is a salaried officer of any Government [11][,whether within or without Pakistan, and is] not authorised by the [2][Federal Government] to serve as a Director or Member [12][;]

[13][(c) if he has been convicted of an offence involving moral turpitude;

(d) if he was at any time in the service of the Bank and was dismissed or his services had been terminated by the bank;

(e) if he is a Director of any commercial bank other than a bank sponsored or established by or under the authority of the [2][Federal Government] or the State Bank of Pakistan for the development of industry or agriculture in the country, or a bank which is a society registered under the Cooperative Societies Act, 1912 (Act II of 1912) or any other law for the time being in force in Pakistan relating to co-operative societies;

(f) if he is in the employment of any banking company, whether on salary or on commission, or is engaged in the performance of any continuous service for remuneration for any such company; [14]*

[1] Second proviso added . by the National Bank of Pakistan (Amdt.) Ordinance, 1960 (52 of 1960), s.7
[2] Subs. by the National Bank of Pakistan (Amdt.) Act, 1973 (11 of 1973), s. 6, for "Central Government".
[3] Sub-section (2) omitted *ibid*.
[4] The original words "and Deputy Managing Director" omitted *ibid.*
[5] Subs. ibid. for "their respective terms".
[6] The original words "or Deputy Managing Director" omitted *ibid*.
[7] Subs. by F.A.O., 1975, Art. 2 and Table, for "Central".
[8] Added by the National Bank of Pakistan (Amdt.) Ordinance, 1970 (14 of 1970), s. 3.
[9] The original cl. (a) omitted by the National Bank of Pakistan (Amdt.) Ordinance, 1962 (61 of 1962), s. 2.
[10] The original word "or" omitted by the National Bank of Pakistan (Amdt.) Ordinance, 1960 (52 of 1960), s. 8.
[11] Subs. *ibid.*, "in Pakistan".
[12] Subs. *ibid.*, for full-stop.
[13] New cls. (c) to (g) added, *ibid.*
[14] Omitted by the National Bank of Pakistan (Amdt.) Ordinance, 1970 (14 of 1970), s. 4.

[1][(g) if he is for the time being disqualified for membership of any body established by or under any law (P.O 13 of 1959) for the time being in force of which the Constituent members are wholly or partly chosen by means of election [2][;]

[2][(h) if having been a Director or Member, his office as such has been vacated, or deemed to be vacated under the provisions of clause (h) of sub-section (3); or

(i) If he has vacated his office as Director or, as the case may be, Member under clause (i) of sub-section (3) unless a period of three years has elapsed since the date he so vacated his office.].

(3) The office of a Director or Member shall be vacated—

(a) if the person holding it resigns his office or dies;

(b) if he accepts or holds any other office of profit under the Bank;

(c) if he is, or at any time has been, adjudicated an insolvent, or compounds with his creditors or suspends payment;

(d) if he is found lunatic, or becomes of unsound mind;

(e) if he has absented himself from three consecutive meetings of the Central or a Local Board, as the case may be, or from all such meetings for a continuous period of six months, whichever is longer, without leave of absence from the Board concerned; [3][*]

(f) if he ceases to hold in his own right the amount of shares required to qualify him for the office [4][;] [5][*]

[6][(g) if he incurs any of the disqualifications mentioned in sub-section (2) [7][;]

[8][(h) if, in relation to the Bank he has failed to pay any advance, loan or credit limit or any installment thereof or interest thereon, or any amount due on any guarantee, or to do or perform any act agreed or undertaken in writing to be done or performed by him, and such failure continues for a period of one month after notice in writing has been served on him by the Bank calling upon him to make the payment or to do or perform the act; or

(i) if he has been a Director or Member for a continuous period of six years from the date when he was first elected as such Director or Member or, as the case may be, was appointed by name and otherwise than by designation of office, as such Director or Member.]

[9][*Explanation.*— In computing the period of six years for the purpose of this clause any break of less than three years in the continuity of office shall be disregarded.].

(4) No two persons who are partners of the same mercantile firm, or who are directors of the same private company, or one of whom is the general agent of, or holds a power of procuration from the other or from a mercantile firm of which the other is a partner, shall be eligible or qualified to serve as Directors of the Central Board, or as Members of the same Local Board at the same time [10][:]

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[1] Subs. by the Federal Laws (Revision and Declaration) Ordinance, 1981 (27 of 1981), s. 3 and II Sch.
[2] Subs. and added by Ord. 14 of 1970, s. 4.
[3] The original word "or" omitted by the National Bank of Pakistan (Amdt.) Ordinance, 1960 (52 of 1960), s. 8.
[4] Subs. *ibid*., for full-stop.
[5] The word "or" which was added *ibid.*, have been omitted by the National Bank of Pakistan (Amdt.) Ordinance, 1970 (14 of 1970), s. 4.
[6] Cl. (g) added *ibid.*
[7] Subs. by Ord. 14 of 1970, s. 4.
[8] Added, *ibid.*
[9] Added by the National Bank of Pakistan (Amdt.) Act, 1973 (11 of 1973), s. 4.
[10] Subs. omitted and added by the National Bank of Pakistan (Amdt.) Ordinance, 1970 (14 of 1970), s. 4.

[1][* * * * * * *]

[1][(5) Nothing in sub-section (1), or in clause (b) of sub-section (2), or in clauses (b) and (i) of sub-section (3) shall apply to the Managing Director or an officer nominated by the Managing Director or an officer nominated by the Managing Director under the proviso to clause (a) of section 15.].

18. Removal of Directors and Members.—(1) The shareholders may, by a special resolution passed by the votes of shareholders holding in the aggregate more than one half of the paid-up capital for the time being, removed any Director, other than a Director appointed by the [2][Federal Government], before the expiration of his period of office, and appoint in his stead a qualified person who shall hold office subject to sub-section (2) of section 21.

(2) The shareholders on a branch register may, by a special local resolution passed by the votes of shareholders holding in the aggregate more than one half of the paid-up capital for the time being on the branch register concerned, remove any Member, other than a Member appointed by the [2][Federal Government] or the Central Board of the Local Board concerned, before the expiration of his period of office, and appoint in his stead a qualified person who shall hold office subject to sub-section (2) of section 21.

(3) Directors and Members appointed by the [2][Federal Government] and the Central Board may be removed and replaced by other Director and Members at the discretion of the appointing authorities concerned.

19. *[First Constitution of the Central and Local Boards.] Omitted by the National Bank of Pakistan (Amdt.) Ordinance, 1960 (52 of 1960), s. 9.*

20. Terms of office of Directors and Members.—(1) [3][At every general meeting] one third of the [4][elected] Directors and Members for the time being, or if their number is not three or a multiple of three then the number nearest to one third, shall retire from office [5][; but the retired Director or Members shall, subject to the provisions of section 17, be eligible for re-election].

(2) The Directors and Members to retire at every general [6][* *] meeting shall be those who have been longest in office, and as between those Directors and Members who are to retire and who have been in office for an equal length of time the Director and Member to retire shall in default of agreement amongst themselves be determined by lot, the length of time a Director or Member has been in office being subject to subsection (2) of section 21, computed from his last election.

[7][* * * * * * *]

[8][(3) A Director or Member appointed by the Federal Government, other than the Managing Director, shall hold office during the pleasure of the Federal Government.

(4) A Member appointed by the Central Board shall cease to hold office when he ceases to be a Director.]

21. Vacancies.— (1) Any vacancy occurring on the Central or a Local Board by the death, resignation [9][, removal] or disqualification of any Director or Member shall be filled by the remaining Directors or Members, as the case may be, who shall co-opt a duly qualified person to fill the vacancy:

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[1] Subs. omitted and added by the National Bank of Pakistan (Amdt.) Ordinance, 1970 (14 of 1970), s. 4.
[2] Subs. by Act 11 of 1973, s. 6, for "Central Government".
[3] Subs. by the National Bank of Pakistan (Amdt.) Ordinance, 1960 (52 of 1960), s. 10, for certain original words.
[4] Ins. by the National Bank of Pakistan Ordinance (Amdt.) Act, 1953 (29 of 1953), s. 3.
[5] Added by the National Bank of Pakistan (Amdt.) Ordinance, 1970 (14 of 1970), s. 5.
[6] The original words "and local" omitted by Ordinance 52 of 1960, s. 10.
[7] Sub-section (2A) which was originally inserted by Ord. 52 of 1960, s. 10 have been omitted by Ord. 14 of 1970, s. 5.
[8] The original sub-section (3) which was subs. by Ord. 14 of 1970, s. 5 has been subs. by the National bank of Pakistan (Amdt.) Act, 1973 (11 of 1973), s. 5.
[9] Ins. by the National Bank of Pakistan (Amdt.) Ordinance, 1960 (52 of 1960), s. 11.

Provided that where a vacancy occurs in the office of a Director or Member appointed by the [1][Federal Government] or the Central Board, the vacancy shall be filled only by appointment by the [1][Federal Government] or the Central Board, as the case may be.

(2) Any Director or Member so [2]* * appointed shall be deemed to have held office from the date on which the Director or Member in whose place he is [2][* *] appointed was [3][* *] appointed, or, when such Director or Member was co-opted or appointed under this sub-section, from the date on which his mediate or immediate predecessor was [2][* *] appointed, as the case may be.

[4][(3) Any Director or Member co-opted under sub-section (1) shall retire at the next general or local meeting, as the case may be, and the vacancy so occurring on the Central or a Local Board shall be filled by election as provided in clause (b) of sub-section (1) of section 14 or clause (d) of section 15, as the case may be.]

22. General and Special meetings.—(1) In the first week of March in every year, or as soon thereafter as is convenient, a general meeting shall be held annually in rotation at the towns where the Local Boards are established, at such time as may be determined by the Central Board and at the meeting the [5][shareholders present shall be entitled to discuss the annual account, the report of the Central Board on the working of the Bank throughout the year, and the auditors report on the annual balance sheet and accounts, made up to the preceding thirty-first day of December].

Provided that the first general meeting shall be held at Karachi.

(2) Special meetings shall be convened and held in such manner and at such time and place as may be prescribed.

23. Local and special local meetings.—Local and special local meetings shall be convened and held in such manner and at such time and place as may be prescribed.

24. Votes of shareholders.—(1) Every shareholder shall be entitled to attend any meeting and each shareholder who has been registered as such for a period of not less than three months prior to the date of such meeting shall when present in person and on a show of hands, have one vote; and on a poll each shareholder so registered for a like period shall have one vote for every ten shares [6][, subject to a maximum of [7][ten] votes]:

Provided that no shareholder shale be entitled to vote at any meeting unless all calls or other sums presently payable by him in respect of shares of the Bank have been paid.

[8][(2) On a poll votes may be given either personally or by proxy, but the [4][Federal Government], as a shareholder may appoint any person to be present at any general meeting and to vote on its behalf.].

CHAPTER V

BUSINESS OF THE BANK

25. Business which the Bank is authorised to transact.—The Bank is authorised to carry on and transact the 13 several kinds of business hereinafter specified, namely:—

(1) the advancing and lending of money, and opening of cash-credits upon the security of—

(a) stocks, funds and securities [9][* * *] in which a trustee is authorised to invest trust money by any law for the time being in force in Pakistan and shares of the State Bank of Pakistan;

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[1] Subs. by the National Bank of Pakistan (Amdt.) Act, 1973 (11 of 1973), s. 6, for "Central Government".
[2] The original words "co-opted or" omitted by Ordinance, 52 of 1960, s. 11.
[3] The original words "elected or" omitted *ibid.*
[4] Sub-section (3) added, *ibid.*
[5] Subs. *ibid.*, s. 12, for certain original words.
[6] Ins . by the National Bank of Pakistan (Amdt.) Ordinance, 1960 (52 of 1960), s.13
[7] Subs. by the National Bank of Pakistan (Amdt.) Ordinance, 1970 (14 of 1970), s. 6 for "fifty".
[8] Sub-section (2) subs. *Ibid.*
[9] The original brackets and words "(other than immoveable property)" omitted by the National Bank of Pakistan (Amdt.) Ordinance, 1960, (52 of 1960), s. 14.

(b) debentures or other securities for money issued under the authority of any law or a time being in force in Pakistan by, or on behalf of, a port trust authority or a district board or a municipal board or committee [1][* * *];

(c) goods which, or the documents of title to which, are deposited with, or assigned to, the Bank as security for such advances, loans or credits;

(d) subject to such directions as may be issued by the Central Board, debentures of companies with limited liability;

(e) shares of companies with limited liability, in accordance with such directions in this regard as may be issued from time to time by the State Bank of Pakistan;

(f) goods which are hypothecated to the Bank as security for such advances, loans or credits [2][* * *];

(g) accepted bills of exchange and promissory notes endorsed by the payees and joint and several promissory notes of two or more persons or firms unconnected with each other in general partnership; [3][*]

[4][(h) immovable property or documents of title relating thereto, subject to such directions as may be issued by the Central Board;]

[5][(i) subject to such directions as may be issued by the Central Board, tea crops;]

Provided that any advances or loans which are guaranteed by the [6][Federal Government] or any Provincial Government in Pakistan may be made without any specific security;

(2) the selling and realisation of proceeds of sale of any such promissory notes, debentures, stock receipts, bonds, annuities, stocks, shares, securities or goods which, or the documents of title to which, have been deposited with, or pledged, hypothecated, assigned or transferred to, the Bank as security for such advances, loans or credits or which are held by the Bank or over which the Bank is entitled to any lien or charge in respect of any such advance or loan or credit or any debt or claim of the Bank, and which have not been redeemed in due time in accordance with the terms and conditions (if any) of such deposit, pledge, hypothecation, assignment or transfer;

(3) the advancing and lending of money to Courts of Wards upon the security of estates in their charge or under their superintendence and the realisation of such advances or loans and any interest due thereon:

Provided that no such advance or loan shall be made without the previous sanction of the Provincial Government concerned;

(4) the drawing, accepting, discounting, buying and selling of bills of exchange and other negotiable securities;

[7][(5)the investing of the funds of the Bank in or the underwriting of, any stocks, funds, shares, securities, debentures, bonds or scripts or other securities for money issued by any public limited company or any corporation established by or under any law for the time being in force or under the authority of the [6][Federal Government] or the State Bank of Pakistan, and converting the same into money when required, and altering, converting and transposing any such investment for or into any other of such investments;]

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[1] Omitted by the Federal Laws (Revision and Declaration) Ordinance, 1981 (27 of 1981), s. 3 and II Sch.
[2] The original comma and words ", if so authorised by special directions of the Central Board" omitted by Ordinance, 52 of 1960, s. 14.
[3] The original word "and" omitted by the National Bank of Pakistan (Amdt.) Ordinance, 1960 (52 of 1960), s. 14.
[4] Subs. *ibid.*, for the original sub-clause (h).
[5] New sub-clause (i) added, *ibid.*
[6] Subs. by the National Bank of Pakistan (Amdt.) Act, 1973 (11 of 1973), s. 6, for "Central Government".
[7] Sub-section (5) which was previously amended by the National Bank of Pakistan (Amdt.) Ordinance, 1960 (52 of 1960), s. 14 have been subs. by the National Bank of Pakistan (Amdt.) Ordinance, 1970 (14 of 1970), s. 7.

(6) the issuing of letters of credit;

(7) the buying and selling of gold and silver whether coined or uncoined;

(8) the receiving of deposits and keeping cash accounts on such terms as may be agreed on;

(9) the acceptance of the charge of plate, jewels, titledeeds or other valuable goods o such terms as may be agreed on;

(10) the [1][managing,] selling and realising of all property whether movable or immovable which may in any way come into the possession of the Bank in satisfaction or part satisfaction of any of its claims, and the acquisition and holding of, and generally the dealing with, any right, title or interest in any property movable or immovable which may be the Bank's security for any advance or loan or may be connected with any such security [2][:]

[3][Provided that the Bank shall not take over the management of any such property except in pursuance of an agreement with the debtor or of an order, judgment or decree of a court of competent jurisdiction;]

(11) the transacting of pecuniary agency business on commission and the entering into of contracts of indemnity, suretyship or guarantee with specific security or otherwise [4][, and the under-writing, participating in, and carrying out of the issue of any stock, shares, debentures and other securities];

(12) the administration of estates for any purpose whether as an executor, trustee or otherwise and the acting as agent on commission in the transaction of the following kinds of business, namely:—

(a) the buying, selling, transferring and taking charge of any securities or any shares in any public company;

(b) the receiving of the proceeds whether principal, interest or dividends, of any securities or shares;

(c) the remittance of such proceeds by public or private bills of exchange, payable either in Pakistan or elsewhere;

(13) the drawing of bills of exchange and the granting of letters of credit payable out of Pakistan;

(14) the buying of bills of exchange payable out of Pakistan;

(15) the borrowing of money for the purpose of the Bank's business, and the giving of security for money so borrowed by pledging assets or otherwise;

(16) the paying, receiving, collecting and remitting money, bullion and securities under any agreement with the State Bank of Pakistan as its agent on behalf of any Government in Pakistan, or undertaking and transacting any business which the State Bank of Pakistan may from time to time entrust to it;

(17) the establishing and discontinuing of branches and agencies;

(18) the acquiring, maintaining and transferring of the Bank's residential and business premises;

(19) the taking over of the business, including the capital assets and liabilities of any other bank, with the sanction of the [5][Federal Government];

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[1] Ins. by the National Bank of Pakistan (Amdt.) Ordinance, 1960 (52 of 1960), s. 14.
[2] Subs. *ibid.*, for semi-colon.
[3] Proviso added *ibid.*
[4] Added by the National Bank of Pakistan (Amdt.) Ordinance, 1962 (61 of 1962), s. 3.
[5] Subs. by the National Bank of Pakistan (Amdt.) Act, 1973 (11 of 1973), s. 6, for "Central Government".

(20) the granting of advances or loans to any other bank for the purpose of averting or facilitating its winding up; [1][*]

[2][* * * * * * *]

[3][(21) with the previous permission in writing of the State Bank of Pakistan,—

(a) the investing of the funds of the Bank in any bank incorporated outside Pakistan, and

(b) participating in the management and administration of any such bank in which the funds of the Bank have been invested; and]

(22) generally, the doing of all such matters and things as may be incidental or subsidiary to the transacting of the various kinds of business including foreign exchange business hereinbefore specified.

26. Business which the Bank is not authorised to transact.—The Bank shall not transact any kind of banking business other than those specified in section 25, and in particular—

[4][(1) the Bank shall not make any advance or loan upon the security of its shares;]

[5][* * * * * * *]

(2) the Bank shall not discount or buy or advance or lend to any individual or partnership-firm an amount exceeding in the whole at any one time such sum as may be prescribed;

(3) the Bank shall not discount or buy or advance or lend or open cash-credits on the security of any negotiable instrument of any individual or partnership-firm, payable in the town or at the place where it is presented for discount, which does not carry on it the several responsibilities of at least two persons or firms unconnected with each other in general partnership:

Provided that nothing in this section shall be deemed to prevent the Bank from [6][granting overdrafts and loans], without security, to such extent as may be prescribed [7][;]

[7][(4) the Bank shall not grant to any person who has been elected or appointed as a Director or Member and for so long as he continues to hold that office any advance, loan, credit limit, guarantee or other facilities, or alter to his advantage the terms and conditions of any advance, loan, credit limit, guarantee or other facilities granted before his election or appointment as a Director or Member :

Provided that nothing in this clause shall prevent the Bank from continuing or renewing any such advance, loan, credit limit, guarantee or other facilities as may have already been granted to such person before his election or appointment as a Director or Member.].

[8]**[26A. Exceptions**—Notwithstanding anything contained in sections 25 and 26 the Bank is authorised to—

(1) grant advances or loans to its officers and staff for the purpose of building residential houses, including the cost of land, on such security, including immovable property, and on such terms and conditions and for such periods as may be prescribed;

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[1] The word "and" which was added by the National Bank of Pakistan (Amdt.) Ordinance, 1960 (52 of 1960), s. 14, has been omitted by the National Bank of Pakistan (Amdt.) Ordinance, 1963 (5 of 1963), s. 2.
[2] The original cl. (21) omitted by Ordinance 52 of 1960, s. 14
[3] New cl. (21) ins. by the National Bank of Pakistan (Amdt.) Ordinance, 63 (5 of 1963), s. 2.
[4] Subs. by the National Bank of Pakistan (Amdt.) Ordinance, 1970 (14 of 1970), s. 8. for original sub-section. (1)
[5] The original sub-clause (c) omitted, by the National Bank of Pakistan (Amdt.) Ordinance, 1960 (52 of 1960), s. 15.
[6] Subs. by the National Bank of Pakistan (Amdt.) Ordinance, 1960 (52 of 1960), s. 15, for "allowing any person who keeps an account with the Bank of overdraw such account".
[7] Subs. and added by the National Bank of Pakistan (Amdt.) Ordinance, 1970 (14 of 1970), s. 8.
[8] Subs. *ibid.*, s. 16, for section 26A which was ins. by the National Bank of Pakistan Ordinance (Amdt.) Act, 1953 (29 of 1953), s.4.

[1][(1a) grant advances or loans, or any period exceeding one year but not exceeding five years, to such small and medium industries as may, from time to time, be specified by the Central Board on such terms and conditions as may be prescribed:

Provided that the amount of advances and loans outstanding at any time under this clause shall not exceed five percent of the total amount of bank deposits at such time;]

(2) grant or subsidise, from time to time, pensions, gratuities, bonuses or other funds created for the benefit of its officers and staff or their dependents;

(3) contribute to the promotion of research in banking and allied subjects; and

(4) donate funds for any charitable objects or to any charitable institutions or societies.]

CHAPTER VI
MISCELLANEOUS

27. Auditors.—(1) Not more than two auditors who shall be Registered Accountants shall be elected and their remuneration fixed at the general meeting. The auditors may be shareholders, but no Director or Member or other officer of the Bank shall be eligible during his continuance in office. Any auditor shall be eligible on quitting office for re-election.

(2) The first auditors of the Bank may be appointed and their remuneration fixed by the Central Board before the general meeting and if so appointed shall hold office only until the first general meeting. All auditors elected under this section shall severally be and continue to act as auditors until the first general meeting after their respective elections:

Provided that if any casual vacancy occurs in the office of any auditor elected under this section, the vacancy may be filled by the Central Board.

28. Government auditors.—Without prejudice to anything contained in the foregoing provisions, the [2][Federal Government] may appoint such auditors as it thinks fit to examine and report upon the accounts of the Bank.

29. Rights and duties of auditors.—(1) Every auditor shall be supplied with a copy of the annual balance sheet and statement of profit and loss and it shall be his duty to examine the same, with the accounts and vouchers relating thereto. Every auditor shall have list livered to him of all books kept by the Bank, and shall at all reasonable times have access to the books, accounts and other documents of the Bank, and may, at the expense of the Bank if appointed by it, and at the expense of the [1][Federal Government] if appointed by it, employ accountants or other persons to assist him in investigating such accounts, and may, in relation to Such accounts examine any Director, or any Member or any other officer of the Bank.

(2) The auditors shall make a report to the shareholders or to the [2][Federal Government] as the case may be, upon the annual balance sheet, the statement of profit and loss and accounts, and in every such report they shall state whether, in their opinion, the balance sheet and the statement of profit and loss are full and fair statements containing the prescribed particulars and properly drawn up so as to exhibit a true and correct view of the state of the Bank's affairs, and in case they have called for any explanation or information from the Central Board or a Local Board, whether it has been given and whether it is satisfactory. Any such report made to the shareholders shall be read together with the report of the Central Board at the general meeting.

30. Acceptance of liabilities —The Bank shall accept and honour all liabilities, obligations and commitments incurred and made by the Promotors Company, Limited, formed to provide for the establishment of the Bank in accordance with the rights and powers with which that Company, is invested by its Memorandum of Association.

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[1] New cl. (1a) ins. by the National Bank of Pakistan (Amdt.) Ordinance, 1962 (61 of 1962), s. 4.
[2] Subs. by the National Bank of Pakistan (Amdt.) Act, 1973 (11 of 1973), s. 6, for "Central Government"

31. Liquidation of the Bank.—Nothing in the Companies Act, 1913 (VII of 1913), shall apply to the Bank, and the Bank shall not be placed in liquidation save by order of the [1][Federal Government], and in such manner and under such terms and conditions, including the terms as to calls on and forfeiture of shares, as the [1][Federal Government] may by its order of liquidation direct.

32. Power of the Central Board to make bye-laws.—(1) The Central Board may, with the previous approval of the [1][Federal Government], make bye-laws not inconsistent with this Ordinance to provide for all matters for which provision is necessary or convenient for the purpose of giving effect to the provisions of this Ordinance.

(2) In particular and without prejudice to the generality of the foregoing provisions, such bye-laws may provide for all or any of the following matters, namely :—

(i) the maximum amounts which may be advanced or lent to, or for which bills may be discounted for or purchased from, any individual or partnership-firm with or without security;

(ii) the conditions subject to which alone advances may be made to Directors, Members or [2][*] officers [3][or other staff] of the Bank, or the relative of such Directors, Members or officers, [4][or other staff] or to companies, firms or individuals with which or with whom such Directors, Members, officers [4][or other staff] or relatives are connected as partners, directors, managers, servants, shareholders or otherwise;

(ii) the manner in which and the conditions subject to which the Bank may take over the business, including the capital, assets and liabilities, of any other bank;

(iii) the granting of advances or loans to any other bank for the purpose of averting or facilitating its winding up;

(iv) the procedure and manner in which the capital of the Bank may be increased or reduced;

(vi) the acquisition, maintenance and transfer of the Bank's residential and business premises;

(vii) the contents, maintenance, inspection and closure of the principal and branch registers of shareholders;

(viii) the books and accounts to be kept at the various offices of the Bank;

(ix) the balancing of accounts and ascertainment of profit and loss;

(x) the form and manner in which the balance sheet and the statement of profit and loss shall be drawn up;

(xi) the determination and payment of dividend and transfer of profits to reserves;

(xii) the preparation and transmission of returns to the Registrar of Joint Stock Companies and to the [1][Federal Government];

(xiii) the evidentiary value, form, issue and renewal of certificates of shares;

(xiv) the calls on shares, the payment of such calls, joint and several liabilities of shareholders respect of such calls, the Bank's lien on the manner of its enforcement, the application of proceeds of sale;

[1] Subs. by the National Bank of Pakistan (Amdt.) Act, 1973 (11 of 1973), s. 6, for "Central Government".
[2] The word "other" omitted by the National Bank of Pakistan Ordinance (Amdt.) Act, 1953 (29 of 1953), s. 5.
[3] Ins. *ibid.*
[4] Ins. by the National Bank of Pakistan Oridnance (Amdt.) Act, 1953 (29 of 1953), s. 5.

(xv) the manner in which and the conditions subject to which shares may be allotted, held, transferred and transmitted and generally all matters relating to the rights and duties of shareholders;

(xvi) the manner in which general and special meetings shall be convened and held, the quorum thereat, the procedure to be followed at such meetings, the manner in which votes may be exercised and the appointment and election of Chairmen of such meetings;

(xvii) the manner in which local and special local meetings shall be convened and held, the quorum thereat, the procedure to be followed at such meetings, the manner in which votes may be exercised and the appointment and election of Chairmen of such meetings;

(xviii) the powers exercisable by local and special local meetings;

(xix) the holding and conduct of elections under this Ordinance;

(xx) the final decisions on doubts and of disputes regarding the qualifications of candidates, or the validity of elections;

(xxi) the manner in which meetings of the Central and Local Boards shall be convened and held, their quorum, the procedure to be followed at such meetings, votes of Directors, Members and ex officio Members and the manner in which they may be exercised, and the appointment or and election of Chairmen of such Boards;

(xxii) the effect of vacancies in the Central or Local Boards and of subsequent discovery of disqualifications of a Director or Member;

(xxiii) the obligations and immunities of Directors and Members and their remuneration, if any;

(xxiv) the distribution of business amongst the Directors and Member, and their remuneration, if any;

(xxv) the powers of the Local Boards and the limits within which they shall exercise such powers;

(xxvi) the delegation of any powers of the Central or Local Boards to committees consisting of Directors or Members, as the case may be, and the conduct of business in such committees;

(xxvii) the establishment and discontinuance of branches and agencies in Pakistan or elsewhere and the nature and extent of the business any branch or agency may transact;

(xxviii) the recruitment of officers and staff of the Bank including the terms and conditions of their service, and the constitution and management of staff and superannuation funds for the officers and servants of the Bank;

(xxix) the authority to draw, accept, endorse and execute documents on behalf of the Bank;

(xxx) the provision of common and official seals of the Bank and the manner and effect of their use;

(xxxi) the manner and form in which contracts binding on the Bank may be executed;

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(xxxii) the conduct [1][, institution] and defence of legal proceedings and the manner of signing pleadings;

(xxxiii) the addresses of shareholders and the issue and service of notices;

(xxxiv) the service of notice on the Bank; and

(xxxv) generally, for the efficient conduct of the business, discharge of functions and management of the Bank.

33. *[Transitional provisions.] Omitted by the National Bank of Pakistan (Amdt.) Ordinance, 1960 (52 of 1960), s. 18.*

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[1] Ins. by the National Bank of Pakistan (Amdt.) Ordinance, 1960 (52 of 1960), s. 17.

THE MODARABA COMPANIES AND MODARABA (FLOATATION AND CONTROL) ORDINANCE, 1980.

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THE MODARABA COMPANIES AND MODARABA (FLOATATION AND CONTROL) ORDINANCE, 1980

ORDINANCE No. XXXI OF 1980

[26th June, 1980]

An Ordinance to provide for matters relating to registration of modaraba companies and the floatation, management and regulation of modarabas.

WHEREAS it is expedient to provide for matters relating to registration of modaraba companies and the floatation, management and regulation of modarabas and for matters connected therewith or ancillary thereto;

AND WHEREAS the President is satisfied that circumstances exist which render it necessary to take immediate action;

NOW, THEREFORE, in pursuance of the proclamation of the fifth day of July, 1977, read with the Laws (Continuance in Force) Order, 1977 *(C.M.L.A order No. 1 of 1977)*, and in exercise of all powers enabling him in that behalf, the President is pleased to make and promulgate the following Ordinance:—

PART I

PRELIMINARY

1. Short title, extent and commencement.— (1) This Ordinance shall be called the Modaraba Companies and Modaraba (Floatation and Control) Ordinance, 1980.

(2) It extends to the whole of Pakistan.

(3) It shall come into force at once.

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2. Definitions.— (1) In this Ordinance, unless there is anything repugnant in the subject or context,—

[1][(a) "Commission" means the Commission as defined in the Securities and Exchange Commission of Pakistan Act, 1997 (XLII of 1997);]

[1][(ab)] "modaraba" means a business in which a person participates with his money and another with his efforts or skill or both his efforts and skill and shall include Unit Trusts and Mutual Funds by whatever name called;

(b) "Modaraba Certificate" means a certificate of definite denomination issued to the subscriber of the modaraba acknowledging receipt of money subscribed by him;

(c) "modaraba company" means a company engaged in the business of floating and managing modaraba;

[1]Ins. and re-numbered by Act 4 of 1999, s.13.

(d) "Modaraba Fund" means a fund raised through floatation of modaraba;

(e) "prescribed" means prescribed by rules;

(f) "Registrar" means the Registrar appointed under section 3;

(g) "rules" means rules made under this Ordinance; and

(h) "Tribunal" means a Tribunal constituted under section 24.

(2) All terms and expressions used but not defined in Ordinance shall have the same meaning as in Companies Act, 1913 (VII of 1913).

3. Appointment of Registrar. The Federal Government may, by notification in the official Gazette, appoint a person to be the Registrar for the purpose of this Ordinance.

PART II

REGISTRATION OF MODARABA COMPANIES

4. No company to operate without registration. No Modaraba company shall operate without registration with the Registrar.

5. Eligibility for registration.—(1) A company shall be eligible for registration as a modaraba company if it fulfils the following condition, namely:—

(a) that it is registered under the Companies Act, 1913 (VII of 1913), or is a body corporate formed under any law in force and owned or controlled, whether directly or through a company or corporation, by the Federal Government or a Provincial Government;

(b) that, being a company solely engaged in the floatation and management of modaraba, it has a paid up capital of not less than [1][two and a half million] rupees;

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(c) that, none of its directors, officers or employees has been convicted of fraud or breach of trust or of an offence involving moral turpitude;

(d) that, none of its directors, officers or employees has been adjudged an insolvent or has suspended payment or has compounded with his creditors.

(e) that, its promotors are, in the opinion of the Registrar, persons of means and integrity and have knowledge of matters which the company, may have to deal with as a modaraba company; and

(f) that, being a company also engaged in business other than floatation and management of modaraba, it has paid up capital of such amount and of such nature as may be prescribed.

[1]Subs. by the Modaraba Companies and Modaraba (Floatation and Control) (Second Amendment) Act, 1985 (13 of 1985), s. 2.

6. Application for registration.— (1) A company which is eligible for registration as a modaraba company may make an application for registration to the Registrar in such form and with such documents as may be prescribed.

(2) The Registrar, if he is satisfied after such enquiry and after obtaining such further information as he may consider necessary that the applicant is eligible for registration and that it is in the public interest so to do, may grant registration to such company on such conditions as he may deem fit.

(3) In particular and without prejudice to the generality of the powers conferred by sub-section (2), such conditions may include—

(i) investments to be made;

(ii) information and returns to be furnished to the Registrar;

(iii) business to be undertaken; and

(iv) restriction on transfer of shares by promoters, sponsors or persons holding controlling interest.

———

PART III

PROVISIONS APPLICABLE TO MODARABAS

7. Types of modaraba.— (1) Modaraba may be of two descriptions—

(i) *Multipurpose Modaraba*: that is to say a modaraba having more than one specific purpose or objective.

(ii) *Specific purpose Modaraba:* that is to say a modaraba having one specific purpose or objective.

(2) A modaraba may be either for a fixed period or for an indefinite period.

8. Creation and maintenance of modaraba.—(1) A modaraba company registered under section 4 shall apply to the Registrar, in such form and with such documents as may be prescribed, for permission to float modaraba.

(2) An application for floatation of modaraba shall be accompanied by a prospectus which shall contain, *inter alia*, the following information, namely:—

(i) the name and type of the modaraba;

(ii) the conditions and amounts of the modaraba to be floated and the division thereof into Madaraba Certificate of fixed amount;

(iii) the business scheme, prospects and mode of distribution of profit;

(iv) the amount to be subscribed by the modaraba company to the modaraba in its own name supported by evidence about its ability to meet the commitment;

(v) the form of the Modaraba Certificate; and

(vi) such other matters as may be prescribed.

(3) The application, the prospectus and the documents filed therewith shall be authenticated by all the directors of the company.

9. Religious Board. The Federal Government shall, for the purposes of the Ordinance, constitute a Religious Board which shall consist of such members and shall have such functions, terms and conditions as may be prescribed.

10. Business of modaraba. No modaraba shall be a business which is opposed to the Injunctions of Islam and the Registrar shall not permit the floatation of a modaraba unless the Religious Board has certified in writing that the modaraba is not a business opposed to the Injunctions of Islam.

11. Authorization.—The Registrar may, after obtaining from the Religious Board a certificate to the effect mentioned in section 10 and on being satisfied that it is in the public interest so to do, grant a certificate in the prescribed form authorising the floatation of modaraba on such conditions as he may deem fit, including conditions as to the business to be undertaken, expenses relating to the management of the Modaraba Fund, preservation of assets and the matters relating to the mode of management and distribution of the profits;

Provided that, before issuing the certificate of authorization the Registrar may require the modaraba company to make such modifications, additions or omissions in the prospectus as the Religious Board may have indicated or as he may deem fit.

12. Modaraba to be a legal person.—(1) A Modaraba shall sue and be sued in its own name through the modaraba company.

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(2) The assets and liabilities of each modaraba shall be separate and distinct from those of another modaraba as also from those of the modaraba company.

13. Conditions applicable to modaraba.—(1) No allotment of Modaraba Certificates shall be made unless a prospectus approved by the Registrar has been issued and the minimum amount stated in the prospectus to be the amount which must be raised in order to provide for the business operation and expenses has been subscribed.

(2) All moneys received from the applicants for Modaraba Certificates for a modaraba shall be deposited and kept in a separate account in a scheduled bank as defined in the State Bank of Pakistan Act, 1956 (XXXIII of 1956) until they are refunded in accordance with the provisions of sub-section (3) or until it is certified by the Registrar that Modaraba Certificates have been allotted in an amount not less than the minimum amount referred to in subsection (1).

(3) If the subscription referred to in sub-section (1) has not been received by the date specified in the prospectus, all moneys received from the applicants shall be refunded to them within fifteen days of the said date and the modaraba company and the directors thereof shall be jointly and severally liable to repay the money which is not so refunded.

(4) The modaraba company shall issue Modaraba Certificates within thirty days from the date of allotment.

(5) The modaraba company shall maintain a register of holders of Modaraba Certificates in such form and in such manner as may be prescribed.

(6) The modaraba company shall maintain separate bank account, funds, assets and liabilities of each modaraba.

(7) No modaraba shall be liable for the liabilities, or be entitled to benefit from the assets, of any other modaraba or of the modaraba company.

(8) A Modaraba Certificate shall be transferable in the manner provided for the prospectus of the modaraba.

14. Preparation and circulation of annual accounts, reports, etc.— **(**1) The modaraba company shall, within six months from the close of the accounting year of the modaraba, prepare and circulate to the holders of Modaraba Certificates:-

(i) annual balance sheet and profit and loss account in such form and manner as may be prescribed;

(ii) a report of the auditor on the balance sheet and profit and loss account;

(iii) a report by the modaraba company on the state of affairs, activities and business prospectus of the modaraba and the amount of profits to be distributed to the certificate holders.

(2) In addition to the documents referred in sub-section (1), the modaraba company shall furnish to the Registrar and to the holders of Modaraba Certificates such reports, accounts and information as may be prescribed or as the Registrar may, at any time by an order in writing, require.

(3) The modaraba company shall submit five copies of the accounts, statements and reports referred to in sub-sections (1) and (2) to the Registrar simultaneously with the circulation of these documents to the holders of Modaraba Certificates.

15. Audit of accounts.—(1) The accounts of a modaraba shall be audited by an auditor who is a Chartered Accountant within the meaning of the Chartered Accountants Ordinance, 1961 (X of 1961), appointed by the modaraba company with the approval of the Registrar and such auditor shall have the same powers, duties and liabilities as an auditor of a company has under the Companies Act,

1913 (VII of 1913), and such other powers, duties and liabilities as are, or may be, provided in this Ordinance and the rules.

(2) In addition to other matters, the auditor shall also state in his report whether in his opinion the business conducted, investments made and expenditures incurred by the modaraba are in accordance with the objects, terms and conditions of the modaraba.

16. Prohibition of false statement, etc. No modaraba company, director, officer, employee or agent or auditor thereof shall, in any document, prospectus, report, return, accounts, information or explanation required to be furnished in pursuance of this Ordinance or the rules, or in any application made under this Ordinance or the rules, make any statement or give any information which he knows or has reasonable cause to believe to be false or incorrect or omit any material fact therefrom.

17. Conditions applicable to modaraba company.—(1) No modaraba company shall engage in any business which is of the same nature and competes with the business carried on by a modaraba floated or controlled by it.

(2) No modaraba company or any of its directors or officers or their relatives shall obtain loan, advance or credit from the funds of the modaraba or on the security of the assets of the modaraba.

Explanation.— In this sub-section "relative", in relation to a director or officer, means the spouse, brother or sister or any of the lineal ascendants or decendants of the director or officer.

(3) A modaraba company shall subscribe in each modaraba floated by it not less than ten percent of the total amount of Modaraba Certificates offered for subscription.

18. Remuneration of modaraba company. The remuneration of a modaraba company in respect of a modaraba floated by it shall be a fixed percentage of the net annual profits of the modaraba and shall not exceed ten percent of such net annual profits computed in the manner to be prescribed.

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[1][**18A. Power to issue directions.**—(1) Notwithstanding anything contained in any other provision of this Ordinance, where the Registrar is satisfied that it is necessary and expedient so to do—

(a) in the public interest; or

(b) to prevent the affairs of any Modaraba from being conducted in a manner detrimental to the interest of holders of Modaraba Certificates; or

(c) to secure the proper management of any Modaraba generally, he may issue such directions to a Modaraba company or the Modaraba companies generally, as he may deem fit, and the Modaraba company and its management shall be bound to comply with such directions.

[1]Ins. by Act XI of 2012, s.2.

(2) The Registrar may, on a representation made to him or on his own motion, modify or withdraw any direction issued under sub-section (1), and in so modifying or canceling any direction may impose such conditions as he thinks fit.]

19. Cancellation of registration.— (1) Where the Registrar is of the opinion that a modaraba company has contravened or has failed to comply with any provision of this Ordinance or the rules or with any direction made or given thereunder, he may, if he considers necessary in the public interest so to do, by order in writing—

(a) cancel the registration of the modaraba company; and

(b) remove the modaraba company from the management of the modaraba floated by it:

Provided that no such order shall be made without giving the modaraba company an opportunity of being heard.

(2) The modaraba company removed from the management of a modaraba under clause (b) of sub-section (1) shall not be entitled to or be paid any compensation or damages for loss or termination of office.

(3) A modaraba company removed from the management of a modaraba under clause (b) of sub-section (1) shall not be entitled to float any modaraba.

(4) A modaraba company aggrieved by an order of the Registrar under subsection (1) may prefer an appeal to the [1][Commission] within thirty days of the date of the order.

[2][(5) An appeal preferred under sub-section (4) shall be disposed of by the [1][Commission] after giving the appellant an opportunity of being heard.].

20. Appointment of administrator.— (1) If—

(a) the Registrar has reason to believe that a modaraba company has been conducting the affairs of a modaraba in a manner prejudicial to the interest of the modaraba or the holders of Modaraba Certificates or in a fraudulent or unlawful manner or has committed a default in complying with the provisions of this Ordinance or the rules or with any direction made or given thereunder or any condition of the modaraba;

(b) the registration of a modaraba company has been cancelled; or

(c) any other modaraba under the management of the modaraba company has been ordered to be wound up by the Tribunal,

the Registrar, after affording the modaraba company an opportunity of being heard, may, without prejudice to any other action under the law, by order in writing,—

(i) appoint an administrator to take over and manage the modaraba in place of the modaraba company for such period as the Registrar may specify; or

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[1]Subs. by Act 4 of 1999, s.13.
[2]Added by die Modaraba Companies and Modaraba (Floatation and Control) (Amdt.) Act, 1985 (4 of 1985). s. 2.

(ii) require the modaraba company to carry out such changes in the management and procedure as may be specified; or

(iii) remove the modaraba company and appoint another modaraba company in its place to manage the modaraba.

(2) The Registrar shall not make an order under sub-section (1) without the approval of the [1][Commission].

21. Enquiries.— (1) The Registrar may, on his own motion or on an application made by the holders of Modaraba Certificates the value of which is not less than ten percent of the total subscribed amount of the modaraba, by an order in writing cause an enquiry to be made by a person appointed by him in this behalf into the affairs of a modaraba company or the modaraba or any business transaction thereof.

(2) Where an enquiry under sub-section (1) has been ordered, every director, manager or other officer of the modaraba company to which the enquiry relates and every other person who has had any dealing with such modaraba company or director or officer shall furnish such information or document in the custody or power or within his knowledge relating to or having a bearing on the subject matter of the enquiry as the person conducting the enquiry may by notice in writing require.

(3) The person conducting an enquiry under sub-section (1) may for the purpose of such enquiry enter into any premises belonging to or in occupation of the modaraba company or of the person to whom the enquiry relates and may call for, inspect and seize books of accounts and documents in possession of any such modaraba company, director, manager, or any other officer or employee thereof.

(4) The person holding an enquiry under sub-section (1) shall, for the purpose of such enquiry, have the same powers as a vested in a court under the Code of Civil Procedure, 1908 (Act V of 1908), when trying a suit in respect of the following matters, namely:—

(a) enforcing the attendance of a person and examining him on oath for affirmation;

(b) compelling the discovery and production of documents; and

(c) issuing commissions for the examination of witnesses.

(5) On receipt of the report of the person conducting the enquiry, the Registrar shall take such action as he may consider necessary on the basis of the report.

WINDING UP

22. Circumstances in which modaraba may be wound up voluntarily.— (1) A modaraba floated for a fixed period or for a specific purpose shall be wound up by the modaraba company itself

[1]Subs. by Act 4 of 1999, s.13.

on the expiry of the period fixed for the modaraba or the accomplishment of the purpose of the modaraba, as the case may be, provided the following conditions are fulfilled, namely:—

(a) all the directors of the modaraba company shall make a declaration verified by an affidavit to the effect that they have made a full enquiry about the affairs of the modaraba and, having done so, have formed the opinion that the modaraba will be able to discharge its liabilities, pay the amount subscribed by the holders of Modaraba Certificates and all their other dues in full within a period of twelve months, from the date of expiry of the period fixed for the modaraba or the accomplishment of the purpose of the modaraba, as the case may be;

(b) the declaration referred to in clause (a) shall be supported by a report of the auditor of the modaraba on the affairs of the modaraba and shall have no effect unless it is filed with and approved by the Registrar within ninety days of the date of expiry of the period fixed for the modaraba or the accomplishment of the purpose of the modaraba, as the case may be.

(2) Any person aggrieved by the decision of the Registrar under clause (b) of sub-section (1) may prefer an appeal to the [1][Commission] within thirty days of the day on which the decision is given.

[2][(3) An appeal preferred under sub-section (2) shall be disposed of by the [1][Commission] after giving the appellant an opportunity of being heard.].

23. Circumstances in which modaraba may be wound up by the Tribunal.— (1) A modaraba shall be wound up by the Tribunal on an application made by the Registrar if—

(i) in the case of a modaraba for a fixed period on the expiry of that period or, in the case of a modaraba for a specific purpose on the accomplishment of its purpose, the declaration referred to in section 22 has not been filed with the Registrar within the period specified in that section;

(ii) in the case of any modaraba, the Registrar has declared that—

(a) the modaraba is unable to discharge its liabilities;

(b) the accumulated losses of the modaraba exceed fifty percent of the total amount subscribed by the holders of the Modaraba Certificates; or

(c) the business of the modaraba is being, or has been, conducted for a fraudulent purpose or with intent to defraud the holders of the Modaraba Certificates, or its creditors or any other person;

[1]Subs. by Act 4 of 1999, s.13.
[2]Added by die Modaraba Companies and Modaraba (Floatation and Control) (Amdt.) Act, 1985 (4 of 1985), s. 3.

(iii) the Tribunal is of opinion that it is just and equitable that the modaraba should be wound up.

(2) The Registrar may make an application to the Tribunal for the winding up of a modaraba on receipt of an application under sub-section (1) of section 21 or of the report of an enquiry under that section relating to the modaraba.

(3) No application shall be made by the Registrar under sub-section (1) or (2) without giving the modaraba company an opportunity of being heard.

24. Constitution of Tribunal.– The Federal Government may, by notification, in the official Gazette, constitute one or more Tribunals for the purpose of this Ordinance and, where it constitutes more than one Tribunal, shall specify in the notification the area within which, or the class of cases in respect of which, each such Tribunal shall exercise jurisdiction under this Ordinance.

(2) A Tribunal shall consist of a person who is, or has been, or is qualified to be a Judge of a High Court.

25. Powers of a Tribunal.– (1) A Tribunal shall–

(a) in the exercise of its civil jurisdiction, have in respect of a claim filed by a holder of Modaraba Certificates against the modaraba company or by a modaraba company against any other party with whom it has entered into business transactions relating to Modaraba Fund, or in respect of an application by the Registrar for the winding up of a modaraba company, all the powers vested in a civil court under the Code of Civil Procedure, 1908 (Act V of 1908);

(b) in the exercise of its criminal jurisdiction, try the offences punishable under this Ordinance and shall, for that purpose, have the same powers as are vested in the Court of a Sessions Judge under the Code of Criminal Procedure, 1898 (Act V of 1898);

Provided that a Tribunal shall not take cognizance of any offence punishable under this Ordinance except on a complaint in writing made by the Registrar or an officer authorized by him in writing; and

(c) exercise and perform such other powers and functions as are, or may be, conferred upon or assigned to it by or under this Ordinance.

(2) All proceedings before a Tribunal shall be deemed to be judicial proceedings within the meaning of sections 193 and 228 of the Pakistan Penal Code (Act XLV of 1860), and the Tribunal shall be deemed to be a court for the purposes of sections 480 and 482 of the Code of Criminal Procedure, 1898.

(3) No Court other than the Tribunal shall have or exercise any jurisdiction with respect to any matter to which the jurisdiction of the Tribunal extends under this Ordinance.

26. Procedure of the Tribunal.—(1) Matters before the Tribunal shall come up for regular hearing as expeditiously as possible and, except in extraordinary circumstances and on grounds to be recorded, the Tribunal shall hear the cases from day to day.

(2) In the exercise of its civil jurisdiction, the Tribunal shall, in all suits before it, including suits for recovery of money, follow the summary procedure provided for in Order XXXVII of the First Schedule to the Code of Civil Procedure, 1908 (Act V of 1908).

27. Powers of Tribunal on hearing application for winding up of modaraba.— (1) If, after hearing the application for winding up of a modaraba, the Tribunal decides to wind up the same it shall appoint a liquidator in consultation with the Registrar and approve a general scheme of winding up.

(2) After a winding up order has been passed by the Tribunal, the modaraba company shall forthwith hand over charge of the modaraba to the liquidator and furnish him with such statements, documents, records, information and other material as may be required by him.

(3) The liquidator shall conduct the winding up proceedings in the prescribed manner under the control and directions of the Tribunal.

(4) The winding up proceedings shall be completed within a period of one year from the date of appointment of the liquidator unless the Tribunal, for special reasons to be recorded in writing, extends the period.

(5) During the winding up proceedings, the Tribunal may allow the administrator appointed by the Registrar under section 20, if any, to continue to function may appoint an administrator to manage the modaraba till the disposal of the proceedings.

28. Judgment and decree.—(1) A Tribunal shall, after the case has been heard, pronounce judgment as early as practicable and on such judgment a decree shall follow forthwith.

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(2) The Tribunal shall, on the application of the decree-holder, forthwith order execution of the decree:

Provided that, if the decree is for money, the recovery in execution thereof shall be made as arrears of land revenue.

29. Finality of orders. Subject to the provisions for appeal as provided in section 30, no Court or other authority shall call or permit to be called in question any order, judgment or sentence of the Tribunal or the legality or propriety of anything done or intended to be done by the Tribunal under this Ordinance.

30. Appeals.—(1) Any person aggrieved by any order judgment, decree or sentence of the Tribunal may, within thirty days of such order, judgment decree or sentence, prefer an appeal to the High Court within whose jurisdiction the order, judgment, decree or sentence is passed:

Provided that no appeal shall lie from an interlocutory order which does not dispose of the entire case before the Tribunal.

(2) An appeal under sub-section (1) shall be heard by a Bench of two Judges of the High Court and shall lie on any one of the following grounds, namely:—

(a) the decision being contrary to law or to some usage having the force of law; or

(b) the decision having failed to determine a material issue of law or usage having the force of law; or

(c) a substantial error apparent in the procedure provided by or under this Ordinance, which may possibly have led to an error in the decision.

(3) An appeal may be preferred under this section from a decision made *ex parte*.

31. Punishment.— (1) Whoever contravenes the provisions of section 4, 10, 13, 14, 16 or 17 shall be punishable with imprisonment of either description for a term which may extend to three years and with fine which may extend to five hundred thousand rupees.

(2) Where the contravention referred to in sub-section (1) has caused loss to the modaraba or any other person, a further fine to the extent of the loss shall be imposed.

32. Penalty.— [1][(1)] If any person—

(a) refuses or fails to furnish any documents, return or information which he is required to furnish by or under this Ordinance; or

(b) refuses or fails to comply with any conditions imposed or made by the Federal Government or direction made or given under this Ordinance or the rules; or

(c) contravenes or otherwise fails to comply with any provision of this Ordinance or the rules other than those referred to in subsection (1) of section 31,

the Registrar, may, if he is satisfied, after giving the person an opportunity of being heard, that the refusal, failure or contravention was wilful, by order, direct that such person shall pay to the Federal Government by way of penalty such sum not exceeding one hundred thousand rupees as may be specified in the order and, in the case of a continuing default, a further sum calculated at a rate not exceeding one thousand rupees for every day after the issue of such order during which the refusal, failure or contravention continues.

[1][(2) Any person aggrieved by an order passed under sub-section (1) may, within sixty days of such order, prefer an appeal to the Commission.]

[1]Re-numbered and added by Act 4 of 1999, s.13.

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33. Liability of director manager or officer of a company.—(1) Where the person guilty of an offence referred to in sub-section (1) of section 31 or in section 32 is a company or other body corporate, every director, manager or other officer responsible for the conduct of its affairs shall, unless he proves that the offence was committed without his knowledge, or that he exercised all diligence to prevent its commission, be deemed to be guilty of the offence.

(2) Any sum directed to be paid under section 32 shall be recoverable as an arrear of land revenue.

(3) No prosecution for an offence against this Ordinance or the rules shall be instituted in respect of the same facts on which a penalty has been imposed under section 32.

34. Powers of the Registrar in relation to certain proceedings. In any proceedings under section 32, the Registrar shall have the same powers as are vested in a court under the Code of Civil Procedure, 1908 (Act V of 1908), when trying a suit in respect of the following matters, namely:—

(a) enforcing attendance of a person and examining him on oath or affirmation; and

(b) compelling the discovery and production of documents.

35. Application of fine. The Tribunal imposing any fine under this Ordinance may direct that the whole or any part thereof shall be applied in or towards—

(i) payment of costs of the proceedings;

(ii) payment to an aggrieved party of compensation for any loss caused by the offence;

(iii) payment of compensation for any loss mentioned in sub-section (2) of section 31.

36. Enforcement of provisions of the Ordinance, etc.— (1) If a modaraba company makes default in complying with any provisions of this Ordinance or a direction made or given under this Ordinance and fails to make good the default within thirty days of the service of a notice to the modaraba company requiring it to do so, the Tribunal may, on an application made to the Tribunal by the Registrar, make an order directing the modaraba company and any director or officer thereof to make good the default within such period as may be specified in the order.

(2) Nothing in this section shall be deemed to prejudice the operation of any provision of this Ordinance providing for the imposition of penalties on the modaraba company or its directors and officers in respect of any such default as aforesaid.

37. Exemption from tax. The income of a modaraba shall be exempt from tax under the Income Tax Ordinance, 1979 (XXXI of 1979) if not less than ninety per cent of its profits in a year is distributed to the holders of th Modaraba Certificates.

38. Power of Federal Government to exempt, etc. The Federal Government may, by notification in the official Gazette, exempt from the requirements of sub-section (1) and (3) of section 17 a company or a body corporate formed under any law and owned or controlled by the Federal

Government or a Provincial Government, whether directly or through a company or corporation set up such Government.

39. Delegation of powers. The Registrar may, by notification in the official Gazette, delegate, subject to such limitations, restrictions or conditions, if any, as he may, form time to time specify, such of his powers and functions under this Ordinance as he may deem fit to any officer subordinate to him.

40. Indemnity. No suit, prosecution or other legal proceeding shall lie against the Federal Government or the Registrar or any other officer for anything which is in good faith done or intended to be done under this Ordinance, or any rules.

41. Power to make rules.— (1) The Federal Government may, by notification in the official Gazette, make rules[1] for carrying out the purposes of this Ordinance.

(2) In particular and without prejudice to the generality of the foregoing power, such rules may include—

(i) the duties and functions of the Registrar;

(ii) terms and conditions of a Tribunal;

(iii) procedure relating to a Tribunal;

(iv) composition, terms and conditions of the Religious Board;

(v) procedure relating to the Religious Board;

(vi) form, contents and other requirements of a prospectus;

(vii) issue and allotment of Modaraba Certificates;

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(viii) maintenance of modaraba accounts and funds;

(ix) form of balance sheet and profit and loss account;

(x) audit and auditor's certificate;

(xi) annual and periodical accounts and reports;

(xii) inspection of record and supply of copies of documents;

(xiii) matters relating to winding up;

(xiv) matters and procedure relating to enquiries;

[1]For such rules, *see* S.R.O. 83(I)/80, dated 26-1-81, Gaz., of P., 1981, Extra, Pt. II, pp. 171-217.

(xv) charging and determination of fees payable under this Ordinance; and

(xvi) such other matters as are to be or may be prescribed.

[1][**41A. Power to make regulations.—(1)** The Commission may, by notification in official Gazette, make such regulations as are necessary to carry out the purposes of this Ordinance:

Provided that the power to make regulations conferred by this section shall be subject to the condition of previous publication and before making any regulations the draft thereof shall be published in the manner considered most appropriate by the Commission for eliciting public opinion thereon within a period of not less than fourteen days from the date of publication.

(2) Any regulation made under sub-section (1) may provide that a contravention thereof shall be punishable with a fine which may extend to one hundred thousand rupees and, where the contravention is a continuing one, with a further fine which may extend to one thousand rupees for every day after the first during which such contravention continues.

41B. Power to issue directives, circulars, codes, guidelines, etc.—The Commission may issue such directive, circulars, codes, guidelines or notifications as are necessary to carry out the purposes of this ordinance and the rules and regulations made thereunder.]

42. Act to override other laws. The provisions of this Ordinance shall have effect notwithstanding anything contained in the Companies Act, 1913 (VII of 1913) or any other law for the time being in force.

43. Removal of difficulties. If any difficulty arises in giving effect to any provision of this Ordinance, the Federal Government may make such order, not inconsistent with the provisions of this Ordinance, as may appear to it to be necessary for the purpose of removing the difficulty.

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[1]Ins. by Act XI of 2012, s.3.

THE ISLAMIC DEVELOPMENT BANK ORDINANCE, 1978

CONTENTS

1. Short title, extent and commencement
2. Definitions
3. Financial provisions
4. State Bank to be depository of the Bank
5. Certain provisions of the Agreement to have force of law
6. Power to make rules

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THE ISLAMIC DEVELOPMENT BANK ORDINANCE, 1978.

ORDINANCE NO. VI OF 1978

[22nd February, 1978]

An Ordinance to implement the international agreement for the establishment and operation of the Islamic Development Bank and for matters connected therewith.

WHEREAS Pakistan is a signatory to the Agreement establishing the Islamic Development Bank and thereby became a member of the said Bank;

AND WHEREAS it is expedient to make provision for the implementation of the international agreement for the establishment and operation of the aforesaid Bank and for carrying out the obligations of Pakistan as a member of the said Bank and for matters connected therewith;

And WHEREAS the President is satisfied that circumstances exist which render it necessary to take immediate action;

Now, therefore, in pursuance of the Proclamation of the fifth day of July, 1977, read with the Laws (Continuance in Force) Order, 1977, (C.M.L.A. Order No. 1 of 1977), and in exercise of all powers enabling him in that behalf, the President is pleased to make and promulgate the following Ordinance:-

1. Short title, extent and commencement.—(1) This Ordinance may be called the Islamic Development Bank Ordinance, 1978.

(2) It extends to the whole of Pakistan.

(3) It shall come into force at once and shall be deemed to have taken effect on the twenty-third day of April, 1975.

2. Definitions. In this Ordinance, unless there is anything repugnant in the subject or context,—

(a) "Agreement" means the Agreement for the establishment and operation of the international body known as the Islamic Development Bank;

(b) "Article" means Article of the Agreement; and .

(c) "Bank" means the Islamic Development Bank established under the Agreement.

3. Financial provisions.—(1) There shall be paid out of the Federal Consolidated Fund all such sums as may, from time to time, be required for the purpose of paying—

(a) the subscription payable by the Federal Government to the Bank under paragraphs 1, 2, 3, 4 and 5 of Article 5; and

(b) any other sums payable by the Federal Government to the Bank under the Agreement.

(2) Any sums received, by or on behalf of the Federal Government from the Bank shall be paid into the Federal Consolidated Fund.

4. State Bank to be depository of the Bank. The State Bank of Pakistan shall be the depository of the Pakistan currency holdings and other assets of the Bank located in Pakistan.

5. Certain provisions of the Agreement to have force of law.—(1) Notwithstanding anything to the contrary contained in any other law, the provisions of the Agreement set out in the Schedule shall have the force of law in Pakistan:

Provided that nothing in Article 59 of the Agreement shall be construed as—

(a) entitling the Bank to import into Pakistan goods free of any duty of customs without any restriction on their sub-sequent sale therein, or

(b) conferring on the Bank an exemption from duties or taxes which form part of the prices of goods sold or which are in fact no more than charges for services rendered.

(2) The Federal Government may, by notification in the official Gazette, amend the Schedule in conformity with any amendments, which may hereafter be duly made and adopted, of the provisions of the Agreement set out therein.

6. Power to make rules. The Federal Government may, by notification in the official Gazette, make rules for carrying out the purposes of this Ordinance.

THE SCHEDULE

(See section 5)

Provisions of the Agreement which shall have the force of law

CHAPTER VII

STATUS, IMMUNITIES, EXEMPTIONS AND PRIVILEGES

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ARTICLE 50

Purpose of Chapter

To enable the Bank effectively to fulfil its purpose and carry out the functions entrusted to it, the status, immunities, exemptions and privileges set forth in this Chapter shall be accorded to the Bank in the territory of each member.

ARTICLE 51

Legal Status

The Bank shall be an independent international institution possessing full juridical personality and, in particular, full capacity—

(i) to contract;

(ii) to acquire and dispose of immovable and movable property; and

(iii) to institute legal proceedings.

ARTICLE 52

Immunity from Judicial Proceedings

1. The Bank shall enjoy immunity from every legal process except in cases arising out of or in connection with the exercise of its powers to raise money, or to buy and sell or under write the sale of securities, in which cases actions may be brought against the Bank in a court of competent jurisdiction in the territory of a country in which the Bank has its principal or a branch office, or has appointed, an agent for the purpose of accepting service or notice of process, or has issued or guaranteed securities.

2. Notwithstanding the provisions of paragraph 1 of this Article, no action shall be brought against the Bank by any member, or by any agency or instrumentality of a member, or by an entity or person directly or indirectly acting for or deriving claims from a member. Members shall have recourse to such special procedures for the settlement of controversies between the Bank and its members as may be prescribed in this Agreement, in the Bye-laws and Regulations of the Bank, or in contracts entered into with the Bank.

3. Property and assets of the Bank shall, whosesoever located and by whomsoever held, be immune from all forms of seizure, attachment or execution before the delivery of final judgment against the Bank.

ARTICLE 53

Immunity of Assets

Property and assets of the Bank, whosesoever located and by whomsoever held, shall be immune from search, requisition, confiscation, expropriation or any other form of taking or foreclosure by administrative or legislative action.

ARTICLE 54

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Immunity of Archives

The archives of the Bank and, in general, all documents belonging to it, or held by it, shall be inviolable wherever located.

ARTICLE 56

Freedom of Assets from Restrictions

To the extent necessary to carry out the purpose and functions of the Bank effectively, and subject to the provisions of this Agreement, all property and assets of the Bank shall be free from restriction, regulations, controls and moratoria of any nature.

ARTICLE 57

Privilege for Communications

The official communications of the Bank shall be accorded by each member treatment which is not less favourable than that accorded by it to any other international organisation.

ARTICLE 58

Immunities and Privileges of Bank Personnel

All Governors, Alternates, Executive Directors, the President, officers and employees of the Bank—

(i) shall be immune from legal process with respect to acts performed by them in their official capacity;

(ii) where they arc not local citizens or nationals, shall be accorded the same immunities from immigration restrictions, alien registration requirements and national service obligations, and the same facilities as regards exchange regulations, as are accorded by members to the representatives, officials and employees of comparable rank of other members; and

(iii) shall be granted the same treatment in respect of travelling facilities as accorded by members to representatives, officials and employees of comparable rank of other members.

ARTICLE 59

Exemption from Taxation

1. The Bank, its assets, properly, income and its operations and transactions shall be exempt from all taxation and from all customs duties. The Bank shall be also exempt from any obligation for the payment, withholding or collection of any tax or duty.

2. No tax shall be levied on or in respect of salaries and emoluments paid by the Bank to the President, the Executive Directors, officers or employees of the Bank.

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3. No tax shall be levied on any security issued by the Bank, including any dividend thereon, by whomsoever held-

(i) which discriminates against such security solely because it is issued by the Bank; or

(ii) if the sole jurisdictional basis for such taxation is the place or currency in which it is issued, made payable or paid, or the location of any office or place of business maintained by the Bank.

4. No tax of any kind shall be levied on any security guaranteed by the Bank, including any dividend thereon, by whomsoever held—

(i) which discriminates against such security solely because it is guaranteed by the Bank; or

(ii) if the sole jurisdictional basis for such taxation is the location and of any office or place of business maintained by the Bank.

ARTICLE 61

Waiver of Immunities, Exemptions and Privileges

The Bank, at its discretion, may waive any of the privileges, immunities and exemptions conferred under this Chapter in any case or instance, in such manner and upon such conditions as it may determine to be appropriate in its best interest.

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THE INDUSTRIAL DEVELOPMENT BANK OF PAKISTAN (REORGANIZATION AND CONVERSION) ACT, 2011

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4. Company to be deemed a banking Company.
5. Transfer and vesting of assets, contracts, liabilities, proceedings and undertakings.
6. Continuation of service in the Company.
7. Contracts and proceedings.
8. Certain guarantees to remain in force.
9. Bar of jurisdiction.
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11. Act to override other laws, etc.
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14. Repeal.
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THE INDUSTRIAL DEVELOPMENT BANK OF PAKISTAN (REORGANIZATION AND CONVERSION) ACT, 2011

(ACT No. XII of 2011)

[14th May, 2011]

An Act to provide for the reorganization and conversion of the Industrial Development Bank of Pakistan into a public limited company

It is hereby enacted as follows:

1. Short title, extent and commencement.— (1) This Act may be called the Industrial Development Bank of Pakistan (Reorganization and Conversion) Act, 2011.

(2) It extends to the whole of Pakistan.

(3) It shall come into force at once.

2. Definitions.— In this Act, unless there is anything repugnant in the subject or context,—

(a) "assets" means rights and powers of every description and includes all properties, movable or immovable, tangible or intangible, mortgages, charges and claims in the name of the IDBP, as the case may be;

(b) "Company" means the Industrial Development Bank Limited to be established and incorporated in accordance with section 3;

(c) "contracts" means all contracts, agreements, bonds guarantee, indemnities, representations, obligations, undertakings and other legal documents and instruments of every description executed by or on behalf of IDBP, as the case may be including employment, investment, sales and financial contracts with whomsoever;

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(d) "effective" date means the date specified in the order issued under section 5;

(e) "IDBP" means the Industrial Development Bank of Pakistan established under the Industrial Development Bank of Pakistan Ordinance, 1961 (XXXI of 1961);

(f) "liabilities" means all liabilities lawfully incurred by IDBP, as the case may be, and includes duties and obligations of every kind imposed thereon;

(g) "order" means an order made by the Federal Government under sub-section (1) of section 5;

(h) "proceedings" includes any suit, arbitration or other legal or administrative proceedings, applications, appeals, awards, reviews or revisions filed or pending;

(i) "rules" means the rules made under this Act;

(j) "transfer" means the transfer of assets, contracts, liabilities, proceedings and undertakings of IDBP, as the case may be, to the Company; and

(k) "undertakings" includes all projects, ventures and any other operations undertaken by IDBP, as the case may be, individually or collectively in collaboration with some other person.

3. Establishment of the Company, etc.— (1) As soon as may be, after the commencement of this Act, the Federal Government shall establish a Company to be known as the Industrial Development Bank Limited, by shares and cause it to be incorporated under the Companies Ordinance, 1984 (XLVII of I984), with the principal object of taking over the business, functions, contracts, proceedings, undertakings, assets and liabilities of IDBP.

(2) No stamp duty or any other charges shall be payable by the Company under any law for the time being in force for the transfer and vesting of the assets, contracts, liabilities, proceedings or undertakings of IDBP to the Company or any shares or securities issued in favour of the shareholders or financiers or IDBP by the Company.

4. Company to be deemed a banking company.— (1) The Company shall be deemed to be a banking company for the purposes of the State Bank of Pakistan Act, 1956, (XXXIII of 1956) Banking Companies Ordinance, 1962 (LVII of 1962), and any other law for the time being in force relating to banking companies until such time that the license is granted to the Company under sub-section (2).

(2) Without prejudice to the provisions of sub-section (1), the Company shall apply to the State Bank of Pakistan, for a license for permitting to carry on the business of banking in Pakistan in accordance with the provisions of section 27 of the Banking Companies Ordinance, 1962 (LVll of 1962), through the existing branches of IDBP.

5. Transfer and vesting of assets, contracts, liabilities, proceedings and undertakings.— (1) After the registration of the Company, the Federal Government shall by an order, published in the official Gazette, direct that all the assets, contracts, liabilities, proceedings and undertakings of IDBP stand transferred to and vest in the Company, on the date specified therein, on such terms and conditions as may be determined by the Federal Government in this behalf.

(2) The order issued under sub-section (1) shall, *inter-alia*, provide for

(a) the transfer of all the assets, contracts, liabilities, proceedings and undertakings of IDBP to the Company;

(b) the allotment of shares or debentures of the Company to the Shareholders, debenture- holders or bond-holders of lDBP in proportion to their shares, debentures, bonds or other securities in IDBP, as the case may be, after determining the net asset value of lDBP on the effective date;

(c) the dissolution of IDBP from the effective date;

(d) the transfer of guarantees issued in favour of the Company by the Government of Pakistan, a Provincial Government and other government agencies such as

Sarhad Development Board and Punjab Small Industries Corporation for repayment of loans from borrowers; and

(e) such incidental, consequential and supplemental matters as are necessary to secure the transfer of assets, contracts, liabilities, proceedings and undertakings under this Act;

(3) The value ascribed to the assets and liabilities transferred to, and vested in, the Company by the Federal Government under the order shall represent the fair net value of the assets for taxation, depreciation or any other purposes.

(4) Notwithstanding the provisions of section 146 of the Companies Ordinance, 1984 (XLVII of 1984), the Company shall, upon transfer, continue all business and undertakings of IDBP as were being carried on immediately prior to the effective date.

6. Continuation of service in the Company.— (1) All permanent employees and officers of IDBP, who were continuously in the service of IDBP for a period of one year or more immediately before the effective date, shall stand transferred to and become the employees of the Company as on the effective date on the same terms and conditions as were applicable to them before the effective date. The terms and conditions applicable to the retired employees of IDBP shall continue to apply to such retired employees.

(2) Notwithstanding anything contained in any law, contract, agreement or conditions of service no person transferred to the Company pursuant to sub-section (1) shall be entitled to any compensation as a consequence of transfer to the Company.

7. Contracts and proceedings.— (1) All contracts subsisting or having effect, immediately before the effective date, to which IDBP may have been a party or beneficiary, shall be deemed to have been made by the Company and shall remain in force for all intents and purposes.

(2) All proceedings by or against or relating to IDBP pending on the effective date before any court, tribunal, arbitrator or any other authority shall be continued, prosecuted, defended, enforced and executed by or against the Company in the same manner and to the same extent as might have been continued, prosecuted, defended, enforced and executed by or against IDBP, as the case may be, and for the purposes of the proceedings under Industrial Development Bank of Pakistan Ordinance, 1961 (XXXI of 1961) the relevant provisions of Industrial Development Bank of Pakistan Ordinance, 1961 (XXXI of 1961) shall, mutatis mutandis, continue to apply to these proceedings notwithstanding the repeal of the Industrial Development Bank of Pakistan Ordinance, 1961 (XXXI or 1961).

8. Certain guarantees to remain in force.— Notwithstanding the repeal of the said Industrial Development Bank of Pakistan Ordinance, 1961 (XXXI of 1961) all guarantees given by the Government of Pakistan in favour of foreign and local institutions which extended loans to IDBP shall remain in force as though these guarantees were given on behalf of IDBP.

9. Bar of jurisdiction.— No court, tribunal, arbitrator or authority shall question or permit to be called in question, any transfer or order made, anything done or action taken or purported to be made, done or taken under this Act.

10. Indemnity.— No suit, prosecution or other legal proceedings shall lie against the Federal Government, State Bank of Pakistan, IDBP, the Company or any other person for anything which is in good faith done or intended to be done under this Act or any rule or order made thereunder.

11. Act to override other laws, etc.— The provisions of this Act shall have effect notwithstanding anything contrary contained in any other law for the time being in force, or in any agreement, contract, decree, order or any other instrument whatsoever.

12. Power to make rules.— The Federal Government may, by notification in the official Gazette, make rules for carrying out the purposes or this Act.

13. Removal of difficulties.— If any difficulty arises in giving effect to any provision of this Act, the Federal Government may make such order, not inconsistent with the provisions of this Act, as may appear to it to be necessary, for the purpose of removing the difficulty:

Provided that no such power shall be exercised after the expiry of two years from the commencement of this Act.

14. Repeal.— (1) Immediately after the dissolution of IDBP in pursuance of clause (c) of sub-section (2) of section 5, the Industrial Development Bank of Pakistan Ordinance, 1961 (XXXI of 1961), shall stand repealed.

(2) This Act, save as is provided in sub-section (1) of section 3 and section 8, shall stand repealed after the expiry of a period of eighteen months from its commencement and subject to sub-section (3) the Company shall continue to operate.

(3) The top management of the Company under section 6, as soon as may be possible after the commencement of this Act, shall make arrangements for a viable public private partnership or privatization of the Company.

15. Validation of actions, etc.— Anything done, actions taken, orders passed, instruments made, notifications issued, agreements made, proceedings initiated, processes or communication issued, powers conferred, assumed or exercised, by the Industrial Development Bank of Pakistan (IDBP) or its officers on or after the 26th November, 2009 and before the commencement of this Act, shall be deemed to have been validly done, made, issued, taken, initiated, conferred, assumed, and exercised and provisions of the Act shall have, and shall be deemed always to have had, effect accordingly.

THE GOVERNMENT SAVINGS BANKS ACT, 1873

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THE GOVERNMENT SAVINGS BANKS ACT, 1873

[1]ACT No. V OF 1873

[28th *January*, 1873]

An Act to amend the law relating to Government Savings Banks

Preamble: WHEREAS it is expedient to amend the law relating to the payment of deposits in Government Savings Banks; It is hereby enacted as follows:—

PRELIMINARY

1. Short title. —This Act may be called the Government Savings Banks Act, 1873.

Local Extent: [2][It extends to the whole of Pakistan.]

[3][* * * * * * *]

2. [4][*Repealed*]

3. Interpretation-clause.— In this Act—

"depositor" means a person by whom, or on whose behalf, money has been heretofore, or shall be hereafter, deposited in a Government Savings Bank; and "deposit" means money so deposited:

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[1] This Act has been applied—

(*i*) to Baluchistan, *see* the Baluchistan Laws Regulations, 1913 (Bal. Reg. 2 of 1913), s. 3 ;
(*ii*) to the Leased Areas of Baluchistan, *see* the Leased Areas (Laws) Order, 1950 (G.G.O.3 of 1950);
(*iii*) in the Federated Areas of Baluchistan, *see* Gazette of India, 1937, pt. I, p. 1499.

It has also been extended to—

(a) the Baluchistan States Union, *see* the Baluchistan States Union (Federal Laws) (Extension) Order, 1953 (G.G.O. 4 of 1953), as amended;
(b) the Khairpur State, *see* the Khairpur (Federal Laws) (Extension) Order, 1953 (G.G.O. 5 of 1953), as amended.

The Act has been and shall be deemed to has been brought into force in Gwadur (with effect from the 8th September, 1958), by the Gwadur (Application of Central Laws) Ordinance, 1960 (Ordinance No. XXXVII of 1960), s.2.

[2]Subs. by the Central Laws (Statute Reform) Ordinance, 1960 (Ordinance No. XXI of 1960), s.3 and 2nd Sch.

[3]Commencement clause rep. by the Repealing Act, 1874 (Act No. XVI of 1874).

[4]Rep. by the Repealing Act, 1873 (Act No. XII of 1873).

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[1]["Secretary" means, in the case of a Post Office Savings Bank, the Postmaster-General appointed for the area in which the Savings Bank is situate [2][or if that area is in India,[3][*] the Postmaster-General for such area in Pakistan as the [4][Federal Government] may by general or special order specify in this behalf :]

[5]["minor" means a person who is not deemed to have attained his majority under the Majority Act, 1875 (IX of 1875).]

DEPOSITS BELONGING TO THE ESTATES OF DECEASED PERSONS

[6][**4.** ***Nomination and payment on death of depositor.***—(1) A depositor may, in such manner and form as may be prescribed by rules of the Government Savings Bank, make nomination conferring upon any person or persons the right to receive on the death of the depositor the whole or any part of the deposit standing to his credit.

(2) The person or persons nominated under sub-section (1) shall, notwithstanding anything contained in any other law for the time being in force or in any disposition, whether testamentary or otherwise, by a depositor of the deposit or any part thereof, be entitled, to the exclusion of all other persons, to receive the deposit or part to which the nomination relates.

(3) Where any person nominated under sub-section (1) dies before the death of the depositor or before he has received any sum thereunder, the nomination shall cease to have any effect.

(4) A depositor may, by a notice to the Postmaster concerned in such form as may be prescribed for the purpose, at any time vary or cancel any nomination made by him under sub-section (1).

(5) In any case where—

(a) a depositor dies without making any nomination under sub-section (1) in respect of the whole of the deposit standing to his credit, or after any such nomination if made, has ceased to have effect under sub-section (3) ;

(b) the deposit, or the part of the deposit in respect of which no nomination has been made, does not exceed twenty-five thousand rupees ; and

(c) the probate of the will of the depositor, or the letters of administration of his estate, or a succession certificate under the Succession Act, 1925 (XXXIX of 1925) is not, within three months of the death of the depositor, produced to the Secretary of the Government Savings Bank concerned,

payment of the deposit, or the part as aforesaid, may be made to the person appearing to be entitled to receive it or to administer the estate of the deceased by the Secretary or by any officer employed in the management of the Government Savings Bank who is empowered in this behalf by a general or special order of

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[1]Subs. by Act No. XVI of 1923, s. 2.
[2]Ins. by A. O., 1949, Sch.
[3]Rep. by the Federal Laws (Revision and Declaration) Act, 1951 (Act No. XXVI of 1951), s. 3 and II Sch.
[4]Subs. by Federal Adaptation of Laws Order, 1975 (President's Order No. 4 of 1975), Art. 2 and Table.
[5]Subs. by the Amending Act, 1916 (Act No. XIII of 1916), s. 2 and Sch.
[6]Subs. by Act No. XXIV of 1965.

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the [1][Federal Government] to the extent to which he is so empowered and subject to any general or special order of the Secretary in this behalf.]

5. Payment to be a discharge.—Such payment shall be a full discharge from all further liability in respect of the money so paid:

Saving of right of executor. But nothing herein contained precludes any executor or administrator, or other representative of the deceased, from recovering from the person receiving the same the amount remaining in his hands after deducting the amount of all debts or other demands lawfully paid or discharged by him in due course of administration.

Saving of right of creditor. And any creditor or claimant against the estate of the deceased may recover his debt or claim out of the money paid under this Act [2][* * *] to any person, and remaining in his hands unadministered, in the same manner and to the same extent as if the latter had obtained letters of administration of the estate of the deceased.

6. Security for due administration.—The Secretary of any such Bank [3][or any officer empowered under [4][sub-section (5) of section 4] may take such security as he thinks necessary from any person to whom he pays any money under [4][sub-section (5) of section 4] for the due administration of the money so paid,

and he may assign the said security to any person interested in such administration.

7. Power to administer oath.—For the purpose of ascertaining the right of the Person claiming to be entitled as aforesaid, the Secretary of any such Bank [3][or any officer empowered under [4][sub-section (5) of section 4] may take evidence on oath or affirmation according to the law for the time being relating to oaths and affirmations.

Penalty for false statements. Any person who, upon such oath or affirmation, makes any statement which is false, and which he either knows or believes to be false or does not believe to be true, shall be deemed guilty of an offence under section 193 of the Pakistan Penal Code (XLV of 1860).

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8. Deposit when excluded in computing court-fees.—Where the amount of the deposit belonging to the estate of a deceased depositor does not exceed [5][three thousand rupees,] such amount shall be excluded in computing the fee chargeable, under the Court-fees Act, 1870 (VII of 1870), on the probate, or letters of administration, or certificate (if any), granted in respect of his property[6]:

Provided that the person claiming such probate or letters or certificate shall exhibit to the Court authorized to grant the same a certificate of the amount of the deposit in any Government Savings Bank belonging to the estate of the deceased. Such certificate shall be signed by the Secretary of such Bank, and the Court shall receive it as evidence of the said amount.

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[1]Subs. by Federal Adaptation of Laws Order, 1975 (President's Order No. 4 of 1975), Art, 2 and Table.
[2]Omitted by the Federal Laws (Revision and Declaration) Ordinance, 1981 (Ordinance No. XVII of 1981), s. 3 and 2nd Sch.
[3]Ins. by Act No. XVI of 1923, s. 4.
[4]Subs. by Act No. XXIV of 1965, ss. 3 and 4.
[5]Subs. by Act No. XVII of 1917, s. 2.
[6]Rep. by the Savings Banks Act, 1863 (26 and 27 Vict., c. 87).

9. [1][Omitted]

DEPOSITS BELONGING TO MINORS

10. Payment of deposits to minor or guardian.—Any deposit made by, or on behalf of, any minor may be paid to him personally if he made the deposit, or to his guardian for his use if the deposit was made by any person other than the minor, together with the interest accrued thereon.

The receipt of any minor or guardian for money paid to him under this section shall be a sufficient discharge therefor.

11. [1][Omitted]

DEPOSITS BELONGING TO LUNATICS

12. Payment of deposits belonging to lunatics.—If any depositor becomes insane or otherwise incapable of managing his affairs,

and if such insanity or incapacity is proved to the satisfaction of the Secretary of the Bank in which his deposit may be,

such Secretary may, from time to time, make payments out of the deposit to any proper person,

and the receipt of such person, for money paid under this section, shall be a sufficient discharge therefor.

Where a committee or manager of the depositor's estate has been duly appointed, nothing in this section authorizes payments to any person other than such committee or manager.

DEPOSITS MADE BY MARRIED WOMEN

13. Payment of married women's deposits.—Any deposit made by or on behalf of a married woman or by or on behalf of a woman who afterwards marries, may be paid to her, whether or not [1][section 20 of the Succession Act, 1925 (XXXIX of 1925)] applies to her marriage; and her receipt for money paid to her under this section shall be a sufficient discharge therefor.

RULES

14. Rules regulating certificates under section 8, and payments under section 10, 12 or 13.—All certificates under section 8, and all payments under section 10, section 12 or section 13, shall be respectively granted and made by the Secretary of the Bank, subject to such rules consistent with this Act as the [2][Federal Government] may, from time to time, prescribe.

Date: 24-09-2024

[1]Omitted by the Federal Laws (Revision and Declaration) Ordinance, 1981 (Ordinance No. XXVII of 1981), s. 3 and 2nd Sch.
[2]Subs. by Federal Adaptation of Laws Order, 1975 (President's Order No. 4 of 1975), Art. 2 and Table.

THE FOREIGN PRIVATE INVESTMENT (PROMOTION AND PROTECTION) ACT, 1976

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1. Short title, commencement and application.
2. Definitions.
3. Field for foreign private investment.
4. Approval of Foreign Private Investment.
5. Protection of agreements.
6. Repatriation facilities.
7. Remittances by foreign employees.
8. Tax concession and avoidance of double taxation.
9. Equal treatment.
10. Removal of difficulties.
11. Power to make rules.
12. Repeal.

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THE FOREIGN PRIVATE INVESTMENT (PROMOTION AND PROTECTION) ACT, 1976.

[1]ACT NO. XLII OF 1976

[4th June, 1996]

An Act to provide for the promotion and protection of foreign private investment in Pakistan.

WHEREAS it is expedient to provide for the promotion and protection of foreign private investment in Pakistan, and for matters ancillary thereto;

It is hereby enacted as follows:—

1. Short title, commencement and application.—(1) This Act may be called the Foreign Private Investment (Promotion and Protection) Act, 1976.

(2) It shall come into force at once.

(3) It shall apply to all industrial undertakings in Pakistan having foreign private investment established with the approval of the Federal Government after the first day of September, 1954:

Provided that nothing in this Act shall be in derogation of any facilities or protection specifically sanctioned by the Federal Government to foreign private investment in the case of a particular industrial undertaking or a class of industrial undertakings or such facilities or protection as may be available to foreign private investment under a bilateral investment treaty.

2. Definitions.—(1) In this Act, unless there is anything repugnant in the subject or context,—

(a) "foreign capital" means investment made by a foreigner [2][or by a person who, being a citizen of Pakistan, is also the citizen of any other country] in an industrial undertaking in Pakistan—

(i) in the form of foreign exchange, imported machinery and equipment, or

(ii) in any other form which the Federal Government may approve for the purpose;

(b) "foreign private investment" means investment in foreign capital by a person who is not a citizen of Pakistan [1][or who, being a citizen of Pakistan, is also the citizen of any other country] or by a company incorporated outside Pakistan, but does not include investment by a foreign Government or agency of foreign Government;

(c) "industrial undertaking" means an industry, undertaking or establishment engaged in the production, distribution or processing of any goods, the providing of services specified in this behalf by the Federal Government or the development and extraction of such mineral resources and products as may be specified in this behalf by the Federal Government [2][but, for the purpose of investment by a person who, being a citizen of Pakistan, is also the citizen of any other country, does not include an undertaking or establishment engaged in providing banking or insurance services].

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[1]For Statement of Objects and Reasons, see Gaz., of P., 1976, Ext., Pt. Ill, p. 392.

[2]Ins. by the Foreign Private Investment (Promotion and Protection) (Amdt.) Act. 1993 (4 of 1993), s. 2.

(2) Words and expressions used but not defined in this Act shall have the same meanings as in the Companies Act, 1913 (VII of 1913).

3. Field for foreign private investment.—The Federal Government may consistent with the national interest, for the promotion of foreign private investment, authorise such investment in any industrial undertaking—

(a) which does not exist in Pakistan and the establishment whereof in the opinion of the Federal Government, is desirable; or

(b) which is not being carried on in Pakistan on a scale adequate to the economic and social needs of the country; or

(c) which will contribute to—

(i) the development of capital, technical and managerial resources of Pakistan;

(ii) the discovery, mobilisation or better utilization of the national resources;

(iii) the strengthening of the balance of payments of Pakistan;

(iv) increasing employment opportunities in Pakistan; or

(v) the economic development of the country in any other manner.

[1][**4. Approval of Foreign Private Investment**.—Any sanction granted by the Federal Government for investment in an industrial undertaking shall be subject to the following conditions and to such other conditions as the Federal Government may specify, namely:—

When the foreign private investment is by a person who, being a citizen of Pakistan, is also the citizen of any other country, he shall deposit the entire amount of repatriable foreign investment in a foreign exchange account in Pakistan for its subsequent use for the purchase of machinery and other fixed assets of the undertaking".

5. Protection of agreements.—(1) Where the Federal Government considers it necessary in the public interest to take over the management of an industrial undertaking having foreign private investment or to acquire the ownership of the shares of citizens of Pakistan in the capital of such industrial undertaking, any agreement approved by the Federal Government relating to such undertakings entered into between a foreign investor or creditor and any person in Pakistan shall not be affected by such taking over or acquisition.

(2) Foreign capital or foreign private investment in an industrial undertaking shall not be acquired except under due process of law which provides for adequate compensation therefor to be settled in the currency of the country of origin of the capital or investment and specifies the principles on and the manner in which compensation is to be determined and given.

6. Repatriation facilities.—Subject to the provisions of the Foreign Exchange Regulation Act, 1947 (VII 1947).

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[1]Subs. by the Foreign Private Investment (Promotion and Protection) (Amdt.) Act, 1993 (4 of 1993), s. 3, for section 4.

(a) a foreign investor in an industrial undertaking established after the 1st day of September, 1954, and approved by the Federal Government, may at any time repatriate in the currency of the country from which the investment originated—

(i) foreign private investment to the extent of original investment;

(ii) profits earned on such investment; and

(iii) any additional amount resulting from the reinvested profits or appreciation of capital investment; and

(b) a creditor of an industrial undertaking referred to in clause (a) may repatriate foreign currency loans approved by the Federal Government and interest thereon in accordance with the terms and conditions of the said loan:

Provided that nothing in this section shall affect the terms of the permission to make such investment granted to a foreign investor before the commencement of this Act.

7. Remittances by foreign employees.—Foreign nationals employed with the approval of the Federal Government in any industrial undertaking having foreign private investment may make remittances for the maintenance of their dependents in accordance with the rules, regulations or orders issued by the Federal Government or the State Bank of Pakistan.

8. Tax concession and avoidance of double taxation.—(1) The Federal Government may allow such concessions to industrial undertakings having foreign private investment as may be admissible under any law for the time being in force.

(2) Foreign private investment shall not be subject to other or more burdensome taxes on income than those applicable to investment made in similar circumstances by citizens of Pakistan.

(3) Foreign private investment shall be allowed all the tax concessions which may be admissible on the basis of any agreement for avoidance of double taxation which the Government of Pakistan may have entered into with the Government of the country of origin of such investment.

9. Equal treatment.—Industrial undertakings having foreign private investment shall be accorded the same treatment as is accorded to similar industrial undertakings having no such investment in the application of laws, rules and regulations relating to importation and exportation of goods.

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10. Removal of difficulties.—If any difficulty arises in giving effect to any provisions of this Act, the Federal Government may make such order, not inconsistent with the provisions of this Act, as may appear to it to be necessary for the purpose of removing the difficulty:

Provided that no such power shall be exercised after the expiry of one year from the commencement of this Act.

11. Power to make rules.—The Federal Government may, by notification in the official Gazette, make rules for carrying out the purposes of this Act, and such rules may, among other matters, provide for the employment of Pakistani and foreign nationals in industrial undertakings having foreign private investment.

12. [*Repeal*]. Omitted by the Federal Laws (Revision and Declaration) Ordinance, 1981 (XXVII of 1981), s. 3 and Sch., II.

THE FOREIGN EXCHANGE (PREVENTION OF PAYMENTS) ACT, 1972.

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1. Short title, extent and commencement
2. Power to direct State Bank to stop payment
3. Indemnity
4. Bar of Jurisdiction [omitted]
5. Power to make rules
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6A. Validation
7. Repeal [Omitted]

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THE FOREIGN EXCHANGE (PREVENTION OF PAYMENTS) ACT, 1972.

[1]Act No. XXII OF 1972

[24th September, 1972]

An Act to enable the Federal Government to prohibit certain payments.

WHEREAS it is necessary to prohibit certain payments;

It is hereby enacted as follows:—

1. Short title, extent and commencement.— (1) This Act may be called the Foreign Exchange (Prevention of Payments) Act, 1972.

(2) It extends to the whole of Pakistan.

[2][(3) It shall come into force at once and shall be deemed to have taken effect on the 10th day of March, 1972.]

2. Power to direct State Bank to stop payment.—(1) Notwithstanding anything contained in the Foreign Exchange Repatriation Regulation, 1972,[3]* * * the State Bank of Pakistan may, and if so required by the Federal Government by order in writing shall, direct—

(a) an authorised dealer in foreign exchange through whom any person has repatriated any amount of foreign exchange to Pakistan in pursuance of the said Regulation; or

(b) any other person with whom the whole or part of the rupee equivalent of the amount so repatriated and other amount payable in respect of such repatriation is or has been deposited,

to deposit with the State Bank, within the time specified by it, the amount representing the aggregate of the rupee equivalent of the amount so repatriated and any other amount payable in respect of such repatriation or, as the case may be, the part thereof so deposited.

(2) Any person or authority to whom any amount of money is payable by the person repatriating the amount of foreign exchange or who has against such person any claim the value of which can be expressed in terms of money, may, within such time and in such manner as the Federal Government may, by notification in the official Gazette specify, apply to the Federal Government for payment of the amount so payable or, as the case may be, of the amount representing the value of such claim.

(3) Upon the receipt of an application under sub-section (2), an officer authorised by the Federal Government in this behalf may, after making such inquiries as he may consider necessary, make such order as he may deem fit:

[1]For Statement of Objects and Reasons, see Gaz., of P., 1972, Ext., Pt-III, p. 415
[2]Subs, by the Foreign Exchange (Prevention of Payments) (Amdt) Act, 1974 (6 of 1974), s. 2, for the original sub-section (3).
[3]The words "(M.L.R. 104), as continued in force by Article 280 of the Interim Constitution of the Islamic Republic of Pakistan" omitted by the Federal Adaptation of Laws Order, 1975 (P.O. 4 of 1975), Art. 2 and Sch.

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[1]* * * * * * *

Provided [2]* that no order for the payment of money to any person or authority shall be so made unless the person repatriating the amount of foreign exchange has had an opportunity of showing cause against it.

(4) The officer making an order under sub-section (3) shall forward a copy thereof to the State Bank who shall make to the person or authority specified in the order the payment required by the order, if any.

(5) The deposit by an authorised dealer of foreign exchange or any other person referred to in sub-section (1) of any amount of money he is required to deposit with the State Bank under sub-section (1), and the payment by the State Bank of any amount of money in pursuance of an order under sub-section (3), shall be a full discharge of the authorised dealer or that other person or, as the case may be, of the State Bank from all liabilities in respect of the amount so deposited or paid.

3. Indemnity.— (1) No suit, prosecution or other legal proceeding shall be against the Federal Government, the State Bank of Pakistan or an authorised dealer in foreign exchange or any other person for anything in good faith done or intended or purporting to be done under this Act.

(2) If any such suit, prosecution or other legal proceeding as is referred to in sub-section (1) is pending immediately before the commencement of this Act or if any judgement, decree or order has been passed in any such or similar suit, prosecution or other legal proceeding, the same shall abate forthwith or, as the case may be, be of no effect as if it had never been passed.

4. [Bar of Jurisdiction]. Omitted by the Foreign Exchange (Prevention of Payments) (Amdt.) Act 1996, (XIV of 1996) s. 3.]

5. Power to make rules. The Federal Government may, by notification in the official Gazette, make rules for carrying out the purposes of this Act.

6. Penalty. Any person who contravenes or attempts to contravene or abets the contravention of any provision of this Act or of the rules made thereunder or disobeys any direction or order made under this Act or any rule thereunder shall be punishable with imprisonment for a term which may extend to three years and shall also be liable to fine.

[3]**[6A. Validation.** All directions or instructions issued by the State Bank of Pakistan from the date of the commencement of this Act till the 25th day of September, 1972, to any person or authorised dealer in foreign exchange as specified in clauses (a) and (b) of sub-section (1) of section 2 of the said Act to withhold payment to any person of any amount repatriated under the Foreign Exchange (Repatriation) Regulation, 1972, and of any amount payable in respect of such repatriation, shall be deemed to have been validly issued under this Act.

7. *[Repeal.] Omitted by the Federal Laws (Revision and Declaration) Ordinance, 1981 (XXVII of 1981), s. 3 and Sch. II.*

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[1]Proviso omitted by the Foreign Exchange (Prevention of Payments) (Amdt.) Act 1996,(14 of 1996) s. 2.
[2]The word "further" omitted *ibid*.,
[3]New section 6A ins. by the Foreign Exchange (Prevention of Payments) (Amdt.) Act, 1974 (6 of 1974), s. 3 (w.e.f. 10-3-72)

THE FOREIGN CURRENCY ACCOUNTS (PROTECTION) ORDINANCE, 2001

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1. Short title, extent and commencement
2. Definitions
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5. Ordinance to override other laws
6. Power to make rules, etc.

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THE FOREIGN CURRENCY ACCOUNTS (PROTECTION) ORDINANCE, 2001

ORDINANCE No. L OF 2001

[*28th September, 2001*]

An Ordinance to provide for protection to foreign currency accounts

WHEREAS it is expedient to provide for protection to foreign currency accounts and for matters connected therewith or ancillary thereto:

AND WHEREAS the President is satisfied that circumstances exist which render it necessary to take immediate action;

NOW, THEREFORE, in pursuance of the proclamation of Emergency of the Fourteenth day of October, 1999, and the Provisional Constitution Order No. 1 of 1999, read with the Provisional Constitution (Amendment) Order No.9 of 1999, and in exercise of all powers enabling him in that behalf, the President of the Islamic Republic of Pakistan is pleased to make and promulgate the following Ordinance.

1. Short title, extent and commencement.— (1) This Ordinance may be called the Foreign Currency Accounts (Protection) Ordinance, 2001.

(2) It extends to the whole of Pakistan.

(3) It shall come into force at once.

2. Definitions.— In this Ordinance unless there is anything repugnant in the subject or context.

(a) "authorised dealer" means a person authorized, under section 3 of the Foreign Exchange Regulation Act, 1947 (VII of 1947), by the State Bank to deal in foreign exchange;

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(b) "foreign currency" means the foreign currency other than the Pakistan currency;

(c) "foreign currency accounts" means a foreign currency account opened with an authorized dealer after the 28th May, 1998; and

(d) "State Bank" means the State Bank of Pakistan established under the State Bank of Pakistan Act, 1956 (XXXIII of 1956).

3. Protection of foreign currency accounts.— No person holding a foreign currency account shall be deprived of his right to hold or operate such account or in any manner be restricted temporarily or permanently to lawfully sell, withdraw, remit, transfer, use as security or take out foreign currency there form within or outside Pakistan.

4. Indemnity.—No suit or other legal proceedings shall lie against the Federal Government or any person for anything in good faith done or intended to be done in pursuance of this Ordinance or any rule; direction or order made thereunder.

5. Ordinance to override other laws.—(1) Subject to subsection (2), the provisions of this Ordinance shall have effect notwithstanding anything contained in the Foreign Exchange Regulation Act, 1947 (VII of 1947) the Customs Act, 1969 (IV of 1969), the Income Tax Ordinance, 1979 (XXXI of 1979) or any other law for the time being in force.

(2) The protection provided to a foreign currency account holder under this Ordinance shall be in addition to, and not in derogation of, the protection provided under the Protection of Economic Reforms Act, 1992 (XII of 1992).

6. Power to make rules, etc.— (1) The Federal Government may, in consultation with the State Bank, by notification in the official Gazette, make rules for carrying out the purposes of this Ordinance.

(2) The State Bank may make regulations consistent with the provisions of this Ordinance and the rules made thereunder to provide for all matters for which provision is necessary for the purpose of giving effect to the provisions of this Ordinance.

(3) All rules, regulations, under or instructions in respect of foreign currency accounts made or issued by the Federal Government or, as the case may be, the State Bank, before the commencement of this Ordinance, shall in so far as they are not inconsistent with the provisions of this Ordinance, shall have effect and shall be deemed to have been made or issued under this Ordinance.

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THE ESTABLISHMENT OF THE FEDERAL BANK FOR COOPERATIVES AND REGULATION OF COOPERATIVE BANKING ACT, 1977

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4. Power to exempt, and suspend operation of Act, in certain cases.
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7. Offices and branches.
8. Direction and superintendence.
9. Board.
10. Managing Director.
11. Disqualifications of Managing Director and Directors.
12. Meetings of the board.
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30. Power to remove Directors, or other managerial persons from office and to supersede board of Directors of a provincial cooperative Bank.

31. Power of the Bank to call for statements, returns, etc, and to publish information.

32. Duty of the officers and servants to maintain secrecy.

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THE ESTABLISHMENT OF THE FEDERAL BANK FOR COOPERATIVES AND REGULATION OF COOPERATIVE BANKING ACT, 1977,

[1]ACT NO. IX OF 1977

[9th January, 1977]

An Act to provide for the establishment of a Federal Bank for Cooperatives and regulation of Cooperative Banking.

Whereas it is expedient to provide for the establishment of a Federal Bank for Cooperatives and Regulation of Cooperative Banking, and for matters ancillary thereto;

AND WHEREAS the Provincial Assemblies of the Northwest Frontier Province, the Punjab and Sindh and Parliament, exercising the powers of the Provincial Assembly of Baluchistan under, Article 234 of the Constitution of the Islamic Republic of Pakistan, have passed resolutions under Article 144 of the Constitution to the effect that Parliament may by law regulate the matter of cooperative banking ;

It is hereby enacted as follows :—

***1. Short title, extent and commentcement.**—(1) This Act may be called the Establishment of the Federal Bank for Cooperatives and Regulation of Cooperative Banking Act, 1977.

(2) It extends to the whole of Pakistan and also applies to the business of the Bank transacted outside Pakistan and to persons conducting such business.

(3) It shall come into force at once and shall be deemed to have taken effect on the 9th day of October, 1976.

2. Definition. In this Act, unless there is anything repugnant in the subject or context,—

(a) "approved securities" means securities in which a trustee may invest money under clause (a), clause (b), clause (bb), clause (c) or clause (d) of section 20 of the Trusts Act, 1882 II of 1882), and such other securities as the Federal Government. may, by notification in the, official Gazette, declare to be approved securities for purposes of this Act;

(b) "Bank" means the Federal Bank for Cooperatives established under section 5;

(c) "Board" means the Board of Directors constituted under section 9;

(d) "Chairman" means the Chairman of the Board;

(e) "cooperative bank" means a 'banking society as defined in the Explanation to sub-section (2) of section 7 of the Cooperative Societies Act, 1925 (VII of 1925) other than a Provincial Cooperative Bank.

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[1]*For Statement of objects and Reasons, ,see Gaz.of P, 1976, Ext pt. P- III 1527.*
This Act has been amended in its application to the extent of Islamabad. Capital Territory, See Ordinance No. XXVII of 1981, s. 5 and 4th Sch.
**under section 41 of the Federal Bank of Cooperative & Regulation of Cooperative Banking Act 1977 (IX of 1977) has been liquidated vide SRO 717 (I)/2002 dt, 16-10-02.*

(f) "cooperative society" means a society registered in Pakistan under any law for the time being in force relating to registration of cooperative societies and a "primary cooperative society" means such a society of which no other society is a member;

(g) "borrower" means a person who has obtained a loan from the Bank or a Provincial Cooperative Bank and includes a surety or an indemnifier, but does not include the Federal Government or a Provincial Government;

(h) "demand liabilities" means liabilities which are to be met on demand and "time liabilities" means liabilities which are not demand liabilities;

(i) "Director" means a Director for the time being of the Board;

(j) "District judge" includes, in respect of areas where a District Judge does not have unlimited pecuniary jurisdiction in original civil suits, a High Court exercising original civil jurisdiction;

(k) "family members" in relation to a person means his spouse, dependent lineal ascendents and descendents and dependent brothers and sisters;

[1]**[(l)** 'loans advances and credit' includes finance as defined in the Banking Tribunals Ordinance, .1984, and all cognate expressions shall be construed accordingly;]

(m) "Managing Director" means Managing Director of the Bank and includes any person for the time being discharging the functions of the Managing Director;

(n) "multi-unit cooperative society" means a cooperative society to which the Multi-Unit Cooperative Societies Act, 1942 (VI of 1942) applies and which—

(i) is not a banking society as defined in the Explanation to sub-section (2) of section 7 of the Cooperative Societies Act, 1925 ?(VII of 1925); and

(ii) does not use as a-, part of its name the word "Bank" or "Banking" or any of its derivatives ;

(o) "prescribed" means prescribed by rules;

(p) "Provincial Cooperative Bank" means a cooperative society the primary object of which is to make loans to the cooperative societies which are its members and which is notified, for the purposes of this Act, to the Bank by the Provincial Government of the Province within which the cooperative society is registered or, until a cooperative society is so notified, any one of the following, namely:—

(i) the Baluchistan Provincial Cooperative Bank Ltd;

(ii) the Frontier Provincial Cooperative Bank Ltd;

(iii) the Punjab Provincial Cooperative Bank Ltd; and

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[1]*Subs, by the Banking and Financial Services (Amendment of Laws) Ordinance, 1984 (57 of 1984), s. 2 and Sch.,*

(iv) the Sind Provincial Cooperative Bank Ltd;

(q) "regulation" means a regulation made under this Act;

(r) "rule" means a rule made under this Act;

(s) "scheduled bank" has the same meaning as in the State Bank of Pakistan Act, 1956 (XXXIII OF 1956);

(t) "State Bank" means the State Bank of Pakistan established under the State Bank of Pakistan Act, 1956.

3. Act ot override other laws. —(,1) Except as provided in sub-section (2), this Act. shall have effect notwithstanding anything contained in the Banks (Nationalization) Act, 1974 (XIX of 1974), or any other law, excepting the State Bank of Pakistan Act, 1956 (XXXIII of 1956), and the Banking Companies Ordinance, 1962 (LVII of 1962), as amended by this Act, for the time being in force or any instrument having effect by virtue of any law or any agreement, contract, award or memorandum or articles of association or other instrument.

(2) Nothing in—

(a) section 36 of the State Bank of Pakistan Act, 1956 (XXXIII of 1956), shall apply to the Chairman or a Director, other than the Managing Director;

(b) clause (iv) of sub-section (1) of section 14 of the Banking Companies Ordinance, 1962 (LVII of 1962), shall apply to shares of the Bank held by the State Bank;

(c) section 27, section 28, clause (b) of sub-section (6) of section 40, clause (c) of sub-section (1) of section 42, Parts III and IV, or section 89 of the Banking Companies Ordinance, 1962 (LVII of 1962), shall apply to the Bank;

(d) clause (c) of sub-section (1), or sub-sections (2), (3), (4) and (5) of section 11, sub-section (3) of section 14, sections 15, 15-A, 15-B, 15-C, or 20 sub-section (3) or (6) Of section 25, sub-section (4) or (5) or section 40, or section 41-A, 41-B, 41-C, or '83 of the Banking Companies Ordinance, 1962 (LVII of 1962), shall apply to the Chairman or a Director other than the Managing ' Director.

4.Power to exempt, and suspend operation of Act, in certain cases. The Federal Government may, by notification in the official Gazette, and subject to such conditions as may be specified in the notification, exempt the Bank from, or suspend the application to the Bank of, all or any of the. provisions of this Act, either generally or for such period as may be so specified.

5. Establishment of the Bank.—(1) As soon as may be after the coming into force of this Act, the Federal Government shall take steps to establish, in accordance with the provisions of this Act, a bank to be called "The Federal Bank for Cooperatives" to carry out the purposes of this Act.

(2) The Bank shall be a body corporate having perpetual succession arid a common seal, with powers to acquire, own, hold and dispose of any property, and shall by the name assigned to it by sub-section (1) sue and be sued.

(3)The Bank shall be deemed to be a banking company for the purposes of the State Bank of Pakistan Act, 1956 (XXXIII of 1956), the Banking Companies Ordinance, 1962 (LVII of 1962), and any other law for the time being in force relating to banking companies, excepting the Banks (Nationalization) Act, 1974 (XIX of 1974).

6. Share capital.—(1) The initial share capital of the Bank shall be twenty crores of rupees divided into two thousand fully paid up shares of the nominal value of one hundred thousand rupees each and shall be fully subscribed by the Federal Government, the Provincial Governments and the State Bank of Pakistan in the following manner:—

(a) Federal Government.	Rs. 2.00 crores.
(b) State Bank.	Rs. 15.00 crores.
(c) Government of the Punjab.	Rs. 1.00 crores.
(d) Government of Sind.	Rs. 1.00 crores.
(e) Government of N.W.F.P.	Rs. 0.50 crores.
(f) Government of Baluchistan.	Rs. 0.50 crores.

(2) The share capital may be increased from time to time by a resolution of the Board with the approval of the Federal Government, and the capital so increased shall be fully subscribed by the Federal Government, the Provincial Governments and the State Bank of Pakistan.

7. Offices and branches.—(1) The head office of the Bank shall be at Islamabad.

(2) The Bank shall establish one Regional Office in each Province and may establish Offices, Branches and Agencies at such places as the Board may think fit.

8. Direction and superintendence. The general direction and superintendence of the affairs and business of the Bank shall vest in a Board of Directors constituted in accordance with section 9, which may exercise all such powers and do all such acts and things as may be exercised or done by the Bank, subject to the provisions of th is Act.

9. Board.—(1) The Board shall consist of—

(a) the Chairman;

(b) all the directors for the time being of the Central Board of Directors of the State Bank;

(c) the Managing Director;

(d) two directors to be nominated by the Federal Government of whom one shall be an officer of the Ministry of the Government of Pakistan concerned with the subject of cooperatives and the other a non-official; and

(e) two directors from each Province to be nominated by the Federal Government on the recommendation of each Provincial Government, of whom one shall be a non-official.

(2) The Governor for the time being of the State Bank shall be the Chairman of the Board.

(3) Unless the Federal Government otherwise directs in any case, a non-official Director referred to in clause (d) or clause (e) of sub-section (1) shall hold office for a period of three years and shall, subject to the provisions of this Act be eligible for reappointment :

Provided that such a Director shall not hold office for more than six consecutive years, and in computing the period of six years, any break of less than three years in continuity of office shall be disregarded.

(4) A Director referred to in clause (b) of sub-section (1) and an officer who is nominated Director under clause (d) or clause (e) of that sub-section, shall hold office during the pleasure of the Federal Government.

(5) No act or proceeding of the Board shall be invalid by reason only of the existence of any vacancy in, or defect in the constitution of the Board.

10. Managing Director.—(1) The Managing Director shall be appointed by the Federal Government on such terms and conditions as the Federal Government may determine and shall hold office during the pleasure of the Federal Government.

(2) Subject to sub-section (1), the Managing Director may, by writing under his hand addressed to the Federal Government, resign his office.

(3) The Managing Director shall be the whole-time Chief executive of the Bank and shall perform such functions as are assigned to him by or under this Act.

(4) If at any time the Managing Director is absent or is unable to perform his functions due to any cause, the Federal Government may authorise any other person not disqualified under section 11 to discharge for the time being the functions of the Managing Director on such terms and conditions as the Federal Government may think fit.

11. Disqualifications of Managing Director and Directors. No person shall be or shall continue to be the Managing Director or a Director who—

(a) is or becomes a member of Parliament or a Provincial Assembly; or

(b) is or at any time has been adjudicated an insolvent or suspends or has suspended payment or compounds or has compounded with his creditors; or

(c) is a minor; or

(d) is or is found to be a lunatic or becomes of unsound mind; or

(e) is or has at any time been convicted for any offence "which in the opinion of the Federal Government is an offence involving moral turpitude; or

(f) was at any time in the service of the Federal Government or a Provincial Government or a Corporation or body owned or controlled by any such Government or in the service of any bank and was dismissed or disqualified for employment; or

(g) is not a citizen of Pakistan or ceases to be a citizen of Pakistan; or

(h) is a person against whom action has been taken or any proceedings are pending under section 235 of the companies Act, 1913 (VII of 1913), or section 83 of the Banking Companies Ordinance, 1962 (LVII of 1962).

12. Meetings of the Board.—(1) Seven Directors shall form a quorum for a meeting of the Board.

(2) Subject to sub-section (1), the meetings of the Board shall be held in such a manner as may be prescribed:

Provided that until rules are made in this behalf, such meetings shall be convened by the Chairman.

(3) At the meetings of the Board, each Director shall have one vote and, in the event of equality of votes, the Chairman shall have a second or casting vote.

(4) All meetings of the Board shall be presided at by the Chairman and, in his absence, by a Director chosen for the purpose by the directors persent from amongst their number. .

13. Fees for attending meeting. A non-official Director shall be paid such fees, travel costs and other expenses for attending the meetings of the Board as the Board may determine.

14. Indemnity of Directors.—(1) A Director shall not be personally responsible for the acts of any other Director or of any other officer or servant of the Bank or for any loss or expense resulting to the Bank by reason of insufficiency or deficiency in value of or title to any property or security acquired or taken on behalf of the Bank, or by wrongful act of any person under a liability to the Bank, or for anything done by him in good faith in the discharge of his duties.

(2) Every Director shall be indemnified by the Bank against all losses and expenses reasonably incurred by him in the discharge of his duties except such as are caused by his wilful act or default.

15. Advisory Committee.—(1) The Bank may constitute an Advisory Committee consisting of—

(a) the Managing Director, who shall be the Chairman thereof;

(b) one representative each of the Ministries of the Government of Pakistan concerned with the subjects of finance and cooperatives;

(c) two representatives each of the Provincial Governments, of whom one shall be a non-official;

(d) the chief executive of each of the Provincial Cooperative Banks; and

(e) the Executive Director incharge of the Agricultural Credit Department in the State Bank.

(2) All meetings of the Advisory Committee shall be presided at by the Chairman thereof and, in his absence, by a Member chosen for the purpose by the Members present from amongst their number.

(3) The Advisory Committee shall advise the Bank on such matters as may be referred to it by the Board from time to time and may make recommendations on its own motion to identify areas of improvement in service, facilities to customers of co-operative societies, including measures for meeting regional credit requirements.

(4) The meetings of the Advisory Committee shall be convened by the Chairman thereof at such time and place as he may deem fit, and the non-official members of the Advisory Committee shall be paid such fees, travel cost and other expenses for attending the meetings as may be determined by the Board.

16. Officers and Servants.—(1) The Bank may appoint or employ such officers and servants as it considers necessary for the efficient performance of its functions on such terms and conditions as may be laid down by regulations:

Provided that, until regulations are made in this behalf, the conditions may be determined by the Board or by the Managing Director, to the extent he is authorised by the Board.

(2) The Managing Director and every officer and employee of the Bank shall be deemed to be a public servant within the meaning of section 21 of the Pakistan Penal Code (Act XLV of 1860).

(3) For the purpose of section 124 of the Evidence Act, 1872 (I of 1872), the provisions of Part IV of the Code of Civil Procedure, 1908 and the provisions of rule 27 of Order V, and rule 52 of Order XXI of the said Code (Act V of 1908), the Bank and any officer and employee of the Bank acting in his official capacity as such shall be deemed to be a public officer.

(4) The provisions of section 123-of the Evidence Act, 1872 (I of 1872), shall apply to the unpublished records relating to the affairs of the bank and the Managing Director shall be deemed to be the officer or head of the department concerned.

17. Business and functions—(1) The Bank shall be the principal financing institution for meeting the credit needs of Provincial Cooperative Banks and multi-unit cooperative societies.

(2) The Bank may carry on, transact or do the several kinds of business and acts hereinafter specified, namely:—

(i) accept money on deposit;

(ii) borrow funds from the Federal Government, financial institutions as defined in clause (f) of Section 2 of the National Development Finance Corporation Act, 1973 (XIII of 1973) and such other financing institutions in or outside Pakistan as are approved in this behalf by the Federal Government, against the security of its assets or otherwise;

(iii) raise funds for the purpose of the Bank's operation through issue and sale of bonds and debentures;

[1]**[(iiia)** obtain or raise funds on the basis of participation in profit and loss, mark-up and mark-down in price, hire-purchase, lease, rent-sharing, licensing, charge or fee of any description, participation term certificates, modaraba certificates and such other instruments as may be approved by the State Bank of Pakistan, purchase or sale of any property, including commodities, patents, designs, trade marks and copyright, with or without buy-back arrangements with the seller or on condition of payment of its price in one or more installments at a stated future date or dates or any other mode not based on interest;]

(iv) make secured loans and advances to Provincial Co-operative Banks, multi-unit cooperative societies and, subject, to the regulations framed for the purpose, to the officers and staff of the Bank;

(v) for the purpose of securing its loans and advances, accept pledge, mortgage, hypothecation or assignment Of any kind of movable or immovable property or documents of title or guarantee of the Federal Government or a Provincial Government and such other securities as the Bank may deem fit;

(vi) draw, accept, discount, buy or sell or rediscount bills of exchange or promissory notes bearing two or more good signatures, one of which shall be that of a scheduled bank or a Provincial Cooperative Bank;

(vii) issue guarantees and give indemnities in relation to its business;

(viii) subscribe to the debentures, [1][participation term certificates, term finance certificates musharika certificates, modaraba certificates and such other instruments as may be approved by the State Bank;] repayable within a period not exceeding ten years, of any body corporate specially established for the promotion of business of cooperative societies;

(ix) deliver, receive, collect and remit any securities;

[1]**[(x)** purchase on otherwise acquire in the normal course of its banking business any movable or immovable property, residential or commercial, including commodities, patents, designs, trade marks and copyrights, with or without buy-back arrangements by the seller, or for outright sale or sale in the form of hire-purchase or on deferred payment basis with mark-up or for leasing or licensing or for rent-sharing or for any other mode of financing other than one based on interest and, until so disposed of, deal with, and maintain, the same;];

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[1] *Ins. by the Banking and Financial Services (Amendment of Laws) Ordinance, 1984 (57 of 1984), s. 2 and Sch.*

(xi) open accounts or enter into any agency arrangement with any bank or financial institution in or outside Pakistan.

(xii) invest its funds in Government Securities and other approved securities and if so directed by the Board and with the approval of the Federal Government, in the share capital of—

(a) a Provincial Cooperative Bank [1][so that the amount so invested is not less than] twenty-five per cent of the fresh capital contributed by the Provincial Government of the Province within which that Provincial Cooperative Bank is registered; and

(b) a multi-unit cooperative society up to an amount not exceeding twenty-five per cent of its paid-up capital;

(xiii) sell and realise property, movable or immovable, [2][commercial or residential including commodities, patents, designs, trade marks and copyrights,] which may in any way come into the ownership, possession or control of the Bank in the satisfaction or part satisfaction of any of its claims and the acquisition and the holding of, and generally the dealing with, any right, title or interest in any property, movable or immovable, [2][commercial or residential, including commodities, patents, designs, trade marks and copyrights,] which may be the Bank's security for any advance or loan or connected with any such security;

(xiv) assist the Federal Government and the Provincial Governments in formulating schemes for the development and revitalisation of the cooperative movement in the country in general and the Provincial Cooperative Banks in particular;

(xv) assist Provincial Cooperative Banks in preparing their seasonal and developmental loaning programmes and conduct appraisal and undertake feasibility study of projects covered by such loaning programmes;

(xvi) encourage the development of special cooperative projects the objects or area of operation of which may extend to more than one Province;

[3]**[(xvia)** establish independent subsidiaries, whether as cooperative societies or companies or in any other convenient form, for operating model projects to improve agricultural marketing and storage and for this purpose to contribute wholly or partially to their share-captial, provide management, grant loans and advances and perform such other functions and duties as may be deemed necessary by the Bank;]

(xvii) organise training in cooperation and cooperative banking for the employees of the Provincial Cooperative Banks and other cooperative societies;

(xviii) ensure proper utilisation of loans obtained from the Bank;

(xix) carry out research on problems of rural credit and on such other matters as have a bearing on the development of the cooperative movement in the country;

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[1] *Subs. By the Establishment of the Federal Bank for Cooperatives and Regulation of Cooperative Bank (Amdt.) Ordinance, 1979 (67 of 1979). S. 2.*

[2] *Ins. by the Banking and Financial Services (Amendment of Laws) Ordinance. 1984 (57 of 1984). s. 2 and Sch.*

[3] *Ins. by the Establishment of the Federal Bank for Cooperatives and Regulation of Cooperative Banking (Amdt.) Ordinance, 1980 (15 of 1980), s. 2.*

(xx) lend money in the inter-bank call money, market;

(xxi) issue letters of credit;

(xxii) appoint attorneys and agents;

(xxiii) subject to regulations framed for the purpose, maintain and operate the provident fund and other funds created for the benefit of its employee;

(xxiv) perform such functions and exercise such powers as may be entrusted to or conferred upon it by or under any law; and

(xxv) generally do all such matters and things as may be necessary, incidental to or consequential upon exercise of its powers or the discharge of its duties or functions under this Act or any other law.

18. Prohibited business. The Bank shall not undertake any kind of business other than that authorised by or under this Act, and in particular it shall not—

(i) engage in any trade or otherwise have a direct interest in any commercial, industrial or other undertaking except such interest as it may any way acquire in the course of satisfaction of any of its claims, but all such interest shall be disposed of at the earliest possible moment;

(ii) purchase its own shares or purchase or subscribe to the shares of any bank other than a Provincial Cooperative Bank or of any company or make any advance or loan or open any credit or give any financial accommodation upon the securities of its own shares or allow any debtor to set off his debts or part of his debts to the Bank against such shares;

(iii) accept, buy, discount or advance, lend or open any credit or give accommodation or rediscount a bill of exchange or promissory note bearing two or more good signatures, one of which is not that of a scheduled bank or of a Provincial Cooperative Bank; or

(iv) make unsecured advances and loans.

[1][**19. Borrowing Powers**. Power to borrow or obtain finance.—

(1) The Bank may, for the purpose of its business, borrow or obtain finance from all or any of the persons and in the manner mentioned in clause (ii) or clause (iiia) of sub-section (2) of section 17 and raise funds by issue and sale of bonds, debentures, modaraba certificates, participation term certificates, musharika certificates, term finance certificates and such other instruments as may be approved by the State Bank:

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[1]*Subs, by the Banking and Financial Services (Amendment of Laws) Ordinance. 1984 (57 of 1984), s. 2 and Sch.*

Provided that the aggregate of the sums due on such bonds, debentures, modaraba certificates, participation term certificates, musharika certificates, terms finance certificates and such other instruments as aforesaid issued and outstanding and the contingent liabilities of the Bank in respect of guarantees shall not, at any time, exceed ten times the aggregate of the amount of the paid-up share capital and reserves of the Bank.

(2) The bonds, debentures, modaraba certificates, participation term certificates, musharika certificates, term finance certificates and such other instruments as aforesaid may be guaranteed by the Federal Government as to repayment of the principal and return, if any, having regard to the terms thereof.]

20. Power to impose conditions. For the purpose of transacting any business under this Act with any Provincial Cooperative Bank or a multi-unit cooperative society, the Bank may impose such conditions as it may consider necessary or expedient for protecting its interest and securing that its guarantee, advance, loan or other assistance is put to such use by the Provincial Cooperative Bank or the multi-unit cooperative society as it has agreed to and any condition so imposed shall, notwithstanding anything contained in any other law for the time being in force, be valid and enforceable.

21. Power to call for payment before agreed period. Notwithstanding any agreement to the contrary, the Bank may, by notice, require any borrower to which it has granted any loan or any person liable for payment of such loan, forthwith to repay the loan in full if—

(a) it appears to the Board that information false or misleading in any material particular has been given in the application for advance, loan, credit or any financial accommodation; or

(b) the borrower has failed to comply with the terms of any agreement with the Bank in the matter of the advance, loan, credit or financial accommodation; or

(c) there is reasonable apprehension in the opinion of the Managing Director that the borrower is unable to pay its debts or may go into liquidation; or

(d) the property pledged, mortgaged, hypothecated or assigned to the Bank as security for the advance, loan or credit or financial accommodation is not in proper condition to the satisfaction of the Bank or its value as estimated by the Bank has depreciated by more than twenty per cent, and further security to the satisfaction of the Bank is not given within the time specified by the Bank; or

(e) without the permission of the Bank, any property pledged, mortgaged, hypothecated or assigned to the Bank is leased or rented to third parties or is in any way charged, disposed of or removed from the place where it was at the time when the loan, advance, credit or financial accommodation was granted; or

(f) for any other reason it is necessary in the opinion of the Board to protect its interest.

22. Special provision for enforcement of claims by the Bank.—(1) Where the Bank becomes entitled to require the immediate payment of any loan before the due date by reason of breach of any condition of any agreement between the Bank and a borrower to whom an advance, loan or credit has been granted or any person liable for payment of that advance, loan, or credit, or where a borrower to whom any advance, loan, or credit has been granted or any person liable for payment of that advance, loan or credit fails to repay it by the due date or in compliance of a notice under section 21, an officer of the Bank generally or specially authorised by the Board in this behalf may apply to the District judge within the local limits of whose jurisdiction the borrower carries on the whole or a substantial part of his business or the office or branch of the Bank from which the loan was disbursed is situated, for any one or more of the following reliefs, namely:—

(a) an order for the sale of the property pledged, mortgaged, hypothecated or assigned to the Bank as security for the advance, loan or credit; or

(b) an injunction ad interim where there is apprehension that the property pledged, mortgaged, hypothecated or assigned to the Bank may be leased or rented to a third party or in any way charged, disposed of or removed from the place where it was at the time the advance, loan, or credit was granted, without the permission of the Board.

(2) An application under sub-section (1) shall state the nature and extent of the liability of the borrower to the Bank, the ground on which it is made and such other particulars as may be prescribed by rules.

(3) When the application is for the relief mentioned in clause (a) or (b) of sub-section (1), the District Judge shall pass an order *ad interim* attaching the property referred to in clause (a) of sub-section (1) or such other property of the borrower or of the persons liable for payment of the advance, loan or credit or of both as is likely in his estimation to fetch, on being sold, an amount equivalent to the outstanding liability of the borrower to the Bank together with costs of the proceedings taken under this section with or without an injunction *ad interim* restraining the borrower from leasing or renting the property or in any way charging, disposing of or transferring or removing any property without the consent of the Board.

(4) Before passing an order under sub-section (3), the District Judge may, if he thinks fit, examine the person making the application.

(5) At the time of passing an order under sub-section (3), the District Judge shall issue to the borrower a notice accompanied by a copy of the order, the application and evidence, if any, recorded by him and calling upon him to show cause on a date to be specified in the notice why the order of attachment *ad interim* should not be made absolute or the injunction be not confirmed.

(6) If no cause is shown on or before the date specified in the notice under sub-section (5), the District Judge shall forthwith make the order *ad interim* absolute, and direct the sale of the attached property or confirm the injunction.

(7) If cause is shown, the District Judge shall proceed to investigate the claim of the Bank and the provisions of the Code of Civil Procedure, 1908 (Act V of 1908), shall as far as practicable, apply to such proceedings.

(8) On completing an investigation under sub-section (7), the District Judge shall pass an order—

(a) confirming the order of attachment or directing the sale of the attached property; or

(b) varying the order of attachment so as to release a portion of the property from attachment and directing the sale of the remainder of the attached property; or

(c) releasing the property from attachment, if he is satisfied that it is not necessary in the interest of the Bank to retain it under attachment; or

(d) confirming or vacating the injunction:

Provided that when making an order under clause (c), the District Judge may make such further orders as he thinks necessary to protect the interest of the Bank and may apportion the costs of the proceedings in such manner as he thinks fit:

Provided further that, unless the Bank intimates to the District Judge that it will not appeal against the order releasing any property from attachment, such order shall not be executed until the expiry of the period mentioned in sub-section (10), or if an appeal is preferred, unless the High Court otherwise directs, until the appeal is disposed of.

(9) An order under this section for the attachment or sale of the property shall be carried into effect as far as may be in the matter provided in the Code of Civil Procedure, 1908 (Act V of 1908), for attachment or sale of property in execution of a decree as if the Bank were the decree-holder.

(10) Any party aggrieved by an order under sub-section (6) or sub-section (8) may, within thirty days from the date of the order, appeal to the High Court or, where the order is of a Judge of a High Court exercising original civil jurisdiction, to the Court to which an appeal from the judgment of such Judge lies, and upon such appeal the appellate court may, after hearing the parties, pass such orders as it thinks fit.

23. Recovery of Bank's dues. Without prejudice to the provisions of sections 21 and 22, all sums due to the Bank shall be recoverable as an arrear of land revenue:

Provided that no such shall be so recovered unless not less than fifteen days' notice has been given by the Bank to the borrower that the sum will be so recovered:

Provided further that, in so giving notice, the Bank shall notify the borrower that he may pay Bank such instalments as may be fixed in the notice and that upon his so paying every instalment on or before the due date the recovery will be suspended but that it will otherwise proceed as to the entire sum outstanding in case of any default in any instalment including the first.

24. General lien and preferential treatment to the dues of the bank. Where a Provincial Cooperative Bank or a multi-unit cooperative society to which an advance, loan or credit or any financial accommodation has been made is wound up, any sum due to the Bank in respect of such advance, loan, credit or financial accommodation shall, subject to any claim of the Federal Government, be the first charge on the assets of the Provincial Cooperative Bank or multi-unit cooperative society.

25. Power to inspect.—(1) Notwithstanding any law to the contrary, the Bank may at any time and, on being directed so to do by the State Bank, shall inspect any Provincial Cooperative Bank or multi-unit cooperative society, including its branches and offices, and its books, accounts and documents.

(2) The inspection shall be carried out by such officers of the Bank as the Bank may direct.

(3) It shall be the duty of every Director or other officer or employee of the Provincial Cooperative Bank or multi-unit cooperative society to produce to any officer, hereafter in this section called Inspecting Officer, making an inspection, under this section, all such books, accounts and other documents in his custody or power and to furnish him with such information, statement and documents and copies thereof, relating to the affairs of the Provincial Cooperative Bank or, as the case may be, multi-unit cooperative society and within. such time as the Inspecting Officer may require.

(4) The Inspecting Officer may examine on oath any Director or other officer or employee of the Provincial Cooperative Bank or multi-unit cooperative society in relation to its business and may administer an oath accordingly.

(5) The Bank shall supply to the Provincial Government concerned, the State Bank and the Provincial Cooperative Bank or, as the case may be, the multi-unit cooperative society a copy of its report on the inspection made under this society.

(6) The property in the report supplied to the Provincial Cooperative Bank or multi-unit cooperative society under subsection (5) shall always lie in the Bank and the provisions of section 34 shall apply with equal force to the Bank, the State Bank, the Provincial Government and the Provincial Cooperative Bank or, as the case may be, the multi-unit cooperative society and the officers and servants of the Bank, the State Bank, the Provincial Government and the Provincial Cooperative Bank or, as the case may be, the multi-unit cooperative society.

26. Power to prohibit acceptance of deposits. If the State Bank, after considering the recommendation of the Bank on the report referred to in section 25 or otherwise, at any time is of the opinion that the affairs of a Provincial Cooperative Bank or multi-unit cooperative society are being conducted against the public interest or to the detriment of the interest of its depositors, or in a manner detrimental to the interest of the Provincial Cooperative Bank or multi-unit cooperative society, it may, after giving such opportunity to the Provincial Cooperative Bank or, as the case may be, multi-unit cooperative society to

make a representation in connection with the report as in the opinion of the State Bank seems reasonable, by order in writing—

(a) prohibit the Provincial Cooperative Bank or multi-unit cooperative society from accepting deposits; or

(b) restrict the acceptance of such deposits only upon such terms and conditions as may be specified in the order:

Provided that—

(i) no such order shall be passed without the prior approval in writing of the Federal Government; and

(ii) the State Bank may defer for such period as it may think fit the passing of an order under this section, or cancel or modify any such order, upon such terms and conditions as it may think fit to impose.

27. Power to call meeting and depute observers, etc. The Bank may, by order in writing,—

(i) require a Provincial Cooperative Bank or multi-unit cooperative society to call a meeting of its Board of Directors for the purpose of considering any matter relating to its affairs, or require any of its officers to discuss any such matter with an officer of the Bank;

(ii) depute one or more of its officers to which the proceedings of any meeting of the Board of Directors of a Provincial Cooperative Bank or multi-unit cooperative society or of any of its committees or of any body constituted by it and require it to give an opportunity to the officer or officers so deputed to be heard at such meeting;

(iii) require the Board of Directors of a Provincial Cooperative Bank or multi-unit cooperative society or any of its committees or any other body constituted by it to give in writing to any officer specified by the Bank in this behalf at his usual address all notices and other communications relating to any meeting of the aforesaid Board, committee or other body; and

(iv) appoint one or more of its officers to observe the manner in which the affairs of a Provincial Cooperative Bank or multi-unit cooperative society or of its offices or branches are being conducted and make a report thereon.

28. Power of the Bank to lay down policy guide-lines and give directives in regard to business.—(1) The Bank may from time to time lay down policy guide-line in relation to the business of Provincial Cooperative Banks or multi-unit cooperative societies generally, or any Provincial Cooperative Bank or multi-unit cooperative society in particular, and the banks and societies or, as the case may be, the bank or society shall be bound to follow the policy guide-lines so determined.

(2) Without prejudice to the generality of the power conferred by sub-section (1), the Bank may, and if so required by the State Bank shall, give directions to Provincial Cooperative Banks generally or to any Provincial Cooperative Bank in particular as to the

credit ceiling to be maintained, the credit targets to be achieved for different purposes, the type, extent and purposes of, and the security against which, advances may or may not be made, margins to be maintained in respect of secured advances and rate of interest to be charged on advances or, as the case may be, given on deposits [1][charges or mark-up to be applied on advances or the maximum or minimum profit-sharing ratios to be derived therefrom, and return to be given on deposits] and the Provincial Cooperative Banks or Bank shall be bound to comply with any directions to given.

(3) Where the Bank is satisfied that—

(a) in the public interest; or

(b) to prevent the affairs of a Provincial Cooperative Bank from being conducted in a manner detrimental to the interest of its depositors or in a manner prejudicial to the interest of any Provincial Cooperative Bank; or

(c) to secure the proper management of any Provincial Cooperative Bank;

it is necessary to issue directions to a Provincial Cooperative Bank, it may, from time to time, issue such directions as it may deem fit and the Provincial Cooperative Bank shall be bound to comply with it within such time as may be specified in it.

29. Maintenance of liquid assets. Every Provincial Cooperative Bank shall maintain in Pakistan in cash, gold or unencumbered approved securities or balances with the Bank or the State Bank valued at a price not exceeding current market price, an amount which shall not at the close of business on any day be less than twenty per cent of the total of its time and demand liabilities in Pakistan, excluding paid-up capital, reserves, unappropriated profits and its borrowings from the Bank and any International Agency:

Provided that a Provincial Cooperative Bank existing on the commencement of this Act may be allowed by the Bank to comply with this requirement within such period as it may deem fit:

Provided further that the Bank shall when directed by the State Bank vary the percentage of liquid assets required to be maintained under this section.

30. Power to remove Directors, of other managerial persons from Office and to supersede Board of Directors of a Provincial Cooperative Bank. The Bank, in relation to removal of a Director or other managerial person or, as the case may be, the supersession of the Board of Directors, of a Provincial Cooperative Bank, shall have the same powers as are conferred on the State Bank, in relation to removal of the Directors or other managerial persons from office or, as the case may be, the supersession of the Board of Directors of a banking company, under sections 41 A, 41B and 41C of the Banking Companies Ordinance, 1962, (LVII of 1962) subject to the same limitations and procedure as are provided for in the aforesaid sections with the modification that—

(i) references to the State Bank were references to the Bank; and

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[1] *Ins. by the Banking and Financial Services (Amendment of Laws) Ordinance, 1984 (57 of 1984), s. 2 and Sch.*

(ii) in section 41C,—

(a) in sub-section (1), reference to Governor of the State Bank were reference to the Managing Director and the words "on a report by a standing committee set up by the State Bank for the purpose" were omitted; and

(b) in sub-section (2), reference to the Central Board of Directors of the State Bank were reference to the Board.

31. Power of the Bank to call for statements, returns, etc., and to publish information.—(1) Every Provincial Cooperative Bank or multi-unit cooperative society including its official liquidator or receiver, if it is being wound up, shall at its cost, furnish to the Bank at such time such information, statement, returns and documents as the Bank may from time to time determine.

(2) The Bank may, if it considers it in the public interest so to do, publish any information obtained by it under this Act in such consolidated form as it thinks fit.

32. Duty of the officers and servants to maintain secrecy.—(1) Except in the performance of his duties under this Act or, subject to section 34, when required by law, every officer or servant of the Bank shall observe, and aid in preserving, secrecy in all matters relating to the affairs of the Bank not published by it and with regard to all matters relating to the financial and monetary affairs of any Provincial Cooperative Bank or cooperative society affiliated to it or any multi-unit cooperative society or-any institution, person or body or persons or any Government or authority in or outside Pakistan that may come to his knowledge in the performance of his duties.

(2) Every such officer or servant who communicates any such matter except, save as otherwise provided in section 34, when required by law to do so or in the discharge of his duties as such shall be punishable with imprisonment of either description for a term which may extend to six months, or with fine, or with both.

33. Delegation of powers.—(1) The Board may, for the purpose of efficient functioning of the Bank and facilitating transactions of its daily business, by a resolution published in the official Gazette, delegate to the Managing Director or any other officer of the Bank, subject to such conditions and limitations as may be specified therein, such of its powers and duties under this Act as it may deem necessary. '

(2) The Managing Director may, for the purpose of facilitating transaction of the Bank's business, delegate to officers of the Bank, subject to such conditions and limitations, if any, as may be specified therein, such of the powers and duties assigned to him by or under this Act as he may deem necessary..

34. Prohibition against production and giving of evidence from unpublished record.—(1) No Court, tribunal or authority shall have authority to compel the Bank or any of its officers or servants to produce or, as the case may be, give any evidence derived from any unpublished records of the Bank.

(2) No Court, tribunal or authority shall take notice of, or permit any one to produce or give any evidence derived from, unpublished records of the Bank except with the prior written permission of the Managing Director who may give or withhold such permission.

35. Reserves. The Bank shall establish a fund to be called the General Reserve Fund and create from time to time such other reserves as it may deem necessary.

36. Disposal of profits. After making adequate provision for bad and doubtful debts depreciation in assets, contribution to staff and superannuation funds, and such other matters and contigencies as are usually provided for by bankers, the net annual profit shall be disposed of as follows, that is to say,—

(a) a percentage of the net profit to be determined every year by the Board shall be transferred to the General Reserve Fund until that Fund is equal to the paid-up share capital of the Bank;

(b) any surplus remaining thereafter, may be disposed of in such manner as may be decided by the Board.

37. Accounts and audit.—(1) Subject to sub-section (2), the Bank shall maintain its accounts in such manner as may be prescribed.

(2) The year of the account shall be the year commencing the first day of July and ending the thirtieth day of June.

(3) The accounts of the Bank shall be audited by one or more auditors who are chartered accountants within the meaning of the Chartered Accountants Ordinance, 1961 (X of 1961), appointed by the Board on such remuneration as the Board may determine.

(4) Every auditor appointed under sub-section (3) shall be supplied with a copy of the annual balance sheet of the Bank, and it shall be his duty to examine it together with the accounts and vouchers relating thereto; and every auditor shall have a list delivered to him of all books kept by the Bank, and shall, at all reasonable times, have access to the Books, accounts and other documents of the Bank, and may, in relation to such accounts, examine any Director or officer of the Bank.

(5) The audit of the Bank shall be conducted at the office or branch of the Bank where the books and documents to be audited are ordinarily kept.

(6) The auditors shall send, as soon as possible, to the Board and the State Bank a report upon the accounts of the Bank, the annual balance sheet and the statement, of profit and loss and, in every such report, they shall state whether in their opinion the balance sheet is a full and fair balance sheet containing all necessary particulars and properly drawn up so as to exhibit a true and correct view of the state of the afffairs of the Bank, and, in case they have called for any explanation or information from the Bank or from any officer of the Bank, whether it has been given and whether it is satisfactory.

38. Exemption of the Bank from certain taxes. Notwithstanding anything contained in the [1][Income Tax Ordinance, 1979 (XXXI of 1979)] [1]* * * the Gift-tax Act, 1963 (XIV of 1963), the Wealth-tax Act, 1963 (XV of 1963), or any other law in force relating to income-tax, super-tax,

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[1] *Subs, and omitted by the Federal Laws (Revision and Declaration) Ordinance, 1981 (27 of 1981) s. 5 and Sch. (only to the extent of Islamabad Capital Territory).*

wealth-tax, gift-tax or business profits tax, the Bank shall not be liable to pay any such tax on its income, profits, gains, wealth or gifts.

39. Exemption from stamp duty, etc. The Bank shall not be liable to the payment of any stamp duty, court fee or registration fee payable under any law for the time being in force relating to stamp duty, court fees or registration of documents.

40. Exemption from compulsory registration of [1][certain instruments] of the Bank. Nothing contained in clause (b) of sub-section (1) of section 17 of the Registration Act, 1908 (XVI of 1908), shall apply to—

(1) any 1[bond debenture, participation term certificate, term finance certificate, musharika certificate, modaraba certificate or such other instrument as may be approved by the State Bank] issued by the Bank and not creating, declaring, assigning, limiting or extinguishing any right* title or interest to or in any immovable property except in so'far as it entitles the holder to the security afforded by a registered instrument whereby the Bank has mortgaged, conveyed or otherwise transferred the whole or part of its immovable property or any interest therein to trustees upon trust for the benefit of the holders of such [1] [instruments];

(2) or any endorsement upon or transfer of any [1][such instrument] issued by the Bank.

41. Liquidation of the Bank. No provision of law relating to the winding up of companies or banks shall apply to the Bank and the Bank shall not be wound up save by order of the Federal Government on the recommendation of the State Bank; and in such an event, the surplus, of assets over liabilities of the Bank shall revert to shareholders in proportion to their shares in the paid-up capital.

42. Reorganisation of cooperative structure.—(1) There shall be one Provincial Cooperative Bank in each Province.

(2) The Provincial Cooperative Bank shall have branches at such places as it may deem fit.

(3) Each Provincial Cooperative Bank shall have and maintain paid-up capital and reserves of such minimum value as may be determined by the Bank from time to time.

Explanations.—I. If any dispute arises in computing the aggregate value of the paid-up capital and reserves of a Provincial Cooperative Bank, a determination thereof by the Bank shall be final.

II. For the purposes of this sub-section, "value" means the real or exchangeable value, or, if the real or exchangeable value exceeds the nominal value, the nominal value.

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[1] *Subs, by the Banking and Financial Services (Amendment of Laws) Ordinance, 1984 (57 of 1984), s. 2 and Sch.*

(4) Except as provided in sub-section (5), all cooperative banks, not being Provincial Cooperative Banks, by whatever name called, existing at the commencement of this Act and a cooperative bank which ceases to be a Provincial Cooperative Bank by reason of a cooperative society being notified in pursuance of clause (p) of section 2, shall stand dissolved and their undertakings shall stand transferred to, and vest in, the Provincial Cooperative Bank of the Province within which such cooperative banks are registered, hereinafter referred to as the Provincial Cooperative Bank, on such terms and conditions as the Provincial Government of that Province may by order, notified in the official Gazette, specify.

Provided that nothing in this sub-section shall be deemed to render a Provincial Cooperative Bank liable to pay to the shareholders, creditors or employees of a cooperative bank the assets of which so stand transferred to, and vested in, if any amount in excess of the amount, if any, which any of them would have been entitled to receive in the event of the winding up of such cooperative bank.

Explanations.—I. For the purpose of this sub-section, "undertaking" includes all assets, rights, powers, authorities and privileges and all property, movable or immovable, cash balances, investments, actionable claims and rights in or arising out of contracts and all other rights and interests in or arising out of, such property and all books of accounts, registers, records and all other documents of whatever nature relating to such property as were, immediately before the commencement of this Act, in the possession, ownership, power or control of a cooperative bank, whether within or outside Pakistan, and also includes paid-up capital, reserve funds, deposits, borrowings and all other liabilities and obligations of whatever kind, of such cooperative bank subsisting immediately before the commencement of this Act.

II. All contracts, deeds bonds, agreements, powers of attorney, grants of legal representation and other instruments of whatever kind subsisting or having effect immediately before the commencement of this Act, to which a cooperative bank is a party or which are in favour of such cooperative bank shall be of as full force and effect against or in favour of the Provincial Cooperative Bank as they were immediately before the commencement of this Act.

III. If, on the commencement of this Act, any suit, appeal or other legal proceeding of whatever kind which is by or against a cooperative bank or to which such cooperative bank is a party is pending in any court, the same shall not abate, be discontinued or be, in any way, prejudicially affected and such suit, appeal or other proceeding may be continued, prosecuted and enforced by or against the Provincial Cooperative Bank.

IV. Save as otherwise decided by the Provincial Cooperative Bank, but subject to the order referred to in this sub-section of, the concerned Provincial Government, all officers and other employees of a cooperative bank, holding office immediately before the commencement of this Act shall become the officers and employees of the Provincial Cooperative Bank.

V. Reference in the preceding paragraph to commencement of this Act" shall, in relation to a Cooperative Bank which ceases to be a Provincial Cooperative Bank by reason of a cooperative society being notified in pursuance of clause (p) of section 2, be deemed to be a reference to the day on which the cooperative bank so ceases to be a Provincial Cooperative Bank.

(5) Nothing in sub-section. (4) shall apply to a primary cooperative society which, immediately before the commencement of this Act is not using, or ceases to use within a period of sixty days from such commencement, the word 'Bank' or any of its derivatives and does not perform whether with a member or non-member banking business as defined in clause (b) of section 5 of the Banking Companies Ordinance, 1962 (LVII of 1962).

(6) No cooperative bank shall be registered after the commencement of this Act.

43. Penalties. —(1) Whoever—

(a) in any application for obtaining a loan, advance or credit or financial accommodation or in any balance sheet, statement of profit and loss, declaration or any other document submitted" to the Bank or a Provincial Cooperative Bank, wilfully makes any false statement or knowingly permits any false statement to be made;

(b) uses or permits to be used any loan, advance, credit or financial accommodation for any purpose other than that for which it was granted by the Bank or, as the case may be, the Provincial Cooperative Bank; or

(c) intentionally destroys, [1][removes] or reduces the value of, the property on the security of which an advance, loan or credit or financial accommodation was granted to him or, without the prior approval in writing of the Bank or, as the case may be a Provincial Cooperative Bank or otherwise than in accordance with the terms of the approval transfers such property or any part thereof; or

(d) in any return, balance sheet or other document or in any information required or furnished under or for the purpose of the provisions of this Act wilfully makes a statement which is false in any material particular, knowing it to be false, or wilfully omits to make a material statement;

shall, without prejudice to any other action which may be taken against him under this Act, be punishable with imprisonment for a term which may extend to [2][five years] and shall also be liable to fine [3][, and shall be ordered by the Court trying him to refund or deliver up, within the time to be fixed by the Court, the amount of loan, advance, credit or financial accommodation so used or permitted to be used or the property or the value of the property so destroyed, removed or reduced in value or transferred, as the case may be, the amount of finance to be paid or repaid in terms of the arrangement].

(2) Whoever, without the consent in writing of the Bank, uses its name in any prospectus or advertisement shall be punishable with imprisonment for a term which may

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[1] *Ins. by the Banking and Financial Services (Amendment of Laws) Ordinance 1984 (57_of 1984), s. 2 and Sch.*
[2] *Subs. ibid.,*
[3] *Added, ibid..*

extend to one year, or with fine, or with both.

(3) If any person, being the Chairman, Director, Chief Executive, by whatever name called or official Liquidator or an officer of a Provincial Cooperative Bank or multi-unit cooperative society mismanages the affairs of the Provincial Cooperative Bank or multi-unit cooperative society or mis-uses his position for gaining directly or indirectly benefit for himself or any of his family members, he shall be punishable with imprisonment for a term which may extend to seven years and shall also be liable to fine and shall be orderd by the Court trying him to deliver up or refund within the time to be fixed by the court any property acquired or gained by him in his name or in the name of any of his family members by so mismanaging the affairs of the Provincial Cooperative Bank or multi-unit cooperative society or misusing his position or, in default, to suffer imprisonment for a term which may extend to three years.

(4) If advances are made by a Provincial Cooperative Bank in contravention of the provisions of sub-section (1) or (2) of section 28, every Director or other officer of the Provincial Cooperative Bank who is knowingly a party to the contravention shall be punishable with imprisonment for a term which may extend to three years and shall also be liable to fine.

(5) If any person fails to produce any book, account or 'other document or to furnish any statement or information which under sub-section (3) of section 25 it is his duty to produce or furnish or to answer any question relating to the business of the Provincial Cooperative Bank or multi-unit cooperative society, which he is asked by an officer making an inspection under that section, he shall be punishable with fine which may extend to ten thousand rupees in respect of each offence and, in the case of continuing failure, with an additional fine which may extend to one thousand rupees for each day after the first during which the failure continues.

(6) If any deposits are received by a Provincial Cooperative Bank or a multi-unit cooperative society in contravention of an order under section 26, every Director or other officer of the Provincial Cooperative Bank or multi-unit cooperative society, unless he proves that the contravention took place without his knowledge or that he exercised all due diligence to prevent it, shall be deemed to be guilty of such contravention and shall be punishable with fine which may extend to four times the amount of deposits so received.

(7) If any other provision of this Act is contravened or if any default is made in complying with any requirement of this Act or of any order, rule or directive made or condition imposed there under, every Director, Liquidator or officer of the Provincial Cooperative Bank or multi-unit cooperative society or any other person who is knowingly a party to the contravention or default shall be punishable with fine which may extend to three thousand rupees and, in the case of a continuing contravention or default, with an additional fine which may extend to five hundred rupees for every day after the first during which such contravention or default continues.

(8) Without prejudice to the provisions of sub-section (7), a Provincial Co-operative Bank which makes default in complying with the requirement of section 29 or sub-section (3) of section 42 shall in respect of every day of default, pay to the Bank on demand a penalty at a rate not exceeding five per cent above the bank rate determined and made public under the provisions of the State Bank of Pakistan Act, 1956 (XXXIII of 1956).

(a) if no amount is maintained, of the minimum amount required to be maintained under section 29 or, as the case may be, sub-section (3) of section 42; and

(b) if any amount below such minimum is maintained, of the amount by which the amount maintained falls short of the required minimum [1] [:]

[1] [Provided that—

(1) in the case of default in complying with the requirement of section 29 relating to liabilities assumed on the basis of participation in profit and loss, the penalty shall be as determined by the Bank from time to time; and

(2) in the case of default in complying with the requirement of sub-section (3) of section 42, the penalty shall be as determined by the Bank from time to time].

(9) Without prejudice to the provisions of sub-section (7), if a Provincial Cooperative Bank fails or refuses to pay or make the whole or part of the amount referred to in sub-section (8), the Bank may, without notice to the Provincial Cooperative Bank, debit the amount of default to any of its accounts held with the Bank.

[2][**43A. Application of fines.** —A court imposing any fine under this Act may direct that the whole or any part thereof shall be applied in or towards—

(a) payment of costs of the proceedings; and

(b) payment to the Bank or a Provincial Cooperative Bank of compensation for any loss caused by the offence, including loss of income.].

44. Bar of investigation. No police officer or other person or authority shall investigate or permit investigation into, or hold or permit the holding of enquiry into, any of the offences mentioned in section 32 or section 43 without a request in writing from an officer of the Bank generally or specially authorised in writing in this behalf by
the Bank.

45. Cognizance of offences, etc.—(1) No court shall take cognizance of any offence punishable under this Act except upon a complaint in writing made by an officer of the Bank generally or specially authorised in writing in this behalf by the Bank and no court other than the High Court shall try such offence.

(2) The High Court shall have, in respect of the trial of an offence referred to in sub-section (1), all the powers which it has in relation to a trial before it under the Code of Criminal Procedure, 1898 (Act V of 1898), hereafter in this section referred to as the Code, and shall follow the procedure provided in the Code for such trial except as hereinafter provided, namely :—

(a) section 297 of the Code shall have effect as if it required the High Court, upon the case for the defence and the prosecutor's reply, if any, being concluded, to proceed with all reasonable speed to pronounce its judgement; and

(b) section 352 of the Code shall have effect as if it required the High Court, upon an application being submitted to it by the Bank stating that it is in the

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[1] *Subs, and added by the Banking and Financial Services (Amendment of Laws) Ordinance, 1984 (57 of 1984), s. 2 and Sch.*
[2] *Ins. by the Banking and Financial Services (Amendment of Laws) Ordinance 1984 (57 of 1984), s. 2 and Sch.*

interest of the Provincial Cooperative Banks or multi-unit cooperative societies in general or a Provincial Cooperative Bank or multi-unit cooperative society in particular that any proceedings are not held in open Court, to order that the public generally shall not have access to, be or remain in, the room or building used by the Court.

46. Certain claims for compensation barred. No person shall have any right, whether in contract or otherwise, to any compensation for any loss incurred by reason of the operation of any of the provisions of this Act or by reason of the compliance by a Provincial Co-operative Bank or multi-unit co-operative society with any order or direction given to it under this Act.

47. Indemnity. No suit or other legal proceeding shall lie against the Bank, the State Bank, the Federal Government or a Provincial Government or any officer of the Bank, the State Bank or such Government for anything which is in good faith done or intended to be done in pursuance of this Act or of any rules, regulations or orders made there under or for any damage caused or likely to be caused by anything done or intended to be done as aforesaid.

[1][**47A**. Provisions of certain sections to override other provisions.—

The provisions of sections 26, 27, 28 and 30 shall have effect notwithstanding any tiling contained in any other provision of this Act or in any contract, agreement, award, memorandum or articles of association or any other instrument.].

[2][**47B**. **Exemption from requirement of licence.** —Any requirement of a licence or permit to import or export any commodity or article or its purchase or sale shall not apply to the Bank or a Provincial Cooperative Bank in respect of such transactions undertaken by it in the normal course of its banking business.

Explanation.—In this section, a transaction undertaken by the Bank or a Provincial Cooperative Bank shall be deemed to be in the normal course of its banking business only if it is based on an agreement for sale or purchase, lease or hire-purchase of the said commodity or article by the Bank or the Provincial Cooperative Bank with its customer to whom finance is provided by it and who is in possession of a valid licence or has otherwise compiled with the requirement of law governing the import or export or sale or purchase of such commodity or article.

47C.**Continuance of charge and priority.** Where a charge over any property has been or is'-created by any person in favour of the Bank or a Provincial Cooperative Bank to secure any interest-based facility extended by the Bank or the Provincial Cooperative Bank to such person and such facility is at any time converted into or substituted by any facility not based on interest, such charge shall continue to remain valid and shall maintain its priority in favour of the Bank or the Provincial Cooperative Bank against all charges created by such person in favour of any other person subsequent to the original date of registration of such charge.].

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[1]*Ins. by the Banking and Financial Services (Amendment of Laws) Ordinance, 1984 (57 of 1984), s. 2 and Sch.*
[2]*Ins. by the Establishment of the Federal Bank for Cooperatives and Regulation of Cooperative Banking (Amdt.) Act, 1985 (20 of 1985), s. 2.*

[1]**48. Amendment of Ordinance No. LVII of 1962.** In the Banking Companies Ordinance, 1962 (LVII of 1962), section 3 shall be omitted.

[1]**49. Amendment of Act XIX of 1974.** In the Banks (Nationalization) Act, 1974 (XIX of 1974). —

(a) section 5A shall be omitted; and

(b) in the Schedule, the entry "(8) Punjab Provincial Cooperative Bank Limited" shall be omitted.

50.Power to make rules. Subject to the approval of the Federal Government, the Board may, by notification in the official Gazette, make rules for carrying out the purposes of this Act.

51. Power to make regulations. —(1) The Board may make regulations to provide for all matters not required to be provided for by rules and provision for which is necessary or expedient for carrying out the purposes of this Act.

(2) Where any provision of a regulation is inconsistent with any provision of the rules, the provision of the rules shall prevail.

[2][**51A. Removal of difficulties**. —If any difficulty arises in giving effect to any of the provisions of this Act, the Federal Government may, by notification in the official Gazette, make such order as it thinks fit for the purpose of removing the difficulty.

51B. Exemption from certain civil and criminal liabilities. The Bank, a Provincial Cooperative Bank and the officers and employees of the Bank and the Provincial Cooperative Bank shall be exempt from criminal and civil liability of every description provided for in any law in respect of any property, movable or immovable, owned by the Bank or the Provincial Cooperative Bank, exclusively or jointly with another or others, so long as the property remains in the custody, power and control of another person or persons on account of licence, lease, hire-purchase, forward sale, rent-sharing or any other arrangement within the meaning of loans, advances and credit,].

52. Repeal. The Establishment of the Federal Bank for Cooperatives and Regulation of Cooperative Banking Ordinance, 1976 (XL of 1976), is hereby repealed.

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[1]*This section is not applicable to the extent of Islamabad Capital Territory see the Ord. No. 27 of 1981. s. 5 and 4th Sch.*
[2]*Ins. by the Banking and Financial Services (Amendment of Laws) Ordinance, 1984 (57 of 1984), s. 2 and Sch.*

THE BANKS (TRANSFER OF ASSETS AND LIABILITIES) ACT, 1974

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THE SCHEDULE

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THE BANKS (TRANSFER OF ASSETS AND LIABILITIES) ACT, 1974

ACT NO. XI OF 1974

[*1st March*, *1974*]

An Act to provide for the transfer to the National Bank of Pakistan of certain assets and liabilities of the Eastern Mercantile Bank Limited and the Eastern Banking Corporation Limited.

WHEREAS it is expedient to provide for the transfer to the National Bank of Pakistan of certain assets and liabilities of the Eastern Mercantile Bank Limited and the Eastern Banking Corporation Limited;

It is hereby enacted as follows:—

1. Short title, extent and commencement.— (1) This Act may be called the Banks (Transfer of Assets and Liabilities) Act, 1974.

(2) It extends to the whole of Pakistan.

(3) It shall come into force at once.

2. Definitions.—In this Act, unless there is anything repugnant in the subject or context,—

(i) "National Bank of Pakistan" means the Bank established under section 3 of the National Bank of Pakistan Ordinance, 1949 (XIX of 1949);

(ii) "specified offices and branches" means the offices and branches of the Eastern Mercantile Bank Limited and the Eastern Banking Corporation Limited specified in the Schedule; and

(iii) "undertaking of a specified office or branch" includes subject to an order under section 6, all assets, rights, powers, authorities and privileges and all property, movable and immovable, cash balances, reserve funds, investments and all other rights and interests in, or arising out of, such property as were immediately before the commencement of this Act in the possession, ownership, power or control of the specified office or branch in relation to the undertaking within Pakistan, or in relation to the business of such undertaking outside Pakistan, and all books of accounts, registers, records, and all other documents of whatever nature relating thereto, and also includes, except as hereinafter provided, all borrowings, liabilities and obligations of whatever kind then subsisting of the specified office or branch in relation to the undertaking within the Federal Capital and the Provinces of the Punjab and Sind.

THE PAKISTAN CODE

3. Act to over-ride other laws.—The Provisions of this Act and any rule or order made thereunder shall have effect notwithstanding anything contained in any other law for the time being in force, or in any contract, agreement, award, memorandum, article or other instrument whatsoever.

4. Vesting of specified offices and branches.—On the commencement of this Act, the undertakings of each of the specified offices and branches shall stand transferred to, and vest in, the National Bank of Pakistan.

5. Contracts and proceedings.— (1) Unless otherwise expressly provided in this Act, all contracts, deeds, bonds, agreements, powers of attorney, grants of legal representation and other instruments of whatever nature subsisting or having effect immediately before the commencement of this Act to which any of the specified offices and branches is a party or which are in favour of any specified office or branch shall be of as full force and effect against or in favour of the National Bank of Pakistan, and may be enforced or acted upon as fully and effectually, as if in the place of the specified office or branch the National Bank of Pakistan had been a party thereto or as if the same had been in favour of the National Bank of Pakistan.

(2) If any suit, appeal or other proceeding of whatever nature in relation to any business of the undertaking which is transferred by virtue of section 4 is pending by or against any specified office or branch, the same shall not abate, be discontinued or be in any way prejudicially affected by reason of the transfer or of anything contained in this Act, but the suit, appeal or other proceeding may be continued, prosecuted and enforced by or against the National Bank of Pakistan.

6. Excepted liabilities.—Notwithstanding anything contained in this Act, the Federal Government may by order direct that any borrowings, liabilities or obligations specified in such order shall not form part of the undertaking of a specified office or branch transferred by virtue of section 4.

7. Delivery of undertaking.—Where any part of the undertaking of a specified office or branch is in the possession or under the control of any person, such person shall, within seven days of the commencement of this Act, deliver the same to a representative of the National Bank of Pakistan duly authorised in that behalf.

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8. Police assistance.— (1) A magistrate may, by warrant, authorise a police officer not below the rank of Inspector to enter upon and search for any property of the undertaking of a specified office or branch in any premises where it may reasonably be expected to be found and to seize such property.

(2) Any property seized under sub-section (1) shall be delivered to the National Bank of Pakistan.

9. Evaluation.— (1) The National Bank of Pakistan shall cause the assets and liabilities of the specified offices and branches to be evaluated and such evaluation to be duly audited by any auditor who is a chartered accountant within the meaning of the Chartered Accountants Ordinance, 1961 (X of 1961).

(2) The report of an evaluation under sub-section (1), duly audited as required by that sub-section, shall disclose the financial status of each of the specified offices and branches as at the date of transfer under section 4, and shall be submitted to the Federal Government within three months of such date.

(3) The Federal Government may, by order, issue directions as to the manner in which any excess of assets over liabilities or any shortfall therein of the specified offices and branches as at the date of the transfer by virtue of section 4 is to be disposed of or recovered, as the case may be.

10. Validity of action of officers of specified offices and branches.—Notwithstanding any cancellation of powers delegated by the managements of the Eastern Bank Limited and the Eastern Banking Corporation Limited to the officers of the specified offices and branches, all actions taken by such officers in good faith between the 16th day of December, 1971, and the date of transfer of the undertakings of such offices and branches by virtue of section 4 shall be deemed to have been validly taken and shall have effect as if there had been no such cancellation of powers.

11. Extension of limitation.—For the purpose of computing the period of limitation for the recovery of any money due to or from any of the specified offices and branches the period between the 16th December, 1971, and the date of transfer of the undertakings of the specified offices and branches by virtue of section 4 shall be excluded.

12. References in other laws.— Any reference to any of the specified offices and branches in any law, other than this Act, or in any contract or other instrument shall, in so far as it relates to any of the undertakings transferred by virtue of section 4 and if not inconsistent with any provision of this Act, be construed as a reference to the National Bank of Pakistan.

13. Penalties.— Any person who contravenes any of the provisions of this Act or of any rule or order made thereunder or wilfully obstructs any person in carrying out the purposes of this Act shall be punishable with imprisonment for a term which may extend to three years, or with fine, or with both.

14. Bar of Jurisdiction.— (1) No court shall call in question, or permit to be called in question, anything done or action taken or purporting to be done or taken under this Act.

(2) No court shall grant any injunction or make any order, nor shall any court entertain any proceedings, in relation to anything done or intended or purporting to be done under this Act.

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15. Indemnity.—No suit, prosecution or other legal proceeding shall lie against the Federal Government or the National Bank of Pakistan or any other person for anything in good faith done or intended or purporting to be done under this Act.

16. Power to make rules.— The Federal Government may, by notification in the official Gazette, make such rules as appear to it necessary or expedient for carrying out the purposes of this Act.

17. Removal of difficulties.— If any difficulty arises in giving effect to any provision of this Act, the Federal Government may make such order, not inconsistent with the provisions of this Act, as may appear to it to be necessary or expedient for the purpose of removing the difficulty.

18. [1][Omitted]

[1]Omitted by the Federal Laws (Revision and Declaration) Ordinance, 1981 (XXVII of 1981), s. 3 and Sch., II.

THE SCHEDULE

[See section 2 (ii)]

1. All offices, and branches of the Eastern Mercantile Bank Limited located at Karachi, Lahore, Gujranwala, Islamabad, Hyderabad, Sialkot and [1][Faisalabad].

2. All offices and branches of the Eastern Banking Corporation Limited located at Karachi, Lahore, Islamabad and [1][Faisalabad].

THE PAKISTAN CODE

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[1]Subs. by the Federal Laws (Revision and Declaration) Ordinance, 1981 (27 of 1981), s. 3 and Sch. II.

THE BANKING TRIBUNALS (VALIDATION OF ORDERS) ACT, 1994

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The Banking Tribunals (Validation of Orders) Act, 1994

ACT No. V OF 1994

An Act to validate certain order passed by the Banking Tribunals

WHEREAS it is expedient to validate certain orders passed under the Banking Tribunals (Amendment) Act, 1992 (IV of 1992), for the purpose hereinafter appearing;

It is hereby enacted as follows :—

1. Short title, extent and commencement.— (1) This Act may be called the Banking Tribunals (Validation of Orders) Act, 1994.

(2) It extends to the whole of Pakistan.

(3) It shall come into force at once.

2. Validation. Notwithstanding any order or decision of any court, any order or judgement passed, decision or proceeding taken or recoveries made by the Banking Tribunal under the Banking Tribunals (Amendment) Act, 1992,(IV of 1992), or any appointment made or notification issued thereunder, at any time before the commencement of this Act, and purporting to be in exercise of the authority conferred on the Banking Tribunal under the said Act shall be deemed to have been validly made, passed or taken and shall have, and shall be deemed always to have had, affect accordingly.

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THE BANKING COMPANIES ORDINANCE, 1962

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THE BANKING COMPANIES ORDINANCE, 1962

[1]ORDINANCE No. LVII OF 1962

[7th June, 1962]

An Ordinance to consolidate and amend the law relating to banking companies.

WHEREAS it is expedient to consolidate and amend the law relating to banking companies;

NOW, THEREFORE, in pursuance of the Proclamation of the seventh day of October, 1958, and in exercise of all powers enabling him in that behalf, the President is pleased to make and promulgate the following Ordinance :–

PART I

PRELIMINARY

1. Short title, extent and commencement.— (1) This Ordinance may be called the Banking Companies Ordinance, 1962.

(2) It extends to the whole of Pakistan.

(3) It shall come into force at once.

2. Application of other laws not barred. The provisions of this Ordinance shall be in addition to, and not, save as hereinafter expressly provided, in derogation of, the [2][Companies Ordinance, 1984 (XLVII of 1984)], and any other law for the time being in force.

3. [Limited application of Ordinance to Cooperative Banks.] Omitted by the Establishment of the Federal Banks for Cooperation and Regulation of Cooperative Banking Act, 1977 (IX of 1977) s.48.w.e.f. 9-10-1976).

[3][3A. Limited application of Ordinance to certain function institutions:—

[4][(1) The provisions of sections 6, 13, [5][15C], 25, 25A, [5][*], 29, 31, 32, 33, 40, 41, 41A, 41B, 41C, 41D, 42, [5][42A, 42B, 42C, 42D, 42E, 42F, 42G, 42I] 51, 58, 83, 84 [5][93C, 93CA,] and 94 shall, with such modification as the State Bank may determine from time to time in relation to activities which have implications for the monetary or credit policies of the State Bank, apply to the Pakistan Industrial Credit and Investment Corporation, the National Development Finance Corporation, the Bankers Equity Limited, the Pak-Libya Holding Company Limited, the Saudi-Pak Industrial and Agricultural Investment Company Limited, The Pak-Oman Investment Company (Pvt) Limited, The Pakistan Kuwait Investment Company Limited and such other companies, corporations or institutions or class of companies, corporations or institutions, as the Federal Government [5][in consultation with the State Bank], for time to time, by notification in the official Gazette, specify in the behalf.]

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[1]The Ordinance and the rules, notification and orders made thereunder, as in force in N.W.F.P. before the 15th July, 1975, have been applied to the Districts of Chitral, Dir, Swat and Malakand Protected Areas of the N.W.F.P. by Regulation No. III of 1975, s.2 and the Sch.
The Ordinance and the rules, notifications and orders made thereunder, have been applied to the whole of the Federally Administered Tribal Areas or to the parts of those Areas to which they do not already apply, by Regulation No. I of 1975, s.2 and the Sch.
[2]Sub. by Finance Act, 2007 (Act No. IV of 2007), s.4, (w.e.f. 01-07-2007).
[3]Subs. by Act No. XIV of 1997, s. 2.
[4]Subs by Ord. CXI of 2002, s. 2.
[5]Ins., omitted and subs. by Act No. XXIX of 2024, s.2.

(2) All notifications issued by the Federal Government which are inconsistent with the provisions of sub-section (1) including such notification in respect of the National Development leasing Corporations, Leasing Companies and Modaraba Companies shall stand rescinded with immediate effect.]

[1][(1A) The provisions of sections 41C, 42, 42A, 42B, 42C, 42D, 42E, 42F, 42G, 42H, 42I, Part III, 93C and 93CA shall, with such modification as the State Bank may determine from time to time to achieve objectives mentioned in the said sections, apply to the microfinance banks licensed under the Microfinance Institutions Ordinance, 2001 (LV of 2001) and shall have effect notwithstanding anything to the contrary contained in the Microfinance Institutions Ordinance, 2001 (LV of 2001).]

4. **Power to suspend operation of Ordinance**.— (1) The [2][Federal Government], if on a representation made by the State Bank in this behalf is satisfied that it is expedient so to do, may by notification in the Official Gazette suspend for such period, not exceeding sixty days, as may be specified in the notification, the operation of all or any of the provisions of this Ordinance, either generally or in relation to any specified banking company.

(2) The [2][Federal Government] may, by notification in the official Gazette, extend from time to time, the period of any suspension under sub-section (1) for such period or periods, not exceeding sixty days at any one time, as it thinks fit so however that the total period does not exceed one year.

(3) A copy of any notification issued under this section shall be laid on the table of the [3][Central] Legislature—

(i) if it is in session, within three days of the issue of the notification; and

(ii) if it is not in session, as soon as it meets after the issue of the notification.

5. Definitions.— In this Ordinance, unless there is anything repugnant in the subject or context,—

[1][(a) "approved securities" means the securities in which a trustee may invest money under the applicable trust laws, and for the purpose of–

(i) sub-section (2) of section 13, includes such other securities as the Federal Government may, by notification in the official Gazette, declare to be approved securities for the purpose of that sub-section; and

(ii) sub-section (1) of section 29, includes–

(a) such types of Pakistan rupee obligations of the State Bank as it may specify from time to time; and

[1]Ins. and Subs. by Act No. XXIX of 2024, s.2.
[2]Subs. by the Banking Companies (Amdt.) Act, 1972 (30 of 1972), s.23 (w.e.f. 13-10-1972), for "Central Government".
[3]Subs. by F.A.O 1975 (P.O. No. 04 of 1975).

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(b) such types of Pakistan rupee obligations of the Federal Government or a Provincial Government or of a corporation wholly owned or controlled, directly or indirectly, by the Federal Government or a Provincial Government and guaranteed by the Federal Government as the Federal Government may, by notification in the official Gazette, declare to the extent determined from time to time to be approved securities for the purpose of that sub-section;]

(b) "banking" means the accepting, for the purpose of lending or investment, of deposits of money from the public, repayable on demand or otherwise, and withdrawable by cheque, draft, order or otherwise;

(c) "banking company" means any company which transacts the business of banking in Pakistan [1][and includes their branches and subsidiaries functioning outside Pakistan of banking companies incorporated in Pakistan];

Explanation.— Any company which is engaged in the manufacture of goods or carries on any trade and which accepts deposits of money from the public merely for the purpose of financing its business as such manufacturer or trader shall not be deemed to transact the business of banking within the meaning of this clause

[2][(ca) "banking company under Resolution" means a banking company in respect of which the State Bank has made an order under section 42D and until such time that the State Bank by an order declares that the banking company concerned is no longer under Resolution or until a winding-up order is made under this Ordinance;]

(d) "branch" or "branch office", in relation to a banking company, means any branch or branch office, whether called a pay office or sub-pay office or by any other name, at which deposits are received, cheques cashed or moneys lent, and for the purposes of section 40 includes any place of business where any other form of business referred to in sub-section (1) of section 7 is transacted;

[2][(da) "bridge bank" means an entity established under section 42H to temporarily take over and maintain some or all of the assets and liabilities of a banking company as part of the Resolution process;]

[3][(dd) "creditor" includes persons from whom deposits have been received on the basis of participation in profit and loss and a banking company or financial institution from which financial accommodation or facility has been received on the basis of participation in profit and loss, mark-up in price, hire-purchase, lease, or otherwise;]

[1]Ins. by Finance Act, 2007 (Act No. IV of 2007), s.4, (w.e.f. 01-07-2007).
[2]Ins. by Act No. XXIX of 2024, s.3.
[3]Cl. (dd) ins.by the Banking Companies (Third Amdt.) Ordinance, 1980 (58 of 1980),s.2.

(e) "company" means any company which may be wound up under the [1][Companies Ordinance, 1984 (XLVII of 1984)] [1][and includes a branch of a foreign banking company doing banking business in Pakistan under a licence issued by the State Bank in this behalf;]

[2][(ee) "debtor" includes a person to whom, or a banking company or financial institution to which, finance as defined in the Banking Tribunals Ordinance 1984, has been provided;]

(f) "demand liabilities" means liabilities which must be met on demand, and "time liabilities" means liabilities which are not demand liabilities;

[3][(fa) "Executive Committee" means an Executive Committee established under section 9F of of the State Bank of Pakistan Act, 1956 (XXXIII of 1956);]

[4][(ff) "family members" in relation to a person means his spouse, dependent lineal ascendants and descendants and dependent brothers and sisters;]

[5][(ffa) "foreign banking company" means a banking company, not incorporated in Pakistan, which has a branch or branches doing banking business in Pakistan under a licence issued by State Bank in this behalf;]

(g) "gold" includes gold in the form of coin, whether legal tender or not, or in the form of bullion or ingot, whether refined or not;

[2][(gg) "loans, advances, and credit" includes "finance" as defined in the Banking Tribunals Ordinance, 1984;]

(h) "managing director", in relation to a banking company, means a director who, by virtue of an agreement with the banking company or of a resolution passed by the banking company in general meeting or by its Board of Directors or, by virtue of its memorandum or articles of association, is entrusted with the management of the whole, or substantially the whole of the affairs of the company, and includes a director occupying the position of a managing director, by whatever name called;

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[3][(ha) **"Minister-in-charge" means the Federal Minister, to whom business of this Act stands allocated;]**

(i) "prescribed" means prescribed by rules made under this Ordinance;

(j) "private company" has the same meaning as in the [1][Companies Ordinance, 1984 (XLVII of 1984)];

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[1]Subs. by Finance Act, 2007 (Act No. IV of 2007), s.4, (w.e.f. 01-07-2007).
[2]Subs. by the Banking and Financial Services (Amendment of Laws) Ordinance, 1984 (57 of 1984),s.2 and Sch., for cl. (ee), which was previously ins. by Ord. 58 of 1980,s.2.
[3]Ins. by Act No.XXIX of 2024, s.3.
[4]Cl. (ff) ins. by the Banking Companies (Amdt.) Act, 1972 (30 of 1972), s.3 (*w.e.f. 13-10-1972*).
[5]Subs. by the Banking and Financial Services (Amdt.) of Law Ordinance 1984 (57 of 1984),s.2 and Sch., for cl. (gg), which was previously ins, by Ordinance 58 of 1980, s.2.

(k) "registrar" has the same meaning as in the [1][Companies Ordinance, 1984 (XLVII of 1984)];

[2][(ka) "Resolution" refers to the process of exercising one or more of the Resolution powers as provided in section 42E with a view to achieve the Resolution objectives including by ensuring the continuity of a banking company's critical functions, as specified by the State Bank;]

(l) "scheduled bank" has the same meaning as in the State Bank of Pakistan Act, 1956 (XXXIII of 1956);

(m) "secured loan or advance" means a loan or advance made on the security of assets the market value of which is not at any time less than the amount of such loan or advance, and "unsecured loan or advance" means a loan or advance not so secured, or that part of it which is not so secured;

[3][(mm) "securities" includes securities as defined in the Capital Issues Continuance of Control) Act, 1947 (XXIX of 1947);]

[2][(mma) "sponsor shares" means five percent or more paid-up shares of a banking company, held or beneficially owned by a person individually or in concert with his family members, group companies, subsidiaries and associates;]

(n) "State Bank" means the State Bank of Pakistan [4][;]

[5][(o) "substantial interest" in an undertaking shall be deemed to be possessed by a person if he or any of his family members is the owner, director or officer of or has control over the undertaking or if he or any of his family members holds shares carrying not less than twenty per cent of the voting power in such undertaking;

Explanation.— For the purpose of this clause,—

(i) "control" , in relation to an undertaking, means the power to exercise a controlling influence over the management or the policies of the undertaking, and, in relation to shares, means the power to exercise a controlling influence over the voting power attached to such shares;

(ii) "person" includes a Hindu undivided family, a firm, an association or body of individuals, whether incorporated or not, a company and every other juridical person; and

(iii) "undertaking" means any concern, institution, establishment or enterprise engaged in the production, supply or distribution of goods, or in the provision or control of any services relating to the provision of board, lodging, transport, entertainment or amusement, or of facilities in connection with the supply of electrical or other energy, or to the purveying of news, insurance or investment.].

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[1]Subs. by Finance Act, 2007 (Act No. IV of 2007), s.4, (w.e.f. 01-07-2007).
[2]Ins. by Act No.XXIX of 2024, s.3.
[3]Cl. (mm) ins. by the Banking companies (Third Amdt,) Ordinance 1980 (58 of 1980) s.2.
[4]Subs. by the Banking Company (Amdt.) Act, 1972 (30 of 1972),s.3 (w.e.f. 13-10-1972).
[5]Cl. (o) added by *ibid.*

6. Ordinance to override memorandum, articles, etc.— Save as otherwise expressly provided in this Ordinance,—

(a) the provisions of this Ordinance shall have effect notwithstanding anything to the contrary contained in the memorandum or articles of a banking company, or in any agreement executed by it, or in any resolution passed by the banking company in general meeting or by its Board of Directors, whether the same be registered, executed or passed, as the case may be, before or after the commencement of this Ordinance; and

(b) any provision contained in the memorandum, articles, agreement or resolution aforesaid shall, to the extent to which it is repugnant to the provisions of this Ordinance, become or be void, as the case may be.

———

PART II

BUSINESS OF BANKING COMPANIES

7. **Forms of business in which banking companies may engage.—**(1) In addition to the business of banking, a banking company may engage in any one or more of the following forms of business, namely:—

(a) The borrowing, raising, or taking up of money; the lending or advancing of money either upon or without security; the drawing, making, accepting, discounting, buying, selling, collecting and dealing in bills of exchange, hundies, promissory notes, coupons, drafts, bills of lading, railway receipts, warrants, debentures, certificates, scrips [1][participation term certificates, term finance certificates, musharika certificates, modaraba certificates and such other instruments as may be approved by the State Bank] and other instruments, and securities whether transferable or negotiable or not; the granting and issuing of letters of credit, traveler's cheques and circular notes; the buying, selling and dealing in bullion and species; the buying and selling of foreign exchange including foreign bank notes; the acquiring, holding, issuing on commission, underwriting and dealing in stock, funds, shares debentures, debenture stock, bonds, obligations, securities [1][participation term certificates, term finance certificates, musharika certificates, modaraba certificates and such other instruments as may be approved by the State Bank] and investments of all kinds; the purchasing and selling of bonds, scrips or other forms of securities [1][participation terms certificates, term finance certificates, musharika certificates, modaraba certificates and such other instruments as may be approved by the State Banks] on behalf of constituents or others, the negotiating of loans and advances; the receiving of all kinds of bonds, scrips or valuables on deposit or for safe custody or otherwise; the providing of safe deposit vaults: the collecting and transmitting of money and securities;

[1][(aa) the providing of finance as defined in the Banking Tribunals Ordinance, 1984].

(b) acting agents for any Government or local authority or any other person or

[1]Inserted vide the Banking and Financial services (Amendment of Laws) Ordinance 1984 (Ordinance No. LVII of 1984), s. 2 and sch.,

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persons; the carrying on of agency business of any description including the clearing and forwarding of goods, giving of receipts and discharges and otherwise acting as an attorney on behalf of customers, but excluding the business of a managing agent or treasurer of a company;

[1][(bb) acting as "modaraba company" under the provision of the Modaraba Companies and Modaraba (Floatation and Control) Ordinance, 1980 (XXXI of 1980);]

(c) contracting for public and private loans and negotiating and issuing the same;

(d) the effecting, insuring, guaranteeing, underwriting, participating in managing and carrying out of any issue, public or private, Government, municipal or other loans or of shares, stock, debentures, [2][debenture stock or other securities] of any company, corporation or association and the lending of money for the purpose of any such issue;

(e) carrying on and transacting every kind of guarantee and indemnity business;

[3][(ee) purchase or acquisition in the normal course of its banking business of any property, including commodities, patents, designs, trade-marks and copyrights, with or without buy-back arrangements by the seller, or for sale in the form of hire-purchase or on deferred payment basis with mark-up or for leasing or licensing or for rent-sharing or for any other mode of financing;]

(f) managing, selling and realising any property which may come into the possession of the company in satisfaction or part satisfaction of any of its claims;

(g) acquiring and holding and generally dealing with any property or any right, title or interest in any such property which may form security or part of the security for any loans or advances or which may be connected with any such security;

(h) undertaking and executing trust;

(i) undertaking the administration of estates as executor, trustee or otherwise;

(j) establishing and supporting or aiding in the establishment and support of associations, institutions, funds, trusts and conveniences calculated to benefit employees or *ex*-employees of the company or the dependents or connections of such persons; granting pensions and allowances and making payments towards insurance; subscribing to or guaranteeing moneys for charitable or benevolent objects or for any exhibition or for any public, general or useful object;

(k) the acquisition, construction, maintenance and alteration of any building or works necessary or convenient for the purpose of the company;

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[1]New Clause (bb) inserted vide the Banking Companies (Third Amendment) Ordinance, 1980 (LVIII of 1980), s. 3
[2]Substituted *ibid*. for the words "or debenture stock".
[3]Subs. by the Banking and Financial Services (Amdt. of Law) Ordinance 1984 (57 of 1984),s. 2 and Sch., for cl. (ee), which was previously ins. by Ordinance No. 58 of 1980, s. 3.

(l) selling, improving, managing, developing, exchanging, leasing, mortgaging, disposing of or turning into account or otherwise dealing with all or any part of the property and rights of the company;

(m) acquiring and undertaking the whole or any part of the business of any person or company, when such business is of a nature enumerated or described in this sub-section;

(n) doing all such other things as are incidental or conducive to the promotion or advancement of the business of the company;

(o) any other form of business which the [1][State Bank by circular], specify as a form of business in which it is lawful for a banking company to engage.

(2) No banking company shall engage in any form of business other than those referred to in sub-section (1).

8. Use of the word "Bank" or any of its derivatives. [2][Every company] carrying on the business of banking in Pakistan shall use the word "bank", or any of its derivatives as part of its name and no company other than a banking company shall use in its name any word calculated to indicate that it is a banking company:

Provided that nothing in this section shall apply to—

(a) subsidiary of a banking company formed for one or more of the purposes mentioned in sub-section (1) of Section 23 whose name indicates that it is a subsidiary of that banking company; and

(b) any association of banks formed for the protection of their mutual interests and registered under section [3][42 of the Companies Ordinance 1984 (XLVII of 1984)] [4][:]

[5][Provided further that the [3][State Bank] may, subject to such conditions, if any, as it may deem fit, by notification in the Official Gazette, authorise a company [6][***] not being a banking company, to use in its name the word "bank" or any of its derivatives.]

[7][**9. Prohibition of trading.—**Except as authorised under section 7, no banking company shall directly or indirectly deal in the buying or selling or bartering of goods or engage in any trade or buy, sell or barter goods for others, otherwise than in connection with bills of exchange received for collection or negotiation.

Explanation.— For the purpose of this section, "goods" means every kind of movable property, other than actionable claims, stocks, shares, money, bullion and specie, and all instruments referred to in clause (a) of sub-section (1) of Section 7.]

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[1]Subs. by Finance Act, 2007 (Act No. IV of 2007), s.4, (w.e.f. 01-07-2007).
[2]Subs. by the Federal Laws (Revision and Declaration) Ordinance, 1981 (27 of 1981), s. 3 and Sch. II, for certain words.
[3]Subs. by Act XIV of 1997, s. 3.
[4]Subs. by the Banking Companies (Amdt.) Act, 1975 (65 of 1975), s.2 (w.e.f. 29-8-1975), for full-stop.
[5]Added *ibid.*
[6]The words "wholly or partly owned or controlled by it or by the State Bank: omitted by the Finance Act, 1990 (7 of 1990), s. 4A which was previously amended by Ord. 35 of 1979, s. 2
[7]Subs. by the Banking Companies (Third Amdt.) Ordinance, 1980 (58 of 1980), s. 4, for section 9.

10. Disposal of non-banking assets.—Notwithstanding anything contained in section 7, no banking company shall [1][except as may be permitted by the State Bank from time to time, or as is required by it for its own use, hold any immovable property howsoever acquired,] for any period exceeding seven years from the acquisition thereof or from the commencement of this Ordinance, whichever is later or any extension of such period as in this section provided, and such property shall be disposed of within such period or extended period, as the case may be:

Provided that the banking company may, within the period of seven years as aforesaid, deal or trade in any such property for the purpose of facilitating the disposal thereof:

Provided further that the State Bank may in any particular case extend the aforesaid period of seven years by such period not exceeding five years where it is satisfied that such extension would be in the interests of the depositors of the banking company.

Explanation.—For the purpose of this section property, a substantial portion of which is in use by banking company for its own genuine requirements shall be deemed to be property for its own use.

11. Prohibition of employment of managing agents and restrictions on certain forms of employment.—(1) No banking company—

(a) shall employ or be managed by a managing agent; or

(b) shall employ or continue the employment of any person—

(i) who is, or at any time has been, adjudicated insolvent, or has suspended payment, or has compounded with his creditors, or who is, or has been, convicted by a criminal court of an offence involving moral turpitude; or

(ii) whose remuneration or part of whose remuneration takes the form of commission of a share in the profits of the company:

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Provided that nothing contained in sub-clause (ii) shall apply to the payment by a banking company of—

(a) any bonus in pursuance of a settlement or award arrived at or made under any law relating to industrial disputes or in accordance with any scheme framed by such banking company or in accordance with the usual practice prevailing in banking business; or

(b) any commission to any broker (including guarantee broker), cashier-contractor, clearing and forwarding agent, auctioneer or any other person, employed by the banking company under a contract otherwise than as a regular member of the staff of the company; or

[1]Subs. by the Banking and Financial Services (Amendment of Laws) Ordinance, 1984 (57 of 1984), s. 2 and *sch.,* for certain words.

(c) shall be managed by any person—

(i) who is a director of any other company not being a subsidiary company of the banking company or a company registered under section 26 of the [1][Companies Ordinance, 1984 (XLVII of 1984)], except with the previous approval of the State Bank; or

(ii) who is engaged in any other business or vocation; or

(iii) who has a contract with the company for its management for a period exceeding five years at any one time:

Provide that any contract with the company for its management may be renewed or extended for a further period not exceeding five years at a time if and so often as the directors so decide:

Provided further that nothing in this clause shall apply to a director, other than the managing director, of a banking company by reason only of his being such director.

(2) Where a person holding the office of a chairman of director or manager or chief executive officer (by whatever name called) of a banking company is, or has been found by any tribunal or other authority (other than a criminal court) to have contravened the provision of any law and the State Bank is satisfied that the contravention is of such a nature that the association of such person with the banking company is or will be detrimental to the interests of the banking company or its depositors or otherwise undesirable, the State Bank may make an order that that person shall cease to hold the office with effect from such date as may be specified therein and thereupon, that office shall, with effect from the said date, become vacant.

(3) Any order made under sub-section (2) in respect of any person may also provide that he shall not, without the pervious permission of the State Bank in writing, in any way, directly or indirectly, be concerned with, or take part in the management of, the banking company or any other banking company for such period not exceeding five years as may be specified in the order.

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(4) No order under sub-section (2) shall be made in respect of any person unless he has been given an opportunity of making a representation to the State Bank against the proposed order:

Provided that it shall not be necessary to give any such opportunity if, in the opinion of the State Bank, any delay would be detrimental to the interests of the banking company or its depositors.

(5) Any decision or order of the State Bank made under this section shall be final for all purposes.

12. Restrictions on removal of records and documents.— No banking company shall remove from Pakistan to a place outside Pakistan, any of its records and documents relating to its business at its branches, whether they are functioning or not, without the prior permission in writing of the State Bank.

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[1]Subs. by Finance Act, 2007 (Act No. IV of 2007), s.4, (w.e.f. 01-07-2007).

Explanation.— In this section the term "records" means ledgers, day books, cash books, accounts books and all other books used in the business of a banking company and the term "documents" means vouchers, cheques, bills, pay orders, securities for advances and any other documents supporting entries in the books of, or claims by or against, a banking company.

[1][**13. Requirement as to minimum paid-up capital and reserves**.—(1)Subject to sub-section (2) no banking company shall—

(a) commence business unless it has a minimum paid-up capital as may be determined by the State Bank; or

(b) carry on business unless the aggregate of its capital and unencumbered general reserves is of such minimum value within such period as may be determined and notified by the State Bank from time to time for banking companies in general or for a banking company in particular.

(2) No banking company incorporated outside Pakistan shall be deemed to have complied with the provisions of sub-section (1) unless it deposits, and keeps deposits, with the State Bank an amount by transfer of funds from outside Pakistan or in the form of assets acquired out of remittable profits made by it from deposits in Pakistan which is not less than what is required to be maintained under sub-section (1), in any one or more of the following forms, namely:—

(i) interest-free deposit in cash in Pakistan rupees;

(ii) interest-free deposit in a freely convertible approved foreign exchange within the meaning of the State Bank of Pakistan Act, 1956 (XXXIII of 1956), specified by the State Bank in respect of such banking company; and

(iii) deposit of un-encumbered approved securities.

(3) Without prejudice to the provisions of section 83, the Sate Bank may, by order in writing, require any banking company which has failed to comply with the provisions of clause (b) of sub-section (1) within the period determined and notified under that clause to deposit with the State Bank such amount not exceeding the amount by which the aggregate value of the capital and unencumbered general reserves of such banking company falls short of the minimum amount of the aggregate of the capital and unencumbered general reserves required to be maintained by such banking company pursuant to clause (b) of sub-section (1) on such terms and conditions as the State Bank may determine and every banking company which is so required shall be bound to comply with the order.

(4) Any amount deposited and kept deposited with the State Bank under sub-section (2) by any banking company incorporated outside Pakistan shall, in the event of the company ceasing for any reason to carry on banking business in Pakistan, be an asset of the banking company on which the claims of all the creditors of the banking company in Pakistan shall be the first charge.

[1]Subs. by Ord. 48 of 2000, s. 4.

(5) If any dispute arises in computing the aggregate value of the capital and unencumbered general reserves of any banking company, a determination thereof by the State Bank shall be final.

***Explanation*.—**For the purposes of this section, (a) the expression " value" means the real or exchangeable value or, if the real or exchangeable value exceeds the nominal value, the nominal value; and (b) the expression "capital and unencumbered general reserves" means paid-up capital and such other items as may be notified in this regard by the State Bank from time to time.]

14. Regulation of paid-up capital, subscribed capital and authorized capital and voting rights of share-holders.— (1) No banking company incorporated in Pakistan shall carry on business in Pakistan unless it satisfies the following conditions, namely:—

(i) that the subscribed capital of the company is not less than one half of the authorized capital and the paid-up capital is not less than one half of the subscribed capital and that if the capital is increased it complies with the conditions prescribed in this clause within such period not exceeding two years as the State Bank may allow;

(ii) that the capital of the company consists of ordinary shares [1][and perpetual non-cumulative preference shares] only [2][which may be of different kinds and classes as provided by its memorandum and articles];

(iii) [2][* * * * * * *]

(iv) that the voting rights of any one shareholder, except those of the [3][Federal Government] or a Provincial Government [2][or such shareholder who has been permitted by the State Bank] do not exceed five per cent of the total voting rights of all the shareholders.

(2) Notwithstanding anything contained in any law for the time being in force or in any contract or instrument no suit or other proceeding shall be maintained against any person registered as the holder of a share in a banking company on the ground that the title to the said share vests in a person other than the registered holder:

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Provided that nothing contained in this sub-section shall bar a suit or other proceeding—

(a) by a transferee of the share on the ground that he has obtained from the registered holder a transfer of the share in accordance with any law relating to such transfer; or

(b) on behalf of a minor or a lunatic on the ground that the registered holder holds the share on behalf of the minor or lunatic.

(3) Every chairman, managing director or chief executive officer by whatever name called of a banking company shall furnish to the State Bank through that banking company returns containing full particulars of the extent and value of his holding of shares, whether directly or indirectly, in the banking company and of any change in the extent of such holding or any variation in the rights attaching thereto and such other information relating to those shares as

[1]Ins. by Finance Act, 2007 (Act No. IV of 2007), s.4, (w.e.f. 01-07-2007).
[2]Ins. and omitted by Act No. XXIX of 2024, s.4.
[3]Subs. by Act 30 of 1972, s.23.

the State Bank may, by order, require and in such form and at such time as may be specified in the order.

[1][[2][(4) The State Bank, if satisfied, may require any banking company by an order in writing stating reasons to increase its paid up capital or enhance the level of regulatory capital, as deemed appropriate, by such extent and within such period as may be specified in the order and the State Bank shall exercise the power reasonably, fairly and justly.]

[2][(4A) Any person holding sponsor shares in a banking company shall deposit all such shares in an account opened in a central depository in the manner specified by the State Bank and shall not sell, transfer or encumber the shares in any manner whatsoever without prior written approval of the State Bank.]

(5) Notwithstanding any provision contained in any other law for the time being in force,—

(a) if the State Bank has determined that a person is holding or is a beneficial owner of five percent or more shares of a banking company without prior approval of the State Bank or a person that acquired shareholding with prior approval of the State Bank subsequently fails to meet the fit and proper test as the State Bank may, by an order in writing stating reasons, require such person to reduce, divest or transfer to a fit and proper person, his shareholding in the banking company within such reasonable period and in such manner as may be specified in the order;

(b) where a person holding five percent or more shares of a banking company is or is likely to be detrimental to the interest of the banking company or its depositors, the State Bank may, by an order in writing stating reasons, require such person to divest his shareholding to a fit and proper person. The State Bank shall exercise the power reasonably, fairly and justly; and

(c) no order under clause (a) or clause (b) shall be made unless the person concerned has been given reasonable opportunity of making a representation to the State Bank against the proposed order;

If the State Bank is of opinion that any delay would be detrimental to the public interest or the interest of the banking company or its depositors, the State Bank may, at the time of giving the opportunity aforesaid or at any time thereafter and pending the consideration of the representation aforesaid, if any, may make an appropriate interim order, and conduct the proceedings in a reasonably expeditious manner.

The interim order may include prohibition of—

(i) transfer of, or the carrying out of the agreement or arrangement to transfer such shares;

(ii) the exercise of voting rights in respect of such shares;

(iii) the payment of cash or stock dividends in respect of such shares; and

(iv) the issue of further shares to the concerned shareholder;

[1]Added by Act VII of 2011, s. 2.
[2]Subs. and ins. by Act No. XXIX of 2024, s.4.

(d) where direction given under clause (a) or clause (b) is not complied with, the State Bank may dispose of such shares either through stock exchange or public auction. The sale proceeds of such shares, after deduction of any expenses incurred by the State Bank, shall be paid to the respective shareholders within a period of three months. If necessary, the State Bank may require—

(i) issuance of duplicate shares in place of the original shares; and

(ii) the [1][relevant central depository] Company to make appropriate changes in their records; and

(e) any person aggrieved by the decision of the State Bank under clauses (a), (b) and (d), may prefer appeal to the [1][*] Central Board of Directors of the State Bank but pending decision of the proceedings, the shareholder shall not derive any benefit including dividends, right shares, voting rights, etc. from his shareholding without express permission of the [1][*] Board [1][of Directors of the State Bank].

[1][***Explanation***.— The expression "beneficial ownership" shall include the definition of "beneficial ownership of shareholders or officer of a company" given in clause (7) of sub-section (1) of section 2 of the Companies Act, 2017 (XIX of 2017).]]

15. Election of new directors.—(1) The State Bank may, by order, require any banking company to call a general meeting of the shareholders of the company within such time, not less than two months from the date of the order, as may be specified therein or within such further time as the State Bank may allow in this behalf, to elect in accordance with the voting rights permissible under this Ordinance fresh directors, and the banking company shall be bound to comply with the order.

(2) Every director elected under sub-section (1) shall hold office until the date up to which his predecessor would have held office, if the election had not been held.

(3) Any election duly held under this section shall not be called in question in any court.

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[2]**[15A. Appointment of director by the State Bank**.— Notwithstanding anything contained in the [3][Companies Ordinance, 1984 (XLVII of 1984)], or in the memorandum or articles of association of any banking company, the State Bank may appoint not more than one person to be a director of a banking company, whether or not he holds any qualification shares.]

15B. [1][* * * * * * *]

[1]**[15C. Fitness and propriety.**— (1) Every person holding sponsor shares in a banking company, director, managing director or chief executive officer, by whatever name called, and such other officer of a banking company, as may be specified by the State Bank, shall be required to meet the fit and proper test specified by the State Bank from time to time.

[1]Subs., omitted and Ins. by Act No. XXIX of 2024, ss.4-6.
[2]Sections 15A, 15B and 15C inserted by the Banking Companies (Amendment) Act, 1972 (Act No. XXX of 1972), s. 5 (w.e.f. 13-10-1972).
[3]Subs. by Finance Act, 2007 (Act No. IV of 2007), s.4, (w.e.f. 01-07-2007).

(2) Every person to whom the fit and proper test applies and the banking company concerned shall furnish to the State Bank all information and any change in the information furnished earlier, in such form and manner as may be required by the State Bank.

(3) If the State Bank determines that a person holding the office of directors, managing director or chief executive officer, by whatever name called, or any other officer of a banking company to whom the fit and proper test applies, subsequently fails to meet any terms or conditions of the test, the State Bank may, without prejudice to any other power conferred on it under this Ordinance, issue warning, or withdraw the fit and proper clearance of such person by an order in writing stating the reasons thereof and such person shall vacate the office held from the effective date of such an order:

Provided that the State Bank has given an opportunity of hearing, if sought by the person, to make representations or file objections in respect of the State Bank's decision regarding their fit and proper test application:

Provided **further** that no order for withdrawal of fit and proper clearance shall be made under this sub-section unless the concerned person has been given a reasonable opportunity of making a representation to the State Bank against the said order, and if the State Bank is of the opinion that any delay would be detrimental to the public interest or the interest of the banking company or its depositors, the State Bank may, at the time of giving the opportunity aforesaid or at any time thereafter and pending the consideration of the representation aforesaid, if any, make an appropriate interim order. The aggrieved person shall have the right to appeal to the Beard of Directors of the State Bank whose decision shall be final.]

16. Restriction on commission, brokerage, discount, etc. on sale of shares. Notwithstanding anything to the contrary in sections 105 and 105A of the [1][Companies Ordinance, 1984 (XLVII of 1984)], no banking company shall pay out directly or indirectly by way of commission, brokerage, discount or remuneration in any form in respect of any shares issued by it, any amount exceeding in the aggregate two and one-half per cent of the paid-up value of the said shares.

17. Prohibition of charge on unpaid capital. No banking company shall create any charge upon any unpaid capital of the company and any such charge, if created, shall be invalid.

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18. Prohibition of floating charge on assets.—(1) Notwithstanding anything contained in section 7 no banking company shall create a floating charge on the undertaking or any property of the company or any part thereof, unless the creation of such floating charge is certified in writing by the State Bank as not being detrimental to the interest of the depositors of such company.

(2) Any such charge created without obtaining the certificate of the State Bank shall be invalid.

(3) Any banking company aggrieved by the refusal of a certificate under sub-section (1) may, within ninety days from the date on which such refusal is communicated to it, appeal to the [2][Federal Government].

(4) The decision of the [2][Federal Government] where an appeal has been preferred to it under sub-section (3) or of the State Bank where no such appeal has been preferred shall be final.

[1]Subs. by Finance Act, 2007 (Act No. IV of 2007), s.4, (w.e.f. 01-07-2007).
[2]Subs. by Act 30 of 1972, s.23. for "Centeral Government".

19. Restrictions as to payment of dividend.—(1) No banking company shall pay any dividend on its shares until all its capitalised expenses (including preliminary expenses, organisation expenses, share-selling commission, brokerage, amounts of losses incurred and any other item of expenditure not represented by tangible assets) have been completely written off.

(2) Notwithstanding anything to the contrary contained in sub-section (1) or in the [1][Companies Ordinance, 1984 (XLVII of 1984)], a banking company may pay dividends on its shares without writing off—

(i) the depreciation, if any, in the value of its investment in approved securities in any case where such depreciation has not actually been capitalised or otherwise accounted for as a loss;

(ii) the depreciation, if any, in the value of its investments in shares, debentures or bonds (other than approved securities) in any case where adequate provision for such depreciation has been made to the satisfaction of the auditor of the banking company;

(iii) the bad debts, if any, in any case where adequate provision for such debts has been made to the satisfaction of the auditor of the banking company.

[1][(3) Notwithstanding anything in sub-section (1) or in the Companies Ordinance, 1984 (XLVII of 1984), if a banking company meets the minimum capital requirement and capital adequacy ratio as specified by State Bank from time to time, and has also accounted for the portion of capitalized expenses, goodwill, etc., for the year to the satisfaction of the auditor of the banking company, it shall also be eligible for payment of dividend out of profits of the banking company for the said year.]

[2][(4) If the State Bank is satisfied that conditions are not favourable for such payment, or the financial position of a banking company so warrants, it may, by order in writing stating reasons, restrict or prohibit any banking company from paying dividends to its shareholders for such period as may be specified in the order and the State Bank shall exercise the power reasonably, fairly and justly.

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(5) No order shall be made unless the banking company concerned has been given an opportunity of making a representation to the State Bank and where the State Bank is of the opinion that any delay would be detrimental to the public interest or the interest of the banking company or its depositors, the State Bank may, at the time of giving the opportunity aforesaid or at any time thereafter and pending the consideration of the representation aforesaid, if any, make an appropriate interim order.]

20. Prohibition of common directors.—(1) Except with the permission of the State Bank, no banking company incorporated in Pakistan shall have as a director any person who is a director—

(i) of any other banking company; or

[1]Subs., and added by Finance Act, 2007 (Act No. IV of 2007), s.4, (w.e.f. 01-07-2007).
[2]Sub-sections 4 & 5 added vide Banking Companies (Amendment) Act , 2011 (Act No. VII of 2011).

(ii) of companies which among themselves are entitled to exercise voting rights in excess of twenty per cent of the total voting rights of all the shareholders of the banking company.

[1][(IA) No banking company incorporated in Pakistan shall have as a director any person who is—

[2][(*a*) a Federal Minister, a Minister of State or a Provincial Minister; or]

(*b*) a person in the service of Pakistan who is not appointed or nominated by Government as a director by virtue of his office.]

(2) If immediately before the commencement of this Ordinance any person holding office as a director of a banking company is also a director of companies which among themselves are entitled to exercise voting rights in excess of twenty per cent of the total voting rights of all the shareholders of the banking company he shall, within such period from such commencement as the State Bank may specify in this behalf—

(a) either resign his office as a director of the banking company; or

(b) choose such number of companies as among themselves are not entitled to exercise voting rights in excess of twenty per cent of the total voting rights of all the shareholders of the banking company as companies in which he wishes to continue to hold the office of a director and resign his office as a director in the other companies.

21. Reserve Fund.— [3][(1) Every banking company incorporated in Pakistan shall create a reserve fund to which shall be credited—

(a) if the amount in such fund together with the amount in the share premium account is less than the paid-up capital of the banking company, a sum equivalent to not less than twenty per cent of the balance of profit of each year as disclosed in the profit and loss account prepared under section 34 and before any dividend is declared; and

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(b) if the amount in such fund together with the amount in the share premium account is equal to or exceeds the paid-up capital of the banking company, a sum equivalent to not less than ten per cent of the balance of profit disclosed as aforesaid and before any dividend is declared.]

(2) Where a banking company appropriates any sum or sums from the reserve fund or the share premium account, it shall, within twenty-one days from the date of such appropriation, report the fact to the State Bank explaining the circumstances relating to such appropriation:

Provided that the State Bank may, in any particular case, extend the said period of twenty-one days by such period as it thinks fit or condone any delay in the making of such report.

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[1]New sub-section (IA) inserted vide Banking Companies (Amendment) Act, 1972 (Act No. XXX of 1972).
[2]Subs. by F.A.O., 1975, Art. 2 & Sch. (*w.e.f.* 01-08-1975), for cl. (a).
[3]Subs. by Act 30 of 1972, s. 7, for sub-section (1).

22. Cash Reserve.— Every banking company, not being a scheduled bank, shall maintain by way of cash reserve in cash with itself, or in current account opened with the State Bank or its agent or partly in cash with itself and partly in such account or accounts a sum equivalent to at least two per cent of its time liabilities in Pakistan and five per cent of its demand liabilities in Pakistan and shall submit to the State Bank before the fifteenth day of every month a return showing the amount so held on [1][Thursday] of each week of the preceding month with particulars of its time and demand liabilities in Pakistan on each such [1][Thursday] or if any such [1][Thursday] is a public holiday under the Negotiable Instruments Act, 1881 (XXVI of 1881), at the close of business on the preceding working day.

[2][* * * * * * *]

23. Restriction on the nature of subsidiary companies.—(1) A banking company shall not form any subsidiary company except a subsidiary company formed [3][with the prior written approval of the State Bank] for one or more of the following purposes, namely:—

(a) the undertaking and executing of trusts,

[4][(aa) the carrying on of banking business strictly in conformity with the Injunctions of Islam as laid down in the Holy Quran and Sunnah;]

(b) the undertaking of the administration of estates as executor, trustee or otherwise,

[5][(bb) the carrying on of business of modaraba under the provisions of the Modaraba Companies and Modaraba (Floatation and Control) Ordinance 1980 (XXXI of 1980).]

(c) the providing of safe deposit vaults;

[3][(Ca) the carrying on of business as a microfinance bank under the provisions of the Microfinance Institutions Ordinance, 2001 (LV of 2001);]

(d) [3][* * *] the carrying on of the business of banking exclusively outside Pakistan; [6][*]

[7][(dd) the conduct of any from of business permitted by section 7; [3][*]]

[3][(ddd) for carrying on business, exclusively for development Causes, as may be approved by the State Bank; or]

(e) such other purposes as are incidental to the business of banking.

(2) Save as provided in sub-section (1), no banking company shall hold shares in any company whether as pledgee, mortgagee or absolute owner, of an amount exceeding thirty percent of the paid-up share capital of that company or thirty per cent of its own paid-up share capital and reserves, whichever is less:

Provided that any banking company which is on the date of commencement of this Ordinance holding any shares in contravention of the provisions of this sub-section shall not be liable to any

[1]Subs. and shall be deemed to have been so subs. by the Banking Companies (amdt.) Ordinance, 1978 (3 of 1978), s. 3, for "Friday" (*w.e.f.* 1-7-1977).
[2]Explanation omitted by the Banking Companies (Amdt) Ordinance, 1984 (34 of 1984), s. 3.
[3]Ins. and omitted by Act No. XXIX of 2024, s.7.
[4]Ins. by Ord. CXI of 2002, s. 4.
[5]New clause (bb) inserted vide. The Banking Companies (Third Amendment) Ordinance, 1980 (Ord. LVIII of 1980), s.5.
[6]The word "or" omitted vide Banking and Financial Services (Amendment in Laws) Ordinance, 1984 (Ordinance No. LVII of 1984), s.2 and Sch.
[7]New cl. (dd) ins. *ibid.*

penalty therefore if it reports the matter without delay, to the State Bank and if it brings its holding of shares into conformity with the said provision within such period, not exceeding two years, as the State Bank may think fit to allow.

(3) Save as provided in sub-section (1) and notwithstanding anything contained in sub-section (2), a banking company shall not, after the expiry of one year from the date of commencement of this Ordinance hold shares, whether as pledgee, mortgagee or absolute owner, in any company in the management of which any managing director or manager of the banking company is in any manner concerned or interested.

[1][**24. Restrictions on loans and advances.**—(1) No banking company shall—

(a) make any loans or advances against the security of its own shares; or

(b) grant unsecured loans or advances to, or make loans and advances on the guarantee of,—

(i) any of its directors;

(ii) any of the family members of any of its directors;

(iii) any firm or private company in which the banking company or any of the persons referred to in sub-clause (i) or sub-clause (ii) is interested as director, proprietor or partner; or

(iv) any public limited company in which the banking company or any of the persons as aforesaid is substantially interested.

(2) No banking company shall make loans or advances to any of its directors or to individuals, firms or companies in which it or any of its directors is interested as partner, director or guarantor, as the case may be, without the approval of the majority of the directors of that banking company, excluding the director concerned.]

[2][**25. Power of State Bank to control advances by banking Companies.**– (1) Whenever the State Bank is satisfied that it is necessary or expedient in the public interest so to do, it may determine the policy in relation to advances to be followed by banking companies generally or by any banking company in particular, and, when the policy has been so determined, all banking companies or the banking company concerned, as the case may be, shall be bound to follow the policy as so determined.

[3][(2) Without prejudice to the generality of the power conferred by sub-section (1), the State Bank may give directions to banking companies either generally or to any banking company or group of banking companies in particular,—

(a) as to the credit ceilings to be maintained, credit targets to be achieved for different purposes, sectors and regions, the purposes for which advances may or may not be made, the margins to be maintained in respect of advances, the rates of interest, charges or mark-up to be applied on advances and the maximum or minimum profit sharing ratios; and

[1]Subs. by the Banking Companies (Amdt.) Act, 1972 (30 of 1972), s. 8 (w.e.f. 13-10-1972) for the original section 24.
[2]Subs. by the Banking Companies (Amdt.) Ordinance, 1971 (7 of 1971), s. 2 (w.e.f. 15-03-1971) for the original section 25.
[3]Subs. by the Banking Companies (Third Amdt.) Ordinance, 1980 (58 of 1980), s. 6 for sub-section (2), which was previously amended by Act No. 30 of 1972, s. 9 (w.e.f. 13-10-1972), for certain words.

(b) prohibiting the giving of loans, advances and credit to any borrower or group of borrowers on the basis of interest, either for a specific purpose or for any purpose whatsoever; and each banking company shall be bound to comply with any direction so given.]

(3) If any default is made by a banking company in complying with the policy determined under sub-section (1) or direction given under sub-section (2), every director and other officer of the banking company and every other person who is knowingly a party to such default shall, by order of the State Bank, be liable to a penalty of an amount [1][as specified in the Fourth Schedule].

[2][(4) Without prejudice to the provisions of sub-section (3), the State Bank may, for the purposes of securing implementation of any special credit schemes or monetary policy or observance of credit ceilings by a banking company, by order in writing require banking companies generally, or any banking company in particular, to make special deposits with it for such amount and on such terms and conditions as may be laid down by the State Bank in this behalf.]

(5) The amount deposited with the State Bank under sub-section (4) or any part thereof may, at the discretion of the State Bank, be released by it to the banking company which deposited it as and when the State Bank deems fit either unconditionally or on such terms and subject to such conditions as the State Bank may by order in writing, determine from time to time.

(6) Any penalty imposed under sub-section (3) shall be payable on demand made by the State Bank and, in the event of refusal or failure by the director, officer or other person concerned to pay on such demand, shall be recoverable as arrear of land revenue.]

[3][**25A. Power of the State Bank to collect and furnish credit information.—** (1) Every banking company shall furnish to the State Bank credit information in such manner as the State Bank may specify, and the State Bank may, either of its own motion or at the request of any banking company, make such information available to any banking company on payment of such fee as the State Bank may fix from time to time:

Provided that, while making such information available to a banking company, the State Bank shall not disclose the names of the banking companies which supplied such information to the State Bank:

Provided further that, a banking company which purposes to enter into any financial arrangement which is in excess of the limit laid down in this behalf by the State Bank from time to time shall, before entering into such financial arrangement, obtain credit information on the borrower from the State Bank.

(2) Any credit information furnished by the State Bank to a banking company under sub-section (1) shall be treated as confidential and shall not, except for the purposes of this section or with the prior permission of the State Bank, be published or otherwise disclosed.

(3) No court, tribunal or other authority, including an officer of Government, shall require the State Bank or any banking company to disclose any information furnished to, or supplied by, the State Bank under this section.

[1]Subs. by Act No. XXIX of 2024, s. 8.
[2]Subs. by the Banking Companies (Amdt.) Act, 1972 (30 of 1972), s. 9 (w.e.f. 13-10-1972), for sub-section (4).
[3]Ss. 25A and 25B ins. by the Banking Companies (Amdt.) Act, 1972 (30 of 1972), s. 10 (w.e.f. 13-10-1972).

Explanation.— For the purpose of this section, —

(a) "borrower" means any person to whom any credit limit has been sanctioned by any banking company, whether availed of or not, and includes—

(i) in the case of a company or corporation, its subsidiaries;

(ii) in the case of a Hindu undivided family, any member thereof or any firm in which such member is a partner;

(iii) in the case of a firm, any partner thereof or any other firm in which such partner is a partner; and

(iv) in the case of an individual, any firm in which such individual is a partner; and

(b) "credit information" means any information relating to—

(i) the amounts and the nature of loans or advances or other credit facilities, including bills purchased or discounted, letters of credit and guarantees, indemnities and other engagements extended by a banking company to any borrower or class of borrowers;

(ii) the nature of security taken from any borrower for credit facilities granted to him;

(iii) the guarantees, indemnities or other engagements furnished to a banking company by any of its customers; and

(iv) operations or accounts in respect of loans, advances and other credit facilities referred to in this clause.

25AA. [1][* * * * * * *]

25B. Recovery of certain dues of banking companies as arrears of land revenue. Loans and advances made by a banking company for agricultural [2][and other] purposes shall be recoverable as an arrear of land revenue as if the banking company were a local authority for the purposes of section 5 of the Revenue Recovery Act, 1890 (I of 1890):

Provided that no sum shall be so recoverable unless the banking company has, by notice in writing, informed the debtor, not less than fifteen days before proceeding to have it so recovered, that he may repay by such instalment as may be fixed in the notice and that action to have the debt recovered as an arrear of land revenue will be taken if he fails to pay any instalment on or before the due date.]

26. Power of [3][State Bank] to prohibit acceptance of deposits by banking companies incorporated outside Pakistan. The [3][State Bank] may, by notification in the official Gazette, order that any banking company or [3][any class of] banking companies incorporated outside Pakistan shall from a date to be specified in the notification—

(1) discontinue to accept any interest bearing deposits or accept such deposits only upon such terms and under such conditions as may be specified in the notification:

Provided that no such notification shall be made earlier than three years after the commencement of this Ordinance and the date specified in the notification shall not be earlier than six months after the date of the notification; or

[1]Omitted by Act No. XXIX of 2024, s.9.
[2]Ins. by Act XIV of 1997, s. 5.
[3]Subs. by Act XIV of 1997, s. 6.

(2) discontinue to accept any deposits or accept deposits only upon such terms and under such conditions as may be specified in the notification:

Provided that no such notification shall be made earlier than three years after the commencement of this Ordinance and the date specified in the notification shall not be earlier than one year from the date of the notification.

[1][**26A. Deposits.—**(1) Deposits of money may be accepted by a banking company on the following basis:—

(i) on participation in profit and loss of the banking company;

(ii) free of interest or return in any form, and

(iii) until such time as the Federal Government determines and notifies, by publication in the official Gazette, that the domestic operations of the banking companies have become free of interest, on interest.

(2) Every banking company receiving deposits on the basis of participation in profit and loss shall maintain separate account in respect thereof as also of investments made, finances provided out of the amount of such deposits, cash reserves and liquid assets maintained there against and all income and expenditure relating thereto.

(3) Deposits received on the basis of participation in profit and loss shall be invested or employed, at the absolute discretion of the banking company, only in transactions or business the return on which does not accrue to the banking company by way of interest.

(4) A person depositing money with a banking company on the basis of participation in profit and loss shall be entitled, subject to such general directions as the State Bank may give from time to time in the interest of monetary stability, to receive periodically such share of the profit of the banking company arising out of such transactions as may be determined by it and, in the event of loss incurred by the banking company, shall be liable to bear proportionate loss.]

[2][(5) Where the State Bank has determined that a banking company,—

(a) is carrying on its business in a manner detrimental to the interest of its depositors; or

(b) is materially unable to discharge its financial obligations or continue its operations; or

(c) has failed to meet [3][specified] capital requirements or cash and liquidity requirements or provisioning requirements or any condition specified in the license or any preventive or remedial measure [3][specified] by the State Bank,

[1]New section 26A ins. by the Banking Companies (Third Amdt.) Ordinance, 1980 (58 of 1980), s. 7.
[2]Added by Act No. VII of 2011, s. 4.
[3]Subs. by Act No. XXIX of 2024, s.10.

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the State Bank, by an order in writing stating reasons, may impose conditions or restrictions on the banking company on accepting deposits from any class of depositors or type of deposits for such period as may be specified in the order and the State Bank shall exercise the power reasonably, fairly and justly.

(6) No order shall be made unless the banking company concerned has been given an opportunity of making a representation to the State Bank and if the State Bank is of the opinion that any delay would be detrimental to the public interest or the interest of the banking company or its depositors, the State Bank may, at the time of giving the opportunity aforesaid or at any time thereafter and pending the consideration of the representation aforesaid, if any, may make an appropriate interim order.]

27. Licensing of banking companies.— [1][(1) No individual or association or body of individuals, not being a company, shall carry on banking business in Pakistan and, save as hereinafter provided, no company shall carry on banking business in Pakistan unless it holds a licence issued in that behalf by the State Bank; and any such licence may be issued subject to such conditions as the State Bank may think fit to impose.]

(2) Every banking company in existence on the commencement of this Ordinance, before the expiry of six months from such commencement, and every other company before commencing banking business in Pakistan, shall apply in writing to the State Bank for a licence under this section:

Provided that nothing in sub-section (1) shall be deemed to prohibit a banking company in existence on the commencement of this Ordinance from carrying on banking business until it is granted a licence in pursuance of this section or is by notice in writing informed by the State Bank that a licence cannot be granted to it:

Provided further that the State Bank shall not give a notice as aforesaid to a banking company in existence on the commencement of this Ordinance before the expiry of the period of two years in the case of banking companies incorporated in Pakistan and of six months in the case of banking companies incorporated outside Pakistan [2][* * *].

(3) Before granting any licence under this section, the State Bank may require to be satisfied by an inspection of the books of the company or otherwise that all or any of the following conditions are fulfilled, namely:—

(a) that the company is or will be in a position to pay its present or future depositors in full as their claims accrue;

(b) that the affairs of the company are not being or are not likely to be conducted in a manner detrimental to the interests of its present or future depositors;

(c) that, in the case of a company incorporated outside Pakistan, the Government or law of the country in which it is incorporated provides the same facilities to banking companies registered in Pakistan as the

[1]Subs. by the Banking Companies (Amdt.) Ordinance, 1979 (56 of 1979), s. 2 for sub-section (1).
[2]Omitted by Ord. 48 of 2000, s. 5.

Government or law of Pakistan grants to banking companies incorporated outside Pakistan and that the company complies with all the provisions of this Ordinance applicable to banking companies incorporated outside Pakistan.

(4) The State Bank may cancel a licence granted to a banking company under this section,—

(i) if the company ceases to carry on banking business in Pakistan; or

(ii) if the company at any time fails to comply with any of the conditions imposed upon it under sub-section (1); or

(iii) if at any time, any of the conditions referred to in sub-section (3) ceases to be fulfilled [1][; or]

[1][(iv) if the banking company is engaged in or is being used for criminal activities; or

(v) if the banking company has destroyed or concealed, or moved outside of Pakistan all or part of its assets, the administration, operation and books or records without the explicit approval of the State Bank; or

(vi) if the banking company has created material hindrance, delay or obstruction for the State Bank in performance of its supervisory functions:]

[1][Provided that before cancelling a license,—

(i) under clause (ii) or clause (iii) of this sub-section on the ground that the banking company has failed to comply with or has failed or ceased to fulfil any of the conditions referred to therein; or

(ii) under clause (iv), clause (v) or clause (vi) of this sub-section,

the State Bank, unless it is of opinion that the delay will be prejudicial to the interest of the company's depositors or the public, shall provide an opportunity of being heard to the banking company or, as the case may be, shall grant to the company on such terms as it may specify, an opportunity of taking the necessary steps for complying with or fulfilling such condition.]

(5) Any banking company aggrieved by the decision of the State Bank cancelling a licence under this section may, within thirty days from the date on which such decision is communicated to it, [2][apply for review to the [1][*] Board of [1][Directors of] the State Bank].

[2][(6) The decision of the State Bank subject to the result of review under sub-section (5), if any, shall be final.]

[3][**27A. Prohibition of advertising for deposits and collection.—** Notwithstanding anything contained in any other law for the time being in force, no company, firm or person, not

[1]Subs., ins. and omitted by Act No. XXIX of 2024, s.11.
[2]Subs. by Act XIV of 1997, s. 7.
[3]Subs. by the Finance Act, 1990 (7 of 1990), s. 4A, for section 27A, which was previously ins. by Act 6 of 1987, s. 6.

being a banking company or a corporation or authority established by the Federal Government or a company duly authorised in this behalf by the Controller of Capital Issues or the Corporate Law Authority or the Registrar Cooperative Societies, shall solicit or invite deposits of money from the public through advertisements in the public media or by postal circulars, handbills, displays in public places or by any other means, or collect or receive any deposits of money in pursuance thereof.

***Explanation*.—**For the purposes of this section, "deposits of money" shall be deemed to include money called, invited or collected for the purpose, or declared object, of investment or borrowing in any business carried on, or proposed to be carried on, by the company, firm or person by whom or on whose behalf, such money is called, invited, collected or received irrespective of the nature of the relationship, arrangement or terms offered or provided by such company, firm or person to the person making the investment, deposits of money or payment or of the basis or understanding on which the money is so called, invited, collected or received.]

[1][**27B. Disruptive union activities.—** (1) No officer or member of a trade union in a banking company shall use any bank facilities including a car or telephone to promote trade union activities, or carry weapons into bank premises unless so authorized by the management, or carry on trade union activities during office hours, or subject bank officials to physical harassment or abuse and nor shall he be a person who is not an employee of the banking company in question.

(2) Any person violating any of the provisions of sub-section (1) shall be guilty of an offence punishable with imprisonment of either description which may extend to three years, or with fine, or with both.]

28. Restrictions on opening of new, and transfer of existing, places of business.—(1) No banking company shall open a new place of business in any part of Pakistan or change, otherwise than within the same city, town or village the location of an existing place of business situated in any part of Pakistan and no banking company incorporated in Pakistan shall open a new place of business outside Pakistan or change, otherwise than within the same city, town or village in any country or area outside Pakistan, the location of an existing place of business situated in that country or area without first obtaining the prior permission in writing of the State Bank.

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(2) Nothing in this section shall apply to the opening for a period not exceeding one month of a temporary place of business within a city, town or village or the environs thereof within which the banking company already has a place of business, for the purpose of affording banking facilities to the public on the occasion of an exhibition, a conference or a mela or any other like occasion:

Provided intimation of such opening is given to the State Bank within one week of the date of opening.

***Explanation*.**—For the purpose of this section—

(a) "place of business" includes any sub-office, pay-office, sub-pay office and any place of business at which deposits are received, cheques cashed or moneys lent;

(b) "new place of business" includes a place of business which is reopened after being temporarily closed.

[1]Ins. by Act XIV of 1997, s.8.

(3) The State Bank may, before giving the permission referred to in sub-section (1) of this section to any banking company, require to be satisfied by an inspection under section 40 or otherwise regarding such aspects of the company's affairs as the State Bank may deem necessary.

29. Maintenance of liquid assets.—(1) Every banking company shall maintain in Pakistan in cash, gold or unencumbered approved securities valued at a price not exceeding the current market price, an amount which shall not at the close of business on any day be less than twenty per cent of the total of its time and demand liabilities in Pakistan [1][:]

[1][Provided that the requirements of sub-section (1) as to the maintenance in Pakistan of cash, gold or unencumbered approved securities may from time to time, by notification in the official Gazette, be varied by the [2][Federal Government] [3][:]]

[3][Provided further that the State Bank may, from time to time, specify the types of assets mentioned in this sub-section which shall not be eligible for the maintenance of liquid assets.]

Explanation.—For the purposes of this section, "unencumbered approved securities" of a banking company shall include its approved securities lodged with another institution for an advance or any other credit arrangement to the extent to which such securities have not been drawn against or availed of.

(2) In computing the amount provided for in sub-section (1), any deposit required under [4][sub-section (2)] of section 13 to be made with the State Bank by a banking company incorporated outside Pakistan and any balances maintained in Pakistan by a banking company in current account with the State Bank or its agent or both, [5][or in profit and loss sharing term deposit account with the State Bank] including in the case of a scheduled bank the balance required to be so maintained under sub-section (1) of section 36 of the State Bank of Pakistan Act, 1956 (XXXIII of 1956), shall be deemed to be cash maintained.

(3) Every banking company shall, before the close of the month succeeding the month to which the return relates, furnish to the State Bank a monthly return in the prescribed form and manner showing particulars of the company's assets maintained in accordance with this section and its time and demand liabilities in Pakistan at the close of business on each [6][Thursday] during the month, or if any [6][Thursday] is a public holiday under the Negotiable Instruments Act, 1881 (XXVI of 1881), at the close of business on the preceding working day.

[7][(4) The cash deposited by a banking company or financial institution under sub-section (1) and by a scheduled bank under the State Bank of Pakistan Act, 1956 (XXXIII of 1956) shall be deemed to be part of the assets of the banking company but shall not be subject to any encumbrance, nor shall it be available for the discharge of any liability of the banking company or financial institution other than the order of liquidation made by the High Court under this Ordinance, nor shall the said cash deposit be available to attachments in execution of any decree or recoverable under order of any authority under any law for the time being in force, except any claim of the State Bank.]

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[1]Subs. and added by the Banking Companies (Amdt.) Act, 1965 (7 of 1965), s. 2 (w.e.f. 31-7-1965).
[2]Subs. by the Banking Companies (Amdt.) Act, 1972 (30 of 1972), s. 23 (w.e.f. 13-10-1972), for "Central Government".
[3]Subs. and added by Act No. XXIX of 2024, s.12.
[4]Subs. by Ord. 48 of 2000, s. 6.
[5]Ins. by the Banking Companies (Third Amdt.) Ordinance, 1980 (58 of 1980), s. 8.
[6]Subs. and shall be deemed to have been so, subs. by the Banking Companies (Amdt.) Ordinance, 1978 (3 of 1978), s. 3, (w.e.f. 1-7-1977), for "Friday".
[7]Added by Act No. VII of 2011, s.5.

30. Assets in Pakistan.—(1) At the close of business on any day the assets in Pakistan of every banking company shall not be less in value than an amount representing such percentage of its time and demand liabilities in Pakistan as may be [1][specified] by the State Bank from time to time provided that the percentage so [1][specified] shall not exceed eighty five per cent.

(2) Every banking company shall, before the close of the month succeeding that to which the return relates, furnish to the State Bank, in the prescribed form and manner a monthly return showing particulars of the company's assets maintained in accordance with this section and its time and demand liabilities in Pakistan at the close of business on every [2][Thursday] or if any [2][Thursday] is a public holiday under the Negotiable Instruments Act, 1881 (XXVI of 1881), at the close of business, on the preceding working day.

(3) For the purposes of this section—

(a) "assets in Pakistan" shall be deemed to include export bills drawn in, and import bills drawn on and payable in, Pakistan and expressed in such currencies as the State Bank may from time to time approve in this behalf and also such securities as the State Bank may approve in this behalf notwithstanding that all or any of the said bills or securities are held outside Pakistan, but shall exclude such assets as in the opinion of the State Bank cannot properly be regarded as assets;

(b) "liabilities in Pakistan" shall not include the paid-up capital or the reserves or any credit balance in the profit and loss account of the banking company.

[3][**31. Unclaimed deposits and articles of value.—** (1) Where—

(a) a debt payable in Pakistan currency [4][or any other currency] is [1][owed] by a banking company by reason of a deposit, not being a deposit in the name of a minor or a Government or a court of law, at a branch of the banking company [4]* * in respect of which no transaction has taken place and no statement of account has been requested or acknowledged by the creditor during a period of [1][fifteen] years reckoned—

(i) in the case of a deposit made for a fixed period, from the day on which the fixed period terminated, and

(ii) in the case of any other deposit, from the day on which the last transaction took place or a statement of account was last requested or acknowledged by the creditor, whichever is later; or

(b) a dividend, bonus, profit or other sum of money whatsoever which has become due on a deposit and remained unpaid or unacknowledged by the creditor for period of [1][fifteen] years reckoned from the date on which the dividend, bonus, profit or other sum of money, as the case may be, became due and payable; or

[1]Subs. by Act No. XXIX of 2024, ss.13-14.
[2]Subs. and shall be deemed to have been so, subs. by the Banking Companies (Amdt.) Ordinance, 1978 (3 of 1978), s. 3, (w.e.f. 1-7-1977), for "Friday".
[3]Subs. by the Banking Companies (Amdt.) Act, 1972 (30 of 1972), s. 11 (w.e.f. 13-10-1972), for the original section 31.
[4]Ins. & Omitted by Ord. CXI of 2002, s. 5.

(c) a cheque, draft or bill of exchange including an instrument drawn by one branch of the banking company upon another such branch payable in Pakistan currency [1][or any other currency] has been issued, certified or accepted by a banking company at a branch of the banking company [1][* *] and no payment has been made in respect thereof for a period of [2][fifteen] years from the date of issue, certification or acceptance; [2][*]

[2][the banking company shall give forthwith a three months' notice in writing by registered post acknowledgement due to the creditor or the beneficiary of the cheque, draft or bill of exchange on his address last made known by him to the banking company, and if on the expiry of the three months' period no acknowledgement or reply is received from the addressee, the banking company shall pay to the State Bank an amount equal to the amount, owing by the banking company in respect of the debt or to the amount that would be owing if the instrument had been presented for payment, including profit, if any, and payment accordingly shall discharge the banking company from all liabilities in respect of the debt or instrument, as the case may be.]

(2) A notice required to be given [2][under] sub-section (1)—

(a) may, in the case of a firm or a Hindu undivided family, be addressed to any member of the firm or the manager or any adult male member of the family and, in the case of any other association of persons, to the principal officer thereof;

(b) may be given to a duly authorised agent of the person to whom it is required to be given or, where he has died, to his legal representative or where he has been declared an insolvent, to his assignee, provided the banking company has had notice of appointment of the agent or of the death or insolvency of the person to whom it is required to be given;

(c) shall, in the case of joint creditor or more than one beneficiaries of a cheque, draft or bill of exchange [2][* * *] be deemed to be sufficient notice to all such persons if given to any one of them; and

(d) shall, notwithstanding the fact that it is miscarried or the addressee is dead or insane or has become insolvent or the envelope [2][* *] is returned with the postal endorsement "addressee is untraceable" or any other like endorsement, be deemed to have been served on the fifteenth day following the day on which the envelope [2][* *] in which it is contained is posted, if it is properly addressed, prepaid and posted, provided the banking company has had no notice of the death, insanity or insolvency of the person to whom it is required to be given.

(3) A certificate in writing under the signature of an employee of the banking company whose duty it is to address, prepay and post letters on behalf of the banking company to the effect that the envelope [2][* *] containing a notice required to be given by sub-section (1) was addressed, prepaid and posted shall be conclusive evidence of its having been so addressed, prepaid and posted.

[1]Ins. & Omitted by Ord. CXI of 2002, s. 5.
[2]Subs. and omitted by Act No. XXIX of 2024, s.14.

(4) As soon as an amount is paid by a banking company to the State Bank under sub-section (1), it shall cease to bear interest [1][or rank for a share of profit or loss] notwithstanding anything to the contrary contained in the terms of the debt or instrument or any law for the time being in force.

(5) Where any banking company has paid an amount [2][* * *] to the State Bank under sub-section (1), the banking company shall preserve and continue to preserve all signature cards and signing authorities and other documents relating to the debt or instrument [2][* *], as the case may be, until it is informed by the State Bank in writing that they need not be preserved any longer.

(6) Nothing in the Limitation Act, 1908 (IX of 1908), or in any other law for the time being in force shall affect the liability of a banking company toward the State Bank under sub-section (1).

[2][(7) Every banking company shall, within thirty days after the close of each calendar year, submit to the State Bank a return in the specified form and manner of all unclaimed amounts remaining unpaid in the books of the banking company, after the expiry of fifteen years as reckoned under sub-section (1).]

[2][(8) The State Bank shall place on its website a list of the amounts received by it under sub-section (1) and not claimed by any person:

Provided that public attention shall be drawn towards the list of amounts so placed on the website through public notices in not less than two newspapers and media channels once each quarter.]

[2][(9) Any banking company which has paid any amount to the State Bank in accordance with sub-section (1) may, within thirty days from the date of such payment, submit to the State Bank its claim as regards lien, counter-claim or right of set-off in relation to the amount so paid.]

(10) Any person who claims to be entitled to any money [2][* *] paid [2][* *] to the State Bank under sub-section (1) may submit his claim to the State Bank [2][through the concerned banking company as per the procedure laid down by the State Bank from time to time shall be added].

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[2][(11) Subject to sub-sections (9), and (14), the State Bank may pass such order on a claim submitted to it under sub-section (9) or sub-section (10) as it may deem fit after satisfying itself as to the genuineness of the claim, and where the State Bank makes any payment to any person submitting a claim under sub-section (10), a receipt given by him shall be a final discharge to the State Bank.]

(12) [2][* * * * * * *]

[2][(13) Subject to sub-sections (9), and (14), any amount paid to the State Bank under sub-section (1) shall remain in the custody of the State Bank.]

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[1]Ins. by the Banking Companies (Third Amdt.) Ordinance, 1980 (58 of 1980), s. 9.
[2]Omitted, subs. and added by Act No. XXIX of 2024, s.14.

[1][(14) Notwithstanding anything contained in sub-section (1) about the giving of a notice by a banking company to any creditor or beneficiary of any cheque, draft or bill of exchange, or in sub-section (8) about the placement by the State Bank of the list of unclaimed amounts, the procedure to be followed and the manner of disposal of debts and instruments in a case where the person concerned is not for the time being residing in Pakistan shall be such as may be determined by the State Bank from time to time.]

(15) Any decision of the State Bank under sub-section (11) about the acceptance, satisfaction or otherwise of the lien right of set-off or counter-claim of a banking company or, as the case may be, the entitlement of any person to any money [1][* *] received by the State Bank under sub-section (1) shall be final and shall not, except as provided in sub-section (16), be called in question in any manner by or before any court, tribunal or other authority.

[1][(15A) Where any security, share, goods, currency or any other valuable article (hereinafter collectively called article) lying in safe custody of or in a customer's locker with a banking company has been transferred to the vault of the banking company by reason of the customer having failed to pay the rent or fee in accordance with the agreement between the parties or otherwise in accordance with the instructions issued by the State Bank, details of such articles shall be submitted to the State Bank in the manner as specified by the State Bank. The banking company shall publish factum of the same on its website in the manner as specified by the State Bank.

(15B) With the prior written permission of the State Bank, a banking company may close suspended, blocked or frozen accounts of designated or proscribed individuals and/or entities. In the event the State Bank authorizes such closure, the banking company shall transfer the deposits, if any, to the credit of such suspended, blocked or frozen accounts to the State Bank.]

(16) Any person aggrieved by a decision of the State Bank under sub-section (11) may, within one month from the date of the decision, prefer an appeal to such officer of the State Bank superior in rank to the officer by whom the decision appealed against was given as may be authorised in this behalf by the Governor of the State Bank.

(17) For the purpose of adjudicating and determining any claim under sub-section (9) or sub-section (10) or deciding any appeal under sub-section (16) the State Bank shall follow such procedure as may be prescribed and shall have the same powers as are vested in a court under the Code of Civil Procedure, 1908 (Act V of 1908), when trying a suit in respect of the following matters, namely:—

(a) enforcing the attendance of any person and examining him on oath;

(b) compelling the production of documents and materials objects; and

(c) issuing commissions for the examination of witnesses.

(18) Any proceeding before the State Bank under this section shall be deemed to be a "judicial proceeding" within the meaning of section 228 of the Pakistan Penal Code (Act XLV of 1860), and the State Bank shall, for the purposes of any such proceeding, be deemed to be a "Civil Court" within the meaning of section 480 of the Code of Criminal Procedure, 1898(Act V of 1898).

[1]Subs., omitted and ins. by Act No. XXIX of 2024, s.14.

(19) No court fee shall be payable for filing, exhibiting or recording any document in, or obtaining any document form, the State Bank in any proceeding under this section.]

32. Half-yearly returns and power to call for other returns and information.—(1) Every banking company shall, before the close of the month succeeding the half-year to which the return relates submit to the State Bank a half-yearly return in the prescribed form and manner showing its assets and liabilities in Pakistan as they stood at the close of business on the thirtieth day of June in the first half and the thirty-first day of December, in the second half of the year.

(2) The State Bank may, at any time, by notice in writing, require banking companies generally, or any banking company in particular to furnish it within the time specified therein or such further time as the State Bank may allow, with any statement or information relating to the business or affairs of such banking company or companies (including any business or affairs with which such banking company or companies is or are concerned) and, without prejudice to the generality of the foregoing power, may call for information, at such intervals as the State Bank may deem necessary, regarding the investment of banking companies and the classification of their advances in respect of industry, commerce and agriculture.

33. Power to publish information.— [1][(1)] The State Bank, if it considers it in the public interest so to do, may publish any information obtained by it under this Ordinance in such consolidated form as it thinks fit.

[1][(2) The State Bank may publish any information regarding its enforcement actions including warning, penalty, order of removal, or any other action against a banking company or a director, chief executive or any other officer of a banking company, if deemed necessary for the interest of the banking company or its depositors, public interest or the prevention of the use of the financial system for any illegal activity including money laundering or financing of terrorism.]

[2][**33A. Fidelity and secrecy.—** (1) Subject to sub-section (4), every bank and financial institution shall, except as otherwise required by law, observe the practices and usage customary among bankers and, in particular, shall not divulge any information relating to the affairs of its customers except in circumstances in which it is, in accordance with law, practice and usage customary among bankers, necessary or appropriate for a bank to divulge such information.

(2) Every president, chairman, member of the Board, administrator, auditor, adviser, officer or other employee of any bank and financial institution shall, before entering upon his office, make a declaration of fidelity and secrecy in such form as may be prescribed.

(3) Notwithstanding anything contained in sub-section (1) and (2), every balance sheet and profit and loss account statement prepared by a bank and financial institution shall include statements prepared in such form and manner as the State Bank may specify in respect of written off loans or any other financial relief of five hundred thousand rupees or above allowed to a person as well as the provision, if any, made for bad or doubtful debts.

(4) The State Bank of Pakistan may, if satisfied that it is necessary so to do at the time of holding general elections under any law relating thereto, publish a list of persons to whom any loans, advances or credits were extended by a bank or financial institution, either in their own names or in the names of their spouses or dependents or of their business concerns (if mainly

[1]Renumbered and added by Act No. XXIX of 2024, s.15.
[2]Ins. by Act No. XIV of 1997, s.9.

owned and managed by them) which were due and payable and had not been paid back for more than one year from the due date, or whose loans were unjustifiably written off in violation of banking practices, rules or regulations on or after such date as may be determined by the Government:

Provided that before publishing the name of any person in any such list he shall be given prior notice and, if he so requests, an opportunity of hearing.

33B. Guidelines by the State Bank.—The State Bank may at any time either on the request of any one or more banking companies or the Federal Government or *sue motu,* lay down general guidelines for facilitating recovery of bad or doubtful loans, advances or finance by giving incentives to borrowers or customers to make repayments within a specified time frame by making adjustments or remissions in relation to interest or mark-up or part of the principal amount in cases in which all full recovery is not possible by reason of inadequacy of security or as part of a general scheme for the rehabilitation of sick units.]

34. Accounts and balance-sheet.—(1) At the expiration of each calendar year every banking company incorporated in Pakistan, in respect of all business transacted by it, and every banking company incorporated outside Pakistan, in respect of all business transacted through its branches in Pakistan, shall prepare with reference to that year a balance sheet and profit and loss account as on the last working day of the year in the forms set out in the Second Schedule or as near thereto as circumstances admit.

(2) The balance sheet and profit and loss account shall be signed:—

(a) in the case of a banking company incorporated in Pakistan, by the manager or the principal officer of the company and where there are more than three directors of the company, by at least three of those directors, or where there are not more than three directors, by all the directors, and

(b) in the case of a banking company incorporated outside Pakistan by the manager or agent of the principal office of the company in Pakistan and by another officer next in seniority to the manager or agent.

(3) Notwithstanding that the balance sheet of a banking company is under sub-section (1) required to be prepared in a form other than [1][the Companies Act, 2017 (XIX of 2017)], the requirements of that Act relating to the balance sheet and profit and loss account of a company shall, in so far as they are not inconsistent with this Ordinance, apply to the balance-sheet or profit and loss account, as the case may be, of a banking company.

[2][(4) The State Bank may, after giving not less than fifteen days notice [1][by posting on its website] of its intention so to do, from time to time by a [1][circular], amend the forms set out in the Second Schedule.]

[3][**35. Audit.—**(1) The balance sheet and profit and loss account prepared in accordance with section 34 shall be audited by a person who is duly qualified, under the Chartered Accountants Ordinance, 1961 (X of 1961), or any other law for the time being in force, to be an auditor of companies and is borne on the panel of auditors maintained by the State Bank for the purposes of audit of banking companies [4][.The State Bank shall classify the panel of auditors, so maintained, in different categories for different banking companies keeping in view the scope and size of such banking companies.]

[1]Subs., and added by Act No. XXIX of 2024, s.16.
[2]Subs. by the Banking Companies (Third Amdt.) Ordinance, 1980 (58 of 1980), s. 10, for sub-section (4).
[3]Subs. by the Banking Companies (Amdt.) Act, 1972 (30 of 1972), s. 12 (w.e.f. 13-10-1972), for the original section 35.
[4]Ins. by Finance Act, 2007 (Act No. IV of 2007), s.4, (w.e.f. 01-07-2007).

(2) An auditor shall hold office for a period of three years and shall not be removed from office before the expiry of that period except with the prior approval of the State Bank.

[1][(3) If the State Bank is not satisfied with the performance of the auditor of a banking company or the auditor has not fulfilled any of the requirements laid down in this section the State Bank after giving the auditor an opportunity of being heard, may—

(a) revoke the appointment of external auditors of the banking company;

(b) downgrade the category of the auditor in the panel of the auditors; and

(c) remove the auditor from the panel of the auditors for a maximum period of five years.

(4) The auditors shall report all the matters of material significance to State Bank and reporting of such information and material shall not constitute breach of confidentiality under any law for the time being in force.]

[2][(5)] The State Bank may, from time to time, lay down guidelines for the audit of banking companies and the auditors shall be bound to follow those guidelines.

[2][(6)] Subject to the provisions of sub-section (3), the auditor shall have the powers of, exercise the functions vested in, and discharge the duties and be subject to the liabilities and penalties imposed on, auditors, of companies by section 145 of the Companies Act, 1913 (VII of 1913).

[2][(7)] In addition to the matters which, under the aforesaid Act and the guidelines laid down by the State Bank under sub-section (3), the auditor is required to state in his report, he shall also state—

(a) whether or not the information and explanations required by him have been found to be satisfactory;

(b) whether or not the transactions of the banking company which have come to his notice have been with in the powers of the banking company;

(c) whether or not the returns received from branch offices of the banking company have been found adequate for the purposes of his audit;

(d) whether the profit and loss account shows a true balance of profit and loss for the period covered by such account; and

(e) any other matter which he considers should be brought to the notice of the shareholders of the banking company.]

[3]**[36. Submission of returns**. The accounts and balance-sheet referred to in section 34 together with the auditor's report as passed in the Annual General Meeting shall be published in the manner specified by the State Bank, and three copies thereof shall be furnished as returns to the State Bank within three months of the close of the period to which they relate:

[1]Ins. by Finance Act, 2007 (Act No. IV of 2007), s.4, (w.e.f. 01-07-2007).
[2]Re-numbered *ibid.*
[3]Subs. by Act No. XXIX of 2024, s.17.

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Provided that the State Bank may in special circumstances either of its own motion or on the application of a banking company, extend the said period of three months for the furnishing of such returns by such further period as it deems appropriate, so however that the total period of each extension shall not exceed one year.]

37. Copies of Balance Sheets and Accounts to be sent to Registrar. Where a banking company in any year furnishes its balance-sheet and accounts in accordance with the provisions of section 36 it may, or when it is a private company, shall, at the same time send to the registrar three copies of such balance-sheet and accounts and of the auditor's report, and where such copies are so sent, it shall not be necessary for the company, to file copies of the balance sheet and accounts with the registrar as required by sub-section (1) of section 134 of the [1][Companies Ordinance, 1984 (XLVII of 1984)], and such copies so sent shall be chargeable with the same fees and shall be dealt with in all respects as if they were filed in accordance with that section.

38. Display of audited balance sheet by banking companies incorporated outside Pakistan. Every banking company incorporated outside Pakistan shall, not later than the first Monday in August of any year in which it carries on business, display in a conspicuous place in its principal office and in every branch office in Pakistan, a copy of its last audited balance sheet and profit and loss account prepared under section 34 and shall keep it so displayed until replaced by a copy of the subsequent balance sheet and profit and loss account so prepared and every such banking company shall in addition display in like manner copies of its complete audited balance sheet and profit and loss account relating to its banking business as soon as they are available and shall keep the copies so displayed until copies of such subsequent accounts are available.

39. Accounting provisions of this Ordinance not retrospective. Nothing in this Ordinance shall apply to the preparation of accounts by a banking company and the audit and submission thereof in respect of any accounting year which has expired prior to the commencement of this Ordinance, and notwithstanding the other provision of this Ordinance such accounts shall be prepared, audited and submitted in accordance with the law in force immediately before the commencement of this Ordinance.

[2][Part-IIA

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Islamic Banking

39A. Scope and application.– Save as expressly provided in this part, the provisions hereof shall apply to all Islamic banking institutions as defined hereunder in clause (a) of section 39B and wherever applicable to Islamic financial institutions as defined in clause (h) of section 39B and shall have effect notwithstanding anything contained to the contrary in the Ordinance or in any other law for the time being in force. All the provisions of this Ordinance except sub-sections (1), (2), (3) and (4) of section 26A shall be applicable to Islamic banking institutions unless repugnant to *Shariah.*

39B. Definitions.– The terms defined herein would only be applicable for this part and notwithstanding anything contained to the contrary in this Ordinance, the following defined terms will have the meaning assigned to them under this part:–

(a) "Islamic banking institution" means:

[1]Subs. by Finance Act, 2007 (Act No. IV of 2007), s.4, (w.e.f. 01-07-2007).
[2]Ins. by Act No. XXIX of 2024, s.18.

(i) a full-fledged Islamic banking company, where its entire business and operations are in accordance wit the Principles of *Shariah* (as defined herein below) and is licensed by the State Bank for this purpose;

(ii) an Islamic banking subsidiary of a banking company, where the entire business and operations of this subsidiary are in accordance with the Principles of *Shariah* and is licensed by the State Bank for this purpose; or

(iii) dedicated Islamic banking branch or branches of a banking company, where the entire business and operations of the branch or branches are in accordance with the Principles of *Shariah* and is licensed by the State Bank for this purpose.

(b) "Islamic Deposit Account" means an account in which a sum of money is accepted by an Islamic banking institution as per related agreed terms and conditions, consistent with applicable regulations of the State Bank;

(c) "Islamic Deposit Account Holder" means a person having Islamic deposit account at an Islamic banking institution;

(d) "Investment Account" means an account in which a sum of money is accepted by an Islamic banking institution in accordance with the Principles of *Shariah* and shall be payable by the Islamic banking institution as per related agreed terms and conditions. It includes following categories of accounts:

(i) "Unrestricted Investment Account" means an account in which a sum of money is accepted in accordance with the Principles of *Shariah* on a profit and loss sharing basis and which shall be managed or invested at the absolute discretion of the Islamic banking institution in accordance with the Principles of *Shariah*.

(ii) "Restricted Investment Account" means an account in which a sum of money is accepted in accordance with the Principles of *Shariah* and which shall be managed or invested on the basis of an agreement on a specific investment mandate between the Islamic banking institution and the investment account holder, in accordance with the Principles of *Shariah.*

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(e) "Investment Account Holder" means a person having an investment account at an Islamic banking institution;

(f) "Ordinance" means Banking Companies Ordinance, 1962 (LVII of 1962);

(g) "*Shariah*" means the injunctions of Islam as laid down in the Holy Quran and Sunnah;

(h) "Islamic financial institution" means the financial institutions covered in section 3A and permitted by the State Bank to conduct their business and operations in accordance with Principles of *Shariah*;

(i) "Principles of *Shariah*" mean the following principles governing Islamic banking and finance:

(i) prohibition of all forms of Riba and Usury;

(ii) prohibition of transactions featuring excessive uncertainty (Gharar) and prohibition of gambling (Maysir and Qiniar);

(iii) adherence to all *Shariah* requirements related to specific relationships, arrangements and transactions;

(iv) facilitation of a sustainable economic system, risk and reward sharing, and social justice;

(v) avoidance of injustice, exploitation, hoarding, fraud, deception and activities that are deemed harmful to society.

39C. Business.– Islamic banking institutions shall undertake business and operations consistent with the Principles of *Shariah* and these shall include:

(a) Accepting Islamic Deposit Accounts on modes, based on the Principles of *Shariah*, as specified by the State Bank.

(b) Accepting Restricted and Unrestricted Investment Accounts on modes, based on the Principles of *Shariah*, as specified by the State Bank.

(c) Doing such businesses as are prescribed in section 7 of this Ordinance subject to conformity with the Principles of *Shariah*, as specified by the State Bank.

39D. Relationship between an Islamic banking institution or Islamic financial institution and its customers.– The relationship between an Islamic banking institution or Islamic financial institution and its customers with regard to any transactions or arrangements that are in conformity with the Principles of *Shariah* shall be determined in accordance with the contractual terms governing such transactions or arrangements.

39E. *Shariah* Governance.– (1) *Shariah* governance shall refer to the set of institutional and organizational arrangements at an Islamic banking institution or Islamic financial institution through which effective independent oversight of compliance with the Principles of *Shariah* over each of the undertaken activities, structures and processes is ensured as per the State Bank's regulations, directives, instructions, notifications, circulars and guidelines.

(2) Ensuring an effective *Shariah* governance framework shall be one of the key responsibilities of the Board of Directors of the Islamic banking institution or Islamic financial institution

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(3) An Islamic banking institution or Islamic financial institution shall—

(a) Comply with all *Shariah* regulatory standards and requirements concerning their operations as specified in the State Bank's regulations, directives, instructions. notifications, circulars and guidelines.

(b) Comply with any requirements related to *Shariah* governance framework as specified in the State Bank's regulations, directives, instructions, notifications, circulars and guidelines.

(4) A banking company undertaking business and operations through dedicated Islamic banking branches after getting a separate license shall have policies, internal systems, procedures, and controls as per the State Bank's regulations, directives, instractions, notifications, circulars and guidelines to ensure that:–

(a) all the transactions, arrangements and dealings of the Islamic banking branches are in accordance with the Principles of *Shariah*;

(b) banking business and operations of dedicated branches are property segregated; and

(c) the banking company provides adequate disclosures in this regard.

39F. Priority of payments to Islamic deposit account holders, investment account holders and other claimants.— In case of the liquidation of an Islamic banking institution or Islamic financial institution, the State Bank shall prepare a scheme, consistent with the Principles of *Shariah*, for making of payments to the Islamic deposit account holders, investment account holders and other claimants.

39G. Charity.— (1) Where the Islamic banking institution or Islamic financial institution, in compliance with the State Bank's regulations, directives, instructions, notifications, circulars and guidelines on charity policy, determines that any portion of the income earned by an Islamic banking institution or Islamic financial institution is not in conformity with the Principles of *Shariah*, and where late payment by the customer is charged with a penalty, . Islamic banking institution or Islamic financial institution shall credit such amounts as notified by the State Bank. into a charity fund. The charity fund shall be maintained and utilized in such a manner as specified by the State Bank from time to time.

(2) In cases where the State Bank has determined that any income earned by an Islamic banking institution or Islamic financial institution is not in conformity with the Principles of *Shariah*, it shall direct the institution concerned to credit such income into the charity fund as specified by the State Bank.

39H. Separate Regulatory Instructions.— The State Bank shall specify regulations, directives, instructions, notifications, circulars and guidelines for Islamic banking institutions or Islamic financial institutions, including but not limited to definitions of Islamic modes and concepts of Islamic banking and finance, types of Islamic deposit accounts and investment accounts, certificates of investment, profit & loss distribution and pool management, and any other area as may be deemed necessary by it.

39I. Conversion and Establishment of Islamic Banking Subsidiary.— (1) A banking company may convert its one or more branches or entire business and operations into an Islamic banking institution.

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(2) A banking company shall establish an Islamic banking subsidiary or shall convert it into a full-fledged Islamic bank if:

(a) its Islamic banking branches exceeds 50% of the number of the total branches; or

(b) the share of its Islamic banking assets exceeds 50% of its total assets; or

(c) the capital attributable to its Islamic banking branches operations reaches the minimum required capital specified by the State Bank for an Islamic banking subsidiary.

(3) The State Bank may issue regulations, directives, instructions, notifications, circulars, or guidelines, as the case may be, under this section from time to time.

39J. Penalties.— The State Bank shall impose separate penalties on Islamic banking institutions and Islamic financial institutions, specifically with reference to non-compliance with the Principles of *Shariah*. Further, the State Bank may take penal action against members of Board of

Directors, management, and personnel of other organs of governance, including *Shariah* governance, for violation of their fiduciary duties and other obligations.

39K. Other provisions relating to Islamic banking.– (1) The provisions of this part shall be in addition to the other provisions of the Ordinance relating to Islamic banking and shall be read accordingly.

(2) Except for the sub-sections (1), (2), (3) and (4) of section 26A, all other provisions of this Ordinance mentioning the term "deposits" of conventional banks shall also be construed to cover "Islamic deposit accounts" and "investment accounts" of Islamic banking institutions.

(3) All provisions of this Ordinance mentioning the term "depositors" of conventional banks shall, also be construed to cover the "Islamic deposit account holders" and "investment account holders" of Islamic banking institutions.

39L. Savings.– Any regulations, directives, instructions, notifications, circulars, guidelines or any act or thing done by the State Bank in relation to banking business which is based on *Shariah* before the coming into force of this part shall be deemed to have been validly issued or done under the Ordinance.]

[1][Part-IIB

Supervision]

40. Inspection.— (1) Notwithstanding anything to the contrary contained in section 138 of the [2][Companies Ordinance, 1984 (XLVII of 1984)], the State Bank may, at any time, and, on being directed so to do by the [3][Federal Government], shall, inspect any banking company and its books and accounts.

(2) The inspection shall be carried out by such officer of the State Bank as the State Bank may direct.

(3) The State Bank shall supply to the banking company a copy of its report on the inspection made under this section.

(4) It shall be the duty of every director or other officer of the banking company [4][or any company or firm or person referred to in section 27A] to produce to any officer, hereafter in this section called the inspecting officer, making an inspection under this section, all such books, accounts and other documents in his custody or power and to furnish him with such statements and information relating to the affairs of the banking company [4][or any company or firm or person referred to in section 27A] and within such time as the inspecting officer may require.

(5) The inspecting officer may examine on oath any director or other officer of the banking company in relation to its business and may administer an oath accordingly.

[5][(6) The State Bank shall, if it has been directed by the Federal Government to make an inspection, and, in any other case, may, submit a report to the Federal Government on any inspection made under this section.]

(7) [5][* * * * * * *]

[1]Ins. by Act No. XXIX of 2024, s. 19.
[2]Subs. by Finance Act, 2007 (Act No. IV of 2007), s.4, (w.e.f. 01-07-2007).
[3]Subs. by the Banking Companies (Amdt.) Act, 1972 (30 of 1972), s. 23 (w.e.f. 13-10-1972), for "Central Government".
[4]Ins. by the Finance Act, 1990 (7 of 1990), s. 4A.
[5]Subs. and Omitted by Act XIV of 1997, s.10.

[1][**40A. Responsibility of State Bank**—(1) Without prejudice to the powers conferred on the State Bank under Section 40 and notwithstanding anything contained therein, it shall be the responsibility and duty of the State Bank to systematically monitor the performance of every banking company so as to ensure that it is complying with the applicable statutory criteria and banking rules and regulations.

(2) In every case in which the management of a banking company is failing to discharge its responsibility in accordance with the applicable statutory criteria and banking rules or regulations, or is failing to protect the interests of depositors, or is advancing loans or finances without due regard for the best interests of the banking company or for reasons other than the merits, it shall be the duty of the State Bank, in addition to taking such remedial steps as may be required in accordance with law, to report the shortcomings and violations on the part of the banking company's management to the Federal Government every quarter, or more frequently, if so deemed necessary, so as to prevent any grave or irreparable loss from being caused to the banking company or its depositors, along with its recommendations and the action, if any, taken by it.]

41. Power of the State Bank to give directions.—(1) Where the State Bank is satisfied that—

(a) in the public interest; or

(b) to prevent the affairs of any banking company being conducted in a manner detrimental to the interests of the depositors or in a manner prejudicial to the interests of the banking company; or

(c) to secure the proper management of any banking company generally;

it is necessary to issue directions to banking companies generally or to any banking company in particular, it may, from time to time, issue such directions as it deems fit, and the banking companies or the banking company, as the case may be, shall be bound to comply with such directions.

[2][(2) The State Bank may, from time to time, issue [3][orders, regulations, directions, guidelines, instructions, notifications, and circulars or impose any condition] with respect to activities and operations of banks and the institutions mentioned in section 3A as may be deemed necessary by it for carrying out purposes of this Ordinance and matters ancillary thereto.]

[2][(3)] The State Bank may, on representation made to it or on its own motion, modify or cancel any direction issued under sub-section (1), and in so modifying or cancelling any direction may impose such conditions as it thinks fit, subject to which the modification or cancellation shall have effect.

[3][(4)(a) The State Bank may direct any banking company or class of banking companies to—

(i) submit a recovery plan, where applicable on a group-wide basis, in the form, content and mamber as directed by the State Bank, outlining the actions designed to run the banking company as a going concern and

[1]Ins. by Act No. XIV of 1997, s.11.
[2]Ins. and Re-numbered by Act IV of 07, s. 4 (w.e.f. 1-7-07).
[3]Subs. and ins. by Act No. XXIX of 2024, s.20.

return to business as usual, under such scenarios as identified by the banking company or specified by the State Bank from time to time;

(ii) remove any impediments to the implementation of the plan and make revisions in the recovery plan; and

(iii) revise and update its recovery plan regularly or in case of any material charges in the circumstances of the banking company or as the State Bank deems necessary.

(b) The banking company shall notify the State Bank immediately on any event that may necessitate the implementation of its recovery plan.

(c) The recovery plan shall not prejudice the powers conferred on the State Bank to take other measures provided under this Ordinance.]

[1][**41A. Power of the State Bank to remove directors or other managerial persons from office.**— (1) where the State Bank is satisfied that—

(a) the association of any chairman or director or chief executive (by whatever name called) or other officer of a banking company, not being lower in rank than a branch manager, is or is likely to be detrimental to the interests of the banking company or its depositors or otherwise undesirable; or

(b) in the public interest; or

(c) to prevent the affairs of a banking company being conducted in a manner detrimental to the interest of its depositors or in a manner prejudicial to the interests of the banking company; or

(d) to secure the proper management of any banking company;

it is necessary so to do, the State Bank may, for reasons to be recorded in writing, by order, remove [2][suspend or debar] from office, with effect from such date as may be specified in the order, any chairman or director or chief executive (by whatever name called) or other officer of the banking company.

(2) No order under sub-section (1) shall be made unless the chairman or director or chief executive or other officer has been given a reasonable opportunity of making a representation to the State Bank against the proposed order:

Provided that if, in the opinion of the State Bank, any delay would be detrimental to the public interest or the interests of the banking company or its depositors, the State Bank may, at the time of giving the opportunity aforesaid or at any time thereafter and pending the consideration of the representation aforesaid, if any, by order direct that—

(i) the chairman or, as the case may be director or chief executive or other officer shall not, with effect from the date of the order,—

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[1]Ss. 41A, 41B and 41C ins. by the Banking Companies (Amdt.) Act, 1972 (30 of 1972), s. 13 (w.e.f. 13-10-1972).
[2]Ins. by Act No. XXIX of 2024, s. 21.

(a) act as such chairman or director or chief executive or other officer of the banking company; or

(b) in any way, whether directly or indirectly, be concerned with, or take part in the management of the banking company;

(ii) and any person authorised by the State Bank in this behalf shall act as such chairman or director or chief executive of the banking company.

(3) Where any order under sub-section (1) is made in respect of a chairman or director or chief executive or other officer of a banking company, he shall cease to be a chairman or, as the case may be, a director or chief executive or other officer of the banking company and shall not in any way, whether directly or indirectly, be concerned with, or take part in, the management of the banking company or any other banking company for such period not exceeding three years as may be specified in the order [1][or for such extended period as may be specified by the Governor, State Bank of Pakistan].

(4) Any person appointed as chairman or director or chief executive under sub-section (2) shall—

(a) hold office during the pleasure of the State Bank subject to such conditions as may be specified in the order of his appointment and, subject thereto, for such period, not exceeding three [1][years] as the State Bank may specify [2][or for such extended period as may be specified by the Governor, State Bank of Pakistan]; and

(b) not incur any obligation or liability for anything which is done or intended to be done in his capacity as such chairman or director or chief executive.

(5) No person removed from office under sub-section (1) shall be entitled to claim any compensation for the loss or termination of office.

41B. Power of the State Bank to supersede Board of Directors of banking company.—(1) Where the State Bank is satisfied that—

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(a) the association of the Board of Directors (by whatever name called) of a banking company is or is likely to be detrimental to the interests of the banking company or its depositors or otherwise undesirable; or

(b) for all any of the reasons mentioned in sub-section (1) of section 41A;

it is necessary so to do, the State Bank may, for reasons to be recorded in writing, by order, supersede the Board of Directors of a banking company with effect from such date and for such period as may be specified in the order.

(2) The period of supersession specified in an order under sub-section (1) may from time to time be extended by the State Bank so, however, that the total period of supersession does not exceed [1][three] years [2][or for such extended period as may be specified by the Governor, State Bank of Pakistan].

[1]Subs. by Act No. XIV of 1997, ss. 12-13.
[2]Ins. by Ord. CXI of 02, s. 6-7

(3) All powers and duties of the Board of Directors shall, during the period of super session, be exercised and performed by such person as the State Bank may from time to time appoint in this behalf.

(4) The provisions of sub-sections (2), (3), (4) and (5) of section 41A shall, with the necessary modifications, apply to an order made under sub-section (1) or sub-section (3).

[1][**41C. Limitations**.– (1) No decision or order under section 41A, section 41B, clause (q) of sub-section (2) of section 42, clause (i) and (iv) of sub-section(1) of section 42C, section 42D, and sub-section (1) of section 42E shall be made except by the Executive Committee. Provided that an order under section 41A, section 41B, clause (q) of sub-section (2) of section 42 and section 42D shall be made by the Executive Committee on a report by the standing committee set up by the State Bank for the purpose. All orders on decisions of the Executive Committee under this sub-section shall be signed by the Chairman of the Executive Committee.

(2) Any person or banking company aggrieved by any decision or order of the Executive Committee under sub-section (1) may make an appeal to the Board of Directors of the State Bank whose decision shall be final.

(3) No action taken under sections 41A, 41B, sub-section (2) or part II-C shall be called in question by or before any court, tribunal or other authority.]

[2][**41D. Prosecution of directors, chief executives or other officers.** Notwithstanding anything contained in section 41A [1][and clause (a) of sub-section (1) of section 42E], the State Bank may direct prosecution of a director or chief executive by whatever name called or other officer who, in its opinion, has knowingly acted in a manner causing loss of depositor's money or of the income of the banking company.

***Explanation*:-** For the purpose of this section a director or chief executive or other officer shall be deemed to have acted knowingly if he has departed from established banking practices and procedures or circumvented the regulations or related credit restrictions laid down by the State Bank of Pakistan from time to time.]

[1][**42. Intervention triggers and powers of the State Bank.**– (1) The State Bank may exercise any one or more of the powers under sub-section (2) of this section, if it is satisfied that any of the circumstances exist under which–

(a) a banking company–

(i) has engaged any director, chief executive, by whatever name called, or an officer of a banking company who is or is likely to be detrimental to the interest of the banking company or its depositors or otherwise undesirable;

(ii) is carrying on its business in a manner detrimental to the interests of its depositors, creditors or other stakeholders;

(iii) has contravened any provisions or any restrictions or conditions imposed on its license;

[1]Subs., and ins. by Act No. XXIX of 2024, ss. 22-24.
[2]Ins. by Act XIV of 1997, s.14.

(iv) has contravened or circumvented any provision of section 41 or any other provision of this Ordinance, or defaulted in complying with any requirement of this Ordinance or of any order, rule, direction or notification made or condition imposed thereunder;

(v) in any return, balance-sheet or other document or in any information required or furnished by or under or for the purposes of any provision of this Ordinance, makes a statement which is false in any material particular, or omits to make a material statement;

(vi) has failed or is likely to fail to meet capital adequacy or Minimum capital requirements specified by the State Bank;

(vii) has failed or is likely to fail to meet the liquidity requirements as specified by the State Bank;

(viii) has suffered deterioration in its financial condition; or

(ix) has engaged or is engaging in any unsafe, unsound, imprudent or reckless business practices; or

(b) any person, being the chairman, director, chief executive, by whatever name called, or an officer of a banking company:

(i) has breached fiduciary duties or engaged in reckless business practices;

(ii) mismanages the affairs of the banking company or misuses his position for gaining direct or indirect benefit for himself or any of his family members;

(iii) contravenes, or attempts to contravene, or abets the contravention of the provisions of this Ordinance; or

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(iv) has failed to comply with the supervisory instructions by the State Bank.

(2) Subject to sub-section (1), the State Bank may, keeping in view the gravity of the situation and compliance behavior of the banking company, from time to time, exercise any one or more of the following powers, namely—

(a) caution or prohibit the banking company against entering into any particular transaction or class of transactions;

(b) require the banking company to refrain from taking such actions as it may specify in relation to any matter relating to the business of such banking company or to take such action in relation thereto as the State Bank thinks fit;

(c) require the banking company to submit a plan of action for meeting the capital, or liquidity requirements and to address any other major supervisory concerns;

(d) require the banking company to meet such capital and liquidity requirements as may be specified by the State Bank for such banking company;

(e) require the banking company to call a meeting of its directors for the purpose of considering any matter relating to or arising out of the affairs of the banking company, or require an officer of the banking company to discuss any such matter with an officer of the State Bank;

(f) require the banking company or Board of Directors of the banking company to furnish documents of commitment for compliance with the measures specified by the State Bank and to secure the interests of its depositors;

(g) depute one or more of its officers to watch the proceedings at any meeting of the Board of Directors of the banking company or of any committee or of any other body constituted by it, require the banking company to give an opportunity to the officers so deputed to be heard at such meetings and also require such officers to send a report of such proceedings to the State Bank;

(h) require the Board of Directors of the banking company or any committee or any other body constituted by it to give in writing to any officer specified by the State Bank in this behalf at his usual address all notices of, and other communications relating to, any meeting of the Board, committee or other body constituted by it;

(i) appoint one or more of its officers to observe the manner in which the affairs of the banking company or of its offices or branches are being conducted and make a report thereon;

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(j) require the banking company to make such changes in the management within such time as the State Bank may consider necessary in consequence of the state of affairs disclosed during or by the inspection;

(k) require such changes in the Board of Directors of the banking company, as the State Bank may consider necessary;

(l) suspend from office, the Chairman or director or chief executive officer, by whatever name called, or other officer of the banking company, with effect from such date and for such period as may be specified by the State Bank;

(m) require the banking company to convene the general meeting of the members for purposes of the adoption of measures deemed necessary by the State Bank;

(n) require banking company to limit any discretionary remuneration to any director, chief executive officer or other officer of the banking company concerned;

(o) require the banking company to implement its recovery plan and report its progress to the State Bank at such intervals as may be specified by the State Bank;

(p) require the divestment of specified loss-making or risky assets or business lines; or

(q) require the banking company to carry out any capital reduction and cancel any portion of shares of the banking company which is depleted or unrepresented by available assets; or dilute the participation of the existing shareholders by issuing new shares or reduce full or part of the preference shares, subordinated debt or sub-ordinated Sukuk, by whatever name called, as issued by the banking company or convert these instruments into ordinary shares, as permitted by the terms of such instruments. Any action under this clause shall have effect notwithstanding the provisions contained in sections 89 to 97 of the Companies Act, 2017 (XIX of 2017), sub-section (2) of section 87 the Securities Act, 2015 (III of 2015) or any other law for the time being in force.

(3) Where the voting shares of a banking company are to be acquired for the purposes of a recapitalization as an early intervention measure under this section, the Securities and Exchange Commission of Pakistan, upon a request by the prospective acquirer and in consultation with the State Bank, may exempt any such acquisition from section 111 of the Securities Act, 2015, where applicable.]

[1][Part-IIC

Resolution of Banking Companies

42A. Resolution authority.— Without prejudice to its powers under this Ordinance and any other law for the time being in force, the State Bank shall be the Resolution authority of banking companies and institutions specified under section 3A of this Ordinance.

42B. Resolution objectives.— The primary objectives of Resolution shall be contributing to the stability of the financial system of Pakistan and the protection of the interest of depositors.

42C. Resolution planning.— (1) To give effect to the Resolution objectives as set out in section 42B, the State Bank may—

(i) prepare a plan for the orderly Resolution of a systemically important bank as specified by the State Bank, or any other banking company and update such plans at regular intervals or at any other time it deems necessary;

(ii) at regular intervals or at any other time as it deems necessary, conduct resolvability assessment of a systemically important bank or any other

[1]Ins. by Act No. XXIX of 2024, s. 25.

banking company with a view to identify any impediments for the orderly Resolution of such banking company;

(iii) direct the banking company concerned to demonstrate that there is no impediment to its resolvability; and may call any information or document or assistance from the banking company concerned, its sponsors, or any entity within the group of which the banking company concerned is a part, within the time, form and manner set out in the direction; and

(iv) take such steps for the removal of impediments identified under this section or issue directions to the banking company concerned, or its sponsor shareholders, to take any measures for removal or mitigation of the effects of impediments within a time period as specified by the State Bank in relation to its legal, operational, financial and group structure, including any measures for the separation of critical functions from other functions; intra-group dependencies, products, assets, rights or liabilities for effective Resolution of the banking company concerned.

(2) The banking company concerned and any other person, to whom any direction has been issued under this section, shall be bound to comply with such direction.

(3) The Resolution plans shall not in any way prejudice the powers conferred on the State Bank to take other measures provided under this Ordinance.

42D. Resolution triggers.– (1) The State Bank may, by an order in writing stating reasons, place a banking company under Resolution, if the State Bank is satisfied that one or more of the circumstances exist under which the banking company,–

(i) has become or is likely to become insolvent;

(ii) has failed to comply with the capital requirement specified by the State Bank; and

(a) has no reasonable prospect of becoming compliant with the relevant requirement within a reasonable timeframe in the opinion of the State Bank;

(b) fails to become adequately capitalized when required to do so;

(c) fails to submit a capital restoration plan acceptable to the State Bank within the time specified; or

(d) fails to implement a capital restoration plan to the satisfaction of the State Bank;

(iii) has suspended or is likely to suspend payments as these fall due;

(iv) has defaulted or is likely to default in making payments to depositors;

(v) is part of a group, one or more entities of which, is under liquidation, or in respect of which a custodian, receiver, administrator or liquidator has been

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appointed, and the assets and liabilities of such entity or its links with the banking company are such that it may impair the ability of the banking company to continue its operations in a safe and sound manner;

(vi) is a branch or subsidiary of a banking company whose license to carry on banking business in the country of its origin has been cancelled or any Resolution action or insolvency proceeding in the country of origin does not sufficiently protect the financial stability of Pakistan and the interest of depositors, or the State Bank considers that no action will be taken in respect of a failing banking company in its country of origin;

(vii) fails to implement any of the measures as required under section 42, including failure to provide a plan of action or documents of commitment or has breached requirements under any plan of action or documents of commitment submitted to the State Bank;

(viii) is otherwise in a situation or circumstance which in the opinion of the State Bank may materially impair the ability of the banking company to make payments, meet its obligations or otherwise continue its operations; or

(ix) has contravened, circumvented or failed to comply with any requirement of this Ordinance in a manner that seriously prejudices the financial stability in Pakistan and the interests of depositors, or has continued such contravention, circumvention or failure beyond such period or periods as may be specified in that behalf by the State Bank from time to time.

(2) The adoption of any supervisory action or any early intervention measures as set out in section 42 or the submission of any report under sub-section (2) of section 40A shall not be a precondition for Resolution.

(3) No order under this section shall be made unless the banking company concerned has been given an opportunity of making a representation to the State Bank. Provided that if in the opinion of the State Bank, any delay would be detrimental to the achievement of Resolution objectives, the State Bank may, at the time of giving the opportunity aforesaid or at any time thereafter and pending the consideration of the representation aforesaid, if any, make an order under sub-section (1).

(4) An order made under sub-section (1) shall be notified to the banking company concerned and a summary of it shall be published, as soon as practical, on the State Bank's website with due regard to the confidentiality requirements.

(5) Except as otherwise provided in the order made by the State Bank under sub-section (1) or at any time thereafter in consultation with the Securities and Exchange Commission of Pakistan, the trading on securities exchange in shares and debt instruments of the baking company under Resolution, and disclosure and reporting requirements applicable to such a banking company by virtue of being a listed entity shall remain suspended:

Provided that provision of this sub-section shall have effect notwithstanding anything contained in the Companies Act, 2017 (XIX of 2017), the Securities Act, 2015 (III of 2015), the

Securities & Exchange Commission of Pakistan Act, 1997 or any other law for the time being in force.

42E. **Resolution powers**.– (1) Where an order is made under section 42D, the State Bank shall have full control over the affairs of the banking company and may exercise one or more of the following powers, separately or in combination, to achieve its Resolution objectives:

(a) remove directors or chief executive, by whatever name called, or other officer of a banking company, not being lower in rank than a branch manager;

(b) supersede the Board of Directors of the banking company:

Provided that all powers of the general meeting of members, the Board of Directors, chief executive officer, or any other officer shall be vested with the State Bank, and the State Bank in this capacity may require any director or officer of the banking company to carry out any task it specifies;

(c) appoint one or more, officials of the State Bank or, persons meeting its fit and proper test as an administrator for management and operation of the banking company under Resolution. All persons appointed under this clause shall perform their powers and duties under the instructions issued by, and be entitled to such remuneration as may be specified by, the State Bank;

(d) issue an order of moratorium in respect of a banking company under section 42F;

(e) carry out reconstruction or amalgamation of the banking company under section 42G;

(f) reduce or extinguish the interest or rights which the members, depositors and other creditors have in or against the banking company, to such extent as the State Bank consulers necessary;

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(g) transfer in full or in part the business, assets and liabilities of the banking company to a bridge bank under section 42H;

(h) cancel a license granted to a banking company under section 27; or

(i) make an application to the High Court for the winding up of the banking company under section 49.

(2) The State Bank may, while exercising any of the powers referred to in sub-section (1) or otherwise, take one or more of the following actions–

(a) engage at the expense of the banking company under Resolution; independent attorneys, accountants, auditors, valuation experts and consultants, by whatever name called, on such terms and conditions as may be specified by the State Bank:

Provided that, to ensure timely and orderly Resolution, the provisions of any law related to public procurement of services, for the time being in force, shall not apply to hiring of various service providers under this sub-section.

(b) without prejudice to the generality of clause (a), direct or arrange an independent valuation of the assets and liabilities or shares of the banking company for the application of sub-section (1) or, as the case may be, for the application of sub-section (7) or for any other purpose as may be deemed necessary by the State Bank:

Provided that–

(i) such a valuation shall be conducted by a valuator who shall be of good repute and has international experience in the valuation or auditing or has affiliations with audit or valuation firms that have such international experience;

(ii) such a valuation shall be carried out based on conservative assumptions and in accordance with the international valuation standards with due regard to specificities of banking companies, including regulatory capital requirements. Such valuation, if carried out for the Resolution purposes, shall not assume any potential future provision of public funding or the State Bank financing under section 17G of the State Bank of Pakistan Act, 1956 (XXXIII of 1956);

(iii) the State Bank may specify the general procedures and methodology, and other terms and conditions for valuations, having regard to the purpose of the valuation; and

(iv) if conducting an independent valuation is not possible for Resolution purposes, including due to the urgency of Resolution, the State Bank itself may conduct a provisional valuation; and exercise any Resolution power based on such valuation. The State Bank shall as soon as practicable thereafter cause an independent valuation to be conducted.

(c) require any person to continue provision of such services as are necessary for continuity of critical functions of the banking company under Resolution, or a transferee bank including the bridge bank, and such service provider shall continue these services under the terms and conditions existing prior to Resolution;

(d) require the banking company under Resolution to provide necessary services to a transferee bank including the bridge bank for such time period as may be specified by the State Bank;

(e) upon a request of transferee bank, transfer assets and liabilities back to the transferring bank, within a period specified during the time of transfer or

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in case such assets or liabilities do not meet the criteria specified, during the transfer;

(f) without prejudice to the banking company's right to terminate contracts as per the contractual terms, rescind contracts where the State Bank considers that the performance of outstanding obligations would be detrimental to the Resolution objectives:

Provided that without prejudice to the provisions of this section on financial contracts, the counterparties of the banking company concerned may not terminate, modify, or accelerate the rights and obligations under a contract solely because of an order made under section 42D or the exercise of any powers under section 42E by the State Bank; or

(g) temporarily suspend the right of the banking companies' counterparties to early terminate or modify or accelerate financial contracts, to which the banking company under Resolution is a party, where such rights arise due to an order made under section 42D or due to the exercise, of any resolution powers:

Provided that the suspension period shall not exceed two business days, and substantive obligations under the contract shall continue to be performed.

(3) Unless provided otherwise in this ordinance, during the Resolution of a banking company, losses, if any, shall be imposed in the reverse order of the liquidation claims as provided in section 58.

(4) Unless otherwise strictly necessary to achieve the Resolution objectives, the State Bank shall avoid treating a liability and assets securing such liability separately during the transfer of assets and liabilities, or transferring part of the rights and liabilities that are protected under a financial contract.

(5) For the application of this section, the State Bank shall specify the financial contracts.

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(6) Subject to sub-section (7), the State Bank may treat one or more creditors of the same class differently, if this is necessary to avoid a contagion in the financial system or a destruction of value for creditors in general, or otherwise, it would not be possible to implement the relevant Resolution action within a reasonable timeframe.

(7) A shareholder or creditor of the banking company who, as a result of the exercise of Resolution powers, recovered less than what he would have recovered in case of a winding up order under this Ordinance, may be compensated for the difference, only where the State Bank determines such difference based on an independent valuation caused under sub-section (2). Such valuation shall presume that the banking company concerned would be placed under winding up immediately before the issuance of an order as per section 42D. The valuation of assets shall be based on liquidation values. Any value created or preserved in the banking company as a result of any public support or financing under section 17G of the State Bank of Pakistan Act, 1956 (XXXIII of 1956), shall be deducted in the calculation of difference. Any such compensation shall be paid by the Deposit Protection Corporation under clause (c) of sub-section (1) of section

22C of the Deposit Protection Corporation Act, 2016 (XXXVII of 2016) or otherwise, from funds obtained under section 42I.

(8) Powers under this section shall not be subject to the approval or consent of the shareholders, debtors, creditors or any counterparty of the banking company or that of the bridge bank.

(9) The protection and indemnification provided in section 94 shall also apply to any person appointed, engaged or directed by the State Bank in pursuance of the powers conferred on it under this section and section 42H.

(10) The provisions of this section shall have effect notwithstanding anything to the contrary contained in any other law or contract for the time being in force.

42F. **Order of moratorium**.— (1) Notwithstanding anything contained in the provisions of this Part or in any other law or any agreement or other instrument, for the time being in force, where an order is made under sub-section (1) of section 42D, the State Bank may make an order of moratorium in respect of a banking company, staying the commencement or continuance of all actions and proceedings against the banking company for a fixed period of time on such terms and conditions as it deems fit and proper and may from time to time extend the period so that the total period of moratorium, including extension thereof, shall not exceed six months.

(2) Except as otherwise provided by any directions given by the State Bank in the order under sub-section (1) or at any time thereafter, the banking company shall not during the period of moratorium make any payment to any depositors, or discharge any liabilities or obligations to any other creditors.

42G. **Powers of State Bank to prepare scheme of reconstruction or amalgamation**.— (1) Where an order is made under sub-section (1) of section 42D, the State Bank may prepare a scheme

(i) for the reconstruction of the banking company, restoring the capital of the banking company to a level compliant with this Ordinance and sufficient to sustain confidence in the banking company; or

(ii) for the amalgamation of the banking company fully or in part with any other banking institution (in this section referred to as "the transferee bank").

(2) The scheme aforesaid may contain provisions for all or any of the following matters, namely:—

(a) the constitution, name and registered office, the capital, assets, powers, rights, interests, authorities and privileges, the liabilities, duties and obligations, of the banking company on its reconstruction or, as the case may be, of the transferee bank;

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(b) in the case of amalgamation of the banking company, the transfer to the transferee bank of the business, properties, assets and liabilities of the banking company on such terms and conditions as may be specified in the scheme;

(c) any change in the Board of Directors, or the appointment of a new Board of Directors, of the banking company on its reconstruction or, as the case may be, [of the transferee bank] and the authority by whom, the manner in which and the other terms and conditions on which, such change or appointment shall be made and in the case of appointment of a new Board of Directors or of any director, the period for which such appointment shall be made;

(d) the development of new or alteration of the existing memorandum and articles of association of the banking company on its reconstruction or, as the case may be, of the transferee bank, for the purpose of altering the capital thereof or for such other purposes as may be necessary to give effect to the reconstruction or amalgamation;

(e) subject to the provisions of the scheme, the continuation by or against the banking company on its reconstruction or, as the case may be, the transferee bank, of any actions or proceedings pending against the banking company immediately before the date of the order of moratorium or as the case may be from the effective date of coming into force of the scheme;

(f) the cancellation or reduction, in part or whole, of the interest or rights which the members, depositors and other creditors have in or against the banking company before its reconstruction or amalgamation to such extent as the State Bank considers necessary to recognize the accumulated losses of the banking company:

Provided that the State Bank may close out and terminate a derivative contract to determine the value of interests and rights before a reduction under this clause.;

(g) the payment to depositors and other creditors in full satisfaction of their claims in cash or otherwise, by converting the claims into shares or debt that meets the conditions to qualify as regulatory capital, as specified by State Bank–

(i) in respect of their interest or rights in or against the banking company before its reconstruction or amalgamation; or

(ii) where their interest or rights aforesaid in or against the banking company has or have been reduced under clause (f), in respect of such interest or rights as so reduced;

(h) the allotment to the members of the banking company for shares held by them therein before its reconstruction or amalgamation, whether their interest in such shares has been reduced under clause (f) or not, of shares

in the banking company on its reconstruction or, as the case may be, in the transferee bank and where any members claim payment in cash and not allotment of shares, or where it is not possible to allot shares to any members, including if a member fails to meet the fit and proper test of the State Bank. the payment in cash to those members in full satisfaction of their claim–

(i) in respect of their interest in shares in the banking company before its reconstruction or amalgamation; or

(ii) where such interest has been reduced under clause (f) in respect of their interest in shares as so reduced;

(i) transfer rights and interests of members in shares to such persons on such terms and conditions and at such consideration as may be specified in the scheme in full satisfaction of their claims–

(i) in respect of their interest in shares in the banking company before its reconstruction or amalgamation; or

(ii) where such interest has been reduced under clause (f) in respect of their interest in shares as so reduced;

(j) cause the banking company concerned to issue new shares without offering such shares to the members of the banking company or issue debt instruments that would meet the conditions to qualify as regulatory capital as specified by the State Bank, or amend or alter the maturity of or the amount of interest payable under such debt instruments issued by the banking company before an order made under section 42D on reconstruction of the banking company;

(k) the continuation of the services of all the employees of the banking company, excepting such of them who, not being workmen within the meaning of the Industrial Relations Ordinance, 1969 (XXII of 1969), are specifically mentioned in the scheme, in the banking company itself on its reconstruction or, as the case may be, in the transferee bank at the same remuneration and on the same terms and conditions of service, which they were getting or, as the case may be, by which they were being governed immediately before an order made under sub-section (1) of section 42D:

Provided that the scheme shall contain a provision that–

(i) the banking company shall pay or grant not later than the expiry of the period of three years from the date on which the scheme is approved by the State Bank or sanctioned by Federal Government, as the case may be, to the said employees the same remuneration and the same terms and conditions of service as are applicable to employees of corresponding rank or status of a comparable banking company to be determined for this purpose by the State Bank whose determination in this respect shall be final;

(ii) the transferee bank shall pay or grant not later than the expiry of the aforesaid period of three years, to the said employees the same remuneration and the same terms and conditions of service as are applicable to the other employees of corresponding rank or status of the transferee bank subject to the qualifications and experience of the said employees being the same as or equivalent to those of such other employees of the transferee bank:

Provided further that if in any case under clause (ii) of the first proviso any doubt or difference arises as to whether the qualification and experience of any of the said employees are the same as or equivalent to the qualifications and experience of the other employees of corresponding rank or status of the transferee bank, the doubt or difference shall be referred to the State Bank whose decision thereon shall be final;

(l) notwithstanding anything contained in clause (k) where any of the employees of the banking company, not being workman within the meaning of the Industrial Relations Ordinance, 1969, are specifically mentioned in the scheme under clause (k), or where any employees of the banking company have by notice in writing given to the banking company or, as the case may be, the transferee bank, at any time before the expiry of one month next following the date on which the scheme is approved by the State Bank or sanctioned by the Federal Government, as the case may be, intimated their intention of not becoming employees of the banking company on its reconstruction or, as the case may be, of the transferee bank, the payment to such employees of compensation, if any, to which they are entitled under the Industrial Disputes Ordinance, 1959, and such pension, gratuity, provident fund and other retirement benefits ordinarily admissible to them under the rules or authorizations of the banking company immediately before the date of the order of moratorium;

(m) any other terms and conditions for the reconstruction of amalgamation of the banking company;

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(n) such incidental, consequential and supplemental matters as are necessary to secure that the reconstruction of amalgamation shall be fully and effectively carried out.

(3) Notwithstanding anything contained in clauses (f) and (g) of sub-section (2), the scheme shall not provide for the reduction and conversion of the following:

(i) protected deposits under the Deposit Protection Corporation Act, 2016 (XXXVII of 2016);

(ii) any liabilities owed to tax or social security authorities;

(iii) liabilities in relation to contributions due to the Deposit Protection Corporation in accordance with the Deposit Protection Corporation Act, 2016 (XXXVII of 2016);

(iv) any liability and obligation to client that arises by virtue of holding or managing the client's assets as an agent;

(v) liabilities duly secured by financial, immovable or movable assets;

(vi) liabilities owed to the employees of the banking company except for the incentive-based remuneration of the managers of the banking company;

(vii) liabilities with a remaining maturity of up to seven (7) days owed to payment, settlement and clearing systems;

(viii) labilities to banking companies, excluding banking companies that are part of the same group, with an original maturity of less than seven days;

(ix) liabilities to a commercial or trade creditor arising from the provision to the banking company of goods or services that are critical to the daily functioning of its operations, including information technology services, utilities and rental, servicing and maintenance of premises; and

(x) any other claims that the State Bank has determined that their exclusion, in whole or in part, is needed pursuant to sub-section (7) of section 42E.

(4) A copy of the scheme prepared by the State Bank shall be sent in draft to the transferee bank and any other banking company concerned in the amalgamation, for suggestions and objections, if any, within such period as the State Bank may specify for this purpose.

(5) The State Bank may make such modifications, if any, in the draft scheme as it may consider necessary in the light of the suggestions and objections received from the transferee bank, and any other banking company concerned in the amalgamation.

(6) Subject to sub-section (5), the scheme as approved by the State Bank shall come into force on such date as the State Bank may specify in this behalf:

Provided that the scheme, if it involves use of public funds, shall be placed before the Federal Government for its sanction and the Federal Government may sanction the scheme without any modifications or with such modifications as it, in consultation with the State Bank and having regard to the resolution objectives stated in section 42B and such safeguards regarding the use of public funds as specified in section 42I, may consider necessary; and the scheme as sanctioned by the Federal Government shall come into force on such date as the Minister-in-charge may specify in this behalf:

Provided further that different dates may be specified for different provisions of the scheme.

(7) Upon the coming into operation of the scheme or any provision thereof, the scheme or such provision shall be binding on the banking company or, as the case may be, on the transferee bank and any other banking company concerned in the amalgamation and also on all the members, depositors and other creditors and employees of cach of those companies and of the transferee bank, and on any other person having any right or liability in relation to any of those companies or the transferee bank.

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(8) On such date as may be specified by the State Bank or, as the case may be, the Minister-in-charge in this behalf, the properties and assets of the banking company shall, by virtue of and to the extent provided in the scherne, stand transferred to, and vest in, and the liabilities of the banking company shall, by virtue of and to the extent provided in the scheme, stand transferred to, and become the liabilities of, the transferee bank. Rights and interest in the shares of a banking company, by virtue of and to the estent provided in the scheme, shall stand transferred to, and vest in, such persons as specified in the scheme:

Provided that the members, depositors and creditors whose interest and rights remain in the banking company under Resolution shall have no rights or claims in respect of the assets and liabilities transferred to the transferee bank.

(9) Where the scheme provided for the reduction of the rights and interests under clause (f) of sub-section (2), any such interest in shares shall extinguish and any liability of the banking company to such depositors and creditors shall be treated as discharged for all purposes to the extent of such reduction, and these shall not be provable in any subsequent proceedings in relation to the banking company under Resolution or any transferee bank or in any subsequent winding up.

(10) If any difficulty arises in giving effect to the provisions of the scheme, the State Bank or, as the case may be, the Federal Government may by order do anything not inconsistent with such provisions which appear necessary or expedient for the purpose of removing the difficulty.

(11) Copies of the scheme sanctioned by the Federal Government under proviso of sub-section (6) or of any order made by the Federal Government under sub-section (10) shall be laid on the table of the Legislature, as soon as may be, after the scheme has been sanctioned by the Federal Government, or as the case may be, the order has been made

(12) Where the scheme is a scheme for amalgamation of the banking company, any business acquired by the transferee bank under the scheme or under any provision thereof shall, after the coming into operation of the scheme or such provision, be carried on by the transferee bank in accordance with the law governing the transferee bank, subject to such modifications in that law or such exemptions of the transferee bank from the operation of any provisions thereof as the Federal Government, on the recommendation of the State Bank, may, by notification in the official Gazette, make for the purpose of giving full effect to the scheme:

Provided that no such modification or exemption shall be made so as to have effect for a period of more than seven years from the date of the acquisition of such business.

(13) Nothing in this section shall be deemed to prevent the amalgamation with one or more banking institutions by a single scheme of several banking companies.

(14) The provisions of this section and of any scheme made under it shall have effect notwithstanding anything to the contrary contained in any other provisions of this Ordinance or in any other law or any agreement, award or other instrument for the time being in force.

(15) In this section, “banking institution” and “banking company” mean any banking company and includes National Bank of Pakistan, investment finance companies. venture capital companies, housing finance companies, leasing companies and any other financial institution covered under section 3A.

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42H. **Bridge bank.**– (1) The State Bank may, prior to or during the Resolution of a banking company, establish a bridge bank as defined in clause (da) of sub-section (1) of section 5, and in exercise of the powers under clause (g) of sub-section (1) of section 42E to:

(a) transfer those of the assets and liabilities of the banking company concerned as determined by the State Bank for orderly Resolution; and

(b) initiate the process for liquidation of the banking company concerned.

(2) The value of the liabilities transferred to a bridge bank shall not exceed the total value of the assets transferred from the banking company under resolution or funds provided by the Deposit Protection Corporation under clause (a) of sub-section (1) of section 22C of the Deposit Protection Corporation Act, 2016 (XXXVII of 2016), or otherwise, from temporary public funding obtained under section 42I.

(3) Notwithstanding anything contained in the Companies Act, 2017 (XIX of 2017) or any other law for the time being in force regarding the incorporation of companies, issuance of shares of other instruments of ownership, Memorandum and Articles of association of the companies, listing of companies, and payment of any fees, duties and taxes for these purposes, the bridge bank shall be incorporated, its share capital issued and allotted, and business commenced, by the order of the State Bank.

(4) The bridge bank shall be a member of the Deposit Protection Corporation.

(5) The funding for a bridge bank including its capital shall be secured under section 42I from, and its shares shall be allotted to, the Federal Government.

(6) The State Bank may prepare a scheme for the establishment of, transfer of all or part of the assets and liabilities to, and the management of the bridge bank, and the exit of the bridge bank from public control and the provisions of section 42G shall apply *mutatis mutandis* to such a scheme.

(7) The State Bank may exempt the bridge bank from compliance with any regulatory and supervisory requirement including capital requirements, as may be necessary, for a period of up to six months, which can be extended once for up to a further six months if deemed necessary by the State Bank, to facilitate business of the bridge bank or to maintain the stability of the financial system.

(8) The State Bank shall appoint a person meeting its fit and proper test as an administrator to manage the bridge bank and shall specify the responsibilities and remuneration of such person, who shall be subject to the instructions issued to him by the State Bank:

Provided that no State Bank Official can be appointed as an administrator of the bridge bank.

(9) Within a period of three years from the establishment of a bridge bank under sub-section (1), the State Bank shall take all possible measures to utilize one of the following options:

(a) merger of the bridge bank with another banking company;

(b) sale of majority shareholding of the bridge bank to one or more persons;

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(c) transfer whole or substantial part of the assets and liabilities of the bridge bank to one or more banking companies:

Provided that the State Bank shall be at liberty to delay utilization of the options provided under this sub-section beyond the said period of three years where it is satisfied that the delay– would be in the interests of its Resolution objectives, for such period as it thinks fit, in which instance the State Bank shall publish on its website the reasons for such extension; so however the period of each extension shall not exceed one year;

(10) Where in the opinion of the State Bank, none of the options given under sub-section (9) is possible, or where no further extension in term of the bridge bank is warranted, the bridge bank shall be wound up under section 59 or otherwise under section 49.

42I. **Temporary Public Funding for Resolution**.– (1) Where an order has been made under section 42D and in the opinion of the State Bank, public funding is required for the orderly Resolution of the banking company or a bridge bank, the Federal Government, upon a recommendation of the State Bank, may provide temporary financing for–

(a) contributing to the capital of the banking company or the bridge bank, whether in the form of share capital to take a controlling interest or debt that meets the conditions to qualify as regulatory capital as per the requirements specified by the State Bank;

(b) paying consideration, if any, to acquire shares of the banking company under Resolution;

(e) making of a loan, advance, or financing to the banking company or the bridge bank;

(d) guaranteeing the assets and liabilities of the banking company or the bridge bank;

(e) paying for any cost incurred on Resolution of a banking company or establishment and operationalization of a bridge bank and any other cost incidental thereto;

(f) Paying for the compensation, if any, under sub-section (7) of section 42E; or

(g) any other financing as deemed necessary to support the orderly Resolution:

Provided that, actions referred to in clauses (c) and (d) can also be taken with respect to the transferee bank in the context of a scheme of amalgamation prepared under section 42G of this ordinance.

(2) No financing under sub-section (1) shall be provided by the Federal Government unless the following conditions are met:–

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(a) the orderly and timely Resolution of the banking company is necessary for maintaining the stability of the financial system;

(b) the amount of funding available from the Deposit Protection Corporation to finance Resolution, as permitted under the Deposit Protection Corporation Act, 2016 (XXXVII of 2016), or any private sector funding would be insufficient, is not available within a reasonable timeframe;

(c) at a minimum, holders of all classes of share capital or any sub-ordinated debt have absorbed or will absorb any losses that existed immediately before an order is made under section 42D; and

(d) the State Bank is of the opinion that the banking company or the bridge bank will become viable with the implementation of a restructuring plan to the satisfaction of the State Bank.

(3) Where the Federal Government becomes an owner of a controlling interest under sub-section (1), the banking company under Resolution or the bridge bank shall be managed on a commercial and professional basis and shall be subject to enhanced supervision by the State Bank. The concerned banking company or, or as the case may be, the bridge bank, shall develop a plan to the satisfaction of the State Bank and the Ministry of Finance for its exit from the public control within a reasonable time frame.

(4) Any funding provided under sub-section (1), net of expected recoveries, and any related costs, shall be recouped within a reasonable time frame from the institutions for which the State Bank is the Resolution authority.

(5) The Federal Government may, in consultation with the State Bank, prescribe rules for provision of the temporary public funding and the recoupment of such funds from the institutions for which the State Bank is the Resolution authority, and procedures for the utilization of exit options in a fair and transparent manner having due regard to the timing, market conditions and confidentiality requirements.]

43. Certain provisions of the Ordinance not to apply to certain banking companies.— (1) The provisions of section 13, sub-section (1) of section 14, and sections 21, 22, 29 and 30 shall not apply to a banking company—

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(a) which has been refused a licence under section 27, or prohibited from accepting fresh deposits by a compromise, arrangement or scheme sanctioned by a court or by any order made in any proceeding relating to such compromise, arrangement or scheme, or prohibited from accepting deposits by virtue of any alteration made in its memorandum; or

(b) whose licence has been cancelled under section 27.

(2) Where the State Bank is satisfied that any such banking company as is referred to in sub-section (1) has repaid, or has made adequate provision for repaying all deposits accepted by the banking company, either in full or to the maximum extent possible, the State Bank may, by notice published in the official Gazette, notify that the banking company has ceased to be a banking company within the meaning of this Ordinance, and thereupon all the provisions of this Ordinance applicable to such banking company shall cease to apply to it, except as respects things done or omitted to be done before such notice.

[1][[2][PART—IID]

TRANSACTIONS OF BANKING BUSINESS ILLEGALLY BY COMPANIES, ETC.

43A. Power to call for certain information, etc.— Where it appears to the State Bank that a company [3][,firm] or any other person is transacting in any manner or form whatsoever the business, of banking in contravention of sub-section (1) of section 27 [3][,or is receiving or has received deposits of money in contravention of section 27A] the State Bank may—

(a) direct the company [3][,firm] or such other person, or any person who is, or has at any time been, dealing, doing business or associated in any manner with the company [3][,firm] or such other person, to give or furnish to the State Bank, within such time as the State Bank may specify in its requisition, such information, documents or records respecting any business carried on by the company [3][,firm] or such other person as may be within its or his knowledge or in or under its or his possession, custody or control;

(b) authorise any person to enter and search any premises and seize books, accounts or other documents or records respecting any business carried on by the company [3][,firm] or such other person as may be in or under the possession, custody or control of the company [3][,firm] or such other person or a person who is, or has at any time been, dealing, doing business or associated in any manner with the company [3][,firm] or such other person, or any officer or employee of the company [3][,firm] or such other person or of the person dealing, doing business or associated with the company [3][,firm] or such other person;

(c) inspect or examine, or cause to be inspected or examined, the company, [3][firm] or such other person, or a person who is, or has at any time been, dealing, doing business or associated with it or him as aforesaid, or any officer or employee of the company [3][,firm] or such other person or of the person dealing, doing business or associated with the company [3][,firm] or such other person, and any of its or his books, accounts or other documents or records referred to in clause (b); and

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(d) exercise, as far as may be applicable, in relation to the company [3][,firm] or such other person, or any person who is, or has at any time been, dealing, doing business or associated with it or him as aforesaid, the powers conferred on the State Bank by sub-sections (1), (2), (4) and (5) of section 40.

[3][**43AA. Special provisions.**—(1) Where the State Bank has called for information under section 43A from a company, firm or person and it appears to the State Bank that, in the interest of the persons from whom the deposits of moneys were received, it is necessary that the moneys received and other assets of the company, firm or person, whether held in the name of that company, firm or person or of any other person, are protected and preserved, the State Bank may, without prejudice to any other action or proceedings which may be taken against such company, firm or person under any other provisions of this Ordinance or any other law for the time being in force, make an order in writing—

[1]New part II-A ins. by the Banking Companies (Amdt.) Ordinance, 1979 (56 of 1979), s. 3.
[2]Subs. by Act No. XXIX of 2024, s.26.
[3]Ins. by the Finance Act, 1990 (7 of 1990), s. 4A.

(a) appointing one or more persons as interim receivers authorising him or, as the case may be, each one of them to—

(i) enter and search any premises and seize books of accounts or other documents or records of such deposits of money; and

(ii) take in his custody, on behalf of the State Bank, all moneys, cash securities, title deeds, properties, whether moveable or immovable, belonging to such company, firm or person, including those being held on behalf, or in the name, of any director, manager, officer, partner, employee, agent, beneficiary or transferee of such company, firm or person or their dependants;

(b) directing any bank, financial institution or person to freeze all moneys deposited with it or him on behalf of the company, firm or person or of any director, manager, officer, partner or employee, agent, beneficiary or transferee of such company, firm or person appointed by it under clause (a);

(c) authorising a person appointed under clause (a) to take all necessary steps and measures for identifying the assets and properties of the company, firm or person and for realisation, protection and preservation thereof;

(d) restraining any company, firm or person or any director, manager, officer, partner or employee or agent, beneficiary or transferee of such company, firm or person or their dependants or any other person deriving or claiming title through any of them from alienating, transferring, selling, assigning, disposing of or parting with possession of any property, movable or immovable, or deriving any benefit, rent or income therefrom; and

(e) making such orders for realisation, protection and preservation of deposits of money and other assets and properties of the company, firm or person as it may deem fit.

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(2) An order made under sub-section (1) shall, unless it is earlier withdrawn in pursuance of the proviso to sub-section (1) of section 43B, remain in force until possession of the moneys, cash securities, title deeds, properties, books of account, documents or records to which the order relates is taken over by the official liquidator or, as the case may be, the High Court, in pursuance of an order of the High Court under section 43F:

Provided that any order made under sub-section (1) shall not prevent the High Court from determining the right of a person claiming to have acquired the property or assets from the company, firm or person, *bonafide* and for valuable and adequate consideration which such person shall be required to prove as paid from his own resources.

(3) An order made under sub-section (1) may be served on the Registrar of Joint Stock Companies or such other officer or authority or person as the State Bank may deem proper.

(4) If any person authorised under sub-section (1) require assistance of the police or any other civil authority in the exercise of his powers or discharge of his functions thereunder, he may send a requisition to the officer in charge of a police station or to such authority who shall on such requisition render the assistance required.]

43B. Power to make declaration.—(1) Where the State Bank, after making such inquiries as it may deem fit, is of opinion that a company [1][,firm] or person referred to in section 43A is transacting in any manner or form whatsoever the business of banking in contravention of sub-section (1) of section 27, [1][or is receiving or has received deposits of money in contravention of section 27A] the State Bank may, after giving the company [1][,firm] or such person an opportunity of showing cause against the proposed action being taken, make a declaration to that effect [:][1]

[1][Provided that, in a case in which the State Bank has made an order under sub-section (1) of section 43AA in respect of a company, firm or person, the State Bank shall make a declaration under this sub-section in respect of such company, firm or person within three months of the making of such order or within such further time, not exceeding three months in the aggregate, as the High Court may allow, or withdraw such order.]

[1][(2) The State bank shall publish, or cause to be published, a declaration made under sub-section (1) in two newspapers having wide circulation in the area in which the registered office of the company or firm, or the principal office of the person, to which or to whom the declaration relates is situated; and, upon such publication, the company, firm or such person or the chief executive, by whatever name called, or directors, managers, officers, employees or agents of the company or partners, managers, officers, employees or agents of the firm, or such person, or any other person referred to in sub-sections (1), (3) or (4) of section 43D or section 43E, shall not be heard to plead ignorance of the making of the declaration.]

(3) A declaration under sub-section (1) shall, for the purposes of this Part, be conclusive proof of the fact stated therein.

43C. Consequences of a declaration under section 43B.—(1) A company [1][,firm] or other person in respect of which or whom a declaration has been made under sub-section (1) of section 43B shall, on the publication of such declaration in pursuance of sub-section (2) of that section, cease to function or to transact business and any transaction with such company [1][,firm] or person, or with any person acting or purporting to act for and on behalf of such company [1][,firm] or person, on or after the publication of the declaration as aforesaid, shall be void.

(2) The provisions of sub-section (1) and sections 43D, 43E and 43F shall, as far as may be, apply to a company or undertaking which is an associated undertaking of a company [1][,firm] or person in respect of which or whom a declaration under sub-section (1) of section 43B is made.

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Explanation.—In this sub-section, "undertaking" and "associated undertaking" have the same meaning as in the monopolies and Restrictive Trade Practices (Control and Prevention) Ordinance, 1970 (V of 1970).

43D. Deposit of cash and preservation of assets, etc.—(1) Notwithstanding anything contained in section 43C, where a declaration under sub-section (1) of section 43B has been made in respect of a company [1][,firm] or other person, every person who has in his possession or custody, or under his control, any moneys, movable properties, shares, securities of any description or title deeds relating to property which belong to the company [1][,firm] or such other person shall forthwith deposit, or cause to be deposited, such moneys, movable properties, shares, securities and title deeds with any of the banks referred to in the Schedule to the Banks (Nationalization) Act, 1974 (XIX of 1974), or the State Bank or any person authorised by the State Bank in this behalf.

[1]Ins., subs. and added by the Finance Act, 1990 (7 of 1990), s. 4A.

(2) If any person who is required by sub-section (1) to deposit, or to cause to be deposited, any moneys, movable properties, shares, securities or title deeds fails to do so within two days of the publication of the declaration under sub-section (1) of section 43B, any person authorised by the State Bank in this behalf may enter and search any premises and seize such moneys, movable properties, shares, securities or title deeds and deposit, or cause to be deposited, the same in accordance with sub-section(1).

[1][(3) Until such time as an official liquidator, official assignee, interim receiver, receiver or official receiver, as the case may be appointed by the Court on an application made under section 43F takes over the possession, custody or control of any books, documents, records and assets of a company, firm or person in respect of which or whom a declaration under sub-section (1) of section 43B has been made, including any actionable claims to which such company, firm or person is, or appears to be, entitled, the chief executive, by whatever name called, and a director, manager, officer, employee and agent of such company, or a partner, manager, officer, employee and agent of such firm or person, and every other person who may have in or under his possession, custody or control such books, documents, records, assets or claims, shall preserve, and aid in preserving, such books, documents, records, assets and claims and shall, without prejudice to any other liability that he may incur, be jointly and severally liable for any loss or damage.]

(4) Every person who is, or becomes, indebted in any manner to a company [2][,firm] or person in respect of which or whom a declaration under sub-section (1) of section 43B has been made shall, during the period between the date on which such declaration is published and the date on which an order for winding up or, as the case may be, an order of adjudication is made by the Court, repay the amount of the debt by depositing it in the manner provided for in sub-section (1) and inform the State Bank in writing of his having done so.

(5) In computing the period prescribed by the Limitation Act, 1908 (IX of 1908), for any suit, appeal or application in respect of anything arising from actions which, immediately before the commencement of the Banking Companies (Amendment) Ordinance, 1979, were pending against a company or person in respect of which or whom a declaration under sub-section (1) of section 43B has been made, or in respect of any action to the filing of which the company or person may be entitled, the period commencing on the publication of such declaration and ending on the day on which an order for winding up or, as the case may be, an order of adjudication is made by the Court shall be excluded.

[3][**43E. Statement of assets and liabilities to be submitted to State Bank.—**Within three days of the publication of a declaration under sub-section (1) of section 43B in respect of a company, firm or other person or within such further time as the State Bank may, by order in writing, allow, the chief executive, by whatever name called, and every director, manager, officer, and agent of the company, and every partner of the firm and the manager, officer and agent of the firm or such person, and every other person having a claim or liability against or towards the company, firm or such person shall submit to the State Bank a statement showing the assets and liabilities of the company, firm or such person so far as may be known to him.]

43F. Consequential provisions for winding up, etc.—(1) Where the declaration made under sub-section (1) of section 43B is in respect of a person other than an individual or a company, such person shall, irrespective of the number of members of which it consists,

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[1]Subs. by the Finance Act, 1990 (7 of 1990, s. 4A, for sub-section (3).
[2]Ins. by the Finance Act, 1990 (7 of 1990), s. 4A.
[3]Subs. by the Finance Act, 1990 (7 of 1990), s. 4A, for section 43E.

be deemed to be an unregistered company which may be wound up under Part IX of the [1][Companies Ordinance, 1984 (XLVII of 1984)].

(2) Where the person in respect of which a declaration has been made under sub-section (1) of section 43B is a company or an unregistered company, the High Court shall, upon an application made by the State Bank within seven days of the publication of the declaration in pursuance of sub-section (2) of Section 43B, or within such further time as the Federal Government may allow, make an order for the winding up of the company or the unregistered company.

(3) The provisions of Part III, other than those of sections 45 to 49 and 59, and Part IV shall, in so far as they relate to winding up of a banking company, apply to an application made under sub-section (2) and to the winding up proceedings following such application.

(4) Notwithstanding anything contained in the Provincial Insolvency Act, 1920 (V of 1920), and the Insolvency (Karachi Division) Act (III of 1909), a declaration made under sub-section (1) of section 43B in respect of an individual shall constitute an effective ground for adjudging the individual an insolvent and the court competent to adjudge him an insolvent shall, upon an application made by the State Bank within seven days of the publication of the declaration in pursuance of sub-section (2) of section 43B, or such further time as the Federal Government may allow, pass an order of adjudication against such individual without further proof and follow thereafter the provisions of the Provincial Insolvency Act, 1920 (V of 1920) or, as the case may be, the Insolvency (Karachi Division) Act (III of 1909), for the administration and distribution of the property of the insolvent:

Provided that the court shall not have the power to subsequently annul the adjudication or accept any composition or scheme or arrangement.]

PART III

SUSPENSION OF BUSINESS AND WINDING UP OF BANKING COMPANIES

44. High Court defined.—In this Part and in Part IV "High Court", in relation to a banking company, means the High Court exercising jurisdiction in the place where the registered office of the banking company is situated or, in the case of a banking company incorporated outside Pakistan, where its principal place of business in Pakistan is situated.

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[2][**45. Restriction on stay order**.— (1) The High Court may, on the application of a banking company which is temporarily unable to meet its obligations, make an order staying for a fixed period on such terms and conditions as it may think fit the commencement or continuance of all proceedings against the company and may from time to time extend the period, so that the total period shall not exceed six months:

Provided that no order of stay shall be granted by the High Court upon such application of a banking company unless it is accompanied by a report of the State Bank showing that in the opinion of the State Bank the banking company will be able to pay its debts if the application is granted.

(2) **The registrar of the concerned High Court shall forward a copy of every stay order to the State Bank of Pakistan, made under sub-section (1) of this Section.**

[1]Subs. by Finance Act, 2007 (Act No. IV of 2007), s.4, (w.e.f. 01-07-2007).
[2]Subs. by Act No. XXIX of 2024, s.27.

(3) When an application is made under sub-section (1), the High Court may appoint such a special officer of the banking company as recommended by the State Bank, who shall forthwith take into his custody or under his control all the assets, books, documents, effects and actionable claims to which the banking company is or appears to be entitled and shall also exercise such other powers as the High Court may deem fit to confer on him, having regard to the interests of the depositors of the banking company:

Provided that a special officer appointed under this sub-section shall carry out his functions under the direction and supervision of the State Bank, which direction and supervision shall be in accordance with the powers conferred on him by the High Court.

(4) Where the State Bank is satisfied that the affairs of a banking company in respect of which an order under sub-section (1) has been made, are being conducted in a manner detrimental to the stability of the financial system in Pakistan or the interests of the depositors, it may take a decision under section 42D and exercise any one or more of the Resolution powers provided under section 42E or make an application to the High Court for the winding up of the company, and where any such application is made, the High Court shall not make any order extending the period for which the commencement or continuance of all actions and proceedings against the company were stayed under that sub-section.

(5) The special officer appointed by the High Court under sub-section (3) of this section shall continue to hold office until he is removed from office, or until the bank resumes business, or until a liquidator is duly appointed to wind up the business of the bank.]

46. Restriction on compromise or arrangement between banking companies and creditors.— (1)Notwithstanding anything contained in any law for the time being in force, no High Court shall sanction a compromise or arrangement between a banking company and its creditors or any class of them or between such company and its members or any class of them unless the compromise or arrangement is certified by the State Bank in writing as not being incapable of being worked and as not being detrimental to the interests of the depositors of such banking company.

[1][(2) Notwithstanding anything contained in section 279 of the Companies Act, 2017 (XIX of 2017), where an application is made in respect of a compromise or arrangement between a banking company and its creditors or any class of them or between such company and its members or any class of them before a High Court, the High Court may direct the State Bank to make an inquiry in relation to the affairs of the banking company and the conduct of its directors and when such a direction is given, the State Bank shall make such inquiry and submit its report to the High Court.]

[1][**47**. [* * * * * * *]

48. Procedure for amalgamation of banking companies.— (1) Notwithstanding anything contained in any law for the time being in force, no banking company shall be amalgamated with another banking company, unless a scheme containing the terms of such amalgamation has been placed in draft before the shareholders of each of the banking companies concerned separately, and approved by a resolution passed by a majority in number representing two thirds in value of the shareholders of each of the said companies, present either in person or by proxy at a meeting called for the purpose.

[1]Subs., and omitted by Act No. XXIX of 2024, ss.28-29.

(2) Notice of every such meeting as is referred to in sub-section (1) shall be given to every shareholder of each of the banking companies concerned in accordance with the relevant articles of association, indicating the time, place and object of the meeting, and shall also be published at least once a week for three consecutive weeks in not less than two newspapers which circulate in the locality or localities where the registered offices of the banking companies concerned are situated, one of such newspapers being in a language commonly understood in the locality or localities.

(3) Any shareholder, who has voted against the scheme, of amalgamation at the meeting or has given notice in writing at or prior to the meeting to the company concerned or the presiding officer of the meeting that he dissents from the scheme of amalgamation, shall be entitled, in the event of the scheme being sanctioned by the State Bank to claim from the banking company concerned, in respect of the shares held by him in that company, their value as determined by the State Bank when sanctioning the scheme and such determination by the State Bank as to the value of the shares to be paid to dissenting shareholder shall be final for all purposes.

(4) If the scheme of amalgamation is approved by the requisite majority of shareholders in accordance with the provisions of this section, it shall be submitted to the State Bank for sanction and shall, if sanctioned by the State Bank by an order in writing passed in this behalf be binding on the banking companies concerned and also on all the shareholders thereof [:][1]

[1][Provided that in case of foreign banking companies, notwithstanding the fact that the scheme of the amalgamation is not approved by the requisite majority of shareholders, such sanction may be granted by the State Bank upon a certificate issued by their respective head offices approving the scheme.]

(5) Where a scheme of amalgamation is sanctioned by the State Bank under the provisions of this section, the State Bank shall transmit a copy of the order sanctioning the scheme to the registrar before whom the banking companies concerned have been registered and the registrar shall, on receipt of any such order, strike off the name of the company (hereinafter in this section referred to as the amalgamated banking company) which by reason of the amalgamation will cease to function.

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(6) On the sanctioning of scheme of amalgamation by the State Bank, the property of the amalgamated banking company shall, by virtue of the order of sanction, be transferred to and vest in, and the liabilities of the said company shall, by virtue of the said order be transferred to and become the liabilities of the banking company which under the scheme of amalgamation is to acquire the business of the amalgamated banking company, subject in all cases to the terms of the order sanctioning the scheme.

[2][(7) In this section, "banking company" means any banking company and includes the National Bank of Pakistan, the Agricultural Development Bank of Pakistan, the Industrial Development Bank of Pakistan, the House Building Finance Corporation, investment finance companies, venture capital companies, housing finance companies, leasing companies, [1][branch of a foreign banking company doing business in Pakistan] and any other financial institution covered under section 3A.]

[1]Subs., added and Ins. by Finance Act, 2007 (Act No. IV of 2007), s.4, (w.e.f. 01-07-2007).
[2]Subs. by Ord. CXI of 2002 s.9.

49. Winding up by High Court.— [1][(1) Notwithstanding anything contained in section 279, section 301 and section 428 of the Companies Act, 2017 (XIX of 2017), but without prejudice to its powers under the sub-section (1) of section 45 or the State Bank's powers under section 42E, the High Court shall order the winding up of a banking company–

(a) if the banking company is unable to pay its debts; or

(b) if an application for its winding up has been made by the State Bank under section 45, this section or section 59.]

(2) [1][* * * * * * *]

(3) The State Bank may make an application under this section for the winding up of a banking company—

(a) if the banking company—

(i) has failed to comply with the requirements specified in section 13; or

(ii) has by reason of the provisions of section 27 become disentitled to carry on banking business in Pakistan; or

[1][(iii) has been prohibited from receiving fresh deposits by an order under sub-section (5) of section 26A; or]

(iv) having failed to comply with any requirement of this Ordinance other than the requirements laid down in section 13, has continued such failure, or, having contravened any provision of this Ordinance has continued such contravention beyond such period or periods as may be specified in that behalf by the State Bank from time to time, after notice in writing of such failure or contravention has been conveyed to the banking company; or

[1][(aa) if an order has been made under section 42D and the State Bank has determined that it is appropriate that the banking company be wound up or part of the assets and liabilities of the banking company has been transferred to a transferee bank under section 42G or to a bridge bank under section 42H; or]

(b) if in the opinion of the State Bank—

(i) a compromise or arrangement sanctioned by a Court in respect of the banking company cannot be worked satisfactorily with or without modifications; or

(ii) the returns, statements or information furnished to it under or in pursuance of the provisions of this Ordinance disclose that the banking company is unable to pay its debts; or

[1][(iii) the continuance of the banking company is prejudicial to the stability of the financial system in Pakistan or the interest of its depositors.]

[1]Subs., omitted and ins. by Act No. XXIX of 2024, s.30.

(4) Without prejudice to the provisions contained in section [1][302 of the Companies Act, 2017 (XIX of 2017)] a banking company shall be deemed to be unable to pay its debts if it has refused to meet any lawful demand made at any of its offices or branches within two working days, if such demand is made at a place where there is an office, branch or agency of the State Bank, or, within five working days, if such demand is made elsewhere, and if the State Bank certifies in writing that the banking company is unable to pay its debts.

(5) A copy of every application made by the State Bank under sub-section (1) shall be sent by the State Bank to the registrar.

(6) Notwithstanding anything contained in [1][the Companies Act, 2017 (XIX of 2017)], no Court shall entertain an application for winding up of banking company by the Court unless such application is accompanied by a certificate in writing from the State Bank certifying that it has no objection to the making of such application [1][:]

[1][Provided that notification shall be made to the State Bank of a filing for a winding up or an order made to that effect in relation to a company that controls or owns a substantial interest in a banking company or a subsidiary of a company that controls a banking company, or of a banking company. The official liquidator appointed over such an entity shall be under obligation to avoid any action that may frustrate the achievement of the objectives provided under section 42B and shall be under duty to coordinate with the State Bank in this respect.]

50. Court Liquidator.—(1) When, having regard to the number of proceedings for the winding up of banking companies or the extent of the work involved in such proceedings, in any Province or at any place in any Province, the [2][Federal Government] is of the opinion that it is necessary or expedient to attach a court Liquidator to the High Court of that province it may, in consultation with the State Bank, appoint a Court Liquidator, for the Province or at a place in the Province, and for such time as the [2][Federal Government] may think fit, for the purpose of conducting all proceedings for the winding up of banking companies and performing such duties in reference thereto as the High Court may impose.

(2) Where there is a court liquidator attached to a High Court and an order is passed by the High Court for the winding up of any banking company, then, notwithstanding anything contained in section 171A or section l75 of the [3][Companies Ordinance, 1984 (XLVII of 1984)], the court liquidator shall become the official liquidator of the banking company.

(3) Where there is a court liquidator attached to a High Court and any proceeding, for the winding up of a banking company in which any person other than the State Bank or the court liquidator has been appointed as official liquidator, is pending before the High Court immediately before the commencement of this Ordinance or the date on which the court liquidator is so attached to the High Court, whichever is later, then, notwithstanding anything contained in section 176 of the [3][Companies Ordinance, 1984 (XLVII of 1984)], the person appointed as official liquidator shall, on such commencement or, as the case may be, on the aforesaid date, be deemed to have vacated his office as such and the vacancy so caused shall be deemed to be filled up by the appointment of the court liquidator as the official liquidator:

Provided that where the High Court, after giving the court liquidator and the State Bank an opportunity of being heard, is of opinion that the appointment of the court liquidator would be detrimental to the interests of the depositors of the banking company, it may direct the person appointed as the official liquidator to continue to act as such.

[1]Subs., and Ins. by Act XXIX of 2024, s.30.
[2]Subs. by the Banking Companies (Amdt.) Act, 1972 (30 of 1972), s. 23 (w.e.f. 13-10-1972), for "Central Government".
[3]Sub. by Finance Act, 2007 (Act No. IV of 2007), s.4, (w.e.f. 01-07-2007).

[1][**51. State Bank to be official liquidator**.— "(1) Notwithstanding anything contained in section 50, or in the Companies Act, 2017 (XIX of 2017), where the High Court has ordered the winding up of a banking company under section 49, the State Bank may apply for an order appointing the State Bank or any individual as the official liquidator of the banking company in that proceeding, and the High Court shall grant the application for appointing the State Bank or such person as specified by the State Bank as liquidator. Where a person specified by the State Bank is appointed as liquidator, the remuneration of such liquidator shall be determined by the State Bank.

(2) Further, the High Court, on an application made by the State Bank for appointment of official liquidator, shall appoint such person as liquidator as specified by the State Bank in its application either to fill a vacancy, or to dismiss and replace a liquidator appointed under sub-section (1).

(3) Subject to an order of the High Court, a liquidator appointed under sub-section (1) or sub-section (2) shall carry out its functions under the direction and supervision of the State Bank.

(4) Further, any liquidator appointed under sub-section (1) and sub- section (2), shall have the power to transfer the assets and liabilities of the banking company to protect the interest of depositors or maximize the value for all creditors as a whole.]

52. Application of Companies Act to Liquidators.— (1) All the provisions of [1][the Companies Act, 2017 (XIX of 2017)], relating to a liquidator, and so far as they are not inconsistent with this Ordinance, shall apply to or in relation to a liquidator appointed under section 50 or section 51 [1][:]

[1][Provided that such a liquidator shall provide any assistance as the Deposit Protection Corporation may seek for the re-imbursement of protected deposits and its other claims in a timely manner.]

(2) Any reference to the "official liquidator" in this Part and Part IV shall be construed as including a reference to any liquidator of a banking company.

53. Stay of proceedings.—Notwithstanding anything to the contrary contained in section 173 of the [2][Companies Ordinance, 1984 (XLVII of 1984)], the High Court shall not make any order staying the proceedings in relation to the winding up of a banking company, unless the High Court is satisfied that an arrangement has been made whereby the company can pay its depositors in full as their claims accrue.

[3][**54. Preliminary report by the official liquidator**.— Notwithstanding anything to the contrary contained in section 329 of the Companies Ordinance, 1984 (XLVII of 1984), where a winding-up order has been made in respect of a banking company, the official liquidator shall submit a preliminary report to the High Court within ninety days from the date of the winding-up order or where the winding-up order has been made before the 1st day of August, 2001, within ninety days therefrom, giving the information required by section 329 ibid so far as it is available to the official liquidator and also stating the amount of assets of the banking company in cash which are in his custody or under his control on the date of the report and the amount of its assets which are likely to be collected in cash before the expiry of that period of ninety days in order that such assets may be applied speedily towards making priority payments under section 58 and in the discharge, as far as possible, of the liabilities and obligations of the banking company in accordance with the provisions of the section 58, and the official liquidator shall make for the purposes aforesaid every endeavour to collect in cash as much of the assets of the banking company as practicable:

[1]Subs., and added by Act No. XXIX of 2024, ss.31-32
[2]Sub. by Finance Act, 2007 (Act No. IV of 2007), s.4, (w.e.f. 01-07-2007).
[3]Subs. by Ord. 47 of 2001, s. 5.

Provided that the High Court may, if it deems fit in any particular case, extend the period of ninety days, referred to in this section, for a further period of sixty days.]

55. Notice to preferential claimants and secured and unsecured creditors.– (1) Within fifteen days from the date of the winding-up order of a banking company or where the winding-up order has been made before the commencement of this Ordinance, within one month from such commencement, the official liquidator shall, for the purpose of making an estimate of the debts and liabilities of the banking company (other than its liabilities and obligations to its depositors), by notice served in such manner as the State Bank may direct, call upon—

(a) every claimant entitled to preferential payment under section 230 of the [1][Companies Ordinance, 1984 (XLVII of 1984)], and

(b) every secured and every unsecured creditor, to send to the official liquidator within one month from the date of the service of the notice a statement of the amount claimed by him.

(2) Every notice under sub-section (1) sent to a claimant having a claim under section 230 the [1][Companies Ordinance, 1984 (XLVII of 1984)], shall state that if a statement of the claim is not sent to the official liquidator before the expiry of the period of one month from the date of the service, the claim shall not be treated as a claim entitled to be paid under that section in priority to all other debts but shall be treated as an ordinary debt due by the banking company.

(3) Every notice under sub-section (1) sent to a secured creditor shall require him to value his security before the expiry of the period of one month from the date of the service of the notice and shall state that if a statement of the claim together with the valuation of the security is not sent to the official liquidator before the expiry of the said period, then the official liquidator shall himself value the security and such valuation shall be binding on the creditor.

(4) If a claimant fails to comply with the notice sent to him under sub-section (1), his claim will not be entitled to be paid under section 230 of the [1][Companies Ordinance, 1984 (XLVII of 1984)], in priority to all other debts but shall be treated as an ordinary debt due by the banking company; and if a secured creditor fails to comply with the notice sent to him under sub-section (1), the official liquidator shall himself value the security and such valuation shall be binding on the creditor.

56. Power to dispense with meetings of creditors, etc.— Notwithstanding anything to the contrary contained in sections 178A and 183 of the [1][Companies Ordinance, 1984 (XLVII of 1984)], the High Court may, in the proceedings for winding-up a banking company, dispense with any meetings of creditors or contributories or with the appointment of a committee of inspection if it considers that no object will be secured thereby sufficient to justify the delay and expense.

57. Booked depositors' credits to be deemed proved.— In any proceeding for the winding-up of a banking company, every depositor of the banking company shall be deemed to have filed his claim for the amount shown in the books of the banking company as standing to his credit and notwithstanding anything to the contrary contained in section 191 of the [1][Companies Ordinance, 1984 (XLVII of 1984)], the High Court shall presume such claim to have been proved, unless the official liquidator shows that there is reason for doubting its correctness.

[2][**58. Priority payments to depositors**.— (1) In every proceeding for winding-up of a banking company where a winding-up order has been made, within ninety days from the date of the winding-up order or where the winding-up order has been made before 1st day of August, 2001, within ninety days therefrom, the payments referred to in sub-section (2) shall be made by the official liquidator or adequate provision for such payments shall be made by him.

[1]Sub. by Finance Act, 2007 (Act No. IV of 2007), s.4, (w.e.f. 01-07-2007).
[2]Subs. by Ord. 47 of 01, s. 6.

[1][(2) Subject to sub-section (3), there shall be paid within the period of ninety days as specified in sub-section (1), in the first place, to each eligible depositor of the banking company, a sum up to the amount prescribed by the Deposit Protection Corporation under section 7 of the Deposit Protection Corporation Act, 2016 (XXXVII of 2016) or the balance at his credit whichever is less and any other liabilities owed to the Deposit Protection Corporation under sub-sections (1) and (2) of section 22 of the Deposit Protection Corporation Act, 2016 (XXXVII of 2016).

(3) The total amount paid to each eligible depositor under sub-section (2) shall not exceed the amount prescribed by the Corporation under section 7 of the Deposit Protection Corporation Act, 2016 (XXXVII of 2016)—

(i) where a depositor is maintaining more than one deposit account with a banking company; and

(ii) in the case of joint account holders of a deposit account.]

(4) Where within the period of ninety days as specified in sub-section (1), full payments cannot be made of the amounts required to be paid under sub-section (2) with the assets in cash, the official liquidator shall pay within that period to every [1][eligible] depositor on a pro rata basis so much of the amount due to every [1][eligible] depositor as the official liquidator is able to pay with those assets, and shall pay the rest of that amount to every [1][eligible] depositor as and when sufficient assets are collected by the official liquidator in cash.

(5) After payments have been made first to depositors in accordance with the foregoing provisions, the remaining assets of the banking company available for payment shall be utilised according to the following order of priority, namely:—

(a) firstly, for payment of balance due to depositors in accordance with a scheme to be prepared by the State Bank;

[1][(aa) after payments have been made to dopositors in accordance with clause (a), secondly, for payment of Resolution funding support provided by the Federal Government under sub-section (1) of section 42I;]

[1][(b) after payments have been made in accordance with clause (a) and (aa), thirdly, for payment on a pro rata basis to every claimant entitled to preferential payment under section 390 of the Companies Act, 2017 (XIX of 2017) or any other law for the time being in force;

(c) after payments have been made in full in accordance with clauses (a), (aa) and (b), fourthly, for payment on a pro rata basis of the debts of the general creditors;]

[1][(d) after payments have been made in full in accordance with clauses (a), (aa) and (b) and (c), fifthly, for payment on a pro rata basis of debts owed to sub-ordinated creditors; and

(e) after payments have been made in full in accordance with clauses (a), (aa), (b), (c) and (d), finally, for payment on a pro rata basis of equity to shareholders.]

[1]Subs., Ins. and added by Act XXIX of 2024, s.33.

(6) For the purposes of this section, banking companies, financial institutions specified in [1][section 3A and financial institutions as defined in clause 31 of sub-section (1) of section 2 of the Companies Act, 2017 (XIX of 2017)] shall be treated as general creditors and not depositors.

(7) Subject to sub-section (8), in order to enable the official liquidator to have in his custody or under his control in cash as much of the assets of a banking company as possible, the securities given to every secured creditor may be redeemed by the official liquidator—

(a) where the amount due to a creditor is more than the value of the securities as assessed by him or, as the case may be, as assessed by the official liquidator, on payment of such value; and

(b) where the amount due to the creditor is equal to or less than the value of the securities as so assessed, on payment of the amount due.

(8) Where the official liquidator is not satisfied with the valuation made by the creditor, he may apply to the High Court for making a valuation.

(9) When any depositor, claimant or creditor to whom any payment is to be made in accordance with the foregoing provisions, cannot be found or is not readily traceable, adequate measures shall be taken by the official liquidator for such payment.

(10) For the purposes of this section, the payments specified in each of the following clauses shall be treated as payments of a different class, namely:—

(a) payments to depositors [1][and the Deposit Protection Corporation]pursuant to sub-sections (2) and (4);

(b) payments to depositors pursuant to clause (a) of sub-section (5);

[1][(bb) payments to Federal Government pursuant to clause (aa) of sub-section (5);]

(c) payments to preferential claimants pursuant to clause (b) of sub-section (5); [1][*]

(d) payments to the general creditors pursuant to clause (c) of sub-section (5).

[1][(e) payments to the sub-ordinated creditors pursuant to clause (d) of sub-section (5); and

(f) payments to the shareholders pursuant to clause (e) of sub-section (5).]

(11) The payments to persons in each different class specified in sub-section (10) shall rank equally among themselves and be paid in full unless the assets are insufficient to meet them, in which case they shall abate in equal proportion [1][:]]

[1][Provided that in the application of clause (e) of sub-section (10), sub-classes can be created based on the contractual terms contemplating payments to be made to some sub-ordinated creditors after such other creditors.]

[1]Subs., Added, Ins. and omitted by Act No. XXIX of 2024, s.33.

[1][(12) The provisions of this section shall also apply to a banking company under winding up that is not a member of the Deposit Protection Corporation and in its application to such a banking company, shall have effect as if the word "eligible" has been omitted from sub-sections (2), (3) and (4).]

59. Restriction on voluntary winding up.— Notwithstanding anything to the contrary contained in section [1][347 of the Companies Act, 2017 (XIX of 2017)], no banking company which holds a licence granted under section 27 may be voluntarily wound up unless the State Bank certifies in writing that the company is able to pay in full all its debts to its creditors as they accrue, and without prejudice to the provisions contained in sections [1][379 and 380] of that Act, the High Court shall, on application of the State Bank, order the winding up of the company by the High Court if at any stage during the voluntary winding up proceedings the company is not able to meet such debts as they accrue.

PART IV

SPECIAL PROVISIONS FOR SPEEDY DISPOSAL OF WINDING UP PROCEEDINGS

60. Part IV to override other Laws.— The provisions of this Part and the rules made thereunder shall have effect notwithstanding anything inconsistent therewith contained in the [2][Companies Ordinance, 1984 (XLVII of 1984)], or the code of Civil Procedure, 1908 (Act V of 1908), or the Code of Criminal Procedure, 1898 (Act V of 1898), or any other law for the time being in force or any instrument having effect by virtue of any such law; but the provisions of any such law or instrument in so far as the same are not varied by, or inconsistent with, the provisions of this Part or rules made thereunder shall apply to all proceedings under this Part.

61. Power of High Court to decide all claims in respect of banking companies.— The High Court shall, save as otherwise expressly provided in section 62, have exclusive jurisdiction to entertain and decide any claim made by or against a banking company which is being wound up (including claims by or against any of its branches in Pakistan) or any application made under section 153 of the [2][Companies Ordinance, 1984 (XLVII of 1984)], by or in respect of a banking company or any question of priorities or any other question whatsoever, whether of law or fact, which may relate to or arise in the course of the winding up of a banking company, whether such claim or question has arisen or arises or such application has been made or is made before or after the date of the order for the winding up of the banking company or before or after the commencement of this Ordinance.

62. Transfer of pending proceedings.— (1) Where a winding up order is made or has been made in respect of a banking company, no suit or other legal proceedings, whether civil or criminal, in respect of which the High Court has jurisdiction under this Ordinance and which is pending in any other court immediately before the commencement of this Ordinance or the date of the order for the winding up of the banking company, whichever is later, shall be proceeded with except in the manner hereinafter provided.

(2) The official liquidator shall, within three months from the date of the winding up order or the commencement of this Ordinance whichever is later or such further time as the High Court may allow, submit to the High Court a report containing a list of all such pending proceedings together with particulars thereof.

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[1]Ins., and Subs. by Act No. XXIX of 2024, ss.33-34.
[2]Sub. by Finance Act, 2007 (Act No. IV of 2007), s.4, (w.e.f. 01-07-2007).

(3) On receipt of a report under sub-section (2), the High Court may, if it so thinks fit, give the parties concerned an opportunity to show cause why the proceedings should not be transferred to itself and after making an inquiry in such manner as may be provided by rules made under section 79, it shall make such order as it deems fit transferring to itself all or such of the pending proceedings as may be specified in the order and such proceedings shall thereafter be disposed of by the High Court.

(4) If any proceeding pending in a court is not so transferred to the High Court under sub-section (3), such proceeding shall be continued in the court in which the proceeding was pending.

(5) Nothing in this section shall apply to any proceeding pending in appeal before the Supreme Court or a High Court.

63. Settlement of list of debtors.— (1) Notwithstanding anything to the contrary contained in any law for the time being in force, the High Court may settle in the manner hereinafter provided a list of debtors of a banking company which is being wound up.

(2) Subject to any rules that may be made under section 92, the official liquidator shall, within six months from the date of the winding up order or the commencement of this Ordinance, whichever is later, from time to time, file to the High Court lists of debtors containing such particulars as are specified in the Third Schedule:

Provided that such lists may, with the leave of the High Court, be filed after the expiry of the said period of six months.

(3) On receipt of any list under sub-section (2), the High Court shall, wherever necessary, cause notices to be issued on all persons affected and after making an inquiry in such manner as may be provided by rules made under section 79, it shall make an order settling the list of debtors:

Provided that nothing in this section shall debar the High Court from settling any such list in part as against such of the persons whose debts have been settled without settling the debts of all the persons placed on the list.

(4) At the time of the settlement of any such list, the High Court shall pass an order for the payment of the amount due by each debtor and make such further orders as may be necessary in respect of the relief claimed, including reliefs against any guarantor or in respect of the realisation of any security.

(5) Every such order shall, subject to the provisions for appeal, be final and binding for all purposes as between the banking company on the one hand and the person against whom the order is passed and all persons claiming through or under him on the other hand, and shall be deemed to be a decree in a suit.

(6) In respect of every such order, the High Court shall issue a certificate specifying clearly the reliefs granted and names and descriptions of the parties against whom such reliefs have been granted, the amount of costs awarded and by whom, and out of what funds and in what proportions, such costs are to be paid; and every such certificate shall be deemed to be a certified copy of the decree for all purposes including execution.

(7) At the time of settling the list of debtors or at any other time prior or subsequent thereto, the High Court shall have power to pass any order in respect of a debtor on the application of the official liquidator for the realisation, management, protection, preservation or sale of any property given as security to the banking company and to give such powers to the official liquidator to carry out the aforesaid directions as the High Court thinks fit.

(8) The High Court shall have power to sanction a compromise in respect of any debt and to order the payment of any debt by installments.

(9) In any case in which any such lists, settled *exparte* as against any person, such person may, within thirty days from the date of the order settling the list, apply to the High Court for an order to vary such list, so far as it concerns him, and if the High Court is satisfied that he was prevented by any sufficient cause from appearing on the date fixed for the settlement of such list and that he has a good defence to the claim of the banking company on merits, the High Court may vary the list and pass such orders in relation thereto as it thinks fit:

Provided that the High Court may, if it so thinks fit, entertain the application after the expiry of the said period of thirty days.

(10) Nothing in this section shall—

(a) apply to debt which has been secured by a mortgage of immovable property, if a third party has any interest in such immovable property; or

(b) prejudice the rights of the official liquidator to recover any debt due to a banking company under any other law for the being in force.

64. Special provisions to make calls on contributories.— Notwithstanding that the list of contributories has not been settled under section 184, of the [1][Companies Ordinance, 1984 (XLVII of 1984)], the High Court may, if it appears to it necessary or expedient so to do, at any time after making a winding up order, make a call on and order payment thereof by any contributory under sub-section (1) of section 187 of the [1][Companies Ordinance, 1984 (XLVII of 1984)], if such contributory has been placed on the list of contributories by the official liquidator and has not appeared to dispute his liability.

65. Documents of banking company to be evidence.— (1) Entries in the books of account or other documents of a banking company which is being wound up shall be admitted in evidence in all proceedings by or against the banking company; and all such entries may be proved either by the production of the books of account or other documents of the banking company containing such entries or by the production of a copy of the entries, certified by the official liquidator under his signature and stating that it is a true copy of the original entries and that such original entries are contained in the books of account or other documents of the banking company in his possession.

(2) Notwithstanding anything to the contrary contained in the Evidence Act, 1872, all such entries in the books of account or other documents of a banking company shall as against the directors of the banking company in respect of which the winding up order has been made before the commencement of this Ordinance, be *prima facie* evidence of the truth of all matters purporting to be therein recorded.

66. Public examination of directors and auditors.— (1) Where an order has been made for the winding up of a banking company, the official liquidator shall submit a report whether in his opinion any loss has been caused to the banking company since its formation by any act or omission (whether or not a fraud has been committed by such act or omission) of any person in the promotion or formation of the banking company or of any director or auditor of the banking company.

(2) If, on consideration of the report submitted under sub-section (1), the High Court is of opinion that any person who has taken part in the promotion or formation of the banking company or has been a director or an auditor of the banking company should be publicly examined, it shall hold a public sitting on a date to be appointed for that purpose and direct that such person, director or auditor shall attend thereat and shall be publicly examined as to the promotion or formation or the conduct of the business of the banking company, or as to his conduct and dealings, in so far as they relate to the affairs of the banking company:

[1]Sub. by Finance Act, 2007 (Act No. IV of 2007), s.4, (w.e.f. 01-07-2007).

Provided that no such person shall be publicly examined unless he has been given an opportunity to show cause why he should not be so examined.

(3) The official liquidator shall take part in the examination and for that purpose may, if specially authorized by the High Court in that behalf, employ such legal assistance as may be sanctioned by the High Court.

(4) Any creditor or contributory may also take part in the examination either personally or by any person entitled to appear before the High Court.

(5) The High Court may put such questions to the person examined as it thinks fit.

(6) The person examined shall be examined on oath and shall answer all such questions as the High Court may put or allow to be put to him.

(7) A person ordered to be examined under this section may, at his own cost, employ any person entitled to appear before the High Court who shall be at liberty to put to him such questions as the High Court may deem just for the purpose of enabling him to explain or qualify any answer given by him:

Provided that if he is, in the opinion of the High Court, exculpated from any charges made or suggested against him, the High Court may allow him such costs in its discretion as it may deem fit.

(8) Notes of the examination shall be taken down in writing, and shall be read over to or by, and signed by, the person examined and may thereafter be used in evidence against him in any proceeding, civil or criminal, and shall be open to the inspection of any creditor or contributory at all reasonable times.

(9) Where on such examination, the High Court is of opinion (whether a fraud has been committed or not)—

(a) that a person who has been a director of the banking company is not fit to be a director of a company, or

(b) that a person who has been an auditor of the banking company or a partner of a firm acting as such auditor is not fit to act as an auditor of a company or to be a partner of a firm acting as such auditor,

the High Court may make an order that that person shall not, without the leave of the High Court, be a director of, or in any way, whether directly or indirectly, be concerned or take part in the management of any company or, as the case may be, act as an auditor of, or be a partner of a firm acting as auditors of, any company for such period not exceeding five years as may be specified in the order.

67. Special provisions for assessing damages against delinquent directors, etc.—(1) Where an application is made to the High Court under section 235 of the [1][Companies Ordinance, 1984 (XLVII of 1984)], against any promoter, director, manager, liquidator or officer of a banking company for repayment or restoration of any money or property and the applicant makes out a *prima facie* case against such person, the High Court shall make an order against such person to repay and restore the money or property unless he proves that he is not liable to make the repayment or restoration either wholly or in part:

[1]Sub. by Finance Act, 2007 (Act No. IV of 2007), s.4, (w.e.f. 01-07-2007).

Provided that where such an order is made jointly against two or more such persons, they shall be jointly and severally liable to make the repayment or restoration of the money or property.

(2) Where an application is made to the High Court under section 235 of the [1][Companies Ordinance, 1984 (XLVII of 1984)], and the High Court has reason to believe that a property belongs to any promoter, director, manager, liquidator or officer of the banking company, whether the property stands in the name of such person or of any other person as the ostensible owner, the High Court may, at any time, whether before or after making an order under sub-section (1), direct the attachment of such property or of such portion thereof as the High Court may think fit, and when the property so attached stands in the name of an ostensible owner, it shall remain subject to attachment unless the ostensible owner can prove to the satisfaction of the High Court that he is the real owner and the provisions of the Code of Civil Procedure, 1908 (Act V of 1908), relating to attachment of property shall, as far as may be, apply to such attachment.

[2][(3) For the purposes of this section and section 70 of this Ordinance and section 235 of the [1][Companies Ordinance, 1984 (XLVII of 1984)], "property" includes property transferred or otherwise disposed of by the person referred to in sub-section (1) or any other person as ostensible owner of such property within two years preceding the commencement of proceedings under section 235 of the [1][Companies Ordinance, 1984 (XLVII of 1984)], or during the currency of such proceedings, if the High Court is satisfied by affidavit or otherwise that the transfer was otherwise than in good faith and for sufficient consideration.]

68. Duty of directors and officers of banking company to assist in the realisation of property.—Every director or other officer of a banking company which is being wound up shall give such assistance to the official liquidator as he may reasonably require in connection with the realisation and distribution of the property of the banking company.

69. Special provisions for punishing offences in relation to banking companies being wound up.— (1) The High Court may, if it thinks fit, take cognizance of and try in a summary way any offence punishable under this Ordinance or under the [1][Companies Ordinance, 1984 (XLVII of 1984)], alleged to have been committed by any person who has taken part in the promotion or formation of the banking company which is being wound up or by any director, manager or officer thereof.

(2) When trying any such offence as aforesaid, the High Court may also try any other offence not referred to in sub-section (1) which is an offence with which the accused may, under the Code of Criminal Procedure, 1898 (Act V of 1898), be charged at the same trial.

(3) In any case tried summarily under sub-section (1), the High Court—

(a) need not summon any witness, if it is satisfied that the evidence of such witness will not be material;

(b) shall not be bound to adjourn a trial for any purpose unless such adjournment is, in the opinion of the High Court, necessary in the interest of justice;

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[1]Subs. by Finance Act, 2007 (Act No. IV of 2007), s.4, (w.e.f. 01-07-2007).
[2]Sub-section (3) added by the Banking Companies (Amdt.) Act, 1972 (30 of 1972), s. 15 (w.e.f. 13-10-1972).

(c) shall, before passing any sentence, record judgement embodying the substance of the evidence and also the particulars specified in section 263 of the Code of Criminal Procedure, 1898 (Act V of 1898), so far as that section may be applicable;

and nothing contained in sub-section (2) of section 262 of the Code of Criminal Procedure, 1898 (Act V of 1898), shall apply to any such trial.

(4) All offences in relation to winding up alleged to have been committed by any person specified in sub-section (1) which are punishable under this Ordinance or under the [1][Companies Ordinance, 1984 (XLVII of 1984)], and which are not tried in a summary way under sub-section (1) shall, notwithstanding anything to the contrary contained in that Act or the Code of Criminal Procedure, 1898 (Act V of 1898), or in any other law for the time being in force, be taken cognizance of and tried by a Judge of the High Court other than the Judge for the time being dealing with the proceeding for the winding up of the banking company.

(5) Notwithstanding anything to the contrary contained in the Code of Criminal Procedure, 1898 (Act V of 1898), the High Court may take cognizance of any offence under this section without the accused being committed to it for trial and all such trials shall be without the aid of a jury.

70. Public examination of directors and auditors etc., in respect of a banking company under scheme of arrangement.— (1) Where an application for sanctioning a compromise or arrangement in respect of a banking company is made under section 153 of the [1][Companies Ordinance, 1984 (XLVII of 1984)], or where such sanction has been given and the High Court is of opinion, whether on a report of the State Bank or otherwise, that any person who has taken part in the promotion or formation of that banking company or has been a director or auditor thereof should be publicly examined, it may direct such examination of such person and the provisions of section 66 shall, as far as may be, apply to such banking company as they apply to a banking company which is being wound up.

(2) Where a compromise or arrangement is sanctioned under section 153 of the [1][Companies Ordinance, 1984 (XLVII of 1984)], in respect of a banking company, the provisions of section 235 of that Act and of section 67 shall, as far as may be, apply to such banking company as they apply to a banking company which is being wound up as if the order sanctioning the compromise or arrangement were an order for the winding up of that banking company.

(3) Where a scheme of reconstruction or amalgamation of a banking company has been sanctioned by the [2][Federal Government] under section 47 and the [2][Federal Government] is of opinion that any person who has taken part in the promotion or formation of that banking company or has been a director or auditor thereof should be publicly examined, that Government may apply to the High Court for the examination of such person and if on such examination the High Court finds (whether a fraud has been committed or not) that that person is not fit to be a director of a company or to act as an auditor of a company or to be a partner of a firm acting as such auditors, the [2][Federal Government] shall make an order that that person shall not, without the leave of the [2][Federal Government], be a director of , or in any way, whether directly or indirectly, be concerned or take part in the management of any company or, as the case may be, act as an auditor of, or be a partner of a firm acting as auditors of, any company for such period not exceeding five years as may be specified in the order.

[1]Sub. by Finance Act, 2007 (Act No. IV of 2007), s.4, (w.e.f. 01-07-2007).
[2]Subs. by the Banking Companies (Amdt.) Act, 1972 (30 of 1972), s. 23 (w.e.f. 13-10-1972), for "Central Government".

(4) Where a scheme of reconstruction or amalgamation of a banking company has been sanctioned by the [1][Federal Government] under section 47, the provision of section 235 of the [2][Companies Ordinance, 1984 (XLVII of 1984)], and those of section 67 shall, as far as may be, apply to the banking company as they apply to a banking company which is being wound up as if the order sanctioning the scheme of reconstruction or amalgamation, as the case may be, were an order for the winding-up of the banking company; and any reference in the said section 235 to the application of the official liquidator shall be construed as a reference to the application of the [1][Federal Government.]

[3][(5) The provisions of sub-sections (3) and (4) shall apply to a banking company in respect of which a scheme of amalgamation has been sanctioned by the State Bank under section 48, and in their application to such a banking company shall have effect as if—

(a) the word "reconstruction or" wherever occurring were omitted; and

(b) for the words [4][Federal Government] wherever occurring the words "State Bank" were substituted.

(6) The provisions of sub-sections (3) and (4) shall apply to a banking company other than a banking company in relation to which provision has been made in the preceding sub-sections and, in their application to such a banking company, shall have effect as if—

(a) in sub-section (3),—

(i) for the words and figure "where a scheme of reconstruction or amalgamation of a banking company has been sanctioned by the [4][Federal Government] under section 47 and" the word "If" were substituted; and

(ii) for the words [4][Federal Government] wherever occurring the words "State Bank" were substituted; and

(b) in sub-section (4),—

(i) the words, figure and comma "Where a scheme of reconstruction or amalgamation of a banking company has been sanctioned by the [4][Federal Government] under Section 47," were omitted;

(ii) for the words and commas "order sanctioning the scheme of reconstruction or amalgamation, as the case may be," the words and figure "making of the application by the State Bank under the said section 235" were substituted; and

(iii) for the words [4][Federal Government] twice occurring the words "State Bank" were substituted.]

71. Special provisions for banking companies working under schemes of arrangement at the commencement of the Ordinance.— Where any compromise or arrangement sanctioned in respect of a banking company under section 153 of the [2][Companies Ordinance, 1984 (XLVII of

[1]Subs. by the Banking Companies (Amdt.) Act, 1972 (30 of 1972), s. 23 (w.e.f. 13-10-1972), for "Central Government".
[2]Sub. by Finance Act, 2007 (Act No. IV of 2007), s.4, (w.e.f. 01-07-2007).
[3]Sub-section (5) and (6) added by the Banking Companies (Amdt.) Act, 1972 (30 of 1972), s. 16 (w.e.f. 13-10-1972).
[4]Subs. by F.A.O. 1975, Art. 2 and Table, for "Central Government" (w.e.f. 28-7-1975).

1984)], is being worked at the commencement of this Ordinance, the High Court may, if it so thinks fit, on the application of such banking company—

(a) excuse any delay in carrying out any of the provisions of the compromise or arrangement; or

(b) allow the banking company to settle the list of its debtors in accordance with the provisions of section 63 and in such a case, the provisions of the said section shall, as far as may be, apply to the banking company as they apply to a banking company which is being wound up as if the order sanctioning the compromise or arrangement were an order for the winding up of the banking company.

72. Appeals.— (1) An appeal shall lie from any order or decision of the High Court in a civil proceeding under this Ordinance when the amount or value of the subject-matter of the claim exceeds five thousand rupees.

(2) The High Court may by rules provide for an appeal against any order made under section 69 and the conditions subject to which any such appeal would lie.

(3) Subject to the provisions of sub-section (1) and sub-section (2) and notwithstanding anything contained in any other law for the time being in force, every order or decision of the High Court shall be final and binding for all purposes as between the banking company on the one hand, and all persons who are parties thereto and all persons claiming through or under them or any of them, on the other hand.

73. Special period of limitation.— (1) Notwithstanding anything to the contrary contained in the Limitation Act, 1908 (IX of 1908), or in any other law for the time being in force, in computing the period of limitation prescribed for a suit or application by a banking company which is being wound up, the period commencing from the date of the presentation of the petition for the winding up of the banking company shall be excluded.

(2) Notwithstanding anything to the contrary contained in the Limitation Act, 1908 (IX of 1908), or section 235 of the [1][Companies Ordinance, 1984 (XLVII of 1984)], or in any other law for the time being in force, there shall be no period of limitation for the recovery of arrears of calls from any director of a banking company which is being wound up or for the enforcement by the banking company against any of its directors of any claim based on a contract, express or implied; and in respect of all other claims by the banking company against its directors, the period of limitation shall be twelve years from the date of the accrual of such claims or five years from the date of the first appointment of the liquidator, whichever is longer.

(3) The provisions of this section, in so far as they relate to banking companies being wound up, shall also apply to a banking company in respect of which a petition for the winding up has been presented before the commencement of this Ordinance.

74. State Bank to tender advice in winding up proceedings.— where in any proceeding for the winding up of a banking company in which any person other than the State Bank has been appointed as the official liquidator and the High Court has directed the official liquidator to obtain the advice of the State Bank on any matter (which it is hereby empowered to do), it shall be lawful for the State Bank to examine the record of any such proceeding and tender such advice on the matter as it may think fit.

[1]Subs. by Finance Act, 2007 (Act No. IV of 2007), s.4, (w.e.f. 01-07-2007).

75. Power to inspect.— (1) The State Bank shall, on being directed so to do by the [1][Federal Government] or by the High Court, cause an inspection to be made one or more of its officers of a banking company which is being wound up and its books and accounts.

(2) On such inspection, the State Bank shall submit its report to the [1][Federal Government] and the High Court.

(3) If the [1][Federal Government], on consideration of the report of the State Bank, is of opinion that there has been a substantial irregularity in the winding up proceedings, it may bring such irregularity to the notice of the High Court for such action as the High Court may think fit.

(4) On receipt of the report of the State Bank under sub-section (2) or on any irregularity being brought to its notice by the [1][Federal Government], under sub-section (3) the High Court may, if it deems fit, after giving notice to and hearing the [1][Federal Government] in regard to the report, give such directions as it may consider necessary.

76. Power to call for returns and information.— The State Bank may, at any time by notice in writing, require the liquidator of a banking company to furnish it, within such time as may be specified in the notice or such further time as the State Bank may allow, any statement or information relating to or connected with the winding up of the banking company; and it shall be the duty of every liquidator to comply with such requirements.

Explanation.— For the purpose of this section and section 75, a banking company working under a compromise or arrangement but prohibited from receiving fresh deposits, shall, as far as may be, be deemed to be a banking company which is being wound up.

77. District Magistrate to assist official liquidator in taking charge of property of banking company being wound up.—(1) For the purpose of enabling the official liquidator or the special officer appointed under sub-section (4) of section 45 to take into his custody or under his control all property, effect and actionable claims to which a banking company, which has been ordered to be wound up, is or appears to be entitled, the official liquidator or the special officer as the case may be, may if he deems it necessary in the interest of speedy liquidation, request in writing the District Magistrate, within whose jurisdiction any property, books of account or other documents of such banking company may be situated or be found, to take possession thereof, and the District Magistrate shall, on such request being made to him, take possession of such property, books of account or other documents and forward them to the official liquidator or the special officer.

(2) For the purpose of securing compliance with the provisions of sub-section (1), the District Magistrate may take or cause to be taken such steps and use or cause to be used such force as may, in his opinion, be necessary.

78. Enforcement of orders and decisions of High Court.— (1) All orders made in any civil proceeding by a High Court may be enforced in the same manner in which decrees of such court made in any suit pending therein may be enforced.

(2) Notwithstanding anything to the contrary contained in the Code of Civil Procedure, 1908 (V of 1908), a liquidator may apply for the execution of a decree by a court, other than the one which made it, on production of a certificate granted under sub-section (6) of section 63 and on his certifying in writing the amount remaining due or relief remaining unenforced under the decree.

(3) Without prejudice to the provisions of sub-section (1) or sub-section (2), any amount

[1]Subs. by the Banking Companies (Amdt.) Act, 1972 (30 of 1972), s. 23 (w.e.f. 13-10-1972), for "Central Government".

found due to the banking company by an order or decision of the High Court may, with the leave of the High Court, be recovered in the same manner as an arrears of land revenue.

79. Power of High Court to make rules.— The High Court may make rules consistent with this Ordinance and the rules made under Section 92 prescribing:

(a) the manner in which inquiries and proceedings under Part III or Part IV may be held;

(b) the offences which may be tried summarily;

(c) the authority to which, and the conditions subject to which, appeals may be preferred and the manner in which such appeals may be filed and heard; and

(d) any other matter for which provision has to be made for enabling the High Court to effectively exercise its functions under this Ordinance.

80. References to directors, etc., shall be construed as including references to past directors, etc.—For the removal of doubts it is hereby declared that any reference in this Part to a director, manager, liquidator, officer or auditor of a banking company shall be construed as including a reference to any past or present director, manager, liquidator, officer or auditor of the banking company.

81. Part II not to apply to banking companies being wound up. Nothing contained in Part II shall apply to a banking company which is being wound up.

82. Validation of certain proceedings. Notwithstanding anything contained in section 61 or any other provision of this Part, no proceeding held, judgement delivered or decree or order made before the commencement of this Ordinance, by any Court other than the High Court in respect of any matter over which the High Court has jurisdiction under this Ordinance shall be invalid or be deemed ever to have been invalid merely by reason of the fact that such proceeding, judgement, decree or order was held, delivered or made by a court other than the High Court.

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[1][PART IVA

BANKING MOHTASIB

82A. Appointment of Mohtasib.—There shall be a Banking Mohtasib who shall be appointed by the President in consultation with the Governor of the State Bank of Pakistan.

(2) The Banking Mohtasib shall be a person of high integrity and unimpeachable banking or legal credentials who is not a share-holder of a banking company or financial institution and is not, and has not, been a bank defaulter.

(3) The jurisdiction of the Banking Mohtasib in relation to banking transactions shall be to—

(a) enquire into complaints of banking malpractices;

(b) perverse, arbitrary or discriminatory actions;

(c) violations of banking laws, rules, regulations or guidelines;

[1]Ins. by Act XIV of 1997, s. 15.

(d) inordinate delays or inefficiency; and

(e) corruption, nepotism or other forms of maladministration.

(4) The Banking Mohtasib shall hold office for a period of three years and shall not be eligible for any extension of tenure or for re-appointment under any circumstances whatsoever.

(5) The Banking Mohtasib shall not hold any other office of profit in the service of Pakistan or occupy any other position carrying the right to remuneration for the rendering of services.

82B. Terms and conditions of the Banking Mohtasib.—(1) The Banking Mohtasib shall be entitled to the same salary and allowances as a Judge of a High Court.

(2) The Banking Mohtasib may be removed from office on the ground that he has been guilty of misconduct or that he is incapable of properly performing the duties of his office by reason of physical or mental incapacity.

Provided that he shall have the right to file an appeal before the Federal Services Tribunal.

(3) The Banking Mohtasib shall be provided with a secretariat to be appointed in consultation with the State Bank. Appointments to the Secretariat may be made on deputation from the State Bank of Pakistan or other banks or otherwise on the basis of professional qualifications and the costs of the Secretariat shall be shared by banks in such proportions as may be determined by the State Bank of Pakistan.

(4) The Banking Mohtasib shall have the power and responsibility—

(a) to entertain complaints from customers, borrowers, banks or from any concerned body or organization;

(b) to facilitate the amicable resolution of complaints after giving hearings to the complainant and the concerned bank; [1][*]

[1][(c) to receive evidence on affidavit;

(d) to issue commission for the examination of witnesses; and]

[1][(e)] in the event that complaints cannot be resolved by consent, to give finding which shall be acted upon in the manner set out herein.

(5) The Banking Mohtasib shall exercise his powers and authority in the following manner:—

(a) *In relation to all banks operating in Pakistan*.— The Banking Mohtasib shall be authorised to entertain complaints of the nature set out herein below:—

(i) failure to act in accordance with banking laws and regulations including policy directives or guidelines issued by the State bank from time to time;

Provided that if there is a dispute as to the proper interpretation of any regulations, directions or guidelines, the same shall be referred to the State Bank for clarification.

[1]Omitted, reletterd, and Ins. by Finance Act, 2007 (Act No. IV of 2007), s.4, (w.e.f. 01-07-2007).

(ii) delays or fraud in relation to the payment or collection of cheques, drafts or other banking instruments or the transfer of funds;

(iii) fraudulent or unauthorised withdrawals or debit entries in accounts;

(iv) complaints from exporters or importers relating to banking services and obligations including letter of credits;

(v) complaints from holders of foreign currency accounts, whether maintained by residents or non-residents;

(vi) complaints relating to remittances to or from abroad;

(vii) complaints relating to mark-up or interest rates based on the ground of a violation of an agreement or of State Bank directives; and

(viii) complaints relating to the payment of utility bills.

(b) *In relation to banks in the public sector.*— The Banking Mohtasib shall be authorized to entertain complaints against such banks on the following additional grounds as well—

(i) corrupt or *malafide* practices by bank officers;

(ii) gross dereliction of duty in dealing with customers; and

(iii) inordinate delays in taking decisions[1][; and]

[1][(c) The Banking Mohtasib shall not entertain any complaint or application which has already been disposed of by the State Bank, or any court in Pakistan.]

82C. Reference to Banking Mohtasib by Court.— If at any time during the pendency of a case, a court trying a case relating to recovery of loan by a banking company is of the opinion that the management of the banking company has *prima facie* acted in a *malafide* manner, or in violation of banking rules and regulations, it may make reference to the Banking Mohtasib for inquiring into the matter and passing such order in accordance with the provisions hereof as may deem fit:

Provided that the making of a reference shall not prevent the court from deciding the claim before it on merits.

82D. Procedure for making complaints.— (1) A complaint shall be made on solemn affirmation or oath in writing addressed to the Banking Mohtasib. The complaint shall set out the full particulars of the transaction complained of and the name and address of the complainant.

[2][(2) Prior to making a complaint, the complainant shall request the concerned banking company to redress the complainant's grievances and if the banking company either fails to respond or makes a reply which is un-satisfactory to the complainant within a period of thirty days, the complainant may file a complaint at any time thereafter within a further period of thirty days:

Provided that the Banking Mohtasib may, if satisfied that there were grounds for the delay in filing the complaint, condone the delay and entertain the complaint.]

(3) The Banking Mohtasib may adopt any procedure as he considers appropriate for investigating a complaint:

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[1]Subs., and Added by Finance Act, 2007 (Act No. IV of 2007), s.4, (w.e.f. 01-07-2007).

[2]Subs. by Act No. XXIX of 2024, s.35.

Provided that he shall not pass any order against a bank without first giving it a notice and an opportunity of a hearing.

(4) Subject to section 82C, the Banking Mohtasib shall not have any power to issue an order in the nature of a stay order or to entertain any complaints if the matter is pending before a court or other legal forum.

(5) The Banking Mohtasib may reject a complaint summarily or he may accept the same or pass any other order he deems fit:

Provided that in each case he shall pass a reasoned order for his decision.

82E. Recommendations for implementation.—(1) In the event the Banking Mohtasib comes to the conclusion that the complaint is justified, in part or in whole, he shall try and facilitate an amicable resolution or settlement by resort to mediation and failing that communicate his findings to the concerned bank with the direction—

(a) to reconsider the matter;

(b) to modify or cancel the earlier decision, action or failure to take the appropriate action;

(c) to pay reasonable compensation to the complainant as fixed by the Banking Mohtasib;

(d) to take the requisite steps to improve the functioning or efficiency of the bank; and

(e) to take such other remedial steps or actions as may be specified by the Banking Mohtasib.

(2) The Banking Mohtasib may, in any case, he deems fit or proper, forward a report to the State Bank recommending—

(a) an inquiry, or the taking of the requisite steps or legal proceedings against a bank which has acted in violation of banking laws, procedure, regulations or directives of the State Bank; and

(b) in the case of a bank in the public sector in cases of banking malpractices or corruption, nepotism or gross, and flagrant dereliction by bank officers of their duties and responsibilities, the initiation of such action including a criminal prosecution or disciplinary proceedings as the State Bank may deem fit, either by itself, or through filing a report with the Government of Pakistan.

(3) In no case whatsoever shall be Banking Mohtasib have the power to direct that loans, advances or finances be given to a complainant.

[1][(4) Any bank, or official of a bank, or a complainant aggrieved by any order passed by the Banking Mohtasib may, within thirty days of the order, prefer an appeal to the Governor State Bank who shall decide the appeal within sixty days.]

[1][(5) The findings of Banking Mohtasib shall be implemented by the concerned bank or financial institution within forty days and compliance thereof shall be submitted accordingly. In case

[1]Sub., and Ins. by by Finance Act, 2007 (Act No. IV of 2007), s.4, (w.e.f. 01-07-2007).

an appeal against the decision of the Banking Mohtasib is preferred to the Governor State Bank the aforesaid period of forty days shall be reckoned from the date of decision of appeal.]

[1][(6)] Any order passed by the Banking Mohtasib which has not been appealed against [1][within a period of thirty days from the date of order], or any order passed by the State Bank in appeal, as the case may be, shall become final and operative and if not implemented shall render the bank concerned to such action including the imposition of a fine or penalty as the State bank may deem fit, and in relation to a bank officer, to the appropriate disciplinary or other proceedings.

[1][(7)] Nothing contained herein shall prevent a complainant from filing a suit against a bank in the event his complaint is rejected.

82F. Power to call for information.— The Banking Mohtasib shall have the power for purposes of disposing a case, to require a bank to disclose to him any information subject to the following conditions:—

(a) The Banking Mohtasib shall make every endeavour to ensure that banking confidentiality is maintained as required by banking law and procedure and shall take no action which is violative there of.

(b) The Banking Mohtasib may call for any or all such documents which are relevant or pertinent for purposes of deciding a complaint:

Provided that he shall not be entitled to call for unrelated documents or documents which may compromise the bank‘s position in relation to other customers :

Provided further that in cases where the Banking Mohtasib is investigating case of corruption, he shall have a greater latitude in relation to the inspection of documents.

(c) In the event of a bank refusing to furnish information, or copies of relevant documents, the Banking Mohtasib shall not be authorised to compel the bank to comply with his order but he may draw an adverse inference and comment on the same in his findings.

82G. Report of Banking Mohtasib.—(1) The Banking Mohtasib shall send to the State Bank of Pakistan on or before the 31st March in every succeeding year a report setting out a review of the activities of his office during the preceding year.

(2) The Banking Mohtasib shall also submit a report or reports to the State Bank of Pakistan containing the results of such inquiries as he may be directed to conduct by the State Bank from time to time.

(3) All reports submitted by the Banking Mohtasib shall be published and released to the public unless he directs otherwise for reasons to be recorded.]

PART V
MISCELLANEOUS

83. Penalties.— (1) Whoever in any return balance-sheet or other document or in any information required or furnished by or under or for the purposes of any provision of this Ordinance,

[1]Renumberd and Ins. by Finance Act, 2007 (Act No. IV of 2007), s.4, (w.e.f. 01-07-2007).

wilfully makes a statement which is false in any material particular, knowing it to be false, or wilfully omits to make a material statement, shall be punishable with imprisonment for a term which may extend to three years and shall also be liable to [1][penalty of an amount as specified in the Fourth Schedule.]

[2][(1A) If any person, being the chairman, director, chief executive, by whatever name called, or official liquidator or an officer of a banking company, mismanages the affairs of the banking company or misuses his position for gaining direct or indirect benefit for himself or any of his family members, he shall be punishable with imprisonment for a term which may extend to three years and shall also be liable to [1][penalty of an amount as specified in the Fourth Schedule], and shall be ordered by the court trying the offence, to deliver up or refund within a time to be fixed by the court any property acquired or gained by him in his own name or in name of his family members by so mismanaging the affairs of the banking company or misusing his position or, in default, to suffer imprisonment for a term which may extend to three years.]

[3][(1AA) Any executive officer, director or chief executive of a banking company which is either directly or indirectly owned, controlled or managed by the Federal Government or a Provincial Government who extends, or aids in extending, a loan, advance, or any financial facility to a borrower or customer on the verbal instructions of a holder of a public office without reducing the terms of the instructions into writing and drawing them to the attention of his superior officer, or the board of directors, shall be guilty of an offence punishable with imprisonment of either description which may extend to one year, or with fine [4][not exceeding the amount of loan, advance or financing facility so extended], or with both, in addition to such other action which may be taken against him in accordance with law; and]

[5][(1B) If any company which is not a banking company, or a banking company which does not hold a licence under section 27 or the licence granted to which has been cancelled, or any individual or association or body of individuals, transacts the business of banking in Pakistan, the chief executive, by whatever name called, of the company and every director, manager, and other officer of the company, and the individual and every member of the association or body of individuals, shall be deemed to be guilty of such contravention and shall be punishable with imprisonment of either description for a term which may extend to seven years and with fine the amount of which shall not be less than twice the amount of deposits received by the company or, as the case may be, the individual or the association or body of individuals in transacting the business of banking, and shall be ordered by the Court trying the offence to pay the fine within a time to be fixed by the Court or in default to suffer further imprisonment for a term which may extend to five years.]

[6][(1C) Whoever contravenes, or attempts to contravene, or abets the contravention of, the provisions of section [7][27A or section 43A] [7][or obstructs or hinders any person in the exercise of his powers or discharge of his functions under section 43AA] or section 43C or sub-section (1) or sub-section (3) or sub-section (4) of section 43D or section 43E shall be punishable with imprisonment of either description for a term which may extend to five years and with [1][penalty of an amount as specified in the Fourth Schedule].)]

[7][(1D) If any company, firm or person contravenes the provisions of section 27A, the chief executive of the company and its directors, every partner of the firm and such person shall be guilty of an offence punishable with imprisonment of either description for a term which may extend to ten

[1]Subs. by Act No. XXIX of 2024, s.36.
[2]Sub-section (1A) ins. by the Banking Companies (Amdt) Act, 1972(30 of 1972),s.17(w.e.f 13.10.1972).
[3]Ins. by Banking Company (Admt.) Act, 1997 (Act No XIV of 1997), s.16.
[4]Ins. by the Finance Act, 2007 (Act No. IV of 2007), s.4 (w.e.f. 01-07-2007).
[5]New sub-section (1B) Ins. by the Banking Companies (Admt)Ordinance,1979 (6 of 1979),s.4.
[6]New sub-section(1C)ins by the Banking Companies (Amedt) Ordinance,1979.
[7]Subs. and Ins. by the Finance Act, 1990 (Act No. VII of 1990), s.4A.

years and with fine the amount of which shall not be less than twice the amount of deposits received in contravention of the said section and forfeiture of whole or part of the property of such company, firm or person and the chief executive of the company and its directors, every partner of the firm and person.]

(2) If advances are made by a banking company in contravention of the provisions of sub-section (1) and (2) of section 24, every director or other officer of the banking company who is knowingly a party to the contravention shall be punishable with imprisonment which may extend to three years and with a [1][penalty] [2][which may extend to the amount of loan so extended and with a further [1][penalty of an amount as specified in the Fourth Schedule.]

(3) If any person fails to produce any book, account or other document or to furnish any statement or information which under sub-section (4) of section 40 it is his duty to produce or furnish, or to answer any question relating to the business of a banking company which he is asked by an officer making an inspection under that section, he shall be punishable with a [1][penalty of an amount as specified in the Fourth Schedule].

(4) If any deposits are received by a banking company in contravention of an order under [1][sub-section (5) of section 26A], every director or other officer of the banking company unless he proves that the contravention took place without his knowledge or that he exercised all due diligence to prevent it, shall be deemed to be guilty of such contravention and shall be punishable with a fine which may extend to twice the amount of the deposits so received.

[1][(5) if any other provision of this Ordinance is contravened or circumvented, or if any default is made in complying with any requirement of this Ordinance or of any order, rule, regulation, instruction, circular, notification, guideline or direction made or condition imposed thereunder, every person who is knowingly a party to the contravention or default or circumvention shall be punishable with penalty of an amount as specified in the Fourth Schedule.]

[1][(5A) where any person recklessly or deliberately engages in any un-safe or un-sound practice, circumvention of supervisory instructions or deliberate breach of fiduciary duty causing knowingly a substantial loss to a banking company or a substantial pecuniary gain or other benefit to himself or to any other person, by reason of regulatory violation or circumvention, deviation from or breach of established banking practices, such person shall be liable to penalty of an amount as specified in the Fourth Schedule.

(5B) Any person aggrieved by imposition of a penalty under sub-sections (3), (4), (5) and (5A) may, within thirty days from the date of intimation of the penalty, prefer an appeal to such officer of the State Bank superior in rank to the officer by whom the decision appealed against was given as may be authorized in this behalf by the Governor State Bank and any order passed by such authorised officer after providing an opportunity of being heard shall be final.

Explanation.— For the purpose of this section, the term 'knowingly' shall have the same meaning as given under section 41D.]

[3][(6) Without prejudice to the provisions of sub-section (5), a banking company which makes default in complying with the requirements of sub-section (1) of section 29 shall, in respect of every day of default, pay to the State Bank on demand a penalty [1][as determined by the State Bank from time to time in accordance with clause (a) and (b) below],—

(a) if no amount is maintained, of the minimum amount required to be maintained under that sub-section, and

[1]Subs., and ins. by Act No. XXIX of 2024, s.36.
[2]Sub., by Finance Act, 2007 (Act No. IV of 2007), s.4, (w.e.f. 01-07-2007).
[3]Sub-section(6)added by the Banking Companies(Amdt) Act,1968(15 of 1968), s.2(w.e.f 23.12.1968)

(b) if any amount below such minimum is maintained, of the amount by which the amount maintained falls short of the required minimum[1][.]

[1][* * * * * * *]

[2][(7) Without prejudice to the provisions of sub-section (5), if a banking company fails or refuses to pay or make whole or part of the amount of deposit or special deposits or penalty referred to respectively in [3][* * *] section 13, sub-section (4) of section 25 and sub-section (6), the State Bank may, without notice to the banking company, debit the amount of default to any account of the defaulting banking company held with the State Bank.]

[4][(8) Without prejudice to the provisions of sub-section (5) the pecuniary fines prescribed under this Ordinance shall be imposed and recovered by State Bank:

Provided that if a banking company fails or refuses to pay the fines or penalties imposed by State Bank under this Ordinance, the State Bank may, without notice to the banking company, debit the amount of default to any account of the banking company held with the State Bank.]

[1][**(9) The Central Board of Directors of the State Bank may, alter or add to, the Fourth Schedule.**]

[5][**83A. Dishonest removal of pledged goods**.— Whoever, dishonestly removes or disposes of any goods pledged with any banking company as security for the payment of any debt, loan, finance or other similar facility or removes or disposes of any such goods without the prior approval in writing of the banking company, shall be punishable with imprisonment for a term which may extend to three years, and shall also be liable to fine which may extend to the value of the goods removed or disposed of.]

[6][**84. Cognizance of offences, etc.**—[7][(1) No court shall take cognizance of any offence punishable under sub-sections (1), (1A), [1][(1AA), (1B), (1C), (1D) and (2)] of section 83 except on a complaint in writing made by an officer of the State Bank generally or specially authorised in writing in this behalf by the State Bank and no court other than the High Court shall try any such offence.]

(2) The High Court shall have, in respect of the trial of an offence referred to in sub-section (1), all the powers which it has in relation to a trial before it under the Code of Criminal Procedure, 1898 (Act V of 1898), hereafter in this section referred to as the Code, and shall follow the procedure provided in the Code for such trial except as hereinafter provided, namely:—

(a) the trial shall be without a jury and the provisions of the Code shall have effect as if all references therein to jury or jurymen and to commitment proceedings and to any statement or documents made or prepared in the course of such proceedings had been omitted;

(b) section 297 of the Code shall have effect as if it required the High Court, upon the case for the defence and the prosecutor's reply, if any being concluded, to proceed, with all reasonable speed, to pronounce its judgment; and

(c) section 352 of the Code shall have effect as if it required the High Court, upon an application being submitted to it by the State Bank stating that it is in the interest of the banking companies in general or a banking company in particular that any proceedings are not held in open court, to order that the public generally shall not have access to, or be or remain in, the room or building used by the Court.]

[1]Subs., omitted and ins. by Act No. XXIX of 2024, ss.36-37.
[2]Sub-section (7) added by the Banking companies (Amdt) Act, 1972 (30 of 1972), s.17 (w.e.f 13-10-1972).
[3]Omitted by Ord. 48 of 2000, s.7.
[4]Added by by Finance Act, 2007 (Act No. IV of 2007), s.4, (w.e.f. 01-07-2007).
[5]Ins by Act XIV of 1997, s.17.
[6]Subs by the Banking Companies (Amdt) Act, 1972 (30 of 1972), s.18 (w.e.f 13-10-1972).
[7]Subs by the Finance Act, 1990 (7 of 1990), s.4A, for sub-section(1)

[1][**85. Application of fines.**—A Court imposing any fine under this Ordinance may direct that the whole or any part thereof shall be applied in or towards—

(a) payment of the costs of the proceedings;

(b) the rewarding of the person on whose information the fine is recovered; or

(c) payment to a banking company of compensation for any loss caused by the offence.]

86. Special provisions for private banking companies.—The exemptions, whether express or implied, in favour of a private company in sections 17, 77, 83B, 86H, 91B and 91D, and sub-section (5) of Section 144 of the [2][Companies Ordinance, 1984 (XLVII of 1984)], shall not operate in favour of a private company which is a banking company.

87. Restriction on acceptance of deposits withdrawable by cheques.— No person other than a banking company, the State Bank, the National Bank of Pakistan or any other banking institution notified by the [3][Federal Government] in this behalf shall accept from the public deposits of money withdrawable by cheque:

Provided that nothing contained in this Section shall apply to any savings bank scheme run by the Government.

88. Change of name by a banking company.— Notwithstanding anything contained in section 11 of the [2][Companies Ordinance, 1984 (XLVII of 1984)], the [3][Federal Government] shall not signify its approval to the change of name of any banking company unless the State Bank certifies in writing that it has no objection to such change.

89. Alteration of memorandum of a banking company.—Notwithstanding anything contained in the [2][Companies Ordinance, 1984 (XLVII of 1984)], no application for the confirmation of the alteration of the memorandum of a banking company shall be maintainable unless the State Bank certifies that there is no objection to such alteration.

90. Certain claims for compensation barred.—No person shall have any right, whether in contract or otherwise, to any compensation for any loss incurred by reason of the operation of any of the provisions contained in sections 11, 15, [4][15A, 15B, 15C, 20, 25A, [5][27], 35, 41, 41A, 41B, 41C,] 42, [6][43A, [5][43AA], 43B, 43C, 43D, 43E, 43F], 47 and 58 or by reason of the compliance by a banking company with any order or direction given to it under this Ordinance.

91. Application of certain provisions to banking company incorporated by special enactments of the [3][Federal Legislature].— In the case of a banking company incorporated by a [10][Federal] Act [7][or an Act of Parliament] and not liable to be wound up under the [2][companies Ordinance, 1984 (XLVII of 1984)], the provisions of sections 11, [8][15A, 15C, 16 to 19, 21, 23 to 25B], 28 to 33, 34 [excluding sub-section (3)] , 36, 39, 40, [9][41, 41A, 41B, 41C, 41D], 42, 45, 46, 83, 84, 85, 90, 92 and 93 shall, without prejudice to the provisions of such [10][Federal] Act apply so far as may be, to and in relation to such banking company.

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[1]Subs. by the Banking Companies (Amdt.) Act, 19972 (30 of 1972), s.19, (w.e.f 13-10-1972) for the originl section 85.
[2]Subs. by Act IV of 2007, s. 4 (xiii) (w.e.f. 1-7-07).
[3]Subs. by the Banking Companies (Amdt.) Act, 1972 (30 of 1972), s. 23, for "Central Governmant".
[4]Subs. ibid, 20 (w.e.f 13-10-1972), for "20,41".
[5]Ins. by the Finance Act, 1990 (7 of 1990), s. 4A.
[6]Ins. by the Banking Companies (Amdt.) Ordinance, 1979 (56 of 1979), ss. 5 and 6.
[7]Ins. by F.A.O, 1975, Art 2 & sch. (w.e.f 01-08-1975).
[8]Subs. by Act 30 of 1972, s.21, for "16 to 19, 21, 23 to 25".
[9]Ins. by Act XIV of 1997, s. 18.
[10]Subs. by P.o. No. 4 of 1975, by S.2. for central.

[1][**91A. Application of other laws barred.**—The provisions of [2][clauses (dd), (ee) and (gg) of section 5, section 13, 15A, 15B, 15C, 21, 24, 25, 25A, 25B, 26A], [3][27], 35, 41, 41A, 41B, 41C, 42, [4][43A, [3][43AA], 43B, 43C, 43D, 43E, 43F] and 84 shall have effect not withstanding any thing contained in any other provision of this Ordinance except section 91, or in any other law for the time being in force or in any contract, agreement, award, memorandum or articles of association or other instrument.]

[5][**91B. Removal of difficulties.**—If any difficulty arises in giving effect to any of the provisions of this Ordinance, the Federal Government may make such order as may appear to it to be necessary for the purpose of removing the difficulty.]

92. Power of [6][Federal Government] to make rules.—(1) The [6][Federal Government] may, after consultation with the State Bank, make rules to provide for all matters for which provision is necessary or expedient for the purpose of giving effect to the provisions of this Ordinance and all such rules shall be published in the Official Gazette.

(2) In particular, and without prejudice to the generality of the foregoing power, such rules may provide for the details to be included in the returns required by this Ordinance and the manner in which such returns shall be submitted and the form in which the official liquidator may file lists of debtors to the Court having jurisdiction under Part III or Part IV and the particulars which such lists may contain and any other matter which has to be, or may be prescribed.

(3) All rules made under this section shall be subject to the condition of previous publication, and the date to be specified under clause (3) of Section 23 of the General Clauses Act, 1897 (X of 1897), shall not be less than six months from the date on which the draft of the proposed rules was published :

Provided that in respect of first occasion on which rules are made under this section, the provisions of this sub-section shall not apply.

(4) The [6][Federal Government] may, by rules made under this section, annul, alter or add to, all or any of the provisions of the Third Schedule.

93. Power to exempt in certain cases.— The [6][Federal Government] may, on the recommendation of the State Bank, declare, [7][by notification] in the official Gazette, that any or all of the provisions of this Ordinance shall not apply to any banking company or to any class of banking companies either generally or for such period as may be specified.

[8][**93A. Exemption of Officers, etc., from liability.**— A banking company and its officers and employees shall be exempted from criminal or civil liability of every description provided for in any law in respect of any property, movable or immovable, owned by the banking company, exclusively or jointly with another person or persons so long as the property remains in the custody, power and control of such person or persons on account of licence, lease, hire-purchase, forward sale, rent-sharing agreement or in any other arrangement within the purview of clauses (ee) and (gg) or section 5.

93B. Exemption from requirement of licence. Any requirement of a licence or permit to import or expert any commodity or article or its purchase or sale shall not apply to a banking company undertaking such transaction in the normal course of its banking business.

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[1]S.91A Ins by the Banking Companies (amdt) Act,1972(30 of 1972), s.22.
[2]Subs by the Banking Companies(third Amdt) Ordinacne,1980 (58 of 1980), s.12.
[3]Ins by the Finance Act,1990(7 of 1990), s.4A.
[4]Ins by the Banking Companies (admt)Ordinacen, 1979 (56 of 1979), ss. And 6.
[5]New section 91B ins. by Ord 58 of 1980, s.13.
[6]Subs. by the Banking Companies (Amdt.) Act, 1972 (30 of 1972). S. 23 (w.e.f 13-10-1972), for "Central Governement".
[7]For such notifin. Sec Gaz. Of P., 1965, Ext., P.754.
[8]New sections 93A, 93B, 93C, and 93D ins. by the Banking and Financial services (Amendement of Laws) Ordinance, 1984 (57 of 1984), s.2 and sch.

Explanation.— In this section, a transaction undertaken by a banking company shall be deemed to be in the normal course of its banking business, only if it is based on an agreement for sale or purchase, lease, or hire-purchase of the said commodity or article by the banking company with its customer to whom finance is provided by it and who is in possession of a valid licence or has otherwise complied with the requirements of law governing the import or export or sale or purchase of such commodity or article.

93C. Exchange of information.— (1) Banking companies may exchange on confidential basis amongst themselves, either directly or through [1][any other person providing credit information services], information about their respective clients.

(2) No suit or other legal proceeding shall lie against the [1][any credit information provider] or any banking company or any officer of the Pakistan [1][such credit information provider] or banking company for anything which is in good faith done in pursuance of this section or for any damage caused or likely to be caused by anything done or intended to be done as aforesaid.

[2][**93CA. Co-operation with other authorities**.– (1) Notwithstanding anything contained in any other law for the time being in force, the State Bank may enter into any agreement or memorandum of understanding or any reciprocal arrangement with other central banks, domestic or foreign regulatory, supervisory or Resolution authority for the purpose of sharing and obtaining public or non- public confidential information or cooperating and coordinating actions relevant to the supervisory and Resolution objectives as provided in this Ordinance, subject to such measures that the State Bank may consider appropriate to protect the confidentiality of any non-public information:

Provided that any agreement or memorandum of understanding or any reciprocal arrangement, with any foreign regulatory, supervisory or Resolution authority shall be carried out subject to the prior approval of the Federal Government.

(2) Subject to sub-section (1) the State Bank may, upon a request from the foreign Resolution authority, make an order that the effects of a Resolution measure taken by a foreign Resolution authority be fully or partially applicable to the banking company concerned:

Provided that, no such order shall be made, unless the State Bank is satisfied that–

(i) in terms of its objective and anticipated results, the foreign measure is comparable to the exercise of Resolution powers under this Ordinance;

(ii) the relevant foreign authority's laws allow for the recognition of State Bank Resolution actions, if requested; and

(iii) recognizing a foreign measure would contribute to the achievement of Resolution objectives under this Ordinance, or creditors of the bank or branch in Pakistan would be treated equitably under the foreign Resolution proceedings, or such recognition would have no fiscal implications in Pakistan, or not contravene the public policy of Pakistan.]

93D. Continuance of charge and priority.— Where a charge over any property has been or is created by any person in favour of a banking company to secure any interest-based facility extended by the banking company to such person and such facility is at any time converted into or substituted by any facility not based on interest, such charge shall continue to remain valid and shall maintain its priority in favour of the banking company against all charges created by such person in

[1]Sub. by Finance Act, 2007 (Act No. IV of 2007), s.4, (w.e.f. 01-07-2007).
[2]Ins. by Act No. XXIX of 2024, s.38.

favour of any other person subsequent to the original date of registration of such charge.

Explanation:— For the purposes of section 93A, 93B, 93C and 93D, "banking company" shall have the same meaning as in the Banking Tribunals Ordinance, 1984.]

[1][**94. Protection of action taken in good faith and indemnity**.— (1) No suit, prosecution or other legal proceedings including for damages shall lie against the Federal Government, a Provincial Government, any officer of such Government, the State Bank, Board of Directors or a member thereof, Governor. Deputy Governors, member of any Board committee and officers and employees of the State Bank, for any act of commission or omission done in exercise or performance of any functions, power or duty conferred or imposed by or under this Ordinance upon such persons or any rules and regulations made thereunder, unless such act of commission or omission is proven beyond reasonable doubt to have been done in bad faith and with *mala-fide* intent.

(2) The Governor, Deputy Governors, Directors, members of any Board committee, officers and employees of the State Bank shall not be liable in their personal capacity for any act of commission or omission undertaken in their official capacity in good faith. In case of any such proceedings as mentioned in sub-section (1), they shall be indemnified by the State Bank which shall bear all the expenses thereof, unless an act or omission has been subsequently determined to have been undertaken in bad faith and with *mala-fide* intent.]

95. Repeals.—(1) *Omitted by the Federal Laws (Revisions and Declaration) ordinance, 1981 (XXVII of 1981), s. 3 and Sch., II.*_____

[THE FIRST SCHEDULE] *Omitted by the Federal Laws (Revisions and Declaration) ordinance, 1981 (XXVII of 1981), s. 3 and Sch., II.*

_____

[1]Subs. by Act No. XXIX of 2024, s.39.

THE SECOND SCHEDULE
(*See* section 34)

FORM A

3. DEPOSITS AND OTHER ACCOUNTS : ——

(ii) Shares (classifying into preference, ord
deferred and other classes of shares and sh

Form of Balance-Sheet

Capital and Liabilities	Rs.	Ps.	Rs.	Ps.	Property and Assets
1. CAPITAL : (a) Authorised Capital……share of Rs……...each……..					1. CASH :
Issued Capital ……. share of Rs……each	____				In hand with State Bank and National Bank Pakistan (including foreign currency notes)
Subscribed Capital……share of Rs…….. each ……. Amount called up at Rs…… per share …….	____				2. BALANCES WITH OTHER BANKS (showing whether on deposit or current account):
Less calls un-paid	____				*(i)* In Pakistan .. ..
Add forfeited shares	____				*(ii)* Outside Pakistan .. ..
2. RESERVE FUND AND OTHER RESERVES					3. MONEY AT CALL AND SHORT NOTIC
					4. INVESTMENTS (stating mode of valuati *e.g.*, cost or market value) : (d)
					(i) Securties of the [1][Federal] and Provin Governments and other Trustee Securit including Treasury Bills of the [1][Federal] Provincial Governments.

[1]Subs. by the Banking Companies (Amdt.) Act, 1972 (30 of 1972), s. 23, for "Central"

Savings Bank Deposits.....

Current Accounts, Contingency Accounts, etc. .. ..

——— ———

4. BORROWINGS FROM OTHER BANKING COMPANIES,AGENTS ETC: ——— ———

(i) In Pakistan .. ..
(ii) Outside Pakistan .. .. ..
Particulars :
(i) Secured (stating the nature of securities)
(ii) Unsecured .. ..

5. BILLS PAYABLE .. .. .. ——

6. BILLS FOR COLLECTION BEING BILLS RECEIVABLE AS *PER CONTRA:* ——— ———

(i) Payable in Pakistan .. ..

(ii) Payable outside Pakistan .. ..

5 ADVANCES : (Other than bad and dou debts for which provision has been made satisfaction of the auditors)

(I) Loans, Cash Credits, Overdrafts, etc.

(i) In Pakistan .. ..

(ii) Outside Pakistan .. ..

(II) Bills Discounted and purchased: (excluding Treasury Bills of the [1][Federal] and Provincial Governments) :

(i) Payable in Pakistan . . . .

(ii) Payable outside Pakistan .. ..

---

[1]Subs. by the Banking Companies (Amdt.) Act, 1972 (30 of 1972), s. 23, for "Central"

7. OTHER LIABILITIES : (b) ——

8. ACCEPTANCES, ENDORSEMENTS AND OTHER OBLIGATIONS *PER CONTRA:* ——— ———

9. PROFIT AND LOSS:

Profit as per last balance sheet.. .. ..

Less appropriations.. .. ..

Add profit for the year brought from the Profit & Loss Account .. .. ——— ———

10. CONTINGENT LIABILITIES : (c)

Particulars of ADVANCES :

(i) Debts considered good in respect of the banking company is fully secured..

(ii) Debts considered good for which the b company holds no other security th debtors' personal security.

(iii) Debts considered good secured b personal liabilities of one or more pa addition to the personal security debtors.. .. ..

(iv) Debts considered doubtful or bad provided for .. ..

(v) Debts due by directors or officers banking company or any of them severally or jointly with any other pers

(vi) Debts due by companies or firms in the directors of the banking compa interested as directors, partners or ma agents or in the case of private compa members.

(vii) Maximum total amount of adv including temporary advances made time during the year to directors or ma or officers of the banking company or them either severally or jointly with an persons :(e)

(viii) Maximum total amount of adv including temporary advances granted the year to the companies or firms in, the directors of the banking compa interested as directors, partners or ma agents or, in the case of private compan members : (e)

(ix) Due from banking companies ..

6. *BILLS RECEIVABLE BEING BILLS COLLECTION AS PER CONTRA:*

(I) Payable in Pakistan .. .. ..

(ii) Payable outside Pakistan .. .. ..

7. *CONSTITUENTS' LIABILITIES ACCEPTANCES, ENDORSEMENTS OTHER OBLIGATIONS PER CONTRA*

8. *PREMISES LESS DEPRECIATION : (f)*

9. *FURNITURE AND FIXTURES DEPRECIATION : (f)*

10. *OTHER ASSETS, INCLUDING SILVER specified) : (g) .. ..*

11. *NONBANKING ASSETS ACQUIRED SATISFACTION OF CLAIMS (stating of valuation) : (h) .. ..*

12. *PROFIT AND LOSS .. ..*

Total .. ———

———

NOTES

(a) *capital.—(i)* the various classes of capital, if any, should be distinguished.

(ii) Shares issued as fully paid-up pursuant to any contract without payments being received in cash should be stated separately.

(iii) Where circumstances permit, issued and subscribed capital and amount called up may be shown, as one item, *e.g.,* Issued and Subscribed Capital ……...….. Shares of Rs. ……..…… paid-up.

(iv) In the case of banking companies incorporated outside Pakistan the amount of deposit kept with the State Bank of Pakistan under subsection (3) of sec tion 13 of the Banking Companies Ordinance, 1962, should be shown under this head; the amount, however, should not be extended to the outer column.

(b) Under this heading may be included such items as the following: pension or insurance funds, unclaimed dividends, advance payments and unexpired dis counts, liabilities to subsidiary companies and any other liabilities.

(c) These should be classified under the following categories :—

(i) Claims against the banking company not acknowledged as debts.

(ii) Money for which the banking company is contingently liable showing separately the amount of any guarantee given by the banking company on behalf of directors or officers.

(iii) Arrears of cumulative preference dividends.

(iv) Liability on Bills of Exchange rediscounted.

(v) Liability on account of outstanding Forward Exchange Contracts.

(d) Where the value of the investments shown in the outer column of the balance sheet is higher than the market value, the market value shall be shown separate ly in brackets.

(e) Maximum total outstanding balance in all such accounts as a unit on any day during the year should be given under this heading.

(f) Premises wholly or partially occupied by the banking company for the purposes of business should be shown against "Premises less depreciation". In the case of fixed capital expenditure, the original cost, and additions thereto and deductions therefrom during the year should be stated, as also the total depreciation written off. Where sums have been written off on a reduction of capital or revaluation of assets, every balance sheet after the first balance sheet subsequent to the reduction or revaluation should show the reduced figures with the date and amount of the reduction made. Furniture, fixtures and other assets which have been completely written off need not be shown in the balance sheet.

(g) Under this heading may be included such items as the following, which must be shown under headings suitably described; preliminary, formation and organ isation expenses, development expenditure, commission and brokerage on shares, interest accrued on investments but not collected, investments in shares of subsidiary companies and any other assets.

(h) Value shown shall not exceed the market value and in cases where the market value is not ascertainable, the estimated realisable value.

General Instructions.—The corresponding figures (to the nearest rupee, if so desired) for the year, immediately preceding the year to which the profit and loss account relates should be shown in separate columns.

FORM B
FORM OF PROFIT AND LOSS ACCOUNT

Profit and Loss Account for the year ended December,

Expenditure	Rs.	Ps.	INCOME* (LESS PROVISIONS MADE DURING THE YEAR FOR BAD & DOUBTFUL DEBTS AND OTHER USUAL OR NECESSARY PROVISIONS)	Rs.	Ps.
[1][1. Interest on deposits, borrowing etc. and or *Return].			[2][1. Interest and Discount and or Return *]		
2. Salaries and Allowances and provident Fund (showing separately salaries and allowances to managing director, manager or chief executive officer)			2. Commission, Exchange and Brokerage		
3. Directors' and Local Committee Members' fees and allowances			3. Rents		
4. Rent, Taxes, Insurance, Lighting, etc.			4. Net profit on sale of investments, gold and silver, land, premises and other assets (not credited to Reserves or any particular Fund or Account) . .		
5. Law Charges			5. Net profit on revaluation of investments, gold and silver, land, premises and other assets (not credited to Reserves or any particular Fund or Account)		
6. Postage, Telegrams and Stamps			6. Income from nonbanking assets, and profit from sale of or dealing with such assets		
7. Auditors' Fees			7. Other receipts		
8. Depreciation on and repairs to the banking company's Property			8. Loss (if any)		
9. Stationery, Printing, Advertisement, etc, ...					
10. Loss from sale of or dealing with nonbanking assets					
11. Other Expenditure					
12 Balance of Profit					
Total . .			Total . .		

* Net loss on sale or revaluation of investments, gold and silver, land premises and other assets, if any, may be deducted from income.

* 'Return' means income from, or as case may be, paid on, noninterest bearing accounts.

[1]Subs. by the Notifin. No. BCD. 2/81, dt. 13-12-1981,for "1. Interest paid on deposits, borrowings etc.", *See* Gaz. of P.. Ext., Pt.I11, dt. 19-12-1981, P.446.

[2]Subs. *ibid*., for "1. Interest and Discount".

THE THIRD SCHEDULE

[See section 63(2)]

List of Debtors

1. The official liquidator shall, from time to time, submit lists of debtors to the High Court, each list being verified by an affi davit.

2. Every such list shall contain the following particulars :—

(a) names and addresses of the debtors ;

(b) amount of debt due to the banking company by each debtor;

(c) rate of interest, if any, and the date up to which such interest has been calculated in the case of each debtor;

(d) description of papers, writings and documents, if any, relating to each debt;

(e) relief or relief's claimed against each debtor.

3.—(a) In every such list, the official liquidator shall distiguish between the debts for which the banking company holds any security other than a personal security and the debts for which no security or only a personal security is given ;

(b) In the case of secured debts, particulars of the securities claimed by the banking company, and whenever possible their estimated value, and the names and addresses of person or persons, if any, having an interest in the securities or the right of redemption therein ;

(c) In case the debt is guaranteed by any person or persons, the name and address of the guarantor or guarantors with particulars as to the extent to which the debt is guaranteed and description of documents, papers or writings, in support of such guarantee.

4. If the debtor is adjudged insolvent either before or after he has been included in any such list, but before such list is settled, the name and address of the assignee or the receiver of his estate, as the case may be, should be stated in, or added to the list.

5. If the original debtor dies either before or after he has been included in any such list, but before such list is settled, there shall be substituted in his place the names and addresses of legal representatives as far as the official liquidator is able to ascertain.

———————

[1]THE FOURTH SCHEDULE

THE BANKING COMPANIES ORDINANCE, 1962

[*See* Section 25(3),831

Section	Limit of Penalty	Per day during which the default continues
25(3)	Upto Rs. 200,000/-	Upto Rs. 10,000
83(1)	Upto Rs. 5,000,000/-	-
83(1A)	Upto Rs. 100,000,000/-	-
83(1C)	Upto Rs. 50,000,000/-	Upto Rs. 100,000
83(2)	-	Upto Rs. 1,000,000
83(3)	Upto Rs. 2,000,000/-	Upto Rs. 100,000
83(5)	Upto Rs. 2,000,000/-	Upto Rs. 1,00,000
83(5A)	For individual Upto Rs. 20,000,000/-	Upto Rs. 1,000,000
	For financial institution Upto Rs. 20,000,000/- or Upto 0.5% of total assets of such institution whichever is higher	Upto Rs. 1,000,000]

Uploading Date: 10-12-2024

[1]Added by Act No. XXIX of 2024, s.40.

THE BANKERS' BOOKS EVIDENCE ACT, 1891

CONTENTS

1. Title and extent
2. Definitions
3. Power to extend provisions of Act
4. Mode of proof of entries bankers' books
5. Case in which officer of bank not compellable to produce books
6. Inspection of books by order of Court or Judge
7. Costs

THE PAKISTAN CODE

THE BANKERS' BOOKS EVIDENCE ACT, 1891

[1]ACT No. XVIII OF 1891

[1st October, 1891]

An Act to amend the Law of Evidence with respect to Bankers' Books.

WHEREAS it is expedient to amend the Law of Evidence with respect to Bankers' Books; It is hereby enacted as follows:-

1. Title and extent.— (1) This Act may be called the Bankers' Books Evidence, 1891.

[2][(2) It extends to the whole of Pakistan]; [2]*

[3][* * * * * * *]

2. Definitions. In this Act, unless there is something repugnant in the subject or context, –

[4][(1) "company" means a company registered under any of the enactments relating to companies for the time being in force in any part of His Majesty's dominions or incorporated by an Act of Parliament [5][of the United Kingdom] or by an [6][Pakistan] law or by Royal Charter or by Letters Patent:]

(2) "bank" and "banker" mean–

(a) any company carrying on the business of bankers,

(b) any partnership or individual to whose books the provisions of this Act shall have been extended as hereinafter provided,

[7][*(c)* any post office savings bank or money order office:]

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1For Statement of Objects and Reasons, see Gazette of India, 1891, Pt. v, P. 24: for report of the Select Committee, see ibid., p. 189, and for Proceedings in Council, see ibid., Pt. VI, pp. 15,25,117,135 and 140.
The Act has been declared to be in force in Baluchistan by the British Baluchistan Laws Regulation, 1913 (2 of 1913).
It has also been extended to the Leased Areas of Baluchistan, see the Leased Areas (Laws) Order, 1950 (G. G .O. 3 of 1950); and applied in the Federated Areas of Baluchistan, see Gazette of India, 1937, Pt. I, p. 1499.
The Act and the rules, notifications and orders made thereunder, have been applied to the whole of the Federally Administered Tribal Areas or to the parts of those Areas to which they do not already apply, by Regulation No.I of 1975, s. 2 and the Schedule.
The Act and the rules, notifications and orders made thereunder, as in force in N.W.F.P. before the 15th July, 1975, have been applied to the Districts of Chitral, Dir and Swat and Malakand Protected Areas of the N.W.F.P. by Reg. No. III of 1975, s. 2 and Sch.
2Subs. by the Central Laws (Statute Reform) Ordinance, 1960 (21 of 1960), s. 3 and 2nd Sch., (with effect from the 14th October, 1955), for the original sub-section (2) as amended by A. O., 1949, Arts. 3 (2) and 4.
3The word "and" at the end of sub-section (2), and sub-section (3) rep. by the Repealing and Amending Act, 1914 (10 of 1914).
4Subs. by A. O., 1937, for previous definition which had been subs., for original definition by the Bankers' Books Evidence Act, 1900 (12 of 1900).
5Ins. by A, O., 1961, Art. 2 and Sch., (with effect from the 23rd March, 1956).
6Subs. by A. O., 1949, Sch., for "India".
7Cl. (c) was added by s. 2 of the Bankers' Books Evidence Act, 1893 (1 of 1893).

(3) "bankers' books" include ledgers, day-books, cash-books, account-books and all other books used in the ordinary business of a bank:

(4) "legal proceeding" means any proceeding or inquiry in which evidence is or may be given, and includes an arbitration:

(5) "the Court" means the person or persons before whom a legal proceeding is held or taken:

(6) "Judge" means a Judge of a High Court:

(7) "trial" means any hearing before the Court at which evidence is taken: and

(8) "certified copy" means a copy of any entry in the books of a bank together with a certificate written at the foot of such copy that it is a true copy of such entry, that such entry is contained in one of the ordinary books of the bank and was made in the usual and ordinary course of business, and that such book is still in the custody of the bank, such certificate being dated and subscribed by the principal accountant or manager of the bank with his name and official title.

3. Power to extend provisions of Act. The [1][provincial Government] may, from time to time, by notification in the official Gazette, extend the provisions of the Act to the books of any partnership or individual carrying on the business of bankers within the territories under its administration, and keeping a set of not less than three ordinary account books , namely, a cash-book, a day-book or journal, and a ledger, and may in like manner rescind any such notification.

4. Mode of proof of entries bankers' books. Subject to the provisions of this Act a certified copy of any entry in a banker's book shall in all legal proceedings be received as prima facie evidence of the existence of such entry, and shall be admitted as evidence of the matters, transactions and accounts therein recorded in every case where, and to the same extent as, the original entry itself is now by law admissible, but not further or otherwise.

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5. Case in which officer of bank not compellable to produce books. No officer of a bank shall in any legal proceeding to which the bank is not a party be compellable to produce any banker's book the contents of which can be proved under this Act, or to appear as a witness to prove the matters, transactions and accounts therein recorded, unless by order of the Court or a Judge made for special cause.

6. Inspection of books by order of Court or Judge.–(1) On the application of any party to a legal proceeding the Court or a Judge may order that such party be at liberty to inspect and take copies of any entries in a banker's book for any of the purposes of such proceeding, or may order the bank to prepare and produce, within a time to be specified in the order certified copies of all such entries, accompanied by a further certificate that no other entries are to be found in the books of the bank relevant to the matters in issue in such proceeding, and such further certificate shall be dated and subscribed in manner hereinbefore directed in reference to certified copies.

[1]Subs. by A. O., 1937, for "L. G.".

(2) An order under this or the preceding section may be made either with or without summoning the bank, and shall be served on the bank three clear days (exclusive of bank holidays) before the same is to be obeyed, unless the Court or Judge shall otherwise direct.

(3) The bank may at any time before the time limited for obedience to any such order as aforesaid either offer to produce their books at the trial or give notice of their intention to show cause against such order, and thereupon the same shall not be enforced without further order.

7. Costs. (1) The costs of any application to the Court or a Judge under or for the purposes of this Act and the costs of anything done or to be done under an order of the Court or a Judge made under or for the purposes of this Act shall be in the discretion of the Court or Judge, who may further order such costs or any part thereof to be paid to any party by the bank if they have been incurred in consequence of any fault or improper delay on the part of the bank.

(2) Any order made under this section for the payment of costs to or by a bank may be enforced as if the bank were a party, to the proceeding.

(3) Any order under this section awarding costs may, on application to any Court of Civil Judicature designated in the order, be executed by such Court as if the order were a decree for money passed by itself:

Provided that nothing in this sub-section shall be construed to derogate from any power which the Court or Judge making the order may possess for the enforcement of its or his directions with respect to the payment of costs.

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Date: 05-09-2024

THE ASIAN DEVELOPMENT BANK ORDINANCE, 1971

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THE SCHEDULE

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[1]THE ASIAN DEVELOPMENT BANK ORDINANCE, 1971

ORDINANCE NO. IX of 1971

[16th April, 1971]

An Ordinance to implement the international agreement for the establishment and operation of the Asian Development Bank and for matters connected therewith.

WHEREAS PAKISTAN is a signatory to the Agreement establishing the Asian Development Bank and thereby became a member of the said Bank;

AND WHEREAS it is expedient to make provision for the implementation of the international agreement for the establishment and operation of the aforesaid Bank and for carrying out the obligations of Pakistan as a member of the said Bank and for matters connected therewith;

NOW, THEREFORE, in pursuance of the Proclamation of the 25th day of March, 1969, read with the Provisional Constitution Order, and in exercise of all powers enabling him in that behalf, the President is pleased to make and promulgate the following Ordinance :—

1. Short title, extent and commencement.— (1) This Ordinance may be called the Asian Development Bank Ordinance, 1971.

(2) It extends to the whole of Pakistan.

(3) It shall come into force at once and shall be deemed to have taken effect from the 19th December, 1966.

2. Definitions. In this Ordinance, unless there is anything repugnant in the subject or context,—

(a) "Agreement" means the Agreement for the establishment and operation of the international body known as the Asian Development Bank;

(b) "Bank" means the Asian Development Bank established under the Agreement.

3. Financial provisions.—(1) There shall be paid out of the [2][Federal Consolidated Fund] all such sums as may, from time to time, be required for the purpose of paying—

(a) the subscriptions payable by the [3][Federal Government] to the Bank under paragraphs 1, 2 and 3 of Article 5 of the Agreement; and

(b) any sums payable by the [3][Federal Government] to the Bank under paragraph 1 of Article 25 of the Agreement.

(2) The [3][Federal Government] may, if it thinks fit so to do, create and issue to the Bank, in such form as it thinks fit, any such non-interest Bearing and non-negotiable notes or other obligations as are provided for by paragraph 3 of Article 6 of the Agreement.,

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[1]Validated by the Validation of Laws Act, 1975 (63 of 1975), s. 2 and Sch.,

[2]Subs' by the F.A.O., 1975 (P.O. No. 4 of 1975) Art. 2 and Table, for "Central Consolidated Fund".

[3]See foot-note 1, on page 558, supra.

(3) Any sums received by or on behalf of the [1][Federal Government] from the Bank shall be paid into the [2][Federal Consolidated Fund.]

4. State Bank to be depository of the Bank. The State Bank of Pakistan shall be the depository of the Pakistan currency holdings and other assets of the Bank located in Pakistan.

5. Certain provisions of the agreement to have force of law.— (1) Notwithstanding anything to the contrary contained in any other law, the provisions of the Agreement set out in the Schedule shall have the force of law in Pakistan;

Provided that nothing in Article 56 of the Agreement shall be construed as—

(a) entitling the Bank to import into Pakistan goods free of any duty of customs without any restriction on their subsequent sale therein, or

(b) conferring on the Bank any exemption from duties or taxes which form part of the price of goods sold or which are in fact no more than charges for services rendered.

(2) The [1][Federal Government] may, by notification in the official Gazette, amend the Schedule in conformity with any amendments, which may hereafter be duly made and adopted, of the provisions of the Agreement-set out therein.

6. Power to make rules. The [1][Federal Government] may, by notification in the official Gazette, make rules for carrying out the purposes of this Ordinance.

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(*See* section 5)

Provisions of the Agreement which shall have the force of law.

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CHAPTER VIII

STATUS, IMMUNITIES, EXEMPTIONS AND PRIVILEGES

ARTICLE 48

Purpose of Chapter

To enable the Bank effectively to fulfil its purpose and carry out the functions entrusted to it, the status, immunities, exemptions and privileges set forth in this Chapter shall be accorded to the Bank in the territory of each member.

[1]See foot-note 1, on page 558, supra.

[2]Subs, by the F.A.O., 1975 (P.O. No. 4 of .1975) Art. 2 and Table, for "Central Consolidated Fund".,

ARTICLE 49

Legal Status

The Bank shall possess full juridical personality and, in particular, full capacity :

(i) to contract;

(ii) to acquire, and dispose of, immovable and movable property; and

(iii) to institute legal proceedings.

ARTICLE 50

Immunity from Judicial Proceedings

1. The Bank shall enjoy immunity from every form of legal process, except in cases arising, out of or in connection with the exercise of its powers to borrow money, to guarantee obligations, or to buy and sell or underwrite the sale of securities, in which cases actions may be brought against the Bank in a court of competent jurisdiction in the territory of a country in which the Bank has its principal or a branch office, or has appointed an agent for the purpose of accepting service, or notice of process, or has issued or guaranteed securities.

2. Notwithstanding the provisions of paragraph 1 of this Article, no action shall be brought against the Bank by any member, or by any agency or instrumentality of a member, or by any entity or person directly or indirectly acting for or deriving claims from a member or from any agency or instrumentality of a member. Members shall have recourse to such special procedures for the settlement of controversies between the Bank and its members as may be prescribed in this Agreement, in the bye-laws and regulations of the Bank, or in contracts entered into with the Bank.

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3. Property and assets of the Bank, shall, wheresoever located and by whomsoever held, be immune from all forms of seizure, attachment or execution, before the delivery of final judgement against the Bank.

ARTICLE 51

Immunity of assets

Property and assets of the Bank, wheresoever located and by whomsoever held, shall be immune from search, requisition, confiscation, expropriation or any other form of taking or foreclosure by executive or legislative action.

ARTICLE 52

Immunity of Archives

The archives of the Bank, and, in general, all documents belonging to it, or held by it, shall be inviolable, wherever located.

ARTICLE 53

Freedom of Assets from Restrictions

To the extent necessary to carry out the purpose and functions of the Bank effectively, and subject to the provisions of this Agreement, all property and assets of the Bank shall be free from restrictions, regulations, controls and moratoria of any nature.

ARTICLE 54

Privilege for Communications

Official communications of the Bank shall be accorded by each member treatment not less favourable than that it accords to the official communications of any other member.

ARTICLE 55

Immunities and Privileges of Bank Personnel

All Governors, Directors, alternates, officers and employees of the Bank, including experts performing missions for the Bank:

(i) shall be immune from legal process with respect to acts performed by them in their official capacity, except when the Bank waives the immunity;

(ii) where they are not local citizens or nationals, shall be accorded the same immunities from immigration restrictions, alien registration requirements and national service obligations, and the same facilities as regards exchange, .regulations, as are accorded by members to the representatives, officials and employees of comparable rank of other members; and

(iii) shall be granted the same treatment in respect of travelling facilities as is accorded by members to representatives, officials and employees of comparable rank of other members.

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ARTICLE 56

Exemption from Taxation

1. The Bank, its assets, property, income and its operations and transactions, shall be exempt from all taxation and from all customs duties. The Bank shall also be exempt from any obligation for the payment, withholding or collection of any tax or duty.

2. No tax shall be levied on or in respect of salaries and emoluments paid by the Bank to Directors, alternates, officers or employees of the Bank, including experts performing missions for the Bank, except where a member deposits with its instrument of ratification or acceptance a declaration, that such member retains for itself and its political sub-divisions the right to tax salaries and emoluments paid by the Bank to citizens or nationals of such member.

3. No tax of any kind shall be levied on any obligation or security issued by the Bank, including any dividend or interest thereon, by whomsoever held :

(i) which discriminates against such obligation .or security solely because it is issued by the Bank; or

(ii) if the sole jurisdictional basis for such taxation is the place or currency in which it is issued, made payable or paid, or the location of any office or place of business maintained by the Bank.

4. No tax of any kind shall be levied on any obligation or security guaranteed by the Bank, including any dividend or interest thereon, by whomsoever held :

(i) which discriminates against such obligation or security solely because it is guaranteed by the Bank; or

(ii) if the sole jurisdictional basis for such taxation is the location of any office or place of business maintained by the Bank.

[1] * * * * * * *

ARTICLE 57

Waiver of Immunities, Exemptions and Privileges

The Bank at its discretion may waive any of the privileges, immunities and exemptions conferred under this Chapter in any case or instance, in such manner and upon such conditions as it may determine to be appropriate in the best interests of the Bank.

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Date: 11-11-2024

[1]Validated by the validation of laws Act, 1975 (63 of 1975), s. 2 and Sch.,